

REIMAGINED FUTURE. DELIVERED EVERY DAY.

ABU DHABI COMMERCIAL BANK PJSC
2021 ANNUAL REPORT



بنك أبوظبي التجاري

ADCB



ABU DHABI COMMERCIAL BANK PJSC

2021
Annual Report

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HIS HIGHNESS SHEIKH KHALIFA BIN ZAYED AL NAHYAN

PRESIDENT OF THE UNITED ARAB EMIRATES AND RULER OF ABU DHABI
SUPREME COMMANDER OF THE UAE ARMED FORCES



HIS HIGHNESS SHEIKH MOHAMMED BIN ZAYED AL NAHYAN

CROWN PRINCE OF ABU DHABI
DEPUTY SUPREME COMMANDER OF THE UAE ARMED FORCES
CHAIRMAN OF THE ABU DHABI EXECUTIVE COUNCIL

Reimagined future. Delivered every day.

The UAE has a confident, forward-looking spirit and is pressing ahead with a programme of economic and social reforms that make it one of the best places in the world to do business.

Our theme of 'Reimagined future. Delivered every day.' reflects the many ways ADCB Group is harnessing technology to play a central role in this rapid progress, providing a wide range of products, services and support to corporates, SMEs and individuals. Our collective purpose is to contribute to the transformation of the UAE, improving lives for individuals and businesses by building better connections in our communities.



Reimagined possibilities. Delivered every day.

ADCB is consistent in its support for customers, whether in the face of challenges or the pursuit of opportunity. Through the global pandemic, we stood with those who were impacted economically, bringing practical solutions and continuous engagement to provide a clear route to recovery.

The Bank is investing significantly in digital services and ecosystems to bring new banking and lifestyle experiences directly to retail customers. We are also leveraging our strong balance sheet and expertise to step up lending to major corporates and drive successful capital markets transactions, while financing SME growth and enabling micro-businesses to transition to an increasingly cashless economy.

1 Apple Store and Google Play Store ratings for ADCB Hayyak and ADCB Mobile Banking

ADCB ONBOARDING AND
MOBILE BANKING APPS
HIGHEST RATED IN UAE¹



76%

Digitally onboarded
customers



80%

of customers registered
for Internet & Mobile Banking



95%

Self-service
customer transactions



Reimagined connections. Delivered every day.

Accelerated digital transformation underpins our commitment to service excellence and closer customer engagement. We have launched more than 90 new digital service enhancements, and more than 850,000 individual customers are now subscribed to our mobile app.

Our corporate clients are making the most of our digital platforms to facilitate trade finance and cash management, resulting in significant savings and efficiencies. With the addition of WhatsApp banking, we have added another channel for customers to connect with us in real time, while our social media platforms have become key channels for greater interaction.



Reimagined workplace. Delivered every day.

ADCB ranks in the top decile among major global companies on organisational health, with our culture enriched by an employee base that includes over 80 nationalities. We are attracting increasing numbers of talented UAE nationals through a comprehensive training and development programme, with 477 Emiratis recruited in 2021, bringing the total to 1,854.

The Bank also scores highly on gender diversity, with women comprising 44% of employees in the Group. We have enhanced our training curriculum, helping our people develop their personal and professional skills to drive our collective success in a fast-evolving banking and economic landscape.



Reimagined engagement. Delivered every day.

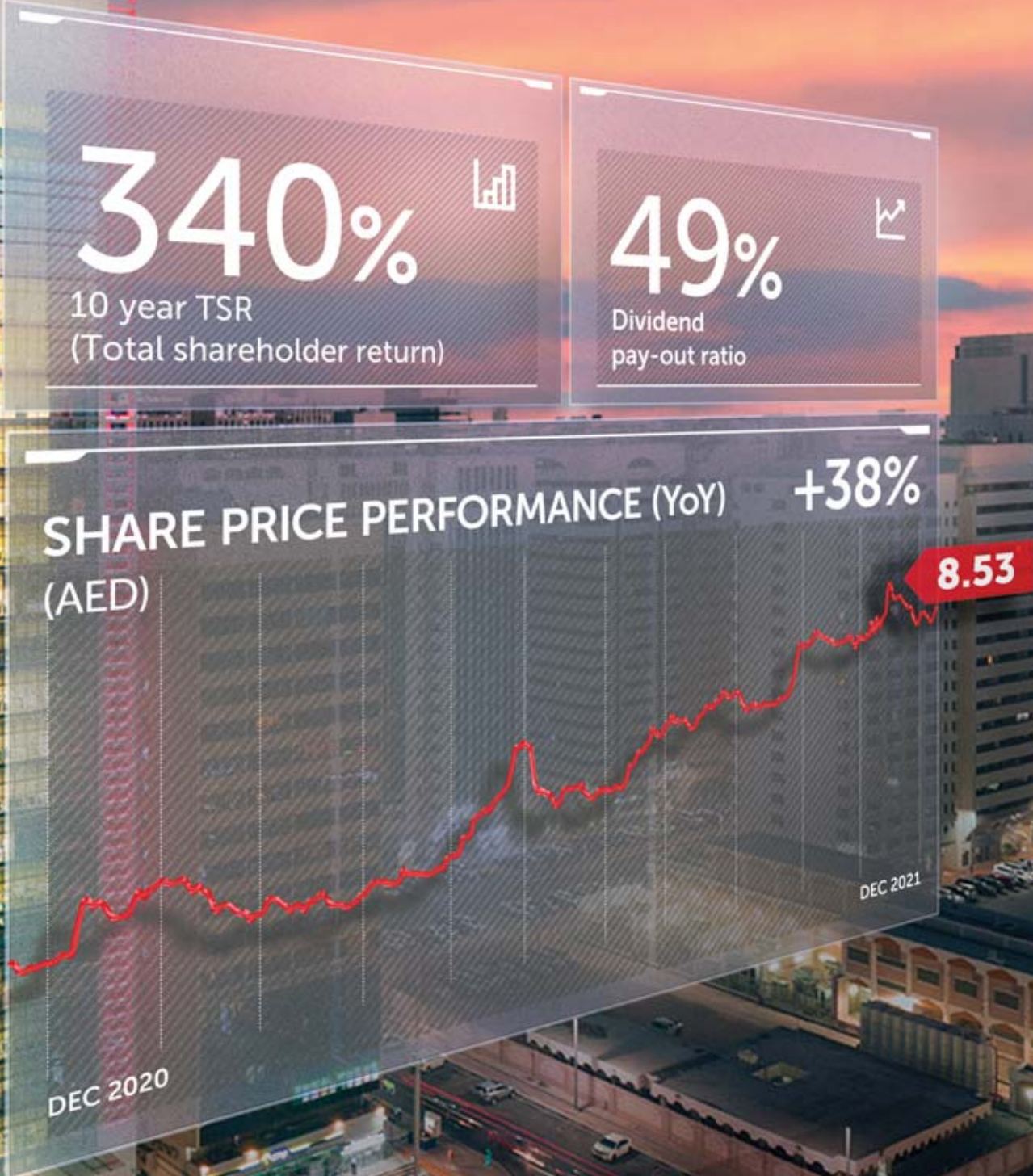
ADCB's growth and development as a major UAE financial institution is oriented by the country's path of socio-economic development, and we ensure that our interests are closely aligned with the communities and stakeholders we serve. We are embedding a robust ESG framework into our strategy to drive impact and create lasting value, while contributing to the UAE's Net-Zero by 2050 strategic initiative. We are designing products and services to promote financial inclusion, including underbanked segments of the population, SMEs and micro-businesses. This is reinforced by ethical banking practices across the organisation, in line with the highest standards of consumer protection.



Reimagined strategy. Delivered every day.

Driven by an ambitious five-year strategy, ADCB produced a strong operating and financial performance in 2021. We expanded and rebalanced our loan portfolio, increased fee income, exceeded our cost synergy target and accelerated digital transformation—generating greater efficiencies and an enhanced customer experience.

Our major subsidiaries, Al Hilal Bank and ADCB Egypt, also made substantial progress towards becoming important engines of growth for the Group. Our digital transformation programme is progressing well—driving customer acquisition and high levels of engagement—and remains at the core of our strategy to gain further market share.



**Our ambition is
empowered by imagination.**

Every day, our disciplined,
performance-driven culture brings
us closer to realising our ambition.

OVERVIEW

STRATEGIC REVIEW

Creating Value



Our Strengths

LEADERSHIP

ADCB benefits from an experienced Board of Directors supported by a highly skilled Executive Management team who actively promote a healthy organisational culture and ensure robust operational efficiencies.

GOVERNANCE

The Bank has a strong and effective governance framework, based on the highest standards of international best practice. It provides the foundation for long-term success and demonstrates the integrity and transparency our stakeholders expect.

TALENT

The Bank employs a diverse workforce of more than 6,500 people from over 80 nations, including 1,854 UAE nationals, united by shared values and an inclusive, high-performance culture.

BRAND

The third-largest bank in the UAE by assets, ADCB maintains a substantial brand value and attracts a growing base of more than 1 million customers. Our unrivalled reputation also serves to make the Bank an employer of choice.

RESILIENCE

We are a domestic systemically important bank with more than AED 440 bn in total assets, robust liquidity, and strong credit ratings.

EXPERTISE

We provide a full range of innovative banking products and services to our customers, supported by an in-depth knowledge of the markets we operate in and detailed economic insights which helps them grow and prosper.

INNOVATION

By continuously enhancing our digital and technological capabilities and using artificial intelligence and advanced data analytics, ADCB uses innovation to make banking more accessible and more secure while providing an exceptional customer experience.

ESG

Sustainability is a key focus of the Bank's strategic agenda. We are committed to maximising ADCB's contribution to the UAE's ambition for an inclusive, Net-Zero economy through a range of ESG initiatives.

DIVERSE OWNERSHIP

60.2% owned by Mubadala Investment Company (through its wholly owned subsidiary, One Hundred and Fourteenth Investment Company—Sole Proprietorship LLC), ADCB has a growing share of foreign institutional shareholders from over 75 countries.



How We Create Value

OUR VISION

To be the number one bank of choice in the UAE.

OUR MISSION

To build partnerships with customers that last a lifetime, by acknowledging every customer as an individual, offering innovative products and unparalleled service, and understanding customers have a choice.

OUR STRATEGIC GOAL

To deliver sustained, profitable growth to create long-term benefits to stakeholders.

OUR VALUES



BUSINESS SEGMENTS

Consumer Banking Group, Wholesale Banking Group, Treasury & Investments Group and Property Management.

OUR SUBSIDIARIES



Our value creation is underpinned by a strong foundation of robust corporate governance, strategic risk management and an enduring commitment to our nation and the communities we serve.



What We Deliver

EMPLOYEES

Fulfilling careers, competitive benefits and rewards with professional development.

CUSTOMERS

Protecting and growing the wealth of more than a million customers, from individuals, SMEs and large corporates through to GREs and the government.

COMMUNITY

Playing a role in the socio-economic development of the country. Guided by the vision of the UAE leadership, the Bank is fully committed to initiatives that create a diversified and sustainable economy.

INVESTORS

Delivering robust returns and long-term sustainable value to shareholders.

REGULATORS/GOVERNMENT

Engaging with relevant authorities to support a responsible regulatory framework.

PARTNERS

Working with numerous suppliers, providing them with new business opportunities and timely payments.

OVERVIEW

ADCB Group at a Glance

We are proud to play a leading role in supporting the growth and diversification of the UAE economy. By providing a diverse range of products and services, an unrivalled customer experience, and first-rate digital banking, ADCB goes beyond banking to deliver more to all our stakeholders.

ADCB by the Numbers

440 bn

TOTAL ASSETS (AED)

+7% YoY

265 bn

TOTAL CUSTOMER DEPOSITS (AED)

+5% YoY

59 bn

TOTAL SHAREHOLDERS' EQUITY (AED)

+5% YoY

Ratings

A/A-1/Stable

S&P Global ratings

A+/F1/Stable

Fitch ratings

AA

MSCI ESG ratings

Geographic Footprint

54

ADCB—BRANCHES
IN THE UAE

46

ADCB EGYPT—BRANCHES
IN EGYPT

13

AL HILAL BANK—BRANCHES
IN THE UAE

4

AL HILAL BANK—BRANCHES
IN KAZAKHSTAN

Ownership Structure

60.20%

MUBADALA INVESTMENT COMPANY¹

24.57%

FREE FLOAT DOMESTIC INVESTORS

15.23%

FREE FLOAT FOREIGN INVESTORS

¹ Through its wholly owned subsidiary One Hundred and Fourteenth Investment Company—Sole Proprietorship LLC

Contribution to Operating Income

42%

CONSUMER BANKING GROUP

31%

WHOLESALE BANKING GROUP

24%

TREASURY & INVESTMENTS GROUP

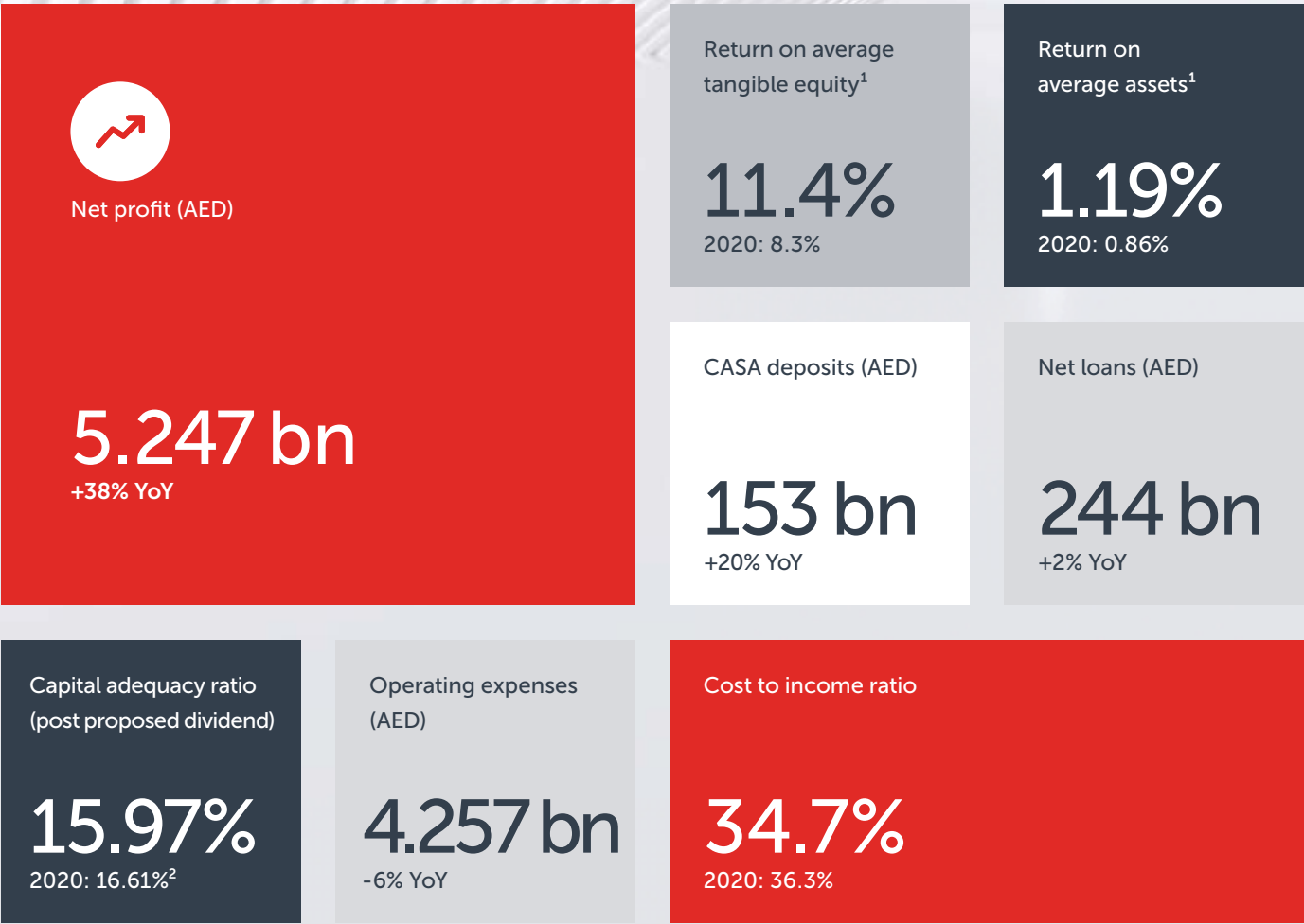
3%

PROPERTY MANAGEMENT

OVERVIEW

Highlights

Financial Highlights



Non-Financial Highlights



1 For ROATE/ROAA calculations, net profit attributable to equity shareholders is considered, i.e., net profit after deducting interest expense on Tier I capital notes

2 Post dividend payment

Awards

ADCB

ASIAN BANKER AWARDS 2021

- Best Customer Onboarding App (ADCB Hayyak)
- Most Helpful Bank During Covid-19 in the Middle East and United Arab Emirates
- Most Recommended Retail Bank in the Middle East and United Arab Emirates

ISLAMIC RETAIL BANKING AWARDS (IRBA)

- The 2021 Investor in People

ABF WHOLESALE BANKING AWARDS 2021

- UAE Domestic Trade Finance Bank of the Year

GULF CUSTOMER EXPERIENCE GOLD AWARDS 2021

- Customer Happiness
- Customer at the Heart of Everything
- CX Team of the Year

MIDDLE EAST AND AFRICA RETAIL BANKING INNOVATION AWARDS

- Outstanding Digital Acceleration in Response to Covid-19
- Digital Lending Product of the Year, via ADCB Mobile Banking App
- Best Frictionless Credit Evaluation
- Best API Initiative

MIDDLE EAST INVESTOR RELATIONS ASSOCIATION (MEIRA) AWARDS 2021

- Best Annual Report in the Middle East (Print Category)

ARC AWARDS 2021

- Bronze Award Best International Annual Report

EUROMONEY CASH MANAGEMENT SURVEY

- Best Service in the UAE

GLOBAL FINANCE

- Best Trade Finance Provider in the UAE

ADCB Egypt

THE DIGITAL BANKER

- Best Digital Transformation Program
- Best Graduate Employment Program for ADCB Egypt’s Academy
- Best Financial Inclusion Initiative for Integrating People with Disabilities
- Outstanding IT Transformation

GLOBAL BUSINESS OUTLOOK AWARDS

- Fastest Growing Digital Bank

STRATEGIC REVIEW

STRATEGIC REVIEW

Chairman's Message

ADCB's strategy intends to leverage the opportunities created by the UAE's 'Next 50' plan for national development.



KHALDOON KHALIFA AL MUBARAK
CHAIRMAN

A STRONG FOUNDATION, A STRONGER FUTURE

As a world-class financial institution acting in support of the community, businesses, and organisations across the United Arab Emirates, ADCB has proudly worked with our customers, shareholders, and partners through the ongoing challenges.

The foundational strength of the Bank and the dedication of our employees enabled us to play this important role with the community alongside our strong financial performance in 2021.

Throughout the year, we focused on measures that support customers impacted economically, by collaborating closely with the UAE Central Bank on implementing the Targeted Economic Support Scheme.

Despite the uncertainties of 2021, ADCB's unwavering commitment to best practice governance, a healthy organisational culture, and a strong balance sheet enabled us to accelerate the execution of our multi-year growth strategy, with a relentless focus on the opportunities enabled by our digital transformation.

As one of the nation's largest financial institutions, we confirmed our commitment to supporting the UAE Net-Zero 2050 strategic initiative and are evolving our policies and strategy to support this critical target.

STRATEGIC INTENT AND THE 'NEXT 50'

ADCB's strategy intends to leverage the opportunities created by the UAE's 'Next 50' plan for national development.

We will strengthen the nation's infrastructure and create value by financing growth and diversification of the UAE economy, adopting digital technology that benefits customers, and cultivating a culture of career development that continues to attract talented UAE nationals.

We are also reinforcing our drive to embed environmental, social, and governance (ESG) considerations across the entire Group. This year, ADCB received an upgrade in its MSCI ESG rating from 'A' to 'AA' driven, among other things, by its robust customer data protection, information security practices, and digital initiatives to support small businesses. The Bank is highly ranked amongst its peers for its commitment to employee career and skills development, particularly for UAE nationals.

With increased operational efficiencies, a strong leadership team in place, and a clearly defined five-year strategy for digital-led growth, ADCB is well-positioned to create long-term sustainable value for its stakeholders and communities.

ROBUST FINANCIAL PERFORMANCE

ADCB reported a significant increase in net profit to AED 5.247 billion in 2021, and the strength of this strong performance lies in the execution of our long-term strategy launched early last year.

We have a solid balance sheet that continues to deliver growth through accelerated digital transformation and greater operational efficiencies and synergies.

For the 2021 financial year, the Board has proposed a cash dividend of AED 0.37 per share, translating to a total pay-out of AED 2.574 billion and 49% of net profit. This dividend is subject to approval at the Bank's Annual General Meeting in March.

On behalf of the Board and all at ADCB, I extend our most sincere appreciation and gratitude to His Highness Sheikh Khalifa Bin Zayed Al Nahyan, the UAE President and Ruler of Abu Dhabi; to His Highness Sheikh Mohammed Bin Zayed Al Nahyan, Crown Prince of Abu Dhabi and Deputy Supreme Commander of the UAE Armed Forces; to His Highness Sheikh Mansour Bin Zayed Al Nahyan, Deputy Prime Minister and Minister of Presidential Affairs; and the UAE Central Bank for their guidance and ongoing support.



Recommended dividend per share (AED)

0.37

STRATEGIC REVIEW

CEO's Message

The theme of 'Reimagined future. Delivered every day.' resonates with us at ADCB because we see it running through many strategic projects in the UAE, including Expo in Dubai and Abu Dhabi's initiatives to create business and lifestyle destinations. Our collective purpose is to contribute to this transformation, improving lives for individuals and businesses by building better connections in our communities.



ALA'A ERAIQAT
GROUP CHIEF EXECUTIVE OFFICER

A REIMAGINED FUTURE

Empowered by an ambitious strategy and personal connection with our customers, ADCB produced a strong operating and financial performance in 2021. We expanded and rebalanced our loan portfolio, increased fee income and accelerated digital transformation—generating greater efficiencies and an enhanced customer experience.

Our major subsidiaries, Al Hilal Bank and ADCB Egypt, also made substantial progress towards becoming important engines of growth for the Group.

The Bank reported a full-year net profit of AED 5.247 billion, an increase of 38%, delivering a return on average tangible equity of 11.4%. This was a remarkable achievement against a backdrop of low-interest rates and subdued credit growth in the UAE banking industry.

As the UAE's economy made a steady recovery from the global pandemic, ADCB's strong franchise is evident in all aspects of our business. It is demonstrated in our ability to attract customers through our digital platforms, the significant increase in CASA deposits, and growth in our rejuvenated capital markets advisory business. Our franchise also has wider appeal, fuelling the strong financial performance of ADCB Egypt and its emergence as a key facilitator of trade and investment flows between the UAE and Egypt. Importantly, our reputation is a defining factor in making ADCB an employer of choice for talented UAE nationals.

As an organisation, we are inspired by the resilience and the ambition shown across the UAE through challenging times. This is a country that has implemented effective strategies to combat the health and economic impacts of Covid-19 while pressing ahead with a programme of economic and social reforms that make it one of the best places in the world to do business.

The Expo, held in Dubai, embodies this confident, forward-looking spirit. The event showcases our country's capacity to deliver complex projects and our open, tolerant and welcoming culture. It also provides us with an exciting vision of a sustainable, technology-enabled future that gives opportunity to our communities.

STRONGER CONNECTIONS AND NEW OPPORTUNITIES

The theme of 'reimagined future, delivered every day' resonates with us at ADCB because we see it running through many strategic projects in the UAE, including Expo in Dubai and Abu Dhabi's initiatives to create business and lifestyle destinations. Our collective purpose is to contribute to this transformation, improving lives for individuals and businesses by building better connections in our communities.

A key component of our five-year strategy is to accelerate the digital transformation that underpins our commitment to service excellence and efficiency, which brings us closer to our customers. The results have been impressive. We have launched over 90 new digital service enhancements, and more than 860,000 customers are now subscribed to our mobile app. Digital is also spurring growth, with our onboarding app 'Hayyak' registering over 165,000 new customers in 2021. Furthermore, we introduced WhatsApp banking, adding another channel for customers to connect with us in real time, while our social media platforms have become important channels for authentic engagement.

While these are real gains delivered today, in parallel, we are working hard across the ADCB Group to reimagine the banking landscape of tomorrow. We have already started introducing advanced data analytics and artificial intelligence to make our services even more personalised. The Bank is also creating digital ecosystems with a wide range of partners and businesses to drive new opportunities for our customers.



Net profit (AED)

5.247 bn

Al Hilal Bank, our Shari'ah-compliant retail-focused subsidiary, is breaking new ground in this area with the launch of an innovative banking application scheduled for early 2022. The platform goes far beyond banking by providing families with a wide range of services, including an online marketplace and gamified financial education tools for children. Meanwhile, ADCB's successful relationships, such as with Bayut's home buying platform and Zomato, provide a flavour of more ambitious projects currently underway.

ENDOWING OUR FUTURE

As a major financial institution in the UAE, we are focusing on sustainability in its broadest sense—ensuring that our organisation remains robust and future-proof, serving the interests of all our stakeholders, including our communities.

Maintaining a resilient and healthy organisation with strong external relationships is at the core of our approach. That is why we have always focused on demonstrating leadership in corporate governance and operational excellence, while placing a high value on engagement among employees and with our customers. In 2021, the Bank continued to improve its net promoter score (NPS) to 66, and an in-depth organisational health index (OHI) survey on culture placed ADCB in the top decile of global companies.

THROUGH SIGNIFICANT INVESTMENT AND COMMITMENT, ADCB HAS BUILT A STRONG REPUTATION FOR PROFESSIONAL ADVANCEMENT, BACKED BY A NURTURING CULTURE CONDUCTIVE TO DIVERSITY AND INCLUSION.

ADCB's response to the global pandemic epitomises our level of commitment. Not only were we the first bank in the UAE to roll out a comprehensive support package for those impacted economically, but we have also continued to work closely with customers to navigate their path to recovery. The Bank also delivered innovation to help microbusinesses, stepped up digital enhancements for easier access to banking services, and helped fund a programme to support remote learning for school children.

To ensure a consistent approach across the Group, we are now building a robust ESG strategy embedded in all aspects of our operations, from governance and risk management to our products and services. This will reinforce relationships with all customers, whether in Consumer or Wholesale Banking and support the UAE's Net-Zero by 2050 strategic initiative.



LEADER IN EMIRATISATION

While technology is driving new opportunities for the Bank and its customers, ADCB remains a people business at its heart. We recognise the importance of a highly motivated, accomplished, and engaged employee base and seek to empower our people to lead successful careers in a rapidly evolving sector.

Through significant investment and commitment, ADCB has built a strong reputation for professional advancement, backed by a nurturing culture conducive to diversity and inclusion.

Over 80 nationalities are represented in our employee base, and we continue to attract growing numbers of highly talented UAE nationals. In 2021, ADCB recruited 477 Emiratis, continuing our record as a preferred employer, particularly among high-calibre graduates. With 1,854 Emiratis now working at the Bank and benefitting from our dedicated training and career development programmes, we are proud to have attracted one in every five UAE nationals employed in the country's banking sector.

LOOKING AHEAD

We are embracing the future by preparing for it. That is why we will maintain the rapid pace of our digital transformation and innovation as we continue our ambitious growth journey. We have a clear roadmap for the future and the opportunity to drive long-term, sustainable growth for all our stakeholders.

I would like to take this opportunity to thank our Chairman, H.E. Khaldoon Al Mubarak, and the members of our Board and our executive management team for their leadership and continuous support. My gratitude also goes to all our customers for their trust and loyalty and to our employees for their professional excellence, unwavering commitment, and personal drive. Each and every person at ADCB Group has made an important contribution, energised by the central role that banking plays in our communities, supporting individuals and companies as they reach for their ambitions.

ALA'A ERAIQAT

GROUP CHIEF EXECUTIVE OFFICER

STRATEGIC REVIEW

Economic Overview

The UAE government's effective response to the global pandemic, including world-leading testing and vaccination programmes, created the foundations for a steady economic recovery in 2021. We see a strengthening in real GDP growth in 2022 driven by the oil sector, after the economy returned to positive growth in 2021 (driven by the non-oil sector), rebounding from a contraction of 6.2% the previous year.

Globally, the lingering impact of the pandemic and surges of the Delta and Omicron variants in 2021 continued to disrupt supply chains and labour market dynamics, contributing to rising inflation. Certain externally focused economic sectors in the UAE, particularly aviation and travel, remained impacted, albeit while showing strong signs of recovery. However, the regional trade and logistics sectors have benefitted from a shift in spending towards goods from services, while corporates have also sought to diversify or localise supply chains due to global bottlenecks.



Total investment in clean energy and renewables pledged by UAE government over next 30 years (AED)

600 bn



The hospitality sector, which was impacted significantly in 2020, benefitted from an easing of international travel restrictions from mid-2021, which led to an increase in visitor numbers. The recovery was supported by Expo and various sporting events, with arrivals led by visitors from India, Saudi Arabia, and the United Kingdom.

Residential real estate experienced a recovery in sale and rental prices, primarily driven by the villa segment, which benefitted from increased demand for more space following the pandemic and various reforms introduced to strengthen the investment environment. Strengthening sentiment among home buyers translated to increasing transactions for off-plan properties as the year progressed, with tightening supply in the villa segment.

As the economy recovered, the Central Bank of the UAE ended the loan deferral programme under its Targeted Economic Support Scheme (TESS) at the end of 2021. Introduced in early 2020 to support companies and individuals impacted economically by the global pandemic, TESS has proven a success. Commercial banks implemented the programme to extend critical support to customers during a challenging period and to provide a clear recovery route.

As a result, the UAE's banking sector has remained robust throughout the global pandemic and continues to benefit from comfortable liquidity and capital positions. Gross system-wide credit contracted in the first half of the year due in part to oversupply in crucial areas of the economy, but rebounded in the fourth quarter, driven by increased demand from government-related entities (GREs) and a pick-up in private sector demand. Retail credit demand was strong and accelerated in the second half of the year.

The sharp rise in global oil prices in 2021, combined with increased production from mid-2021, have strengthened the UAE's fiscal and external positions and resulted in a strengthening in economic fundamentals.

The country continues to prepare for a low carbon future by driving economic reform to promote the development of a diversified economy, increasingly driven by the private sector. In tandem, the UAE announced its Net-Zero by 2050 strategic initiative, with a pledge to invest AED 600 billion in clean energy and renewables over the next three decades to meet this objective. The country has invested significantly in solar and nuclear power and is now committing capital to develop a hydrogen industry as a critical component of its energy transition.

To further improve the environment for business and investment, the government has introduced wide-ranging adjustments to the corporate and civil legal frameworks. The reforms included allowing full foreign ownership of onshore companies in many sectors, relaxing visa and citizenship requirements, greater protection of personal data, stricter copyright rules, and new labour laws to ensure better protection and well-being.

We forecast a further rebound in economic activity and GDP growth in 2022, supported by strong oil production increases, and with non-oil sector activity remaining robust. While UAE benchmark interest rates will rise in line with expected rate hikes by the U.S. Federal Reserve, macro-economic fundamentals are likely to remain robust in 2022. GCC countries are likely to experience tailwinds from their ongoing recovery from the global pandemic, supported by robust global hydrocarbon prices.

The policy focus remains on supporting the recovery from the pandemic and strengthening the growth outlook. We see greater momentum in project awards, especially in Abu Dhabi, where ADNOC is pursuing a programme to raise gas output. Another key driver of growth will be the UAE's 'Projects of the 50' series of developmental and economic projects that aim to accelerate the country's development and transform it into a comprehensive hub in all sectors and an ideal destination for talents and investors. These projects address many focus areas, including economy, entrepreneurship, advanced skills, digital economy, space, and advanced technologies.

STRATEGIC REVIEW

Group Strategy

EFFECTIVE IMPLEMENTATION OF OUR FIVE-YEAR STRATEGY FOR DIGITAL-LED PROFITABLE GROWTH

In early 2021, the Bank launched its five-year aspirational strategy, with the objective of creating significant shareholder value through sustained and profitable growth. After a successful first year of implementation, in which the Bank delivered on all of its annual objectives, ADCB entered 2022 with strong momentum. To successfully navigate the evolving economic environment and the latest banking sector dynamics, the Bank will focus on five major objectives in the year ahead:

1 

Continue accelerating the core business by focusing on growth in market share, increasing ‘share of wallet’, and providing best-in-class customer experience, while delivering significant efficiency gains

2 

De-risking the portfolio to reduce potential volatility in profitability stemming from areas such as underperforming assets

3 

Building businesses with hyper-growth potential in areas such as payments, digital banking, wealth and asset management

4 

Differentiate through ESG, by maintaining an ESG lens in all value-creation activities

5 

Focusing on key business enablers such as our digital capabilities, key talent, best-in-class governance and risk management practices


INCREMENTAL
PROFITABILITY


INCREMENTAL
SHAREHOLDER
VALUE

THESE FIVE OBJECTIVES TRANSLATE INTO CLEAR STRATEGIC ASPIRATIONS ACROSS OUR CORE BUSINESSES AND SUBSIDIARIES

 Consumer Banking Group	 Wholesale Banking Group	 Treasury and Investments Group
The Consumer Banking Group (CBG) will continue focusing on growth in market share, particularly through personal loans, mortgages and credit cards.	The Wholesale Banking Group (WBG) aims to offer a wider range of fee-generating services, reaching new clients in a broader range of segments across the region.	› Treasury will continue to broaden the investment portfolio, encompassing a healthy accrual income and periodic capital gains; › Increase secondary market trading along with DCM origination; › Enlarge product offering by introducing repo and structured funding to improve cost of funds.
CBG and WBG growth ambitions are supported by advanced analytics and digitisation.		
ADCB will continue to attract CASA deposits from retail and corporate customers as an important pillar of our funding mix.		

 Subsidiaries

Our subsidiaries will increasingly become important drivers of growth. Following a strong performance in 2021, ADCB Egypt will continue to implement its five-year strategy in 2022 through the adoption of a new operating model to accelerate growth, focused on the affluent and corporate segments. To support its customers, the Bank is developing a new digital banking platform, which will increase share of digital transactions and enhance the customer experience.

Meanwhile, Al Hilal Bank, is taking major steps in its strategy to be a fully digital bank focused on retail customers. In early 2022, the Bank will launch a new Shari’ah-compliant ‘super app’ to provide high quality financial and lifestyle services in tandem with a new visual identity for the organisation. The platform will be designed to provide core banking services with a diverse digital marketplace, through a wide ecosystem of partnerships. The highly scalable offering is built on a cloud-based platform to ensure agility, enabling the Bank to respond to evolving customer needs and pursue regional expansion, post successful launch in the UAE.

ADCB will continue to evolve its operating model to further enhance efficiencies and ensure an agile organisation primed to deliver growth. We will pursue a disciplined approach to efficiencies, while investing in technology to drive digitalisation and productivity in customer-facing and internal processes. The Bank will also continue to streamline its branch network as digital transformation advances further.



ADCB Group

ADCB Group has placed digitalisation at the heart of its strategy. Our aim is to provide a market-leading banking experience and engagement to drive revenue growth through cross-selling and increased customer acquisition. We envision a complete digital customer journey driven by data and insight—from product sales and automated self-service, to a broad ecosystem of digital partnerships and innovative products.

ADCB Group has a clear and detailed road map for each business segment and subsidiary, which is being closely monitored by a dedicated steering committee to ensure smooth and successful strategy execution.

STRATEGIC REVIEW

CFO's Message

The strength of the ADCB franchise came to the fore in 2021 as the Bank successfully pursued expansion on multiple fronts, driven by solid financial performance, operational excellence and accelerated digital transformation in line with our five-year strategy. We are in a strong position to invest further to deliver sustainable growth in the coming years.



DEEPAK KHULLAR
GROUP CHIEF FINANCIAL OFFICER

CAPITALISING ON STRENGTH OF FRANCHISE

ADCB is pleased to report a 38% increase in net profit to AED 5.247 billion in 2021, driven by a number of positive developments, including increasingly diversified revenue streams, merger synergies, digital transformation, enhanced operational efficiency and improved cost of risk. This robust performance, with a return on average tangible equity of 11.4%, was achieved against a challenging backdrop due to the global pandemic, and reflects the strength of the ADCB franchise.

ADCB's Board of Directors has proposed a dividend of AED 0.37 per share, which is equivalent to 49% of full year net profit, in line with our guidance.

One of the significant accomplishments of the year was the 2.2% net loan growth achieved by the Bank—four times the pace of the UAE banking industry¹—or 6.2% growth, when including loans to banks. ADCB's market share of net loans in the UAE increased to 15% as at November-end, up from 14.7% at the end of 2020.

The Bank capitalised on an active lending pipeline to extend AED 40 billion of new loans during 2021 to targeted economic sectors in line with our five-year growth strategy. This included the extension of AED 13.4 billion in new credit to government and public sector entities, resulting in exposure to the sector increasing to 26% of gross loans, from 21% at the end of 2020. Meanwhile, the Bank received AED 36 billion in corporate repayments, which contributed to reduced concentration risk to real estate, with exposure to the sector decreasing to 24% from 29% at the end of 2020. This pace of credit growth bodes well for the future, particularly given the prospect of rising benchmark rates from the low levels seen over the last year.

ADCB continued to focus on optimising cost of funds, and successfully attracted strong flows of current and saving account (CASA) deposits. During the year, CASA deposits increased AED 25.5 billion to comprise 58% of total customer deposits, up from 51% a year earlier, while time deposits decreased 10% to AED 112 billion.

This reweighting of deposits contributed to a 47% reduction in interest expense in 2021, cushioning the impact of low rates on the Bank's net interest income, which declined 9% to AED 8.864 billion. While the full-year net interest margin (NIM) of 2.43% was 34 basis points lower than the previous year, risk-adjusted NIM improved 30 basis points to 1.69%, reflecting the rebalancing of our loan portfolio towards the public sector and reduced exposure to other sectors.

DIVERSIFIED REVENUE STREAMS

In this context, we are particularly pleased with the continued diversification of our revenue streams during the year. The Bank recorded broad-based growth of 26% in non-interest income to AED 3.396 billion, which accounted for 28% of total operating income in 2021, up from 22% the previous year.

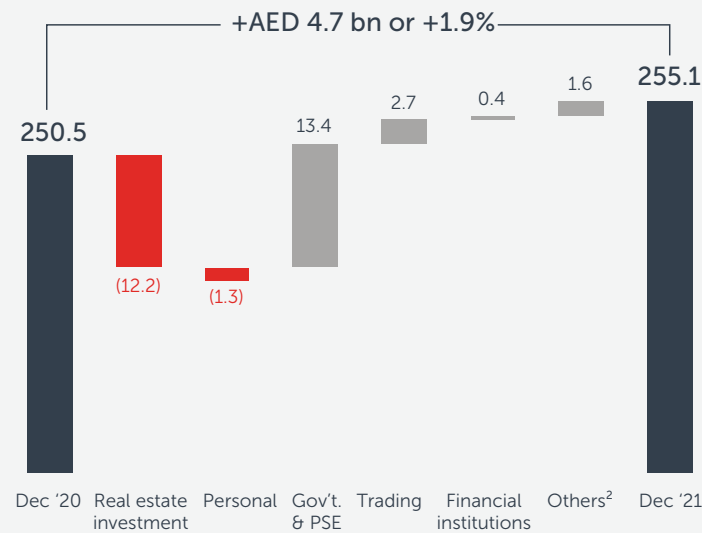
Net fees and commission income grew 22% to AED 1.899 billion, driven by a 50% increase in card-related fees on the back of improved consumer sentiment, and a 27% rise in loan processing fees, mainly for early settlement and arrangement. We also booked a gain of AED 166 million on the acquisition of a mortgage portfolio from Abu Dhabi Finance, which contributed to an increase of AED 1.077 billion in our mortgage book. Net trading income also increased 22% to AED 676 million on account of higher FX and derivative income.



Increase in net profit YoY

+38%

¹ UAE Central Bank data available to end of November 2021

EVOLUTION OF GROSS LOANS (AED bn)¹

1 Net of repayments and new credit extended

2 Others include: Energy, Transport & Communication, Manufacturing, Services and others

1.2 bn

REALISED SYNERGIES WELL ABOVE TARGET (AED)

58%

CASA DEPOSITS AS % OF TOTAL CUSTOMER DEPOSITS

124.1%

LIQUIDITY COVERAGE RATIO (LCR)

0.77%

COST OF RISK IN LINE WITH MEDIUM-TERM GUIDANCE

We continued to significantly improve operational efficiencies, driven by merger synergies, disciplined cost management and gains derived from digital transformation. The Bank drove a 160-basis-point improvement in the cost to income ratio to 34.7%, despite a 21% decline in gross interest income.

The successful, industry-leading cost synergy programme executed since our merger with Union National Bank and acquisition of Al Hilal Bank in 2019 has been a stand-out achievement for ADCB. In 2021, we captured AED 1.2 billion of cost synergies, exceeding the AED 1 billion target for the year and almost double the original target of AED 615 million set when the merger was announced.

Operating expenses decreased 6% to AED 4.257 billion in 2021, but picked up in the fourth quarter due to higher accruals for compensation costs, reflecting the Bank's strong performance and investment in the business. In line with the broader economy, the Bank is experiencing wage inflation and other cost increases, however, we expect rising benchmark rates and revenues to provide some mitigation.

SIGNIFICANT IMPROVEMENT IN COST OF RISK

Profitability in 2021 was also driven by a major improvement in cost of risk, which halved to 0.77%, largely due to a successful approach to transitioning customers out of the loan deferral programme, and to significant progress made on the restructuring of NMC Group. Impairment charges decreased by 34% and the NPL ratio improved to 5.41% in 2021, from 6.04% in the previous year. The Bank's provision coverage ratio stood at 93.4% at December-end, and 149% when including collateral held.

Since the early days of the global pandemic, ADCB has provided loan deferrals to impacted customers in line with the UAE Central Bank's TESS programme. We have continuously engaged with these customers, resulting in a large majority resuming repayments or agreeing long-term solutions. When the TESS loan deferral programme expired at the end of 2021, ADCB reverted to full application of IFRS credit risk classifications and staging rules, and stopped providing TESS loan deferrals.

In parallel, ADCB's proactive approach to NMC was a catalyst for significant positive developments during the year, which culminated in creditors voting overwhelmingly in favour of a debt restructuring plan. This followed ADCB's rapid legal action in April 2020 to appoint administrators to NMC and the Bank's consistent support to ensure operational continuity and an orderly restructuring process. As a result of the creditor vote in September, ADCB is set to receive approximately 38% of exit instruments in a new USD 2.25 billion facility—a debt claim sized to the expected future value of NMC. Given these material developments, we consider the provisions for NMC recorded to date to be at an appropriate level.

ON A PATH OF SUSTAINABLE GROWTH

As we continue to implement our five-year growth strategy, ADCB stands in a strong financial position. The Group's balance sheet remains robust, with total assets increasing 7% during 2021 to AED 440 billion. The Bank's capital adequacy ratio of 15.97% and CET1 ratio of 12.94% (after deducting proposed dividend for 2021) were comfortably above regulatory minimum requirements. The Bank maintained a healthy liquidity coverage ratio of 124.1% and a loan to deposit ratio of 92.2% at the end of the year.

As part of our approach to building a sustainable business that serves the interests of all stakeholders, ADCB is integrating a comprehensive ESG framework into its five-year business strategy. The Bank has appointed a Head of Sustainability, with responsibility and accountability for ESG embedded within Group Finance. In August 2021, the Bank received an upgrade in its MSCI ESG rating to 'AA' from 'A', partly driven by the Bank's digital initiatives to support small businesses as well as robust customer data protection and information security practices. We will continue to support the UAE's ambitions for sustainability, contributing to the UAE Net-Zero by 2050 Strategic Initiative announced in November 2021.

Looking ahead to 2022, the Bank maintains a positive outlook on the growth prospects in the region, underpinned by increased economic activity, investment and robust oil market fundamentals. ADCB's diversified business model, solid balance sheet, and respected franchise have established a foundation for the Bank to increase market share, while accelerated digital transformation provides the impetus for growth across our businesses to deliver sustainable returns to our shareholders.

DEEPAK KHULLAR

GROUP CHIEF FINANCIAL OFFICER

STRATEGIC REVIEW

Financial Review

KEY HIGHLIGHTS FY 2021

5.247 bn
NET PROFIT (AED)

11.4%
RETURN ON AVERAGE
TANGIBLE EQUITY

34.7%
COST TO INCOME RATIO

25.5 bn
INCREASE IN CASA DEPOSITS
OVER 2020 (AED)

12.94%
CET 1



Robust full-year performance despite low interest rate environment driven by strong non-interest income, improved cost to income ratio and above-target synergies

KEY HIGHLIGHTS – FY’21 VS. FY’20

- › Net profit of AED 5.247 bn increased 38%
- › Net interest income of AED 8.864 bn was 9% lower
- › Non-interest income of AED 3.396 bn increased 26%
- › Operating expenses of AED 4.257 bn decreased 6%
- › Cost to income ratio of 34.7% improved 160 basis points
- › Realised cost synergies of AED 1.191 bn, exceeded the AED 1 bn target
- › Impairment charges of AED 2.646 bn, were 34% lower



Increase in Q4’21 net profit and operating profit, with net interest income and non-interest income rising sequentially

KEY HIGHLIGHTS – Q4’21

- › Net profit of AED 1.448 bn, up 44% YoY and 13% QoQ
- › Net interest income of AED 2.250 bn, down 5% YoY and up 3% QoQ
- › Non-interest income of AED 1.027 bn, up 47% YoY and 41% QoQ
- › Operating expenses of AED 1.128 bn increased 5% YoY and 11% QoQ
- › Cost to income ratio of 34.4% improved 60 basis points YoY
- › Impairment charges of AED 669 mn, down 29% YoY and up 12% QoQ



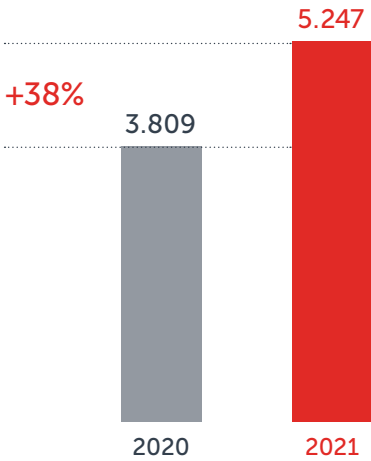
Credit growth outperformed banking sector despite large corporate repayments, significant rise in CASA deposits

(All numbers are as at 31 December 2021 unless otherwise stated)

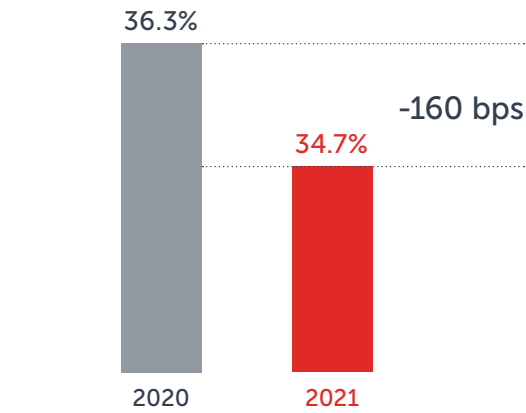
- › CASA (Current and Savings Account) deposits of AED 153 bn, up AED 25.5 bn during 2021 and AED 6.6 bn sequentially, comprised 58% of total customer deposits (vs. 51% in Dec’20)
- › Total customer deposits of AED 265.1 bn were up 3.6% QoQ and 5.4% higher than in Dec’20
- › Net loans of AED 244.3 bn were 1.0% higher QoQ and up 2.2% from Dec’20, outperforming the UAE banking sector’s average growth of 0.5% up to the end of November 2021. Including loans to banks, net loan growth was 6.2% in 2021
- › Capital adequacy (Basel III) and CET 1 ratios were 15.97% and 12.94% respectively
- › Liquidity coverage ratio (LCR) of 124.1%
- › Cost of risk was 0.77% in FY’21. NPL ratio was at 5.41% (6.87% including POCI), while provision coverage ratio was 93.4% (149% including collateral held)

The Board of Directors has recommended a cash dividend of AED 0.37 per share¹, translating to a pay-out of AED 2.574 billion, equivalent to 49% of net profit.

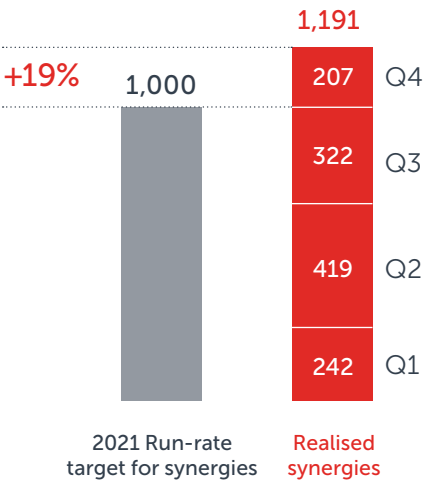
1 Subject to approval by shareholders at the Annual General Meeting



NET PROFIT (AED bn)



COST TO INCOME RATIO (%)



REALISED SYNERGIES (AED mn)

Figures may not add up due to rounding differences

Q4/FY 2021
Financial Highlights

INCOME STATEMENT HIGHLIGHTS (AED MN)	FY'21	FY'20	Δ YoY%	Q4'21	Q3'21	Q4'20	Δ QoQ%	Δ YoY%
Total net interest and Islamic financing income	8,864	9,783	(9)	2,250	2,179	2,362	3	(5)
Non-interest income	3,396	2,688	26	1,027	726	701	41	47
Operating income	12,259	12,471	(2)	3,277	2,905	3,063	13	7
Operating expenses ¹	(4,257)	(4,526)	(6)	(1,128)	(1,013)	(1,073)	11	5
Integration expenses	–	(153)	–	–	–	74	–	–
Operating profit before impairment allowances	8,002	7,945	1	2,149	1,892	1,990	14	8
Net impairment charge	(2,646)	(3,993)	(34)	(669)	(596)	(938)	12	(29)
Net profit for the period ²	5,247	3,809	38	1,448	1,276	1,007	13	44

BALANCE SHEET HIGHLIGHTS (AED MN)	DEC'21	DEC'20	Δ YoY%	DEC'21	SEP'21	DEC'20	Δ QoQ%	Δ YoY%
Total assets	440,278	411,156	7	440,278	432,061	411,156	2	7
Net loans and advances	244,282	238,976	2	244,282	241,912	238,976	1	2
Deposits from customers	265,052	251,395	5	265,052	255,753	251,395	4	5

KEY METRICS (%)	FY'21	FY'20	YoY Δ BPS	Q4'21	Q3'21	Q4'20	QoQ Δ BPS	YoY Δ BPS
CAR (Capital adequacy ratio – Basel III)	15.97	16.61	(64)	15.97	16.25	16.61	(28)	(64)
CET1 (Common equity tier 1) ratio	12.94	13.30	(36)	12.94	13.23	13.30	(29)	(36)
Liquidity coverage ratio (LCR)	124.1	156.8	(3,270)	124.1	131.7	156.8	(760)	(3,270)
Loan to deposit ratio	92.2	95.1	(290)	92.2	94.6	95.1	(240)	(290)
CASA/total customer deposits	58	51	700	58	57	51	100	700
Non-performing loan (NPL) ratio	5.41	6.04	(63)	5.41	5.64	6.04	(23)	(63)
Provision coverage ratio ³	93.4	94.3	(90)	93.4	88.4	94.3	500	(90)
NPL ratio including POCI ⁴	6.87	7.70	(83)	6.87	7.00	7.70	(13)	(83)
Cost of risk	0.77	1.45	(68)	0.70	0.74	1.53	(4)	(83)
Cost to income ratio	34.7	36.3	(160)	34.4	34.9	35.0	(50)	(60)
Net interest margin (NIM)	2.43	2.77	(34)	2.37	2.34	2.66	3	(29)
Risk-adjusted NIM	1.69	1.39	30	1.70	1.63	1.19	7	51
Return on average tangible equity (ROATE)	11.4	8.3	310	12.6	10.7	9.4	190	320

Figures may not add up due to rounding differences

1 Operating expenses include non-recurring expenses pertaining to integration-related costs
2 After share in profit of associates, overseas income tax charge, and profit/loss from discontinued operations
3 Provisions on loans and advances, including fair value adjustments
4 POCI: Purchase or originated credit-impaired financial assets

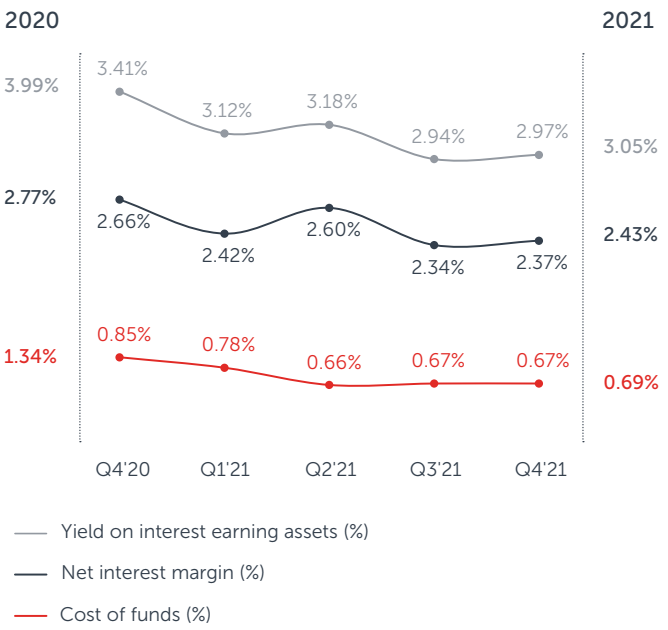
Key Highlights



FY'21 net profit up 38% driven by higher non-interest income, lower cost of risk and efficiencies, with synergies well above target

- › Net interest income in Q4'21 increased 3% sequentially to AED 2.250 billion due to higher interest in suspense reversals, and was at AED 8.864 billion in FY'21, a decrease of 9% YoY mainly due to lower benchmark interest rates. Net interest margin (NIM) increased 3 bps sequentially to 2.37% in Q4'21 and was 34 bps lower YoY at 2.43% for FY'21. However, risk-adjusted NIM improved by 30 bps YoY to 1.69% in FY'21, reflecting the change in profile of the loan portfolio. Cost of funds in FY'21 improved by 65 bps to 0.69% as the Bank continued to rebalance its liabilities towards CASA deposits while reducing time deposits.
- › The Bank benefitted from growth of diversified revenue streams, with FY'21 non-interest income increasing 26% to AED 3.396 billion, representing 28% of operating income versus 22% the previous year. Net fees and commission income of AED 1.899 billion in FY'21 was up 22%, mainly attributable to a 50% increase in card-related fees and a 27% rise in loan processing fees. Q4'21 non-interest income increased 41% sequentially and 47% YoY to AED 1.027 billion.
- › ADCB recorded a gain of AED 166 million during FY'21 on the acquisition of the mortgage portfolio from Abu Dhabi Finance (ADF). This contributed to a 29% YoY increase in other operating income to AED 809 million in FY'21.
- › The Bank's focus on operational efficiency resulted in a 6% reduction in operating expenses to AED 4.257 billion in FY'21. Cost to income ratio improved 160 bps to 34.7% in FY'21, despite the 21% decrease in gross interest income mainly due to lower interest rates. Operating expenses in Q4'21 were AED 1.128 billion, up 11% sequentially and 5% YoY, mainly on account of higher accruals for compensation costs, reflecting strong performance and continued investment in growth of the business.

- › The Bank has surpassed its final cost synergy target of AED 1 billion by a significant margin, realising a total of AED 1.2 billion of synergies in FY'21, including AED 207 million in Q4'21.
- › The Group reported net profit of AED 5.247 billion in FY'21, up 38% YoY, and AED 1.448 billion in Q4'21, an increase of 13% QoQ and 44% YoY. Return on average tangible equity was 11.4% for FY'21 and 12.6% for Q4'21.



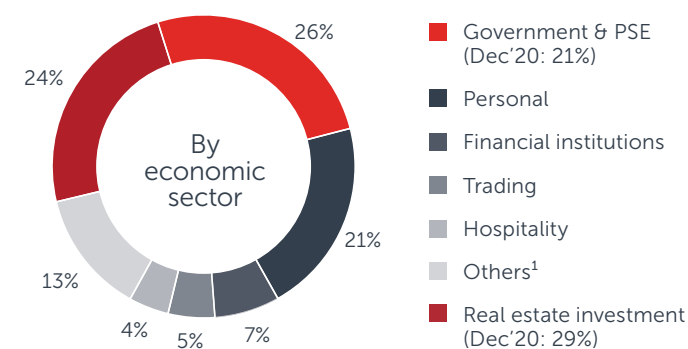
EVOLUTION OF YIELDS



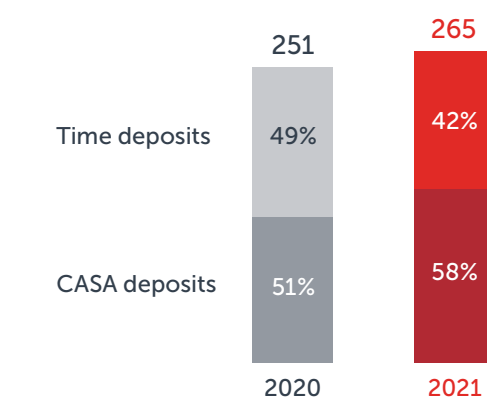
The Bank extended AED 40 billion in new credit in 2021 and rebalanced its portfolio, while the strong ADCB franchise continued to attract CASA deposits

- › The Group's balance sheet remains strong, with total assets of AED 440 billion as at December-end, up 7% from a year earlier.
- › Despite the subdued macro-economic conditions, ADCB capitalised on an active lending pipeline and extended AED 40 billion to targeted economic sectors during 2021, in line with our five-year growth strategy. Corporate repayments of AED 36 billion contributed to a reduction in concentration risk in sectors such as real estate. The consequent healthy net loan growth of 2.2% in 2021 and 1% sequentially to AED 244 billion as at December-end outperformed the UAE banking sector's average growth of 0.5% up to the end of November 2021. Including loans to banks, net loan growth was 6.2% in 2021. The average customer loan balance for the year was AED 236 billion.
- › The rebalancing of the portfolio has resulted in loans to the government and public sector increasing to 26% of gross loans at December-end from 21% a year earlier, while exposure to the real estate sector decreased to 24% from 29% a year earlier.
- › Total customer deposits stood at AED 265 billion as at December-end, up 5% year on year and 4% sequentially, compared to system-wide deposit growth of 4.4% to November-end. The Bank continued to optimise cost of funds, attracting AED 25.5 billion of CASA deposits during the year and AED 6.6 billion in Q4'21. CASA deposits totaled AED 153 billion as at December-end, accounting for 58% of total customer deposits, compared to 51% in December 2020. The average deposit balance was AED 249 billion in 2021.
- › Total shareholders' equity stood at AED 59 billion as at 31 December 2021, up 5% from a year earlier, after accounting for retained earnings and the proposed dividend payout for 2021.
- › The Bank remains well capitalised, with capital adequacy (Basel III) and CET1 ratios of 15.97% and 12.94% respectively as at 31 December 2021, versus 16.61% and 13.30% at the end of 2020. The decrease reflects the proposed 2021 dividends deducted from the capital at year-end, combined with a change in UAE Central Bank regulations that led to an increase in risk-weighted assets.

- › ADCB continues to maintain a comfortable liquidity position, with a liquidity coverage ratio (LCR) of 124.1% as at 31 December 2021, while the liquidity ratio stood at 31.2% and the loan to deposit ratio was 92.2%. The Bank was a net lender of AED 16 billion in the interbank markets as at December-end.



GROSS LOANS (AED 255 bn)



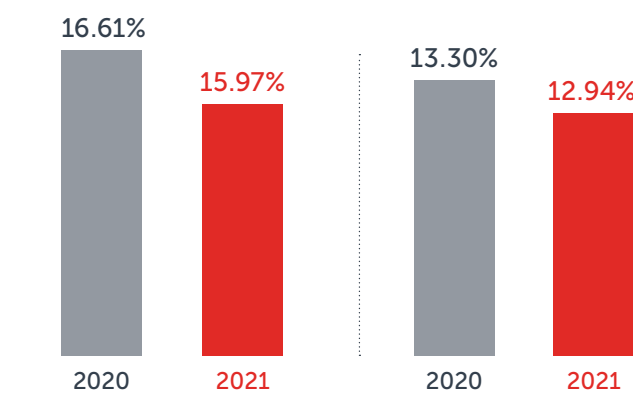
CUSTOMER DEPOSITS (AED bn)

¹ Others include: Energy, Transport & Communication, Manufacturing, Services and others



Significant improvement in cost of risk in line with guidance; successful delivery of TESS programme and NMC restructuring

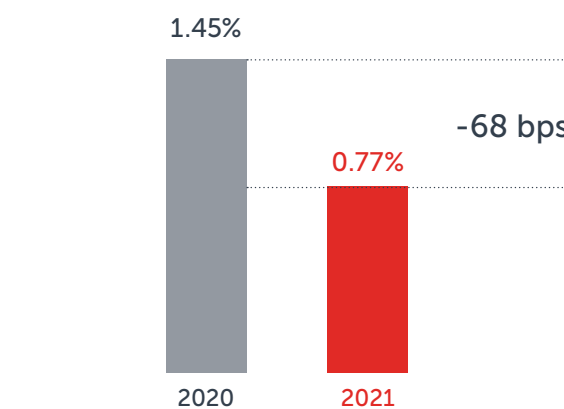
- › Cost of risk halved to 0.77% for FY'21 from 1.45% in the previous year, and was 0.70% in Q4'21, in line with medium-term guidance of 0.80%.
- › Net impairment charges in FY'21 were 34% lower at AED 2.646 billion, primarily on account of provisioning related to NMC and associated companies recorded in the previous year. In Q4'21 impairment charges were AED 669 million, 29% lower YoY, and were up 12% QoQ mainly on account of a few corporate accounts.
- › The NPL ratio decreased to 5.41% at the end of December from 6.04% a year earlier, while the provision coverage ratio was 93.4%, versus 94.3% as at 31 December 2020. The coverage ratio including collateral held was 149% compared to 151% a year earlier. Including net POCI (purchase or originated credit impaired) assets, the NPL ratio was 6.87%.
- › During 2021, ADCB continued to provide support, including loan deferrals, to individuals, SMEs and corporates impacted by the global pandemic. Active engagement resulted in a large majority of customers resuming repayments or agreeing long-term solutions.
- › Following expiry of the UAE Central Bank's TESS loan deferral programme at the end of 2021, ADCB has resumed full application of normal classifications for SICR (significant increase in credit risk) and staging rules, and no longer provides TESS deferrals. Meanwhile, a TESS 'recovery programme', under the auspices of the UAE Central Bank, continues to allow banks to extend new loans to customers who have temporarily lost revenue due to Covid-19, but are otherwise in good economic health. Employing its usual internal credit policies and underwriting processes, ADCB has provided a total of AED 873 million of loans under the programme, of which AED 219 million has been repaid.



CAPITAL ADEQUACY RATIO

CET 1 RATIO

■ post dividend payment ■ post proposed dividend



COST OF RISK



ADCB expected to receive c. 38% of exit instruments in a new USD 2.25 billion facility as NMC Group is scheduled to exit administration in Q1'22

- › On 1 September 2021, NMC Group creditors voted overwhelmingly in favour of a debt restructuring plan and the exit of the Group from administration via deeds of company arrangement (DOCA), which is scheduled for Q1'22.
- › Creditors, including ADCB, will receive 'exit instruments' in a USD 2.25 billion 'Holdco facility', a debt claim sized to the expected future value of NMC Group. All net proceeds from a future sale of the business will return to holders of exit instruments, including any value in excess of USD 2.25 billion. There are also further possibilities to benefit from potential recoveries from the company's ongoing litigation. Participants in exit instruments will receive a cash margin of 0.5% per annum, as well as payment in kind of 2% per annum (paid along with principal), which will accrue from the date of the signing of the facility document.
- › ADCB is expected to receive approximately 38% of the transferable exit instruments. The Bank participated in a USD 325 million 'Administration Funding Facility' (AFF), which granted elevation and conversion rights in the new Holdco Facility. The AFF is expected to be repaid using proceeds from the sale of non-core assets of NMC Group.
- › Given this material progress in restructuring, the Bank considers the provisions and interest in suspense for NMC Group recorded to date to be at an appropriate level at AED 1.142 billion as at 31 December 2021.
- › ADCB will appoint three of the seven non-executive directors that participants in the exit instruments will select to the new Holdco's Board of Directors. The restructuring enables NMC Group to create maximum value for its creditors while ensuring operational continuity for patients, healthcare workers and other stakeholders.



Digital transformation delivering strong results, with onboarding app leading the market and mobile banking subscribers up 27% in 2021

- › Digital transformation is at the core of ADCB Group's five-year strategy, powering enhancements to Consumer and Wholesale Banking platforms, greater customer engagement and operational efficiencies. In 2021, registrations for the ADCB Mobile Banking App climbed 27% to surpass 860,000 customers, while the total number of subscribers to digital platforms has reached 989,000. As of January 2022, digital registrations have exceeded a key milestone of 1 million customers subscribed.
- › In 2021, 95% of retail transactions were conducted electronically and digital fund transfers increased 73% YoY. Transactions on Wholesale Banking's ProCash and ProTrade platforms accounted for 96% of all cash management transactions and 74% of trade finance transactions respectively.
- › The Bank's onboarding app 'Hayyak', registered over 165,000 new customers in 2021, representing 76% of the total.
- › ADCB launched a further seven digital customer releases in Q4'21, taking the total to 93 since the inception of the digital transformation programme. Key initiatives included introduction of WhatsApp banking, which offers convenient and secure customer service, as well as a series of self-service capabilities on Wholesale Banking platforms, additional security features on ProCash mobile and automated statement analysis for SMEs.



Digital progress drives growth at Al Hilal Bank and ADCB Egypt

- › ADCB Egypt delivered a strong performance in 2021, expanding its customer base and significantly increasing loans and deposits. The Bank's growth was underpinned by the introduction of a digital transformation programme, which has enhanced internal systems and processes, upskilled employees, and digitalised over 100 services. This has resulted in a significant increase in the number of active subscribers to digital platforms, with 51% of transfers and payments conducted digitally. The Bank has broadened its range of products and services, including the introduction of an 'Excellency' segment and premium credit cards aimed at affluent customers.

FY'21 net profit¹ of EGP 413 million, up 32% YoY, representing an ROE of 9.07%

Net loans increased 28% in 2021 to EGP 21 billion as at 31 December 2021

Total deposits increased 42% in 2021 to EGP 41 billion as at 31 December 2021

- › Al Hilal Bank is making strong progress in its strategy to be a fully digital Shari'ah-compliant bank focused on providing retail customers with a differentiated offering that goes well beyond traditional banking services. The Bank is set to launch a new cloud-based digital platform that will offer financial solutions and a wide range of other services through an ecosystem of partnerships. The value proposition has received positive feedback during testing by a community of potential customers. The new platform builds on a track record of increasing digital engagement, with active users of Al Hilal Bank's digital platforms increasing by 43% during 2021, and registered subscribers increasing 47%.



Growing base of Emirati talent, nurtured through market-leading training and professional advancement opportunities

- › ADCB's learning programme, opportunities for professional advancement, and a highly engaged workplace have established ADCB as a top choice for UAE nationals pursuing a rewarding career. Attracting and developing UAE national talent is a key strategic objective and provides the Bank with a strong competitive advantage as the country presses ahead with initiatives to create skilled jobs.
- › ADCB continues to honour its commitment to Emiratisation. In 2021, the Bank recruited 477 UAE nationals. The total number of Emirati staff at the ADCB Group reached a total of 1,854, representing 18% of Emiratis employed in the UAE banking sector.
- › UAE nationals represent 38% of employees at ADCB and 51% at Al Hilal Bank, which is amongst the highest Emiratisation rates in the UAE banking sector. Emiratis hold 30% of senior leadership positions at ADCB Group. Female Emiratis account for 50% of UAE nationals in senior and middle management positions.
- › Over 40% of the Group's Emirati employees started their career at the Bank, benefitting from a comprehensive career development programme. More than 105,000 hours of training were delivered in 2021 to Emirati employees, and 150,000 hours are planned for 2022.

BUSINESS REVIEW

BUSINESS REVIEW

Consumer Banking Group

WHAT WE DO

The Consumer Banking Group (CBG) supports our retail, high-net-worth and micro-business customers with a range of specialist products and services in conventional and Shari'ah-compliant banking. The business is focused on driving digital innovation to deliver excellence in customer service.



Total Consumer Banking Assets (AED)

110 bn

FRANCHISE GROWTH

ADCB's Consumer Banking franchise delivered a strong performance in 2021, with an acceleration in digital transformation driving growth in the customer base, operational efficiency and increased customer engagement through digital channels.

During the year, our customer base in both the mass market and affluent segments expanded significantly, while total consumer banking assets increased marginally to stand at AED 110 billion at the end of 2021, and loans stood at AED 100 billion.

Growth in customer numbers reflects our progress in digital transformation. More than 165,000 new customers were onboarded through our award-winning 'Hayyak' app in 2021. 'Hayyak' enables customers to open an account in just eight minutes, providing immediate access to products and services and producing significant efficiencies for the Bank.

THE OVERALL COST OF ONBOARDING NEW CUSTOMERS THROUGH THE APP IS APPROXIMATELY 60% LOWER THAN THROUGH PHYSICAL CHANNELS.

The app was awarded 'Best Customer Onboarding Initiative in the Middle East' at the 2021 Asian Banker Middle East and Africa Regional Awards.

Our strong franchise also contributed to sustained success in attracting retail current and savings account (CASA) deposits, which have supported the Bank's achievements in optimising the cost of funds. Retail CASA deposits accounted for 89% of total retail customer deposits as at the end of December 2021, increasing from 82% a year earlier.



BUSINESS MOMENTUM

The Consumer Banking Group experienced growth across many of its major businesses—including mortgage and auto loans, cards, and merchant services—as consumer sentiment improved steadily, supported by the UAE’s effective response to the global pandemic.

With the residential real estate market showing robust fundamentals due to supportive government policies and a broad economic recovery, ADCB has pursued organic and inorganic growth in the home finance business.

In the first half of 2021, the Bank acquired the mortgage portfolio of Abu Dhabi Finance and implemented a seamless transition for customers to the ADCB platform. The acquired assets were conventional and comprised approximately 76% residential mortgages and 24% commercial mortgages, which resulted in an increase of AED 1.077 billion in the mortgage loan book. Just under half of the portfolio was collateralised by real estate in Abu Dhabi, with the remainder distributed across Dubai and other UAE emirates.

The ADCB Dream Home Platform, launched in November 2020 as the first digital home-buying service in the UAE, gained strong momentum during the year. This partnership with Bayut, the region’s leading property sales portal, is a prime example of the type of partnerships and ecosystems that ADCB is building to drive business growth through market-leading digital platforms. Prospective buyers benefit from access to ADCB’s instant mortgage pre-approvals and other user-friendly tools that provide a direct and seamless home-buying experience. The platform won the ‘Best API Initiative’ and ‘Best Frictionless Credit Evaluation’ award at The Digital Banker—Middle East and Africa Retail Banking Innovation Awards.



Mortgage portfolio acquired from Abu Dhabi Finance

AED 1.077 bn

Our cards business continued to gather momentum, with the debit and credit card portfolio cumulatively exceeding the milestone of USD 1 billion in cardholder spending during 2021, joining a select group of banks worldwide to achieve this scale.

The Bank’s card portfolio has significantly outperformed market growth over the last three years, achieving a 14% increase in customer spending versus 9% for the overall market.¹ In 2021, ADCB achieved a 40% year-on-year increase in new cards issued. In tandem, transaction volumes across our digital wallet, including Apple Pay, Samsung Pay, and Google Pay, more than doubled to over 27 million transactions.

The Bank significantly enhanced its long-standing TouchPoints customer loyalty programme by expanding partnerships to provide more choices for redemption. For example, we converted TouchPoints to act as a medium of exchange on Zomato, which made over half a million deliveries in 2021 to customers paying with their ADCB reward points. More than one billion points were redeemed each quarter on the food delivery platform. The Bank is expanding this partnership model to other digital platforms. In 2021, we almost doubled the number of points we merchandised, while reducing our costs and growing income.

The success of the ADCB Mobile Banking App is supporting growth in international money transfers, with remittance transaction volumes on mobile banking growing by 30% in 2021. We now account for 26%² of bank remittances from the UAE—making ADCB one of the market leaders—at a time when banks have been gaining market share from exchange houses.



Debit and credit card spending in 2021 exceeded USD 1 bn in 2021

Meanwhile, the Private Banking business recorded a 30% increase in its high-net-worth client base. Our experienced team provides exceptional levels of personal support and global market insight, supplemented by increasing digital capabilities to support a portfolio-based approach to investment decision-making.

Simplylife, aimed at the mass market segment, delivered a strong performance and now supports almost 200,000 customers with a range of tailor-made products and services. In 2021, we transformed the business, moving from a conventional product service to a digitally-driven mobile-first offering. With a new robust platform, Simplylife will collaborate with fintech companies and other ecosystem partners to provide greater value to customers.

Our merchant acquiring business also achieved significant growth, with the number of retailer clients rising 45% to 8,160 at the end of 2021, with point of sale (POS) and e-commerce spending expanding at a similar rate. Meanwhile, our auto loans business grew 18% during the year.

The asset quality of our Consumer Banking loan portfolio remains strong as the Bank maintained a disciplined approach to risk management. In particular, ADCB has taken a responsible and practical approach to customers who experienced temporary liquidity issues as a result of the pandemic.

Having been the first bank to introduce a comprehensive package of support in early 2020, including loan deferrals and fee reductions, we maintained a high level of engagement with impacted customers throughout 2021 to support recovery and the resumption of repayments.

¹ Association data provided by MasterCard & Visa

² Central Bank of UAE data on remittance volumes from banks

ACCELERATED DIGITAL TRANSFORMATION

Having placed accelerated digital transformation at the core of its five-year strategy, the Bank rolled out a series of enhancements to its digital channels, while investing in longer-term projects that reimagine the future customer experience.

Among new developments, the Bank began to offer credit card loans through its Mobile Banking app, introduced a new portal to facilitate digital Know Your Customer (KYC) processes, and brought FlexiPay to Internet and Mobile Banking to allow conversion of outstanding credit card balances into instalments. In November, we launched the ADCB WhatsApp banking channel to offer customers information on our products and services, registering more than 75,000 customers by the end of the year. The service provides an innovative AI-powered chatbot to help resolve queries in real time.

One of the most popular new digital offerings was an IPO Online Portal, providing customers with a straightforward process to subscribe to public share offerings at a time when capital markets activity in the region is on the rise. The portal transformed ADCB into one of the most significant receiving banks for UAE listings in 2021, helping to diversify revenue streams further. The service accounted for three quarters of applications received by the Bank for the share offering by Al Yah Satellite Communications Company (Yahsat). This resulted in ADCB playing a key role in the first IPO on the Abu Dhabi Securities Exchange since 2017.

In 2021, the Bank pressed ahead with many strategic digital initiatives for launch in the coming year. We are broadening our partnerships, driven by the belief that ADCB's strong brand equity adds significantly to the trust factor on open platforms connecting the digital economy.



Self-service customer transactions

95%



CUSTOMER ENGAGEMENT IN A DIGITAL WORLD

Our enhanced digital offering is producing high levels of customer engagement, with registrations for the ADCB Mobile Banking App climbing 27% to surpass the milestone of 850,000 customers in 2021. Including Internet Banking, total subscribers to the Bank's digital platforms have now crossed 980,000, with 95% of transactions conducted electronically.

As has been the case across the banking industry, the global pandemic has precipitated the shift in customer preference away from branch-based service. We have therefore continued to optimise the branch network—a process that began as soon as the merger with Union National Bank and acquisition of Al Hilal Bank were legally completed in 2019—while recognising that a certain level of demand for in-person service remains. The Bank permanently closed many branches that had suspended operations during nationwide lockdowns in 2020. We operate 54 branches in prime locations across the UAE. This footprint is now at pre-merger levels, compared to a post-merger peak of 127 branches.

In 2021, ADCB was recognised as the 'Most Recommended Retail Bank' and the 'Most Helpful Bank' during Covid-19 in the Middle East in the Asian Banker Bank Quality Consumer Survey. The awards reflect the comprehensive and highly effective approach the Bank adopted to support customers through financial difficulties. A solid NPS score of 63 and the market-leading ratings for our apps also demonstrate our commitment to customers and our culture of service excellence.

To further enhance customer engagement and personalisation, we are investing in advanced data analytics to foster better and closer connections. Among other benefits, this will provide us with powerful, real-time insight into customer behaviour and their evolving needs.



Customers onboarded digitally

76%

By continuously investing in service excellence, the Consumer Banking Group has established a sustainable franchise that achieves broad-based growth while building a next-generation digital offering that will go beyond banking.

ISLAMIC BANKING

Our leading Islamic Banking franchise offers a wide range of Shari'ah-compliant products and services to Consumer, Wholesale and Treasury clients. Islamic Banking customers grew 17% in 2021, with 70% welcomed to the Bank through the 'Hayyak' onboarding app, reflecting our continued focus on digital channels and innovation.

In recognition of significant business achievements, we were recognised as 'Best Islamic Retail Banking Window' in the UAE by the Islamic Retail Banking Awards (IRBA) committee managed by Cambridge Islamic Finance UK.

As part of ADCB's emphasis on continuous learning and development, more than 1,300 staff completed the Certified Islamic Banking Executive programme. As a result of this focus on employee development, ADCB Islamic Banking won the 'Investors in People IRBA' award.

**We were recognised as best
'Islamic Retail Banking Window'
in the UAE by the Islamic
Retail Banking Awards (IRBA)
committee**

Managed by Cambridge Islamic Finance UK.

Innovation to Support Micro-Businesses

PACE PAY | A VIRTUAL POS SOLUTION

Micro-businesses are an increasingly important driver of the growth and diversification of the UAE economy, contributing to an increase in skilled employment. Through our 'Business Choice Account' (BCA), we support a growing number of these firms in their corporate development journey, assessing each client every quarter to ensure the Bank is providing the right support at the right level.

We already support more than 40,000 customers in this sector who benefit from cash management and trade solutions, credit cards, and loan facilities. New BCA accounts are opening at the rate of more than 1,000 every month. The simplicity of the service has helped double the number of CASA accounts in the past 12 months. It has also increased engagement and created new opportunities to serve clients as their businesses grow. Transaction volumes are rising too, fuelled by trade and foreign exchange, alongside payroll activity.

Our Pace Pay app, created in partnership with Visa, has become a game-changing initiative to support SMEs and micro-businesses as they adapt to an increasingly cashless economy. This innovative app was launched during the early months of the global pandemic and now equips more than 800 small businesses across the UAE with digital payment infrastructure at zero cost per transaction.

Working on a subscription model, ADCB Pace Pay provides a virtual POS solution that allows merchants to use their smartphones and tablets to scan credit or debit cards in-store. It also allows for remote payments by generating payment links that can be shared via social media such as WhatsApp and Facebook Messenger as well as by SMS and email.

The solution eliminates the need to invest in a physical POS terminal, while enabling business intelligence through an interactive dashboard. It is pre-integrated into a payment gateway, making it easier for smaller merchants to transition to e-commerce without the long and expensive integration process.

The Bank can assess credit risk effectively through advanced data analytics, allowing ADCB to extend its products and services to micro and SME businesses.

“

Minds Ahead Institute

I run a children's skill development institute. Pace Pay has helped us streamline and ease the payment process at the institute. Daily sales can be viewed without waiting for an update from the Bank. Thank you, ADCB, for a great product. It's perfect for SMEs.”

“

TFA Football Academy

We started Pace Pay for our football academy customers over a year ago. It's simply a brilliant way to collect payments. Reliable, simple, and fast. What makes the product even better is the 24/7 excellent service that the team provides.”

BUSINESS REVIEW

Wholesale Banking Group

WHAT WE DO

The Wholesale Banking Group (WBG) provides a complete portfolio of corporate banking services, including investment and transaction banking, powered by a range of digital technologies that offer instant services through intuitive client interfaces. We serve a broad spectrum of clients, from government entities, large corporates and financial institutions to mid-sized corporates and commercial customers (SMEs) and maintain strategic relationships with leading banks around the world.



Total Wholesale Banking assets (AED)

185 bn

GROWTH AND DIVERSIFICATION OF PORTFOLIO

The Wholesale Banking Group registered a strong performance in 2021, capitalising on an active lending pipeline, broadening corporate relationships and building its capital markets capability. The business has established a robust platform for growth, underpinned by continued digital transformation and optimising cost of funds.

Total assets increased by 15% during the year to AED 185 billion as at the end of December 2021, with net loans increasing to AED 144 billion, up 4% from a year earlier, despite a substantial volume of corporate repayments throughout the year.

Despite the subdued macro-economic conditions, ADCB's wide network of corporate relationships powered loan growth during the year. The Bank extended AED 40 billion in new credit to targeted economic sectors in line with our five-year growth strategy, and achieved increased risk-adjusted net interest margin.

Notably, loans to the public sector and government-related enterprises increased by AED 13.4 billion to reach AED 67 billion at the end of 2021—accounting for 26% of the Bank's total gross loans, up from 21% a year earlier. The Bank also expanded lending to a wide range of other sectors, including financial institutions, trade, manufacturing and energy.

Meanwhile, corporate repayments of AED 36 billion contributed to a reduction in concentration risk in sectors such as real estate. Loans to the sector reduced by AED 12.2 billion during the year to AED 60 billion as at 31 December 2021, accounting for 24% of the Bank's total gross loans, down from 29% a year earlier.

A sustained reduction of cost of funds enhanced ADCB's competitiveness in balance sheet lending, which was particularly key to credit growth in the relatively low-risk public sector.





Iconic public sector and GRE transaction



ADCB participated in a landmark transaction for Mubadala Petroleum committing in December 2021 to finance the company's acquisition of a working interest in Israel's Tamar Gas field. This acquisition is the largest commercial transaction between the UAE and Israel following the normalisation of diplomatic relations after the historic 2020 Abraham Accords. ADCB, which was the only UAE bank involved in the transaction, is well positioned to support further economic initiatives between the two countries.

The Wholesale Banking Group continued to strategically reduce time deposits, while the Bank's award-winning cash management platform continued to drive growth in corporate CASA deposits. Consequently, CASA deposits increased to 63% of total deposits at the Wholesale Banking business at the end of 2021, compared to 58% a year earlier. Total liabilities for WBG climbed 28% to AED 131 billion at the end of 2021.

ADCB's cash management solution, ProCash, continues to be highly popular among clients. This was reflected in ADCB being ranked for the third successive year as 'Best Service Provider' in the 2021 Euromoney Cash Management Survey, following a poll of corporations and other non-financial institutions.

EXPANDING RELATIONSHIPS AND PRODUCT BREADTH

In 2021, we embedded a new coverage structure, introduced a centralised digital model, and initiated a new approach to portfolio management—developing individual coverage strategy plans for close to 600 top clients. The Wholesale Banking Group collaborated closely with Treasury to ensure the Bank cross-sells a full suite of products and services to our corporate clients, while also enhancing our offering in liquidity management, corporate credit cards and supply chain financing.

This highly coordinated approach and a focus on cross-selling across the Bank drove an increase in fee income, with notable growth in foreign exchange and liability-related fees.

While the UAE remains the central focus for the Wholesale Banking Group, we continued to develop relationships across the region. The business has stepped up engagement with major corporates in Saudi Arabia, where we see high potential for further growth, driven by the country's wide-reaching economic reforms and strategy for growth and diversification.

Furthermore, the growing strength of ADCB Egypt's corporate relationships also provides a greater opportunity to support a broad range of clients involved in regional and global trade and investment flows. Our long-standing strategic partnerships with over 30 large international banks, including the top five banks in each of the major regions of Europe, the United States and Asia, provide a robust network, allowing us to offer tailored solutions on an international scale.

To underpin our growing relationships, the business has redefined its service culture for corporate clients to ensure we consistently deliver added value and efficiency. In 2021, we reviewed and optimised over 50 processes, producing significant savings in terms of time and operating costs. We now benefit from an efficient, well-structured organisation with a clearly defined direction to enable us to grow at pace and scale. This focus has been reflected in the net promoter score (NPS) for the Wholesale Banking Group, which was at 64 in 2021.

EMPOWERING SMALL BUSINESSES

ADCB is supporting SMEs in recognition of their growing importance to the UAE economy and the fabric of our communities. We offer a range of products and solutions, from current account and transaction services to loans, trade finance and foreign exchange. Our online digital platforms make transactions easier and faster than ever, while our teams are focused on providing exceptional customer service.

Take up of our 'Business First Package', which offers a flexible proposition that is unique in the UAE banking landscape, increased by 74% on the previous year. The package allows clients to customise their banking services through five cost-effective options through a monthly subscription model without needing to meet average balance requirements.

In addition, our new 'SmartStart Account' for small and micro-businesses, which was launched in 2020 and achieved lift-off in 2021, attracted more than 450 businesses. The package includes free corporate Internet Banking, a corporate debit card and ProCash transaction access, with no minimum balance requirements.

Digital engagement among our SME clients has also increased significantly, with transactions by small businesses through the ProCash platform increasing by approximately 50%. The number of accounts opened digitally increased by 48% from the previous year.

ADCB continues to be closely connected to wider initiatives to promote SMEs in the UAE. This includes providing credit administration services to the Khalifa Fund for Enterprise Development, participating in the Ghadan 21 credit guarantee scheme to promote financing to SMEs and partnering with Abu Dhabi's Department of Economic Development to develop a web portal to provide SMEs with essential products and services.



Standing with an SME through transformation

Health Premium Home Health Care Services launched in 2015 to contribute to Abu Dhabi's social fabric by enabling patients who need regular medical support to remain in familiar surroundings and close to family. However, when the global pandemic took hold in early 2020, the company found that its home care infrastructure and expertise were well suited to the provision of Covid-19 related services, including PCR testing, across Abu Dhabi.

As the company expanded operations to help contain the virus and support patients recovering at home, ADCB ensured services could be scaled up rapidly and seamlessly. The Bank offered a wide range of products and services, including working capital to provide extra home care services for elderly patients. In addition, we provided a loan under the Abu Dhabi Department of Finance's SME Credit Guarantee Scheme. As a result, Health Premium made a significant impact, supporting thousands of patients through the pandemic.

MAJOR PROGRESS TO MAXIMISE RECOVERIES FROM NMC

ADCB's proactive approach to NMC Group was a catalyst for significant positive developments during the year, culminating in creditors voting overwhelmingly in September 2021 in favour of a debt restructuring plan. This followed ADCB's rapid legal action taken in April 2020 to appoint administrators to NMC Health PLC and the Bank's consistent support of NMC Group to ensure its operational continuity and an orderly restructuring process.

In line with this approach, ADCB structured, and was the lead lender in, an Administration Funding Facility (AFF) alongside several other regional and global banks. This ensured the implementation of a three-year business plan for the company to create and maximise value at NMC Group's core operations, divest non-core assets and reduce debt.

As a result of the agreed debt restructuring plan and ADCB's participation in the AFF, the Bank is due to receive approximately 38% of transferable exit instruments in a new USD 2.25 billion facility—a debt claim sized to the expected future value of NMC Group.

Holders in the exit instruments will receive interest payment for the facility, which will ultimately be repaid from the proceeds generated by the sale of the underlying business at a later stage. There are further possibilities for the participants to benefit from any rise in the valuation of the NMC business and any recoveries made by the company from its ongoing litigation strategies. Given this material progress in restructuring, the Bank considers the provisions and interest in suspense for NMC recorded to date to be at an appropriate level.

GROWING CAPITAL MARKETS CAPABILITY

The Gulf region is experiencing a notable uplift in capital markets activity, and ADCB has strengthened its investment banking capabilities, expanding our Debt Capital Market (DCM) and Equity Capital Market (ECM) offering with the addition of senior dealmakers while continuing to build on our strengths in the Loan Capital Markets (LCM).

In 2021, we facilitated a range of important deals across the full spectrum of DCM products for a wide range of clients, including sovereigns and major corporates.

MAJOR TRANSACTIONS INCLUDED:

- ✓ Lead manager for the USD 3.9 billion Galaxy pipeline project bond in February 2021
- ✓ Joint lead manager and bookrunner for Mubadala's EUR 1.32 billion bond in March 2021, followed by a USD 500 million issuance in May 2021
- ✓ Structuring agent for Mubadala's USD 1 billion Formosa bond in May 2021
- ✓ Co-bookrunner for USD 1.195 billion ADNOC exchangeable bonds in May 2021
- ✓ Joint passive bookrunner for Saudi Aramco's USD 6 billion in June 2021, through its newly established international sukuk programme

ADCB was ranked number two bookrunner amongst UAE banks for loan transactions for GCC borrowers¹ in 2021. We also played a leading role in successful international syndications including acting as bookrunner and coordinator for 10 financial institution syndications (eight in Turkey, one in South Africa and one in Mauritius), and as bookrunner for two syndications in Africa.

The Bank was a global coordinator on a USD 600 million sustainability-linked term loan for Investec Bank and lead arranger on a USD 3 billion loan for the Government of Egypt to be partially used to finance sustainable projects. In addition, the Bank arranged loan transactions for Etihad, ADNOC, Jumeirah Group and other large corporates in our home market.

We also used our market position to trade AED 6 billion of loans in the secondary market, optimising capital allocation and profitability.

¹ Source: Bloomberg league table ranking ADCB as #9 book runner overall for GCC borrower loans, and #2 amongst UAE banks

Meanwhile, an upward trend in IPO activity has also helped to drive our ECM business. ADCB acted as a major receiving bank for the AED 2.7 billion IPO for satellite communications company 'Yahsat'—the first Abu Dhabi IPO since 2017—accounting for 34% of subscriptions through participating banks. We also supported the IPO conducted by ADNOC Drilling, which raised more than AED 3.7 billion. Deepening capital markets is a strategic objective in the continued development and diversification of the regional economy. We expect to increase our activity in this space in 2022 as privatisation gathers momentum and more firms prepare to list.

ENHANCED DIGITAL OFFERING

WBG introduced multiple enhancements to its digital platforms in 2021 and continued to expand customer self-service capabilities, with 96% of transactions performed on electronic platforms.

New developments included a beneficiary management feature on ProCash and account statement and payment notification APIs. At the same time, we also continued to work on further enhancements to ProTrade, resulting in a new suite of credit cards supported by a range of tailored benefits.

Digital transactions continued to increase in 2021, with ProTrade and ProCash accounting for 64% of all trade finance and 96% of all cash management transactions. ProTrade clients rose by 22% in 2021, while ProCash customer numbers have grown by 19%.



Increase in ProTrade clients in 2021

22%

Increase in ProCash clients in 2021

19%

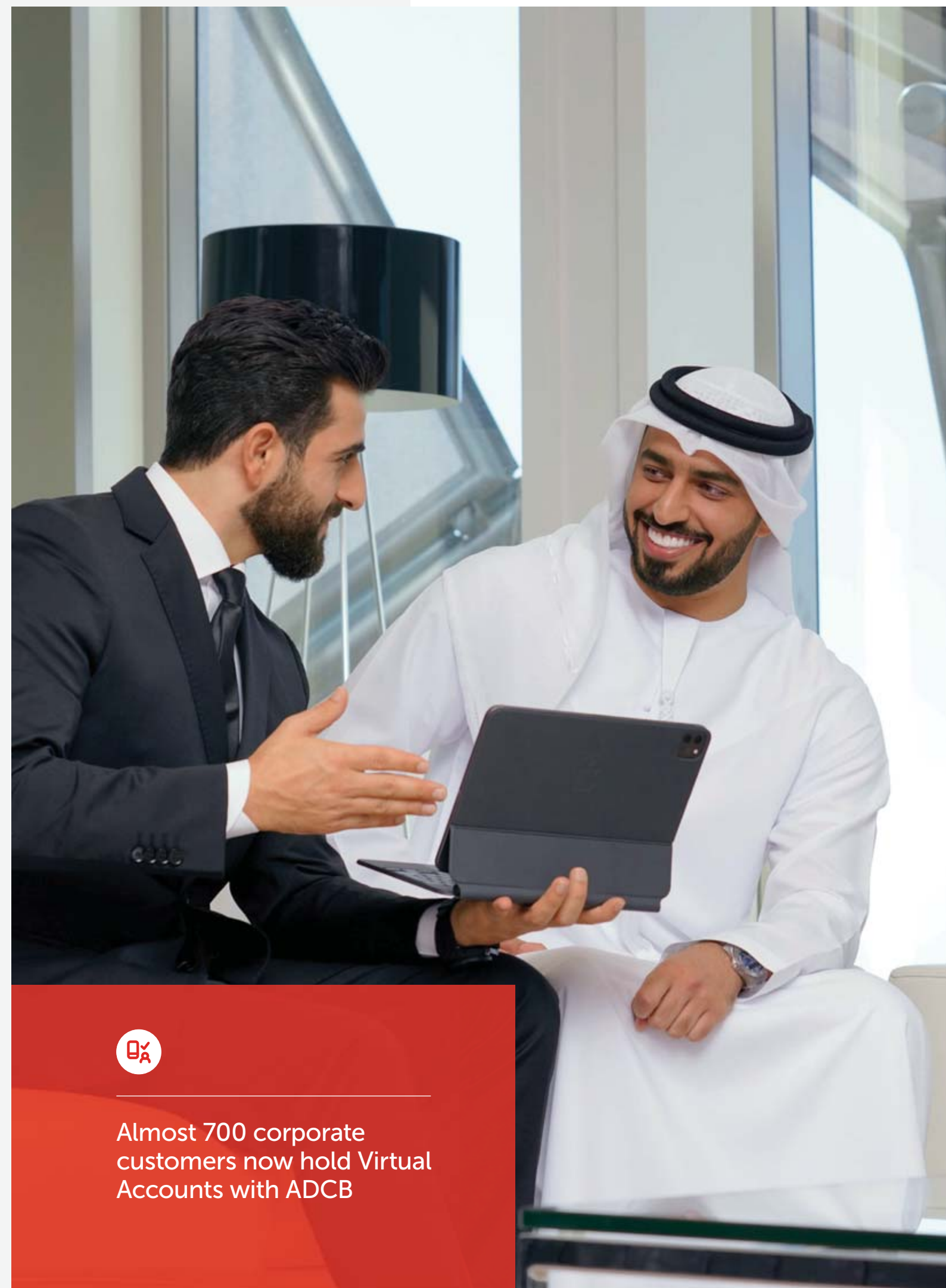
The 'Virtual Accounts' solution introduced two years ago continues to grow in popularity. In 2021, we added new functionalities to enable customers to open and close virtual accounts with greater ease. Almost 700 corporate customers now hold Virtual Accounts with ADCB. The Bank is investing further in AI and advanced data analytics to empower deeper client relationships and promote a tailor-made approach to product development.

A targeted B2B digital marketing campaign launched in December 2021 showcasing the Bank's digital products and solutions has been well received by corporate clients. The campaign trended on multiple channels, including Facebook, Instagram, LinkedIn and Twitter, receiving over 5 million views and driving more than a 10-fold increase in traffic to the business banking pages of the ADCB website.

Looking ahead, WBG is focused on growing its franchise and optimising capital utilisation. We will continue to build our fee generating businesses and take advantage of cross-selling opportunities across the Bank to provide clients with service excellence and additional opportunities. In addition, ADCB's strong balance sheet allows us to pursue credit growth to high priority sectors in line with the Bank's five-year strategy.

We are stepping up value-based account planning and will continue to focus on CASA growth, while expanding opportunities in supply chain finance. In line with the Bank's digital transformation strategy, we will invest further in our platform to provide best-in-class digital services.

WBG's focus remains on the UAE, however, we will pursue select opportunities in regional economies, particularly in Saudi Arabia and Oman, as well as leveraging cross-border relationships through ADCB Egypt.



Almost 700 corporate customers now hold Virtual Accounts with ADCB

BUSINESS REVIEW

Treasury and Investments Group

WHAT WE DO

The Treasury and Investments Group offers a diverse range of conventional and Islamic banking solutions to clients, while also undertaking the core responsibility for the Group's funding, investments and centralised risk management activities. It manages the Bank's borrowings, issuance of debt securities, and use of derivatives to manage risk, while investing in a range of instruments, including short-term placements, as well as corporate and sovereign debt securities.



Treasury Net Promoter Score (NPS)

90



BUSINESS REVIEW

Property Management

WHAT WE DO

Through our subsidiaries, Abu Dhabi Commercial Engineering (ADCE) and Abu Dhabi Commercial Properties (ADCP), we provide a full range of property services in the UAE.



As a leading force in the UAE’s real estate space, we continue to strengthen our position in this prominent sector through our extensive property management capabilities and expanding service proposition.

Leases issued	Escrow projects
41,880	169
Landlord requests administered	UAE-based SME vendors supported
12,810	193
Landlords registered for online services	Upgraded fire alarm monitoring installations
1,448	1,566
Additional rental units joined our portfolio	
1,870	

ABU DHABI COMMERCIAL ENGINEERING SERVICES (ADCE)

ADCE works in partnership with the government and authorities in Abu Dhabi to deliver commercial buildings to high construction quality standards.

We remain the preferred partner for the Abu Dhabi Department of Finance (DoF), and in 2021 we continued to focus on a range of significant building schemes across Abu Dhabi.

Across our key government, private and technical service portfolios, we provide a comprehensive suite of highly efficient building design, construction development and project management services, with project values reaching up to AED 1 billion.

Our success rests on our sales and operating planning excellence and customer-focused approach, which has established ADCE as the company of choice for those seeking efficient, high-quality portfolio management.

This year, we enhanced our property management software and services to optimise operations. As a result, we have created an end-to-end workflow that allows for seamless transition across various functions complemented by a set of dashboards and reports designed to allow for timely and optimal decision making.

Revenue from our escrow portfolio increased by 25% in 2021, cementing our position with the Abu Dhabi Department of Urban Planning and Municipalities (DUPM). In 2022, we plan to build on our relationship with DUPM by offering new and innovative services as part of our diversification and growth strategy.

ABU DHABI COMMERCIAL PROPERTIES (ADCP)

One of the largest and best-known property management service providers in the UAE, ADCP manages an extensive portfolio of more than 2,000 buildings, representing more than 57,000 residential and commercial units across the UAE.

In 2021, ADCP successfully progressed with several key initiatives that were primarily focused on simplifying our service provision across several customer journeys.

In line with Group-wide digital transformation, ADCP launched the ‘MyADCP’ tenant mobile app in March 2021. The app was designed exclusively for ADCP to allow tenants to easily register leasing and facilities management service requests. With over 35,000 downloads by the end of 2021, the app has rapidly become a central channel for ADCP tenants to engage with our property management business.

To enhance service convenience, we introduced the ADCP Virtual Branch. Adapting to changing customer preferences, ADCP now offers services digitally that are usually provided in a physical branch environment, such as lease renewals. The initiative has proven popular among tenants and we will continue to add more services to the Virtual Branch.

In light of the ongoing global pandemic, ADCP has continued to implement a number of measures to promote the safety of our tenants, landlords, suppliers and staff. The business has applied enhanced sanitisation programmes to all managed buildings and their facilities, in accordance with regulations mandated by the Federal Health Authority.



Tenancy agreements renewed digitally

26,600+

BUSINESS REVIEW

Group Business Services

WHAT WE DO

Group Business Services (GBS) represents the engine room of the Bank, powering our operations by securing the technology, systems, and processes that allow us to deliver exceptional, reliable services to our customers. In doing so, GBS stands at the core of our strategic journey, working to pave the way for our collective digital evolution.



Digital releases since inception of transformation programme

93

TECH-POWERED GROWTH AND EFFICIENCY

Group Business Services played a central role in 2021 in implementing the Bank's strategy for growth and enhanced operational efficiency. Spurred on by an increasingly competitive banking landscape, we provided cross-functional support across the organisation, delivering operational excellence and driving the technological advances that are fuelling expansion of the Bank's businesses. GBS has also been instrumental in ADCB's successful response to the global pandemic, with rapid digital progress supporting operational continuity and a superior customer experience.

Our efficiency drive is being facilitated by acceleration of digital transformation and automation, which has enhanced customer service and streamlined internal processes. The strong pace of digital releases has been maintained, with 31 customer releases delivered in 2021, bringing the total to 93 releases since inception of the transformation programme.

Meanwhile, our teams worked hard to reduce average time to market by approximately a third. Over 100 technology-related projects were delivered in 2021, with another 80 underway at the end of the year, designed to optimise internal processes, push the boundaries of customer experience, and contribute to new revenue-generating opportunities.

The projects are carefully calibrated to maximise contribution to the Bank's five-year strategy. Furthermore, in line with ADCB's customer-centric approach, we ensure that customer testing and feedback loops are incorporated into our projects, providing invaluable information to deliver market success.

We prioritised digital initiatives that produced the largest impact on the customer experience, helping to drive progressive improvement in our net promoter score for digital during 2021 to reach 65 in December.

Our areas of focus included improving our digital servicing capabilities, automating back-office and contact centre tasks, as well as leveraging emerging technologies, such as Artificial Intelligence and cloud computing.



Major digital initiatives delivered in 2021

- › Launch of WhatsApp banking
- › Developer portal and Application Processing Interface (API) marketplace
- › Cloud environment for KYC blockchain
- › Virtual accounts API for additional customers
- › Series of ProCash mobile & ProTrade enhancements
- › Advanced analytics use cases in personal loan pricing and collections
- › Mobile Banking enhancements on privacy, payments and personal loan journeys
- › uBank (ADCB’s digital branch) introduced as delivery channel for Hayyak onboarding app
- › Enhancement of ADCB.com with addition of tailor-made offers
- › Beneficiary management on ProCash mobile
- › Self-service capabilities enhancements for WBG customers
- › Account statement and payment notification APIs released for WBG customers
- › Launch of FlexiPay on Internet Banking
- › New UX/UI launched for Mobile Banking
- › Leveraged advanced analytics to strengthen anti-money laundering processes

The online IPO subscription portal, delivered in only one month from conceptualisation to launch, highlighted the team’s exemplary project delivery capabilities. The initiative transformed ADCB into one of the leading receiving banks for capital market offerings, such as the Yahsat and ADNOC Drilling IPOs, helping to drive additional fee income.



The GBS team was also central to the seamless integration of the retail and SME mortgage portfolios acquired from Abu Dhabi Finance. Leveraging our learnings from the merger in 2019, we worked to tight deadlines to facilitate the transfer of approximately 1,000 mortgages to the ADCB banking platform with zero disruption to customer service. This was key to the Bank’s ability to introduce a wider range of products and services to the migrated customers.

We also introduced a number of new features on the Bank’s digital platforms and channels to improve the user experience for Consumer and Wholesale Banking customers. These enhancements included the introduction of WhatsApp banking, complementing the growing role of our social media platforms in providing real-time information.

The GBS team drove further efficiencies in back-office functions through additional digital self-service functionality and greater automation, including in the areas of cheque reconciliation, customer experience management and payments enquiries.

In a year of intense activity, the net promoter score for GBS was 69.

REIMAGINING BANKING WITH ARTIFICIAL INTELLIGENCE (AI) AND ANALYTICS

ADCB is ensuring that the acceleration of digital transformation reinforces the Bank’s core value of Care—meaning that we always put the customer first, consider the wider community and honour our commitments.

The deployment of advanced analytics and artificial intelligence will transform banking to make it more personalised and secure, and Group Business Services is spearheading the Bank’s rapid progress in this area. During 2021, we improved capabilities and usage, implementing a Big Data Archival Solution as well as first use case of both real-time analytics and artificial intelligence.

Advanced analytics will enable us to connect our customers, providing the most appropriate products and services in a timely manner. In 2021, we increased the personalisation of notifications from Mobile and Internet Banking, and enhanced self-service channels.

In parallel, we believe that AI will be a powerful force in detecting and preventing fraud since it can quickly identify and highlight patterns in consumer behaviour and transactional data that appear suspicious. We are currently investing in this technology, which will not only improve efficacy but also reduce long-term costs associated with fraud prevention.

The Bank is also working towards creating new ecosystems in partnership with diverse third-party businesses to provide an extensive range of products and services. Such initiatives will open up ADCB products and services to a wider audience, creating new revenue streams. We took a significant step towards this new business model, by making significant progress towards the launch of a new 'developer portal' to offer our market-facing APIs (application programming interfaces) to external parties. The initiative provides developers with a digital marketplace where they can choose from our suite of API products to support their business. The portal provides access to the technical specifications and software, allowing partners to trial the technology in a secure test environment.

BROADENING ENGAGEMENT

Listening carefully is at the centre to our approach to customer centricity, and this process is driven by the ADCB service framework. Each year, we reach out to over 200,000 customers for feedback, which informs a portfolio of service improvement initiatives. Action is driven by a customer experience forum, chaired by the Group CEO, while customer experience features in every employee's KPIs and scorecard.

The Bank continues to invest in customer research and developing channels of engagement, particularly in light of changes in customer behaviour, partly driven by the experience of the global pandemic. As a result, ADCB's social media channels have rapidly gained traction and are now playing a key role in customer engagement, complementing our traditional channels such as the contact centre, Excellency Centres and branches.

The Bank's Twitter account has over 40,000 followers, while its Facebook page has nearly 400,000 fans, LinkedIn has nearly 300,000 followers, Instagram has nearly 22,000 followers and the YouTube channel has nearly 17,000 subscribers. Our in-house team communicates rapidly and authentically through these channels to ensure regular and accurate flow of information, and to address enquiries from customers and potential customers.

We have also worked to ensure that the employee composition at our branches and contact centre accurately reflects the diversity of our customer base, while offering multi-lingual support, including in Urdu and Hindi as well as in Arabic and English.

FUTURE FOCUS

Our focus will remain on continuous innovation and improvement to ensure our products and services meet the evolving requirements of our customers. We will maintain the rapid pace already set in delivering new initiatives to further enhance the Bank's efficiency and customer service. We see an increased role for advanced analytics and the Bank is investing significantly in these capabilities to create value through deeper engagement with customers across our channels.

As we further develop our ecosystems, partnering with fintechs and other businesses, we will build the functionality and presence of our developer portal, opening it up to a broader audience and a more significant number of partnerships.



DIGITAL COLLABORATION

Design Thinking

We place the customer experience at the heart of our decision making. At GBS, we foster an agile culture and practice 'design thinking'. That means we create the most efficient and effective way of working by aligning the right people with the best processes and technology. Consequently, we nurture an environment where we constantly learn and continuously improve.

This agility, combined with 'design thinking' practices, ensures the products and services we develop are created with a deep understanding of the people we are designing them for. By actively involving and engaging our customers throughout the process, we gain invaluable consumer insight and drive increased satisfaction levels.

Our digital studio is home to the customer lounge, where all our digital platforms are on display. Customers are invited to interact with the services and collaborate with our team in developing and testing new products.



We nurture an environment where we constantly learn and continuously improve.

BUSINESS REVIEW

Human Resources

WHAT WE DO

By maintaining our exceptional employee value proposition, ADCB’s Human Resources (HR) function delivers the Bank’s strategic objectives, cultivating its distinctive culture, unparalleled working environment, and progressive digitisation. We remain committed to ensuring our employees’ ongoing health, well-being, and professional development and the empowerment of UAE Nationals.



Total Employees¹

6,500+

1 Represents FTE positions at ADCB and Al Hilal Bank

EMPOWERMENT IN A HIGH-PERFORMANCE ENVIRONMENT

Human Resources played a critical role in empowering our people in 2021, focusing on performance, training, and career development to create an even more robust and efficient organisation to support our ambitious five-year strategy.

We promoted leadership skills and continued to cultivate a high-performance culture across the Bank. We introduced a new performance management system and increased training opportunities, with a focus on digital. At the same time, the Bank intensified its drive to attract and develop UAE National talent to make ADCB the employer of choice in the financial services industry.

To nurture effective leadership in the coming years, we identified the most critical roles in the organisation and developed a detailed and comprehensive individual development plan for each. We also established a successor for these vital roles while creating a tailored support programme to build capabilities. We review each key role regularly to ensure they reflect the needs of our fast-changing business and strengthen our resilience as an organisation.

In parallel, the Bank created individual development plans for every employee, embedding continuous feedback as the cornerstone in our approach to performance management. The plans clearly define roles and responsibilities and a set of agreed objectives, with specific performance indicators. These KPIs are closely connected to our strategy and relate to the performance of the Bank, each department and individual. Variable pay is based on achieving targets, which are assessed and monitored regularly.



The Bank also continued to invest significantly in training. We delivered more than 275,000 learning hours in 2021, externally and through our in-house Ambition University, which provides a wide range of courses available to all employees. Our comprehensive programme is a significant differentiator in the industry and highly popular among employees, receiving a net promoter score of 92 in 2021.

A digital fluency programme was a significant new addition to our curriculum, designed to support the rapid pace of the Bank's digital transformation. We worked with Group Business Services (GBS) to produce content relevant to each business area, ensuring that technical knowledge was complemented by practical application. For example, our 'Digital Learning Bytes' series provided insight into topics such as blockchain, application programming interface (APIs), customer experience, and data & analytics.

In response to the ongoing challenges presented by the global pandemic, the Bank has organised vaccination programmes and regular PCR testing across the organisation to promote the welfare of our employees and ensure business continuity. We also introduced a new digital portal to facilitate the recruitment, onboarding, e-learning modules and documentation completion for new employees.

 **275,000+**

Total learning hours



STRONG CULTURE, DIVERSITY AND ENGAGEMENT

Focusing on diversity and inclusion helps us to serve customers better, and to attract, develop and retain top performers. This is particularly important as the Bank seeks to embed wider skillsets in line with its digital transformation.

We are proud to have over 80 nationalities represented in the Group's employee base, enriching our culture and contributing to an open-minded environment. The Bank scores highly in gender diversity, with women comprising 44% of employees in the Group,² with an increasing number advancing to middle and senior management roles, including the positions of Chief Group Compliance Officer and Group General Counsel at ADCB.

To assess how the Bank is performing on culture, we carried out an Organisational Health Index (OHI) survey in 2021, which achieved a response rate of 80% from employees. The OHI exercise complements our annual employee survey by going beyond workplace engagement to analyse leadership and management capabilities and a wide range of other organisational assessments.

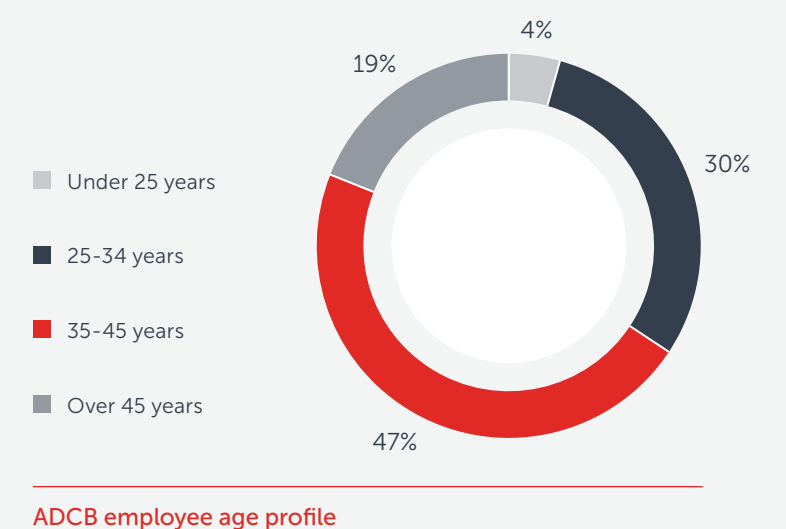
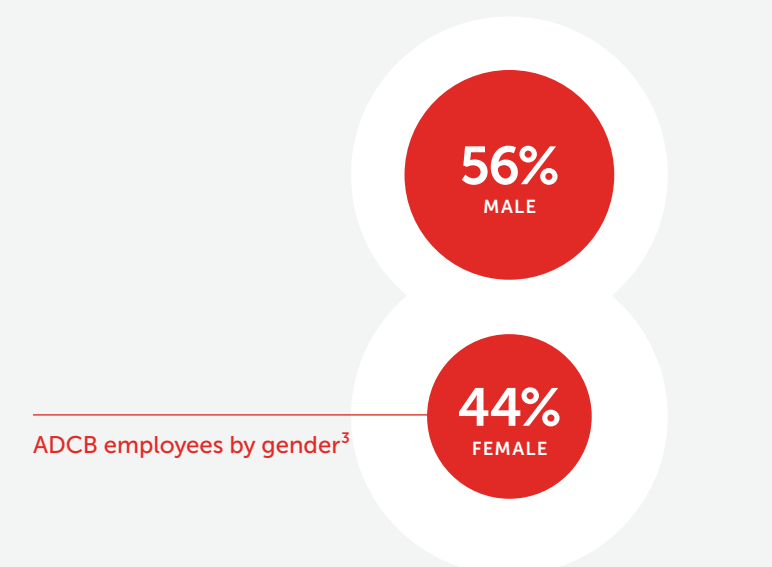
The results reinforced the positive findings from a previous survey conducted two years earlier and placed us firmly among the top decile when measured against the global OHI average of the last three years. A large majority, 83% of employees, said they feel that their work environment was either the same or better than 24 months earlier, a significant achievement given the global pandemic and the additional responsibilities associated with completing a complex three-way merger.

The Bank ranked in the top decile for coordination and control, innovation and learning, and external orientation. It remained in the top quartile for direction, leadership, capabilities, accountability and the work environment.

As part of the survey, we received more than 17,000 comments, many of which reflected support and commitment to colleagues and customers during the global pandemic.

FUTURE FOCUS

Our focus will remain on helping our people to develop personally and professionally—to grow as the Bank grows. We will continue to invest in upskilling our workforce, adding additional modules and courses to build expertise and capability. Our commitment to Emiratisation and cultivating diversity and inclusion across the Bank remains a fundamental priority in 2022 and beyond.



² At ADCB and Al Hilal Bank

³ Figures represent FTE positions at ADCB and Al Hilal Bank

COMMITMENT TO EMIRATISATION

Nurturing National talent



38%

UAE nationals represent 38% of employees in the Group, while Al Hilal Bank has one of the highest Emiratisation ratios among UAE banks at 51%.

Attracting and developing UAE national talent is a key pillar of our strategy and provides the Bank with a strong competitive advantage as the country presses ahead with initiatives to create skilled jobs in critical industries.

ADCB is proud to have attracted approximately 18% of the Emiratis in the UAE banking sector at the end of 2021. Our learning programme, opportunities for professional advancement, and a highly engaged workplace have established ADCB as a top choice for UAE nationals pursuing a rewarding career in banking and finance. 42% of our Emirati employees started their careers at ADCB.

In 2021, we continued to honour our long-standing commitment to Emiratisation. We recruited 477 UAE nationals during the year, 75% of whom consider ADCB Group as their first employer. The number of Emirati staff at the ADCB Group reached 1,854 by the end of the year. UAE nationals now represent 38% of employees in the Group, while Al Hilal Bank has one of the highest Emiratisation ratios among UAE banks at 51%.

Furthermore, Emiratis are acceding to senior positions, holding 30% of ADCB's Executive Management Committee positions and 95% of management roles across our branches.

Female Emiratis account for 80% of the Group's total UAE national employee base. Our dedicated Tamooha programme promotes the development of a long-term career path for Emirati women by giving access to professional opportunities without compromising social values. Tamooha welcomed 26 new candidates in 2021, taking the number of total participants to 195. The programme is recognised as one of the most successful social initiatives in the country, providing women with a supportive environment to apply their talents and contribute to the national economy.

The Bank also enhanced its comprehensive training programme, increasing the number of modules and scope of support available. For every Emirati who joins ADCB, we now provide eight years of structured learning and development opportunities, empowering a new generation of talent. We invested in more than 100,000 hours of high-quality, tailored learning for our UAE nationals during the year.

This personal and professional training is delivered in-house and in partnership with leading international organisations, such as MIT, Harvard, London Business School, and London Institute of Banking and Finance.



Percentage of Emiratis working in the UAE banking sector employed by ADCB

18%

SUBSIDIARIES

Al Hilal Bank

مصرف الهلال
al hilal bank

In 2021, Al Hilal Bank made strong progress in its strategy to be a fully digital, Shari'ah-compliant bank focused on providing retail customers with a truly differentiated offering that goes well beyond traditional banking services. We continued to drive operational efficiencies, invest in innovation and apply a rigorous approach to risk management—themes that have characterised our operations since the acquisition of the Bank by the ADCB Group in 2019.

The result is a robust, versatile organisation that is well positioned to become an increasingly important engine of growth for the Group, delivering high-quality service to customers through a platform with the potential to have a disruptive impact on the market.



DIGITAL DISRUPTION AND INCLUSIVITY

As part of ADCB Group, Al Hilal Bank has benefitted from both cost and revenue synergies. With an optimised branch footprint and a number of functions centralised at Group level, we seized the opportunity to adopt digital enhancements to achieve substantial improvements in customer acquisition and service. In 2021, active users of our digital banking platforms increased by 43% year on year, while new-to-bank customers digitally onboarded through the 'Ahlan' app were up 48% from the previous year.

With solid foundations established, the Bank has channelled investment and talent into an organisation-wide endeavour to bring a game-changing offering to the market. Scheduled for launch in the first quarter of 2022, Al Hilal Bank's new lifestyle-focused 'super app' is designed to reshape the UAE banking landscape by providing a wide range of banking and non-financial services tailored to families and the youth.

In addition to regular banking products such as accounts, payment cards and loans, the platform will harness state-of-the-art technology to enable non-banking financial solutions through an ecosystem of extensive partnerships. The proposition is driven by customer insight provided by advanced data analytics, machine learning and artificial intelligence.

The app has received overwhelmingly positive feedback during tests with members of the public. The scalable offering is built on a cloud-based platform to ensure agility, enabling the Bank to respond to evolving customer needs and pursue regional expansion, post successful launch in the UAE.

EMPOWERING OUR PEOPLE

Al Hilal Bank is committed to developing and promoting local talent, with UAE nationals accounting for 51% of our employee base—one of the highest Emiratisation rates in the UAE banking sector.

Our internal culture is centred on the philosophy and practical application of Shari'ah-compliant banking, while encouraging an agile approach to developing the business. Driving accountability and empowering decision-making allows the organisation to move at speed, offering customers an exceptional service experience.

Al Hilal Bank is at the initial stages of an exciting journey. With the launch of our app in 2022, we aim to increase partnerships that bring additional functionality and breadth of service to the platform. The Bank is focused on increasing our market share in the UAE, with a view to extending our digital-driven services to the wider region.



UAE nationals as a proportion of
Al Hilal Bank's employee base

51%

SUBSIDIARIES

ADCB Egypt

ADCB Egypt delivered a strong performance in 2021, establishing the Bank as a significant force in providing innovative financial services to an expanding customer base in the country.

Following an extensive rebranding exercise in 2020 subsequent to the merger between ADCB and Union National Bank the previous year, ADCB Egypt has established a strong franchise in one of the region's major economies.

EGP 413 mn

Net profit¹ +32% YoY

¹ Based on IFRS

ROE
9.07%



DIGITAL DRIVING GROWTH

We achieved strong growth in net profit, which increased 32% year on year to EGP 413 million in 2021 under IFRS, representing a return on equity of 9.07%. This was driven by a 28% increase in net loans to EGP 21 billion, while deposits increased by 42% to EGP 41 billion. Our customer base expanded by 14% during the year, and we experienced growth in digital banking, with a significant rise in active subscribers.

The Bank is implementing a detailed five-year strategy, focusing on expanding market share in the affluent and corporate segments, while maintaining a conservative approach to risk management. We are introducing new financial products and services, backed by accelerated digitisation.

In Consumer Banking, we launched multiple offerings to cater for the needs of our growing customer base and to build stronger customer engagement, particularly in the affluent segment. This included introduction of an 'Excellency' segment, the successful launch of Visa Platinum and Infinite cards as well as a new portfolio management service.

In Wholesale Banking, we expanded the range of corporate clients we serve, with growth experienced across many economic sectors, including infrastructure, manufacturing, transportation, real estate, and energy. By widening its networks and relationships, ADCB Egypt is becoming an important partner for both UAE-based and Egyptian businesses active in growing bilateral trade and investment.

Our goal remains to become a preferred bank in Egypt by setting new standards in digital banking and service excellence. In doing so, we will empower our customers and help support the Egyptian economy and society.

The Bank's success in 2021 was underpinned by an ambitious transformation programme that touched every area of the organisation and focused on enhancing our digital capabilities. Our programme, implemented through a detailed road map, enhanced our internal systems and processes, upskilled our employees, and digitalised more than 100 services in an accelerated time frame.

We rolled out internet and mobile banking platforms for corporate and retail customers, accompanied by the launch of digital wallets, a corporate e-Pay function and a new loan origination system. More than half of all transactions by customers are now conducted through digital channels.

We partnered with a leading international software provider of high-performance analytics to launch a fraud detection solution powered by artificial intelligence (AI). This has enhanced the Bank's real-time capabilities in this area, allowing it to monitor internet banking, mobile banking, interactive voice response (IVR) and card transactions for potential risk.

For its wide-ranging digital enhancements, ADCB Egypt received The Digital Banker Foundation's award for 'Best Digital Transformation Programme' and was named 'Fastest Growing Digital Bank' by Global Business Outlook Awards.

Net loans

+28% YoY

EGP
21 bn

Deposits

+42% YoY

EGP
41 bn

FUTURE FOCUS

ADCB Egypt has transformed into a key player in the Egyptian economy, attracting retail and corporate customers with our digital platforms, commitment to service excellence, and a brand that stands for institutional strength and ambition.

The Bank aims to continue building a strong reputation in the market, introducing premium services and digital enhancements, including a new customer onboarding platform. For corporate customers, we will focus on

developing our wholesale cash management system and trade solutions. The Bank will also launch a new offering to high-net-worth individuals to emphasise our differentiation in this key segment.

Across the Bank, we will continue to elevate the quality of service through better customer insight and feedback and by re-engineering business processes that improve service delivery.

ADCB EGYPT

Financial Inclusion



Committed to supporting and growing the SME sector, providing comprehensive support for their operational and growth needs

Financial inclusion is a key area of focus for ADCB Egypt in recognition of the important role that small businesses play in driving prosperity and social cohesion across communities.

We are committed to supporting and growing the SME sector, providing comprehensive support for their operational and growth needs. In 2021, our portfolio grew substantially with a 50% rise in SME loans.

One of our key achievements in financial inclusion in 2021 was to significantly improve access to banking products and services for people with determination. Following an extensive consultation exercise, we have worked with several

specialist organisations to launch a series of initiatives. These included training customer-facing employees in sign language, producing documents in braille, revising policies to ensure priority treatment, adding ramps to designated branches and making ATMs more accessible. We are now working on a specialist product aimed at people living with a disability, which provides medical insurance and offers subsidised personal loans to finance medical equipment.

Financial inclusion will continue to be a priority for the Bank, and we are working to further improve access for people with determination, while also widening our scope to support financial responsibility among the youth.

SUBSIDIARIES

Other
Subsidiaries

ADCB Group's subsidiaries complement our core banking business through their strong brands and value-added business activities, ranging from property management and project management to securities trading and operational support. Individually and collectively, they create value for the Bank as well as our customers, partners and wider economy.



MOHAMED BINBREK
GENERAL MANAGER

Established in 2007, ADCP operates the largest mixed-use leasehold assets portfolio in the region. It provides tailored property management services, representing government, private and corporate real estate owners across the UAE.

53,810

E-CHANNEL REQUESTS PROCESSED

12,810

PROPERTY OWNER ENQUIRIES SERVICED

56,020

INDIVIDUAL LEASEHOLD TENANCIES
ADMINISTERED

1,870

UNITS ADDED TO ADCP
MANAGED PORTFOLIO



ASHOK LUHARUWALLA
GENERAL MANAGER

ITMAM, meaning 'we get things done' in Arabic, was established to provide operational support to ADCB Group, including customer onboarding, cash management, trade operations, credit underwriting and contact centre services, among others. ITMAM's service-focused NPS framework enables the Bank to pursue a more customer-oriented business model.

97%

OVERALL SERVICE LEVEL TARGETS ACHIEVED

76%

CONSUMER BANKING ACCOUNTS OPENED
THROUGH HAYYAK

24%

INCREASE IN TOTAL VOLUMES

90%

IMPROVED PARTNERSHIP INDEX RESULTS



HAZEM JABER
GENERAL MANAGER

Created in 2007 as the engineering arm of ADCB, ADCE is a one-stop shop for all engineering-related project management services, from design conception to completion. Its modern, innovative designs, situated throughout the city, are built to last — and its business is founded on strong client relationships.

3,294

TECHNICAL MEMOS ISSUED

1,687

LANDLORDS

899

VENDORS REGISTERED

1,573

WORKING WITH CONSULTANTS,
CONTRACTORS, SUB-CONTRACTORS

46

ADCB FINANCED PROJECTS

831

DEPARTMENT OF
FINANCE PROJECTS



HASAN SALEM AL HOSANI
GENERAL MANAGER

ADCB Securities is a brokerage house that offers its customers access to trade on the UAE stock exchanges. A wholly-owned subsidiary of ADCB, it is regulated by the SCA (Securities & Commodities Authority) to provide trading services on ADX (Abu Dhabi Securities Exchange), DFM (Dubai Financial Market), and NASDAQ Dubai.

AED 31.7 bn

TOTAL ASSETS UNDER CUSTODY

AED 6 bn

TOTAL TRADE VALUE THROUGH
ONLINE TRADING CHANNELS

AED 282 mn

TOTAL LENDING THROUGH
MARGIN ACCOUNTS

19,000+

TOTAL CLIENT BASE

SUSTAINABILITY REVIEW

SUSTAINABILITY

ESG Review

Sustainability now features as a key priority of the Bank’s strategic agenda, and we are committed to maximising our contribution to the UAE’s ambition for an inclusive, Net-Zero economy. As part of this commitment, we recognise the need for continuously improving the Bank’s Environment, Social and Governance (ESG) practices and disclosures.

This sustainability summary is an example of how we are increasing our transparency and aims to provide an overview of the progress made during 2021 to further enhance our approach to identifying and managing the most material ESG risks and opportunities facing ADCB.

For further information on our approach to sustainability, please refer to our annual reports on the Investor Relations section of our website: adcb.com/ir. The inaugural ADCB Group Sustainability Report with enhanced disclosures, encompassing strategic initiatives and KPIs, will be published during 2022.



2021 Highlights

- › Revamped the Group-wide sustainability governance framework with Board oversight and executive management accountability
- › Integrated sustainability as a key pillar of the overarching corporate strategy
- › Linked executive remuneration (GCEO & GCFO) to 2022 sustainability KPIs
- › Delivered a series of workshops with Board and Management Executive Committee members to raise awareness on the latest trends (risks and opportunities) and market drivers of ESG
- › Undertook extensive engagement with key stakeholder groups (investors, customers, employees, regulators, analysts, external experts) to review material topics for prioritisation
- › Developed a new sustainability strategy, in accordance with international frameworks, industry best practice, and the GRI reporting standard, with the Bank’s stand-alone comprehensive Group Sustainability Report to be launched in 2022
- › A new ESG Governance structure is being implemented with a revised Group ESG policy to be supplemented with relevant sectoral policies
- › Created a new Sustainability Team, reporting to the GCFO, to drive the implementation of the new sustainability strategy, harness business opportunities and build the culture across the Group
- › Achieved an MSCI score upgrade from ‘A’ to ‘AA’
- › Improved Sustainalytics score from ‘high’ to ‘medium’ risk

Sustainability Governance and Stakeholder Engagement

During 2021, the Board and Management Executive Committee (MEC) developed a clearly defined Group-wide sustainability governance framework, to increase senior management oversight of key ESG risks and opportunities and ensure adequate coverage across all levels of the Bank.

The framework consists of a new Group Sustainability Committee (GSC) with responsibility for setting the ADCB sustainability strategy and ensuring its implementation within relevant core business functions. This encompasses strategic commitments, policies, targets and KPIs, reporting and disclosures, communications and training. The GSC is chaired by the Group Chief Financial Officer (GCFO) and consists of relevant members of the MEC to ensure senior management accountability for embedding sustainable business practices into their respective teams’ ways of working. The GSC is the main decision-making body for all matters related to the Group sustainability strategy. The GSC reports progress to MEC.

The GSC is supported by a Group Sustainability Team (GST), with a newly appointed Head of Sustainability reporting to the GCFO. The Sustainability Team (GST) is responsible for; identifying, proposing and managing strategic initiatives; capturing data and reporting to stakeholders; providing daily support to teams across the Bank with subject matter expertise; setting common standards and policies; and building the culture of sustainable thinking across the organisation. The GST makes recommendations to the GSC, including the proposal of sub-committees required with a specific mandate to address a key risk or opportunity to the business. The GST acts as the secretariat to the GSC.

STAKEHOLDER ENGAGEMENT AND MATERIALITY ASSESSMENT

Our stakeholders are integral to our success and therefore we proactively engage with them on a regular basis. Through this continuous dialogue we are able to better understand their expectations on how we approach economic, social, and environmental impacts and share insights into how we govern strategic sustainability topics across the Group.

During 2021, in addition to our regular annual engagements with various stakeholder groups, we carried out a comprehensive materiality assessment exercise to review the ESG topics most relevant for ADCB. This encompassed engaging both internal and external stakeholders through:

40+
interviews with external stakeholders

including investors, analysts, corporate clients, and regulators including the UAE Central Bank, SCA, ADX, ADGM

1,750+
employee opinions

captured via surveys conducted across the Group; with a separate survey rolled out to retail customers

25+
interviews with senior management and Board members

The materiality map presented on the next page highlights the ESG topics identified as material to ADCB based on the feedback harnessed across our stakeholder groups.

Materiality Assessment

The material topics identified informed the priorities of our sustainability strategy. We are committed to disclose our performance and progress in the management of these topics through our sustainability reports and other channels of communication.

Priorities tiered by potential business and societal impact

ADCB Materiality Matrix

INCREASING IMPACT ON BUSINESS AND SOCIETY			
	 ENVIRONMENTAL	 SOCIAL	 GOVERNANCE
	TIER 1	- Greenhouse gas emissions - Climate risk	- Emiratisation - Diversity and inclusion - Fair pricing - Customer experience
	TIER 2	- Data security and privacy - Employee upskilling - Retail financial inclusion - Community philanthropy - SME financial inclusion	- Board diversity - Board policies
	TIER 3	- Water management - Waste management	- Employee health and safety - Employee engagement - Socially oriented products

Note: The topics were prioritised based on inputs from full set of stakeholders, including: interviews with Board and MEC members, materiality workshop results, survey of ADCB UAE employees (n=1,090), survey of ADCB Egypt employees (n=554), survey to AHB employees (n=123), press search, interviews with key analysts/investors, sustainability reports from key investors, ESG benchmark study, retail customer survey, corporate customer interviews (n=5), interviews with SCA, ADX, ADGM and the UAE Central Bank. Inputs were weighted differently, prioritising perspectives of investors, customers and the board most heavily.

Our Sustainability Strategy

Through our sustainability strategy we seek to manage the business risks and opportunities across the material ESG topics that matter most to our stakeholders. This approach strengthens ADCB’s business resilience and operational practices, while harnessing opportunities to support the transition to an inclusive, net-zero economy. Our strategy also enables us to play a leading role in contributing to UAE’s national vision and the country’s strategic commitments on the Sustainable Development Goals (SDGs).

Our sustainability strategy consists of four strategic priorities: Climate, Customers and Communities, Employees, and Governance. Each of these pillars consists of four focus areas to clearly pinpoint the initiatives we are seeking to address (see next page). This new sustainability strategy is now a core pillar of our overall corporate strategy, demonstrating the increased level of ambition set by the Board and MEC to operationalise ESG initiatives across the bank.



Sustainability Strategy
(continued)

ADCB Sustainability Framework and Strategy

PURPOSE:

“Support the transition to an inclusive, net-zero economy”

STRATEGIC PRIORITIES

AMBITION

FOCUS AREAS

1. Climate

Support the transition to a net-zero economy and manage climate change risks

- 1. **Sustainable Finance:** Develop innovative financial products and services to help corporate and retail customers reduce their emissions and tackle climate change;
- 2. **Environment & Social Risk Management (ESRM):** Integrate environmental and social risk management within credit and risk approval process;
- 3. **Net-Zero Operations:** Take responsibility for our direct impacts and comply with environmental laws and regulations applicable within our operational jurisdiction;
- 4. **Green Procurement & Supply Chain:** Integrate environmental criteria into procurement policies and processes.



2. Customers and Communities

Provide inclusive and innovative financial services to drive sustainable economic growth

- 1. **Customer Satisfaction:** Provide transparent and responsible financial advice and communication to our customers to enable better financial decisions;
- 2. **Financial Inclusion:** Support growth of SME's micro-businesses, and entrepreneurs with access to finance and improve financial education and inclusion amongst retail customers;
- 3. **Digital & Innovative Propositions:** Equip customers with access to online banking and digital payment solutions through digital and innovative propositions;
- 4. **Community Investment:** Deliver targeted activities, initiatives and sponsorships that progress socio-economic development within our local communities.



3. Employees

Create a thriving workplace that attracts and retains the most talented and committed people

- 1. **Employee Engagement & Wellbeing:** Enhance employee services to support our staff in the ever-evolving work environment, and ensure their safety and well-being within the workplace;
- 2. **Emiratisation:** Continue to be a major employer of Emiratis in the UAE banking sector and uphold our legacy of promoting local talent;
- 3. **Learning & Development:** Provide ongoing training and career development for our employees to attract, recruit and retain the best talent;
- 4. **Equality, Diversity & Inclusion:** Respect the human rights of our employees and ensure fairness, equality and respect for all.



4. Governance

Operate a responsible business with the highest ethical standards to preserve integrity and trust

- 1. **Corporate Governance, Compliance & Code of Conduct:** Maintain our values and operate a world-class corporate governance framework;
- 2. **Risk Management & Cyber Security:** Ensure customer information is protected and respect the right to privacy within applicable privacy and data protection laws and regulations;
- 3. **Financial Crime & Anti-Corruption:** Continue our zero tolerance approach to bribery and corruption and commit to highest standards of integrity in all business dealings and relationships;
- 4. **Tax Transparency:** Adhere to tax laws in all jurisdictions where we operate.



ENABLERS

- 1. ESG GOVERNANCE & POLICIES
- 2. TARGETS, KPIs AND REWARDS
- 3. TRAINING AND UPSKILLING
- 4. STAKEHOLDER MANAGEMENT AND COMMUNICATIONS
- 5. EXTERNAL PARTNERSHIPS AND COMMITMENTS
- 6. REPORTING AND DISCLOSURES

Strategic Enablers

To ensure successful implementation, we have identified six enablers of the strategic priorities. This forms the basis of our strategic framework.



› ESG governance and policies

The Group sustainability governance framework is to ensure appropriate oversight and engagement across the Bank on all ESG-related activities. Our Group Sustainability Policy covers the general principles and commitments linked to each strategic priority and underlying focus areas. This will be supplemented with topic-specific/sectoral policies, operating procedures, and guidelines to support effective implementation across the organisation, including subsidiaries.



› Targets, KPIs and rewards

Targets and KPIs, aligned to our ESG strategy, integrated into the performance management process of senior management, to drive implementation of the strategy.



› Training and upskilling

ESG topics integrated into our training curriculum to build internal capacity and increase competencies in key roles across the business.



› Stakeholder management and communications

Proactively engage with key stakeholders to understand their expectations and provide regular communications of ADCB ESG performance and progress on our strategic ESG priorities.



› External partnerships and commitments

Continue to review and identify external partners, alliances, charters and commitments that support our strategy and contribute to UAE’s national strategic objectives.



› Reporting and disclosures

Publicly disclose our ESG performance, in accordance with leading sustainability standards and regulatory requirements.

Innovative Projects and Initiatives

ADCB carried out a number of innovative projects and initiatives during the year, as detailed below. For further information, please visit our annual reports on adcb.com/ir.

PROJECTS/LAUNCHES	DESCRIPTION
CREDIT CARD LOAN ON ADCB MOBILE BANKING APP	In a few simple steps, the customer can take a cash loan against the available limit on their ADCB Credit Card. Funds are credited into the customer’s ADCB account instantly or to other UAE bank accounts of their choice within the working day.
LAUNCH OF IPO PORTAL	Simple and secure way to subscribe to Initial Public Offerings. Customers can seamlessly subscribe to the latest IPOs from the comfort of their home using their desktop or mobiles without having to visit a branch. 76% of all IPO subscriptions in 2021 that came to ADCB were submitted through the Portal.
FLEXIPAY ON ADCB PERSONAL INTERNET BANKING & ADCB MOBILE BANKING APP	Flexipay enables ADCB credit cardholders to convert their entire retail outstanding balance into instalment plans as opposed to converting transactions individually.
WHATSAPP BANKING SERVICES	A safe and secure platform to connect to ADCB on WhatsApp and easily access a wide range of banking services around the clock like viewing the latest transactions, requesting a cheque book and IBAN letter, or locating the nearest ADCB ATM and branches.
HYPER-PERSONALISATION	Provides ADCB with the ability to enhance the customer experience on the website and the Personal Internet Banking platform. Powered by data, analytics and AI, it provides insights and the capability to provide tailor-made offers and promotions.
KYC BLOCKCHAIN	Implementation of a blockchain-based platform to automate receipt of verified digital documents related to Dubai DED-issued trade licenses. The platform proactively alerts ADCB of any changes in trade license information to help mitigate related risks. Additionally, this platform shortens the time necessary to open accounts. The platform is integrated with ADCB via APIs.

GOVERNANCE



CORPORATE GOVERNANCE REPORT

Statement from the Chairman of the Board

On behalf of the Board of Directors, I am pleased to present ADCB's Corporate Governance Report for 2021.

The Bank has a strong and effective governance framework based on global best practice, as set out by our regulator, the Central Bank of the UAE, as well as international bodies including, the Basel Committee for Banking Supervision and the Financial Stability Board.

Our integrity, transparency and the disciplined approach we take towards regulatory compliance provide the foundation for the Bank's long-term success and are among the values our stakeholders expect from a leading UAE business such as ADCB.

In 2021, the Board and its committees provided oversight on policies and practices that support the Bank's growth. In particular, ADCB welcomed the Central Bank of the UAE's the introduction of new consumer protection regulations to enhance the banking industry's governance and oversight standards, responsible lending practices, information and transparency, access to services, complaints handling, and public awareness. The Bank is committed to full compliance with these regulations, in line with our long-standing approach to fair treatment of customers and transparency.

Furthermore, as ADCB has accelerated digital transformation, the Bank has assessed and enhanced data privacy and cybersecurity management as part of a focus on operational resilience and increased consumer protection. Our actions and record in this area are aligned with the new consumer protection regulations and were highlighted by MSCI in its upgrade of ADCB's ESG rating to 'AA' from 'A' in 2021.

Effective risk management remains a major focus for ADCB, and our proactive approach has served the Bank well through the global economic disruption caused by the pandemic. In 2021, we continued our practice of regularly reviewing ADCB Group's risk appetite metrics and approach to credit risk management to ensure alignment with changing market conditions, regulatory requirements, and our strategy for growth. This process is stress tested to provide specific guidance for the Bank's risk appetite, capital adequacy assessments, budgets, capital and liquidity plans.

The Bank advanced its commitment to Emiratisation as part of an ongoing drive for greater diversity across the organisation, in line with targets set by the Central Bank of the UAE. In 2021, ADCB recruited 477 UAE nationals and Emiratis accounted for 38% of the Bank's employees as at the end of the year.

ADCB understands the central and privileged role that the Bank plays in our committees and the positive impact a systemically important institution such as ours can have on society and our living environment. The Board has supported the development by the Bank of a robust ESG framework, which is currently being embedded in ADCB's strategy. This will lead to implementation of initiatives across the organisation, with responsibility and accountability resting with Group Finance, and oversight provided by the Board and its committees.

LOOKING AHEAD

ADCB plays a significant role in helping empower and support the growth and diversification of the UAE economy. As a leading financial institution, we have the responsibility to spearhead the creation, adoption and implementation of best practices in corporate governance to help create a stronger society for us all.

We have a strong track record in continuously assessing and improving our approach to corporate governance and we will ensure that this remains an institutional priority as we develop our framework further in 2022.

Finally, I want to take this opportunity to thank all my colleagues on the Board and ADCB's Executive Management team and the employees for their commitment to this important matter and for helping to embed a culture of responsibility and accountability that supports good governance at every level of the Bank.

“

The bank has a strong and effective governance framework based on global best practice

”

KHALDOON KHALIFA AL MUBARAK
Chairman



Overview

A clear and robust governance framework

CONTINUED IMPROVEMENT TO ENSURE BEST PRACTICE CORPORATE GOVERNANCE

Best practice governance has been the cornerstone of ADCB’s sustained track record of strong financial and operational performance and is central to the Bank’s growth strategy and ambition for the future. It underpins our integrity and disciplined culture, reinforcing the trust and confidence our investors, customers, business partners and communities place in us.

ADCB maintains a robust corporate governance framework modelled on the highest international standards. We are committed to continuously reviewing and improving our approach to ensure we remain at the forefront of best practice, adapting to changes in the regulatory, policy and business environment. In doing so, we safeguard the interests of a wide range of stakeholders.

We have a strong Board with extensive corporate experience, diverse skill sets, a disciplined approach to governance, and a deep understanding of the banking industry. We also benefit from a well-established and very experienced Executive Management team with a strong track record of operational excellence, which has embedded a culture of accountability and responsibility across the Bank.

This governance structure ensures that ADCB serves all our stakeholders and delivers effectively on our strategy to generate long-term sustainable growth.

ACTIVITIES IN 2021

EFFECTIVE RISK MANAGEMENT AND GOVERNANCE

In light of the rapidly changing regulatory and operating environment, ADCB continues to take a proactive approach to managing risk. In 2021, the Board Risk and Executive Committee reviewed the Bank’s risk appetite metrics and approach to credit risk management to ensure alignment with changing market conditions, regulatory requirements, and our evolving strategy. The committee also reviewed the results of the ADCB stress tests this year, to ensure findings informed the Bank’s risk appetite, capital adequacy assessments, budgets, capital and liquidity plans.

In line with UAE Central Bank’s regulations and standards, in 2022, the Bank has separated the functions of the Board Risk and Executive Committee by establishing two committees: Board Risk Committee (BRC) and Board Executive Committee (BEC).

ADCB benefitted from a comprehensive base-line review by the UAE Central Bank that assessed processes and procedures, which was submitted to the Board Audit and Compliance Committee. Under the guidance of the committee, the Bank took the opportunity of this benchmarking exercise to develop a detailed action plan to ensure implementation of operational best practice.

REINFORCED ESG

We renewed our focus on managing ESG risks and opportunities, creating a comprehensive framework aligned to our five-year business strategy. ADCB received an upgrade in its MSCI ESG rating to ‘AA’ from ‘A’ during the year, partly driven by its digital initiatives to support small businesses, robust customer data protection, and information security practices.

We are in the process of finalising our approach, creating a robust and measurable ESG governance framework supported by revised policies, procedures, and targets. The framework is derived from detailed materiality assessments conducted in 2021 in collaboration with key stakeholders. The Bank is guided by international sustainability reporting standards, including GRI, to ensure complete transparency and effective measurement. In 2022, a new ESG governance structure will be established, including a dedicated ESG Committee with Board oversight.

ROBUST DATA SECURITY AND PRIVACY PROTECTION

We continued to develop our best practice approach to data management, with a specific drive to augment data privacy and security across the Group, including conducting regular simulation exercises. In 2021, we introduced new data privacy modules on the Bank’s e-learning platform, which are mandatory for employees to complete in addition to those already on the curriculum. These included a refresh of compliance, operational risk management and information security modules. More details on data governance and management are included in the Risk Management section of ADCB’s Annual Report.

COMMITTED TO CONSUMER PROTECTION

ADCB welcomed the introduction in 2021 of new consumer protection regulations and standards by the UAE Central Bank and is committed to full compliance, in line with our long-standing approach to fair treatment of customers and transparency. The regulations are designed to enhance conduct, governance and oversight standards, responsible lending practices, information and transparency, access to services, complaints handling, and public awareness.

ADCB’s approach is centered on the foundation that our employees take full responsibility and accountability for compliance with all regulations to protect our customers and our reputation. We remain proactive in providing customers with clarity on the products and services offered by the Bank, including transparent and straightforward descriptions of terms and conditions, fees, and charges.

ENHANCED DISCLOSURE AND INVESTOR ENGAGEMENT

Transparent disclosure, together with regular engagement with the financial community, are at the core of our approach to maintaining strong investor relations. In keeping with this spirit, we introduced medium-term guidance on key financial metrics in the first quarter of 2021, and updated the market on progress throughout the year.

We have also consistently disclosed to the market detailed information on developments related to NMC Group and the Bank’s proactive approach to ensure a successful restructuring process for the company. For the acquisition of the mortgage portfolio from Abu Dhabi Finance (ADF), the Bank rolled out clear and timely communication to customers and other relevant stakeholders. The successful transaction was driven by a strong governance framework, which ensured a rapid and seamless transfer of ADF customers to the ADCB platform.

DEVELOPING PEOPLE AND ORGANISATIONAL HEALTH

The Board Nomination, Compensation, Human Resources, and Governance Committee continued to monitor and benchmark ADCB against international best practice in corporate governance in 2021, while driving significant progress on the development of the Bank’s people and organisational health.

By providing world-class career and training opportunities, the Bank recruited 477 UAE nationals in 2021, with Emiratis now representing 38% of employees at ADCB.

We also commissioned a leading global consultancy firm to conduct an organisational health assessment, which found that ADCB ranks among the top decile of companies in a global index over a three-year period. The Bank ranked in the top decile for coordination and control, innovation and learning, and external orientation. It remained in the top quartile for direction, leadership, capabilities, accountability, and the work environment.

We believe high standards of corporate governance will contribute to our long-term success, encourage trust and engagement with our stakeholders, and reinforce our culture.

Corporate Governance Framework

BOARD INFORMATION

The Board of Directors of ADCB, which comprises 10 members, met six times in 2021. In line with best practice, Ala'a Eraiqat, Group Chief Executive Officer, stepped down from the Board as an Executive Director on 24 March 2021. The Board now exclusively comprises non-executive directors. Throughout the course of the year, Directors received detailed information on a regular basis regarding the activities of the Board and Management Committees as well as developments in the business.

Members of the senior management were invited to all meetings to enhance the Board's engagement and deepen their understanding of the business. However, in line with regulatory requirements, attendance at certain meetings is restricted.

At the start of 2021, the Board had three standing Committees: the Board Audit & Compliance Committee, the Board Risk & Executive Committee and the Board Nomination, Compensation, Human Resources & Governance Committee. The Board Audit & Compliance Committee took on the responsibilities for supervision and follow-up committee of insiders' transactions.

Each member of the Board, with the exception of H.E. Khaldoon Khalifa Al Mubarak (Chairman) and Sheikh Zayed Bin Suroor Al Nahyan, serves on at least one standing Committee.

The Board Committees met a total of 33 times in 2021

Chairmanships and composition of the Committees are reviewed on a regular basis to ensure suitability, and that the mix of skills, experience and knowledge shared amongst each Committees' members are sufficient for each Committee to discharge its duties. Membership is rotated as needed.

RESPONSIBILITIES OF THE BOARD:

The Board is the Bank's principal decision-making forum and has overall responsibility for the organisational structure of the Group and for leading, supervising and controlling the Group and is accountable to the shareholders for creating and delivering sustainable shareholder value through its guidance and supervision of the Group's business.

The Board is responsible for the operations and the financial soundness of the Group, and ensures that the interest of shareholders, depositors, creditors, staff, and other stakeholders, including regulators are met. In particular, it sets the goals, strategies and policies of the Group. The Board monitors the performance of the Group's businesses and guides and supervises the Bank's senior management. The Board acts in the best interests of its various stakeholders while meeting regulatory expectations. The Board recognises that depositors' interests take precedence over shareholders' interests.

THE BOARD IS RESPONSIBLE FOR:

- **Strategy and management**—setting the Bank's long-term objectives and commercial strategy, and monitoring management's performance;
- **Structure and capital**—approving changes relating to capital structure, corporate structure and management and control structures;
- **Financial reporting, planning and controls**—approving interim and final results, annual report and accounts, dividends, business plans, budgets (including funding plans) and forecasts, significant changes in accounting policies or practices, remuneration of and appointment or removal of auditors and other material accounting policies;
- **Internal controls**—setting and monitoring internal controls;
- **Risk**—setting the Bank's risk strategies and appetite and monitoring the Bank's approach to material risks;
- **Major transactions**—approving major capital investments and projects, by reason of materiality or size, including acquisitions, mergers, disposals, and material contracts not in the ordinary course of business;
- **Board and other appointments**—appointment or removal of the GCEO and other senior management, succession planning, terms of reference and membership of Board Committees, annual performance review of directors and Board Committees;
- **Annual evaluation** and supervision of the GCEO;
- **Remuneration**—determining policy for remuneration of directors and senior executives, creation and approval of share incentive plans and other remuneration schemes; and
- **Delegation of authority**—monitoring matters delegated to Board Committees, Management Committees and management.

DIRECTORS' INDEPENDENCE AND MANAGEMENT REPORTING

Independence is an important factor in the Directors' ability to serve in the best interest of ADCB and all its stakeholders. According to the Central Bank of the UAE's Corporate Governance regulation and standards, all board members are considered independent, with the exception of Khalid Deemas Alsuwaidi due to his tenure of over 12 years as a director.

DELEGATION OF AUTHORITY

A Director's power to serve ADCB is conferred upon the Board of Directors as a whole; an individual Director has no particular authority or power when acting on their own, apart from the Chairman, whose powers are not absolute. The Chairman, via a Power of Attorney, has delegated specific powers to the Group Chief Executive Officer, who has sub-delegated through a Power of Attorney specific powers to ADCB's senior management. Each Power of Attorney is valid for a period of three years, after which they are reviewed and, where necessary, renewed for a further three years.

THE GROUP'S APPROACH TO CORPORATE GOVERNANCE

The Group believes in and is committed to good corporate governance, to provide a basis for its future development and sustainable growth, to support trust in its activities as a recipient of depositors' funds and shareholders' capital, and to enable it to contribute to the successful development of the financial system of the UAE. The Group's Corporate Governance Code was last reviewed and approved by the Board in 2020 and it conforms with the applicable Corporate Governance Regulations of the UAE.

The guiding principles of the Group’s Corporate Governance Code are fourfold:

- › **Responsibility** including for the clear division and delegation of authority;
- › **Accountability** in the relationships between the Bank’s senior management and the Board, and between the Board and the shareholders and other stakeholders;
- › **Transparency** and disclosure to enable Stakeholders to assess the Group’s financial performance and condition; and
- › **Fairness** in the treatment of all stakeholders.

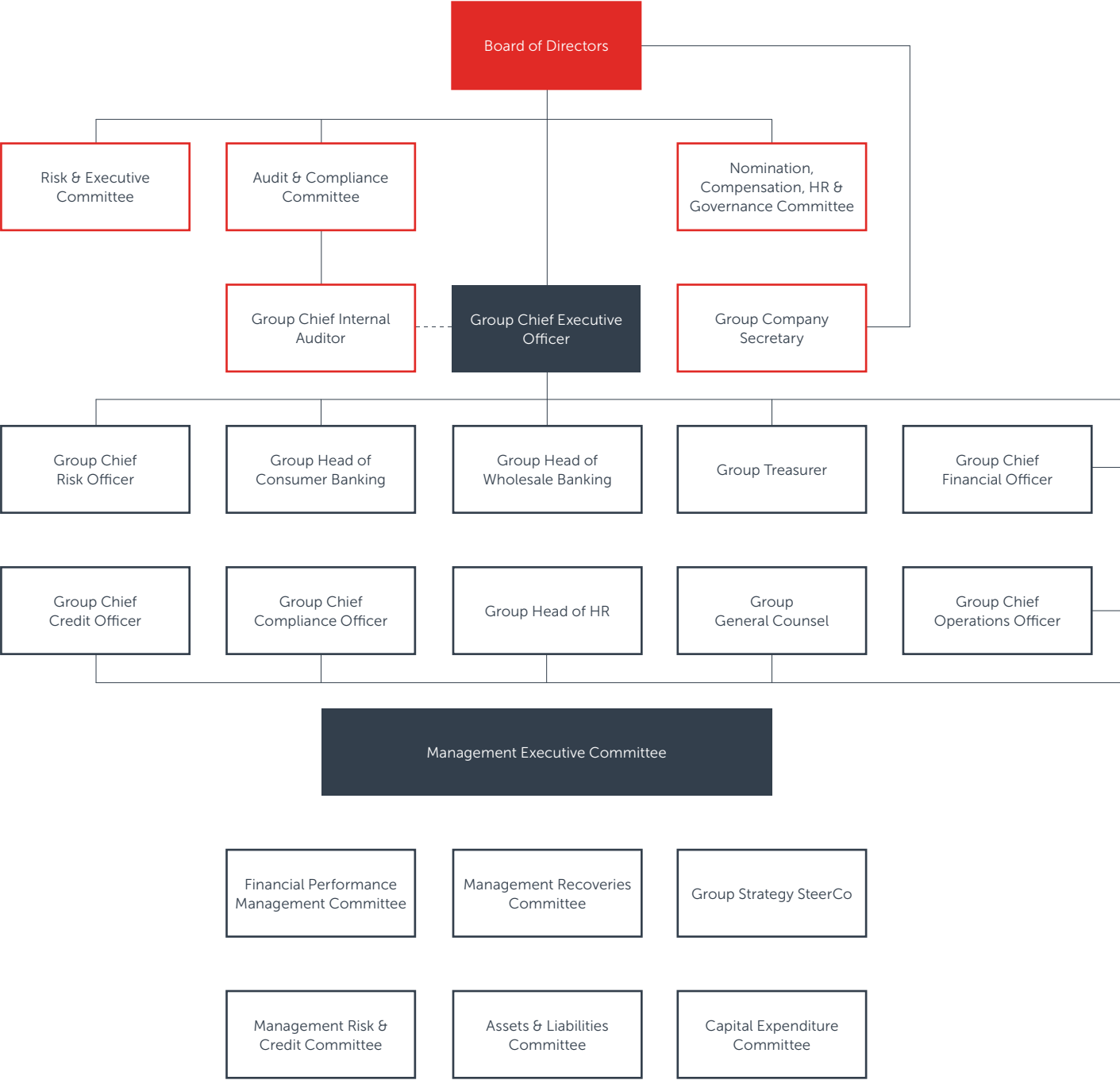
The Board periodically reviews the Group’s corporate governance framework (or elements thereof) to ensure it remains appropriate to the Group’s operational structure and the risks that it faces, as well as its size, complexity, business strategy, risk profile, markets and regulatory requirements.

Key Highlights

- › The Board met 6 times and the Board Committees met a total of 33 times in 2021
- › Board provided oversight and received quarterly updates on progress on implementation of ADCB’s strategy
- › 10% female representation on Board
- › ADCB continues to honour its commitments towards Emiratisation, with 477 nationals recruited in 2021. Emiratis account for 38% of employees at ADCB
- › ESG framework and governance being established with ESG KPIs incorporated into the 2022 performance scorecards of the GCEO and GCFO

Organisational Structure

AS AT 31 DECEMBER 2021



The Group Chief Risk Officer reports directly to the Board Risk & Executive Committee and has a dotted line to the Group Chief Executive Officer.

The Group Chief Compliance Officer reports directly to the Group Chief Executive Officer and has direct access to the Board Audit & Compliance Committee. In addition, the Group Company Secretary has a dotted line to the Group General Counsel.

Board of Directors



H.E. Khaldoon Khalifa Al Mubarak

CHAIRMAN
INDEPENDENT, NON-EXECUTIVE DIRECTOR

H.E. Khaldoon Khalifa Al Mubarak is the Managing Director & Group Chief Executive Officer of Mubadala Investment Company PJSC, responsible for aligning Mubadala with Abu Dhabi’s economic diversification efforts. Beginning his career at the Abu Dhabi National Oil Company, H.E. Al Mubarak held a number of positions at Tawazun Economic Council, formerly known as UAE Offsets Group, before assuming his current portfolio of responsibilities.

H.E. Khaldoon Khalifa Al Mubarak holds a number of UAE Government and Abu Dhabi Government responsibilities, including: a Member of the Abu Dhabi Executive Council since 2006; a Founding Member of Abu Dhabi’s Supreme Council for Financial and Economic Affairs; the Presidential Special Envoy to China since 2018; and the Founding Chairman of the Abu Dhabi Executive Affairs Authority, which has provided strategic policy advice to the Chairman of the Abu Dhabi Executive Council since 2006.

Degree in Economics & Finance (Tufts University, USA)

EXTERNAL APPOINTMENTS:

- › Abu Dhabi Executive Affairs Authority, Chairman (2006), UAE
- › Emirates Nuclear Energy Corporation, Chairman (2009), UAE
- › Emirates Global Aluminium PJSC, Chairman (2014), UAE
- › City Football Group Limited, Chairman (2008), UK
- › Abu Dhabi Executive Council, Member (2006), UAE
- › UAE Supreme Council for Financial & Economic Affairs, Member (2020), UAE
- › Abu Dhabi National Oil Company, Member (2021), UAE



H.E. Hussain Jasim Naser Al Nowais

VICE CHAIRMAN
INDEPENDENT, NON-EXECUTIVE DIRECTOR

Chairman of the Board Nomination, Compensation, HR & Governance Committee

H.E. Hussain Jasim Naser Al Nowais joined the ADCB Board in 2019. He is the Founding Member and Chairman of AlNowais Investments.

BSc Business Finance (Lewis & Clark College, USA)

EXTERNAL APPOINTMENTS:

- › AMEA Power LLC, Chairman (2016), UAE
- › AlNowais Investments LLC, Chairman (2016), UAE
- › Rotana Hotels and Real Estate Investment, Member (2006), UAE



Saeed Mohamed Hamad Almazrouei

INDEPENDENT, NON-EXECUTIVE DIRECTOR

Chairman of the Board Risk & Executive Committee

Saeed Almazrouei was appointed to the ADCB Board of Directors in 2019. Saeed Almazrouei is the Deputy Platform CEO, Direct Investments, at Mubadala Investment Company PJSC. In this role, he oversees platform-wide activities, supports the delivery of the platform’s investment strategy, manages the platform’s capital allocation, ensures the successful implementation of capital deployment and monetisation transactions and assesses value, risks and expected returns.

Before his current position, Saeed Almazrouei was Deputy Chief Financial Officer at Mubadala Investment Company PJSC, where he oversaw the group-wide finance function and delivery of the company’s growth strategy, supporting various acquisitive transactions and asset monetisations. He was also responsible for all Treasury activities including Mubadala’s bond issuances and project financing.

MSc International Securities Investment and Banking (University of Reading, UK)
MSc National Security and Strategic Studies (National Defense College, UAE)
BSc Finance (Suffolk University, USA)

EXTERNAL APPOINTMENTS:

- › Borealis AG, Non-Executive Director (2020), Austria
- › Nova Chemicals Corporation, Non-Executive Director (2021), Canada
- › Aabar Investments PJSC, Non-Executive Director (2017), UAE
- › Abu Dhabi Retirement Pension & Benefits Fund—(Operating Company), Non-Executive Director (2019), UAE
- › CEPESA—Compañía Española de Petróleos S.A., Non-Executive Director (2019), Spain
- › OMV AG, Non-Executive Director (2021), Austria
- › International Petroleum Investment Company, Non-Executive Director, UAE
- › Yas Holding LLC, Non-Executive Director (2021), UAE



Aysha Al Hallami

INDEPENDENT, NON-EXECUTIVE DIRECTOR

Chairlady of the Board Audit & Compliance Committee

Aysha Al Hallami was elected by Abu Dhabi Investment Council to join the ADCB Board of Directors in April 2013. In June 2021, Aysha moved to the Abu Dhabi Investment Authority’s newly created Core Portfolio Department to help develop its comprehensive strategy.

Chartered Financial Analyst (CFA Institute, USA)
Private Equity and Venture Capital (Harvard Business School, USA)
MSc Finance & Banking (Cass Business School, City University, UK)
BSc Business Sciences, Finance (Zayed University, UAE)

Aysha Al Hallami does not hold any external directorships.

Board of Directors

(continued)



Carlos Obeid

INDEPENDENT, NON-EXECUTIVE DIRECTOR

Carlos Obeid joined the ADCB Board of Directors in 2019. Carlos Obeid is the Group Chief Financial Officer of Mubadala Investment Company PJSC and is responsible for managing the organisation’s Business Finance including Treasury and Investor Relations, Financial Planning and Business Performance, and Financial Governance and Reporting.

Before joining Mubadala, Carlos Obeid worked with the UAE Offset Program Bureau, where he led a wide range of initiatives including privatisation, utilities and financial services.

MSc Business Administration (INSEAD)
BSc Electrical Engineering (American University of Beirut)

EXTERNAL APPOINTMENTS:

- › Mubadala Infrastructure Partners Limited, Chairman (2008), UAE
- › Cleveland Clinic Abu Dhabi LLC, Non-Executive Director (2010), UAE
- › GlobalFoundries Inc, Non-Executive Director (2012), USA
- › Mubadala Capital, Non-Executive Director, (2021), UAE



Khalid Deemas Alsuwaidi

NON-EXECUTIVE DIRECTOR

Khalid Deemas Alsuwaidi was appointed by Abu Dhabi Investment Council (ADIC) to join the ADCB Board of Directors in March 2009. In 2012, he was nominated and elected by ADCB shareholders to act as a Director and, in March 2015, he was again nominated and elected by ADIC to act as a Director. He has more than 16 years of banking experience, having held senior management positions at National Bank of Abu Dhabi and First Gulf Bank.

MSc Business Administration, minor in Management Information Systems and Strategic Planning (Widener University, USA)
BSc Computer Information Systems (Bethune Cookman College, USA)

EXTERNAL APPOINTMENTS:

- › Group CEO of Das Holding
- › Abu Dhabi National Takaful Company PSC, Vice-Chairman (2008), UAE
- › Manazel Group, Non-Executive Director (2009), UAE



Ahmed Saeed Al Calily

INDEPENDENT, NON-EXECUTIVE DIRECTOR

Ahmed Al Calily is the Chief Strategy & Risk Officer at Mubadala Investment Company PJSC, where he is responsible for the company’s Corporate Strategy, ESG, and Enterprise Risk Management framework.

Ahmed Al Calily’s diverse professional experience includes several leadership positions as well as Board positions on various companies. Previously, he was the CEO of Energy at Mubadala Development Company where he oversaw the company’s energy assets.

BSc Economics and Political Science (Boston University, USA)

EXTERNAL APPOINTMENTS:

- › Medical Holding Company LLC, Non-Executive Director (2017), UAE
- › Cleveland Clinic Abu Dhabi LLC, Non-Executive Director (2020), UAE
- › Abu Dhabi Future Energy Company PJSC—Masdar, Non-Executive Director (2019), UAE
- › GlobalFoundries Inc, Non-Executive Director (2019), UAE



Sheikh Zayed Bin Suroor Al Nahyan

INDEPENDENT, NON-EXECUTIVE DIRECTOR

Sheikh Zayed was appointed as a Director of ADCB in 2021, having gained experience working at National Bank of Abu Dhabi and Morgan Stanley.

MSc Computer Science (University College London, UK)
BSc Business Management (University of Sussex, UK)

Sheikh Zayed does not hold any external directorships.

Board of Directors

(continued)



Mohamed Ali Aldhaheri

INDEPENDENT, NON-EXECUTIVE DIRECTOR

Mohamed Ali Aldhaheri joined ADCB’s Board of Directors in 2020. He has a comprehensive background in the financial sector with more than 22 years of experience. He served in various senior roles within financial institutions, and currently holds the position of the Deputy CEO & Executive Director of the Accounting & Financial Services Department at Abu Dhabi Investment Council.

EXTERNAL APPOINTMENTS:

- › Abu Dhabi Investment Company (Invest AD), Chairman (2015), UAE



Khaled H. Alkhoori

INDEPENDENT, NON-EXECUTIVE DIRECTOR

Khaled H. Alkhoori was elected by ADCB shareholders to join the Bank’s Board of Directors in April 2012. Since January 2006, he has been the Chairman of Orient House for Development and Construction LLC.

MSc Civil Engineering (Northeastern University, USA)
BSc Civil Engineering (Northeastern University, USA)

EXTERNAL APPOINTMENTS:

- › Abu Dhabi National Hotels PJSC, Non-Executive Director (2009), UAE



Abdulla Khalil Almutawa

NON-EXECUTIVE DIRECTOR

ADCB’s shareholders nominated Abdulla Khalil Almutawa to join the ADCB Board of Directors in March 1997. He is a skilled and dedicated investment professional with more than 35 years of experience and a comprehensive background in finance and administration.

Abdulla Khalil Almutawa retired from the ADCB Board on 26 January 2021 and the resulting vacancy was subsequently filled by Sheikh Zayed Bin Suroor Al Nahyan.

BSc Business Administration (University of North Carolina, USA)

COMPETENCIES AND BOARD TRAINING

ADCB assesses the expertise and competencies of its Board members through a mapping exercise that is annually updated to ensure the skills and experience of Directors remain relevant to the Bank’s strategy and operating environment. The procedure for suitability assessment and appointment of Board members, who must be vetted by the UAE Central Bank is a key element of the Group’s governance system.

The Board brings a wealth of experience, including in the areas of finance, audit, accounting, risk management and governance, strategic planning and information technology. The Board receives regular training to ensure members remain at the forefront of new developments in the banking and regulatory landscape, and also regularly engages with senior management at the Bank on specialist topics when required. Upcoming training includes (amongst others) in-depth sessions on credit and liquidity, the evolving regulatory framework, digitisation and cyber risk.

Board Governance

APPOINTMENT, RETIREMENT AND RE-ELECTION

ADCB recognises that an effective board is crucial to the success of its business and the ability of the Bank to serve in the interests of all stakeholders.

According to ADCB’s articles of association, all Directors are required to seek re-election by shareholders every three years. In the event that a vacancy arises, Directors are permitted to elect any individual nominated to fill the vacancy, but any Director appointed in this manner must seek election by the shareholders at the next annual general meeting. Our major shareholder, One Hundred and Fourteenth Investment Company LLC, a wholly owned Mubadala subsidiary, has the right to elect a percentage of the Board that is proportionate to its holding of ADCB’s share capital. The Shareholder Circular (in respect of the merger of Abu Dhabi Commercial Bank PJSC and Union National Bank PJSC by way of a merger pursuant to Article 283(1) of the UAE Federal Law No. 2 of 2015, Concerning Commercial Companies), provided for the appointment of members of the Board, upon the conclusion of the merger, for a term of three years ending in 2022.

ADCB’s Director Selection Policy reflects the fit and proper criteria for the selection, appointment and re-election of Directors, in accordance with applicable regulations. Any candidate for appointment as a Director must be pre-approved by the Central Bank of the UAE.

As of year-end 2021, One Hundred and Fourteenth Investment Company LLC held 60.2% of ADCB’s issued share capital and, consequently, had the right to appoint six Directors and to vote a further 0.2% of ADCB’s capital at the Board elections.

BOARD OVERSIGHT OF RISK MANAGEMENT

Risk management is a crucial part of ADCB’s corporate governance framework. The Board of Directors has overall responsibility for setting ADCB’s risk appetite and ensuring risk is effectively managed.

The Board Risk & Executive Committee oversees risk monitoring and management and reviews all risk types. It works with management to define risk appetite and strategy as appropriate for particular sectors, geographic regions and customer types. It periodically reviews and monitors compliance with the Group’s overall risk appetite and makes recommendations to the Board.

The Board Risk & Executive Committee’s responsibility also includes reviewing the appropriateness and effectiveness of the Group’s risk management systems and controls, reviewing the outcome of stress tests and ADCB’s stress-testing methodology and ensuring that ADCB’s risk governance is supportive of prudent risk-taking at all levels in ADCB.

During 2021, the Board Risk & Executive Committee also sought assurance from senior management that the Central Bank of the UAE’s regulations had been suitably addressed and reported accordingly to the Board.

The Board and Executive Management also foster a culture of compliance. They have created an environment where employees at all levels are empowered to confront improper behaviour, raise grievances and suggest better ways to pursue the Group’s strategic goals.

Top decile for organisational health

among global companies surveyed over a three-year period

BOARD OVERSIGHT OF FINANCIAL REPORTING, COMPLIANCE AND INTERNAL CONTROLS

Oversight of financial reporting and integrity of ADCB’s financial disclosures are also key roles performed by the Board. In 2021, the Board Audit & Compliance Committee assessed the objectivity and effectiveness of ADCB’s financial reporting and disclosure process. This included monitoring ADCB’s choice of accounting policies, principles and judgments. The Board Audit & Compliance Committee ensured that adequate internal policies were implemented and kept up to date to comply with the Central Bank of the UAE’s and the Securities and Commodities Authority’s regulatory requirements, including receiving updates from management on remediation activities relating to the Central Bank of the UAE’s review and action plans to ensure compliance with new regulations.

ANNUAL GENERAL MEETING

Our general assembly meeting setup allows shareholders to participate in a hybrid or virtual-only meeting format. The general meeting of 2020 was held in a hybrid format, while 2021 was held in a 100% virtual format for shareholders. Shareholders were able to fully exercise all their rights to attend and participate in meetings in real time. 67.27% of the total shares were represented in 2021 and 81.17% in 2020. The meeting resolutions are disclosed to the Abu Dhabi Stock Exchange, while the signed minutes of the assembly are sent to the Securities and Commodities Authority. Results and resolution of the meeting are announced on our corporate website. For further information, please visit the Annual General Assembly section on adcb.com/ir.

CULTURE

A key responsibility of the Board is to ensure that ADCB builds and maintains a healthy culture. ADCB believes that companies that attach equal importance to performance and culture achieve exceptional results over time.

The Board is committed to supporting gender diversity. As a result, as at 31 December 2021, women represented 10% of ADCB’s Board membership. Going forward, in line with regulatory requirements, ADCB will ensure that at least 20% of candidates considered for Board membership are female and that at least 10% of Board members are female.

Length of Board tenure (NUMBER OF DIRECTORS)



0–3 years:

- › H.E. Khaldoon Al Mubarak (2020)
- › Mohamed Aldhaheeri (2020)
- › Ahmed Saeed Al Calily (2020)
- › Sheikh Zayed Bin Suroor Al Nahyan (2021)
- › H.E. Hussain Al Nowais (2019)
- › Saeed Almazrouei (2019)
- › Carlos Obeid (2019)

3–6 years:

- › Nil

6–9 years:

- › Aysha Al Hallami (2013)
- › Khaled Alkhoori (2012)

9–12 years:

- › Nil

12+ years:

- › Khalid Deemas Alsuwaidi (2009)

According to the Central Bank of the UAE’s Corporate Governance regulation and standards, a Board director is categorised as non-independent when the length of tenure exceeds 12 years.

Board Oversight

of the Group Structure

ADCB has robust processes for establishing and dissolving entities within the Group. The Board ensures that the Group’s legal, organisational and operational structure is suitable for its needs. The following is the list of subsidiaries of the Bank as at 31 December 2021:

NAME OF SUBSIDIARY	OWNERSHIP INTEREST	YEAR	COUNTRY	PRINCIPAL ACTIVITIES
ADCB Securities LLC	100%	2005	UAE	Agent in trading of financial instruments and stocks
Abu Dhabi Commercial Properties LLC	100%	2005	UAE	Real estate property management and advisory services
Kinetic Infrastructure Development LLC	100%	2006	UAE	Financial investments
Abu Dhabi Commercial Property Development LLC ¹	100%	2006	UAE	Property development
Abu Dhabi Commercial Engineering Services LLC	100%	2007	UAE	Engineering services
ADCB Finance (Cayman) Limited	100%	2008	Cayman Islands	Treasury financing activities
ADCB Markets (Cayman) Limited	100%	2008	Cayman Islands	Treasury related activities
ACB LTIP (IOM) Limited	Controlling Interest	2008	Isle of Man	Trust activities
Abu Dhabi Commercial Bank (UK Representative Office) LTD ^{2, 3}	100%	2008	United Kingdom	UK representative office and process service agent
ITMAM Services FZ LLC	100%	2010	UAE	Transaction processing and back office support for the Group
AD NAC Ventures WLL	99.75%	2012	Bahrain	Trust activities
ITMAM Services LLC	100%	2013	UAE	Transaction processing and back office support for the Group
Common Services SARL	100%	2018	Luxembourg	Acquisition, holding, management and disposal of participations and interests
ADCB Asset Management Limited	100%	2018	UAE	Wealth management and private banking
Al Wifaq Finance Company PrJSC	90.08%	2006	UAE	Shari’ah compliant Islamic finance products and services
Union Brokerage LLC ²	100%	2002	UAE	Agent in trading of financial instruments and stocks
Abu Dhabi Commercial Bank—Egypt	99.78%	1981	Egypt	Commercial banking services
Al Hilal Bank PJSC	100%	2007	UAE	Islamic banking activities
Al Hilal Islamic Bank JSC	100%	2010	Kazakhstan	Islamic banking activities
Al Hilal Leasing LLP	100%	2011	Kazakhstan	Shari’ah compliant leasing operations
Al Hilal Auto LLC ³	100%	2009	UAE	Shari’ah compliant trading in new and used cars
AHB Sukuk Company Limited	Controlling Interest	2011	Cayman Islands	Treasury financing activities
Alexandria New Medical Centre SAE ³	51.54%	1983	Egypt	Healthcare services

1 dormant 2 under liquidation 3 discontinued operations/held for sale

ADCB’s Board of Directors set out and approve ADCB Group’s corporate governance framework and ensure that the management of the subsidiary companies adopt an appropriate corporate governance framework.

The Group does not have any subsidiary with material non-controlling interests.

Board Oversight

of Related Party Transactions

ADCB has a Related Party Transactions Policy, which details the processes in place to identify, assess, monitor and report the Group’s exposures to related parties. Upon appointment and every quarter thereafter, all Directors are required to disclose their related parties. The Board Secretariat maintains a ‘conflicts of interest’ and ‘related parties’ register, which is reviewed by the Board Nomination, Compensation, Human Resources & Governance Committee every quarter.

During 2021, all related party transactions were conducted on an arms-length basis and approved by the Board. Directors with potential conflicts did not participate in relevant discussions or vote. These transactions were undertaken as part of ADCB’s day-to-day operations.

ADCB Directors’ Related Party Shareholdings

NAME	KINSHIP	AS AT 31 DECEMBER, 2021	AS AT 31 DECEMBER, 2020	CHANGE IN SHAREHOLDING
AMENA HUSSAIN AL NOWAIS	Daughter of H.E. Hussain Al Nowais	779,867	779,867	N/A
ALI HUSSAIN AL NOWAIS	Son of H.E. Hussain Al Nowais	657,751	657,751	N/A
MOHAMED HUSSAIN AL NOWAIS	Son of H.E. Hussain Al Nowais	657,751	657,751	N/A
MARWAN KHALID DEEMAS	Son of Khalid Deemas	1,706	1,706	N/A
H.E. AHMED SULTAN AL HALLAMI	Father of Aysha Al Hallami	803,870	803,870	N/A
ARIJ AZZAM	Wife of Carlos Obeid	17,636	7,337	+10,299

Related Party Transactions

	ULTIMATE CONTROLLING PARTY AND ITS RELATED PARTIES AED'000	DIRECTORS AND THEIR RELATED PARTIES AED'000	KEY MANAGEMENT PERSONNEL AED'000	ASSOCIATES AND FUNDS UNDER MANAGEMENT AED'000	TOTAL AED'000
Balances as at 31 December, 2021					
Deposits and balances due from banks	14,026	–	–	–	14,026
Financial assets at fair value through profit or loss	571,837	–	–	–	571,837
Derivative financial instruments—assets	1,147,429	184,802	–	–	1,332,231
Investment securities	24,504,444	–	–	212,061	24,716,505
Loans and advances to customers	49,106,303	4,502,292	32,409	157,944	53,798,948
Other assets	259,414	21,594	39	2,419	283,466
Due to banks	92	–	–	–	92
Derivative financial instruments—liabilities	807,269	4,453	–	–	811,722
Deposits from customers	94,181,012	429,125	72,039	56,125	94,738,301
Other liabilities	126,860	26	17,783	–	144,669
Capital notes	6,000,000	–	–	–	6,000,000
Commitments and contingent liabilities	13,502,374	11,643	3,556	4,285	13,521,858
Transactions for the year ended 31 December, 2021					
Interest income, Islamic financing income, fees and other income	1,434,810	98,474	938	23,748	1,557,970
Interest expense and Islamic profit distribution	280,186	494	49	–	280,729
Net losses from dealing in derivatives	298,940	310,901	–	–	609,841
Impairment charge	10,727	–	–	–	10,727
Share in profit of associates	–	–	–	7,663	7,663
Coupons paid on capital notes	173,698	–	–	–	173,698

The Group enters into transactions with the parent and its related entities, associates, funds under management, directors, senior management and their related entities and the **Government of Abu Dhabi (ultimate controlling party and its related entities)** in the ordinary course of business at commercial interest and commission rates.

As a result of written declarations submitted by each of the Board members, the Board satisfies itself that the other commitments of the Directors do not conflict with their duties or that, where conflicts arise, the Board is sufficiently aware and policies are in place to minimise the risks.

Parent and ultimate controlling party:
Mubadala Investment Company holds 60.2% of the Bank’s issued and fully paid up share capital through its wholly owned subsidiary One Hundred and Fourteenth Investment Company—Sole Proprietorship LLC (31 December, 2020—60.2% held by Mubadala Investment Company through Abu Dhabi Investment Council Company PJSC) (Note 22). **The Government of Abu Dhabi owns 100% of Mubadala Investment Company and so the ultimate controlling party is the Government of Abu Dhabi.**

Board Remuneration Performance Evaluation

PERFORMANCE EVALUATION

A performance evaluation of the Board, Board Committees and individual Directors is conducted on an annual basis, with a view to constructively identify areas of success and achievement, as well as areas that may require improvement. In addition, an external consultant is appointed to independently evaluate the performance of the Board, Board Committees and individual Directors at least once every three years.

When a Board performance evaluation exercise is conducted, the most relevant themes from the evaluation are presented to the Board Nomination, Compensation, HR & Governance Committee, in the form of an action list, which monitors its implementation. The Chairman of the Board Nomination, Compensation, HR & Governance Committee subsequently briefs the Board of Directors of the aforementioned.

BOARD REMUNERATION

Directors’ remuneration is set annually by the Board following delegation from ADCB’s shareholders. Any proposals for changes are considered by the Board Nomination, Compensation, HR & Governance Committee prior to obtaining necessary Board and/or shareholders approvals.

According to applicable laws and ADCB’s articles of association, Directors may not receive any remuneration in years when ADCB does not achieve net profits.

The Board’s proposed total remuneration for the year ending 31 December 2021 to be paid in 2022 is a fixed amount totalling approximately AED 25 million subject to the shareholders’ approval at the Annual General Assembly. The Board’s total remuneration paid in 2021 for the year ended 31 December 2020 stood at AED 17,398,715 including VAT. ADCB’s Directors were not eligible for any additional allowances, salaries or fees, bonuses, long-term or other incentive schemes. Directors do not receive any pension benefits from ADCB.

ADCB Directors’ Shareholdings

NAME	AS AT 31 DECEMBER 2021	AS AT 31 DECEMBER 2020	CHANGE IN SHAREHOLDING
H.E. KHALDOON AL MUBARAK	440,854	440,854	N/A
H.E. HUSSAIN AL NOWAIS	0	0	N/A
AYSHA AL HALLAMI	0	0	N/A
SHEIKH ZAYED BIN SUROOR AL NAHYAN ¹	1,819,630	0	+1,819,630
KHALED H. ALKHOORI	1,694,136	1,460,000	+234,136
KHALID DEEMAS ALSUWAIDI	14,915	14,915	N/A
CARLOS OBEID	0	0	N/A
SAEED MOHAMED HAMAD ALMAZROUEI	0	0	N/A
AHMED SAEED AL CALILY	0	0	N/A
MOHAMED ALI ALDHAHERI	0	0	N/A

1 Board member appointed in 2021 AGM on 24 March 2021

Board Remuneration

for 2020 paid in 2021

Board Renumeration 2020

All figures in the table in AED and excl. VAT

2020 TOTAL AMOUNT		
	KHALDOON KHALIFA AL MUBARAK ^(a) Chairman of the Board	1,601,753
	HUSSAIN J. AL NOWAIS ^(b)	1,403,712
	ALA'A ERAIQAT ¹	–
	SAEED MOHAMED HAMAD ALMAZROUEI	1,811,000
	AYSHA AL HALLAMI	1,787,000
	CARLOS OBEID	1,750,000
	KHALED H. ALKHOORI	1,716,000
	AHMED SAEED AL CALILY ^(c)	1,131,205
	KHALID DEEMAS ALSUWAIDI	1,410,000
	MOHAMED ALI ALDHAHERI ^(d)	1,107,205
	SHEIKH ZAYED BIN SUROOR AL NAHYAN	–
	EISSA AL SUWAIDI ^(a)	466,247
	ABDULLA KHALIL ALMUTAWA	1,708,000
	MOHAMED DHAEN MAHASOON AL HAMLI ^(b)	381,288
	MOHAMED HAMAD GHANEM AL MEHAIRI	296,795
16,570,205		
VAT @ 5%		828,510
17,398,715		

1 Resigned from the Board in March 2021
(a), (b), (c), (d) Part of the year 2020

Board remuneration proposed for 2021 for approval at the AGM in March 2022 is circa AED 25 mn

The Board's Agenda

in 2021

The Board regularly discusses items that are fundamental to the direction of ADCB, including business performance, long-term planning, strategy, risk appetite and management, succession planning, and human resources.

AREA	Q1 2021	Q2 2021	Q3 2021	Q4 2021
Governance	› 2021 Annual General Assembly (AGA) agenda › Reports from Committee Chairs, Committee minutes and other reports › CB governance regulations—action plan › Annual Shari’ah report 2020 › ADCB Annual Report 2020 › Conflict of interest and related parties report › Directors’ shareholdings Q4’2020 › Directors induction package index 2021 › Directors skillset requirements update › Directors independence update › Board membership proposal › Board Committees composition › IFRS 9 governance process › Sanctions policy › Whistle-blower update	› Reports from Committee Chairs, Committee minutes and other reports › CB governance regulations—action plan › Conflict of interest and related parties report › Directors’ shareholdings Q1’ 2021 › IFRS 9 governance process › Regulatory compliance policy › Corporate data classification policy › Internal rate setting guideline (IRSG) document for EIBOR › Organisation health index (OHI) update › Data management policy update › Cloud service risk management policy › Data privacy policy › Data quality risk management policy › Treasury limit breach management policy › Country risk policy › UAECB consumer protection regulation & standards update › Islamic Finance policy › UAECB standards regarding risk management requirements for Islamic Banks › New Bond Prop trading policy › Fixed income trading policy › Review of Management Executive Committee terms of reference › UAECB notice regarding medium sized enterprise market conduct regulation	› Reports from Committee Chairs, Committee minutes and other reports › Conflict of interest and related parties report › Directors’ shareholdings Q2’ 2021 › IFRS 9 governance process › UAECB regulations on local dealing with branches of foreign banks operation in UAE › Review of LGD model version 2 › Identification & review of policies for financial instrument measured at fair value › Review of procurement policy › UAECB examiner’s report-limited scope asset quality review › Islamic ALM policy › Internal capital adequacy assessment process (ICAAP) policy › Code of Corporate Governance › Environmental, Social, and Governance (ESG) framework update › UAECB Notice regarding minimum capital for banks regulation › UAECB Notice regarding outsourcing regulation and accompanying standards for banks	› Reports from Committee Chairs, Committee minutes and other reports › Conflict of interest and related parties report › Directors’ shareholdings Q3’ 2021 › IFRS 9 governance process › Outstanding UAECB’s approvals › External auditor independence letter › UAECB baseline examination review observations › CB governance regulations (action plan) › Committee’s statement for year 2021 and schedules for year 2022 › Defence Equipment policy › Sustainability strategy update › Code of Corporate Governance policy › Board evaluation › Board Committees’ terms of references › Management Executive Committee terms of reference › Organisational Health Survey (OHI) findings › UAECB notice regarding the HSA’s Resolution on Adoption of the Payments Cards Standards › AML/CFT baseline examination report—action plan › Internal Shari’ah Supervision Committee (ISSC) charter › AGA agenda 2022

The Board’s Agenda

in 2021 (continued)

AREA	Q1 2021	Q2 2021	Q3 2021	Q4 2021
Financial performance, planning and controls	› 2021 performance scorecards and variable pay implementation › Financial results for 2020 › External auditors presentation › Competitor analysis update	› Financial results for Q1’ 2021 › External auditors presentation › External auditors report on internal control over financial reporting & management letter for 2020 › Revision of credit conversion on guarantees › Purchase or originated credit-impaired (POCI) assessment update	› Financial results for Q2’ 2021 › External auditors presentation › Impact of capital hedging- ADCB Egypt › Review of financial performance versus strategy	› Financial results for Q3’ 2021 › 2021 external audit plan › Budget 2022 › Key accounts strategy
Business update	› GCEO update › Information security update › GCCO update	› GCEO update › Large exposure update › Economic sector limits update › Deep dive performance against strategy—Egypt	› GCEO update › Group Business Service (GBS) update › GCCO update › Wealth Management update	› GCEO update › GCCO update › Islamic window update › Liquidity bond portfolio and country limits
HR	› ADCB variable pay pool 2020 › Deferred compensation plan update › HR update › GCEO’s KPIs	› Board remuneration benchmarking › Board Committees sitting fees › GCEO’s remuneration	› HR update › Confirmation of senior management staff › Performance recognition reward for H1’ 2021 › Vesting of deferred compensation › Appointment of a member of Internal Shari’ah Supervision Committee of the Bank	› HR update › Fixed pay review › Vesting of deferred compensation

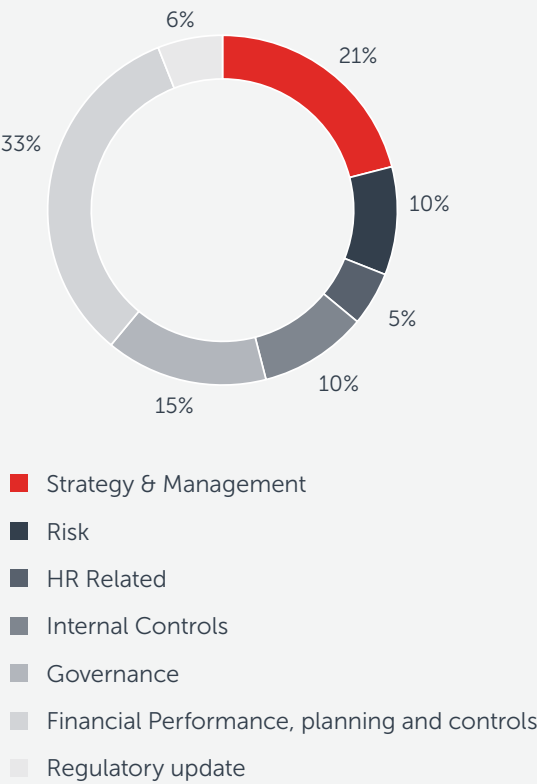
AREA	Q1 2021	Q2 2021	Q3 2021	Q4 2021
Audit and internal controls	› Group Internal audit update › Declaration of internal audit independence › Internal audit group 2021 audit plan › Risk assessment methodology for selection of audits › Internal audit staff profile & competencies › Three year strategic audit plan 2021-2023 › Internal audit-staff plan 2021 › Internal audit-training plan 2021 › Internal audit-budget 2021 › Statutory audit fees 2021 and evaluation › Internal audit annual report 2020 › Internal audit quality assurance assessment › Internal audit manual update › Internal audit strategy progress update for 2020-2022	› Group Internal audit update › Internal audit plan 2021	› Group Internal audit update › Internal audit semi-annual report 2021	› Group Internal audit update
Risk and compliance	› Credit risk appetite—sector limits › GCRO update › Group compliance update for 2020 › GCRO performance assessment › GCRO update	› Group compliance plan 2021 › Group compliance update Q1’ 2021 › 2021 annual ICAAP and stress testing › GCRO update › Country prudential threshold 2021 › Key accounts update	› Group compliance update Q2’ 2021 › GCRO update › Central Bank stress testing 2021 › Annual risk report on incentive schemes	› Group compliance update Q3’ 2021 › Annual report on commission incentive schemes—Changes to the Bank’s incentive schemes
Strategic items	› Group strategy progress dashboard › Group Strategy update on digital initiatives	› ADCB digital technology roadmap (later became part of Group strategy progress dashboard) › Group strategy progress dashboard (including AHB strategy update and ADCB-Egypt strategy update)	› Group strategy progress dashboard	› Group strategy progress dashboard

2021 Board Meetings and Time Allocation

2021 Board of Directors Meetings

DATE OF BOARD MEETING	NUMBER OF DIRECTOR ATTENDEES	NUMBER OF DIRECTOR ATTENDEES BY PROXY	NAMES OF ABSENT DIRECTORS (ALL ATTENDED EXCEPT)	NUMBER OF BOARD RESOLUTIONS PASSED
31 JANUARY 2021	10/11 ¹	NA	–	6
21 MARCH 2021	10/11	1	SHEIKH ZAYED BIN SUROOR AL NAHYAN	4
25 APRIL 2021	10/10 ²	NA	–	6
18 JULY 2021	8/10	2	H.E. KHALDOON AL MUBARAK SAEED ALMAZROUEI	6
31 OCTOBER 2021	10/10	NA	–	5
29 NOVEMBER 2021	9/10	NA	KHALID DEEMAS ALSUWAIDI	4

Board Allocation of Time



1 Abdullah Almutawa retired from ADCB’s Board of Directors on 26 January 2021. His vacancy was filled by Sheikh Zayed Bin Suroor Al Nahyan, which was formally approved by the shareholders at ADCB’s Annual General Assembly on 24 March 2021. Since ADCB’s Annual General Assembly meeting was scheduled after the 21 March 2021 Board of Directors meeting, Sheikh Zayed Bin Suroor Al Nahyan did not attend the Board of Directors meeting and had instead provided his proxy to the Chairman.

2 Ala’a Eraiqat resigned as a member of the Board of Directors at ADCB’s Annual General Assembly on 24 March 2021, in compliance with the new Central Bank of the UAE’s Corporate Governance Regulation & Standards, and his vacancy has yet to be filled.

Board Risk & Executive Committee (BREC)

Committee Composition

At 31 December 2021



2021 BREC Meetings

DATE OF BREC MEETING	NUMBER OF ATTENDEES	NAMES OF ABSENT MEMBERS
14 JANUARY 2021	5/5 ¹	–
4 FEBRUARY 2021	4/4	–
25 FEBRUARY 2021	4/4	–
4 MARCH 2021	4/4	–
11 MARCH 2021	4/4	–
18 MARCH 2021	4/4	–
8 APRIL 2021	4/4	–
6 MAY 2021	4/4	–
27 MAY 2021	3/4	SAEED ALMAZROUEI
24 JUNE 2021	4/4	–
14 JULY 2021	4/4	–
2 SEPTEMBER 2021	4/4	–
16 SEPTEMBER 2021	4/4	–
29 SEPTEMBER 2021	3/4	CARLOS OBEID
28 OCTOBER 2021	4/4	–
4 NOVEMBER 2021	4/4	–
17 NOVEMBER 2021	3/4	CARLOS OBEID
25 NOVEMBER 2021	3/4	SAEED ALMAZROUEI

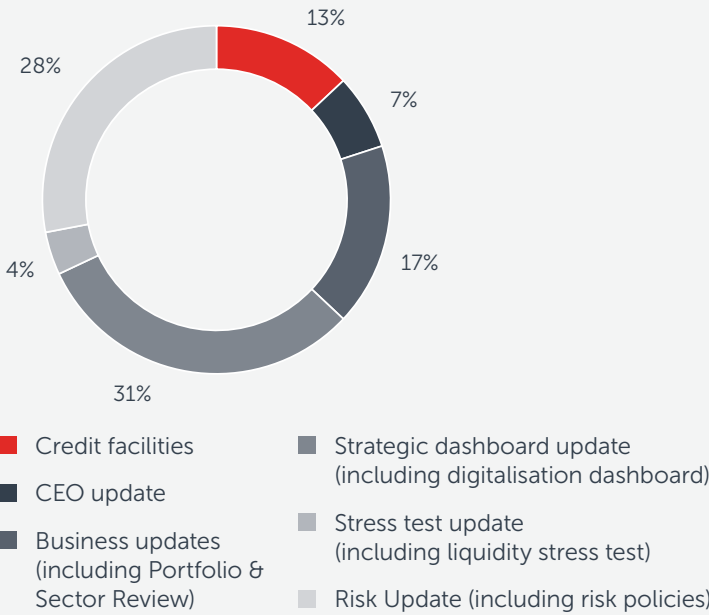
1 Following the retirement of Abdullah Almutawa on 26 January 2021, the composition of the BREC was reduced from 5 members to 4 members.

Our Remit

The primary responsibility of the Board Risk and Executive Committee (BREC) is to help the Board to fulfil its duties by ensuring the successful implementation of:

- › ADCB’s development of strategy and business performance against the approved strategy;
- › ADCB-wide risk governance framework, which includes ADCB’s risk appetite;
- › ADCB’s development of risk management tools and compliance with regulatory requirements relating to risk management;
- › ADCB’s progress of technology transformation; and
- › ADCB’s significant credit commitments.

Time Allocation for 2021 BREC Meetings



Statement from the BREC Chairman

Dear Shareholders,

During 2021, the BREC held eighteen meetings, during which the committee:

- › Reviewed the development of ADCB’s strategy, performance and achievement of annual targets;
- › Reviewed ADCB’s budget;
- › Reviewed ADCB’s risk profile and ensured that it was managed within the context of the risk appetite approved by the Board;
- › Reviewed the Bank-wide risk governance framework, which includes ADCB’s risk culture, risk appetite and risk limits;
- › Reviewed and discussed progress against ADCB’s digitisation strategy roadmap;
- › Reviewed credit exposures that are high value or sensitive credit decisions;
- › Received regular updates on the Covid-19 pandemic, the Targeted Economic Support Scheme (TESS) and related deferrals, and ADCB’s liquidity and business position, amongst other matters;
- › Received and considered updates on ADCB’s credit exposures;
- › Reviewed ADCB’s key risks, including liquidity, credit, market, compliance, fraud and operational risks and associated policies, and ensured that they were managed within ADCB’s risk framework and appetite and in full compliance with the Central Bank of the UAE’s regulations;
- › Reviewed reports on any material breaches of risk limits and the adequacy of proposed actions;
- › Reviewed ADCB’s compliance with applicable laws and regulations relating to risk management systems and procedures;
- › Approved ADCB’s internal capital adequacy assessment process (ICAAP) report (submitted to the Central Bank of the UAE), covering assessment of material risks, capital plan and enterprise-wide stress testing results;
- › Reviewed ADCB’s liquidity position;
- › Reviewed ADCB’s exposure to economic sectors, including hospitality, real estate, contracting and retail;
- › Reviewed ADCB’s internal rating setting guidelines for EIBOR submissions;
- › Examined the effectiveness of ADCB’s market risk framework and relevant policies, including ADCB’s interest rate risk in banking book (IRRBB) policy, in line with the Central Bank of the UAE’s regulations;
- › Reviewed ADCB’s investment and liquidity portfolio;
- › Reviewed the performance of specific segments, including Retail and Commercial, ADCB’s exposure to Dubai-based entities and business updates from Abu Dhabi Commercial Properties LLC and Abu Dhabi Commercial Engineering Services LLC;
- › Reviewed ADCB’s IT, physical security and cyber risks, and ensured that ADCB had implemented a proactive approach towards managing these risks;
- › Considered the outcome of stress tests and reverse stress tests conducted on various vital portfolios and ensured that results of these tests were reflected in ADCB’s risk appetite, capital adequacy assessments, budgets, capital and liquidity plans; and
- › Reviewed ADCB’s business continuity and data management frameworks.

In 2021, we continued focusing on ADCB’s adherence to its strategy and risk appetite. In particular, the committee reviewed initiatives to develop and implement ADCB’s short- and long-term business strategy, which is focused on growing market share in the UAE, maximising efficiency and profitability, capturing integration synergies and implementing digital transformation.

We worked closely with senior management to assess all significant exposures and their impact on the Bank’s financial performance. The committee reviewed current portfolios for consistency with ADCB’s risk-return profile and risk appetite limits and assessed mitigation plans to ensure they aligned with strategy.

The BREC also reviewed ADCB’s risk appetite metrics and approach to credit risk management to ensure they remained well aligned with changing market conditions, regulatory requirements, and the nature, size and complexity of ADCB.

We continued to monitor the progress of the Bank’s digitisation strategy and implementation roadmap and the achievement of related key performance indicators.

The BREC is pleased to note that it made positive progress during 2021 towards meeting its responsibilities and objectives.

LOOKING INTO 2022

In line with the Central Bank of the UAE’s Corporate Governance Regulation and Standards, we will create two new committees to replace the existing Board Risk & Executive Committee. These will be named the Board Risk Committee (BRC) and the Board Executive Committee (BEC).

The BRC and BEC will meet 12 times in 2022 to focus on ADCB’s strategy, risk framework, and digital transformation. Both committees will continue to oversee the execution of ADCB’s strategy. Members will examine tactical and short-term efficiency measures and cost optimisation, changes to operating models, risk appetite and digitisation against the backdrop of changing market conditions.

The BEC will continue to track ADCB’s implementation of its digitisation strategy, focusing on achieving full and effective digitisation (including the use of artificial intelligence and data science) rather than simply greater automation.

The BRC will ensure strong communication across the Board’s committees to effectively make any necessary adjustments to ADCB’s risk governance framework to maintain resilience and a clear strategic focus in the current operating environment. The BRC shall also be overseeing applicable ADCB policies. Both the BRC and BEC will continue to execute the Board’s guidance and directives, working closely with senior management to monitor and deliver achievable KPIs.



SAEED MOHAMED HAMAD ALMAZROUEI
Chairman of the Board Risk & Executive Committee

Board Audit & Compliance Committee (BACC)

Committee Composition

At 31 December 2021



Aysha Al Hallami
Chairlady



Khalid Deemas Alsuwaidi



Ahmed Saeed Al Calily



Mohamed Ali Aldhaheeri

2021 BACC Meetings

DATE OF BACC MEETING	NUMBER OF ATTENDEES	NAMES OF ABSENT MEMBERS
13 JANUARY 2021	3/4	AHMED SAEED AL CALILY
28 JANUARY 2021	4/4	-
25 FEBRUARY 2021	4/4	-
22 APRIL 2021	4/4	-
10 JUNE 2021	4/4	-
15 JULY 2021	4/4	-
8 SEPTEMBER 2021	4/4	-
28 OCTOBER 2021	3/4	AHMED SAEED AL CALILY
17 NOVEMBER 2021	3/4	MOHAMED ALDHAHERI
12 DECEMBER 2021	4/4	-

OUR REMIT

The primary responsibility and function of the Board Audit and Compliance Committee (BACC) are to help the Board to fulfil its duties by ensuring the successful implementation of:

- › the integrity of ADCB’s financial statements;
- › the qualifications, independence, performance and remuneration of ADCB’s external auditors;
- › the capabilities, independence and performance of ADCB’s internal audit department;
- › ADCB’s compliance with legal and regulatory requirements, and internal policies; and
- › ADCB’s internal controls, including controls over financial reporting and disclosure.

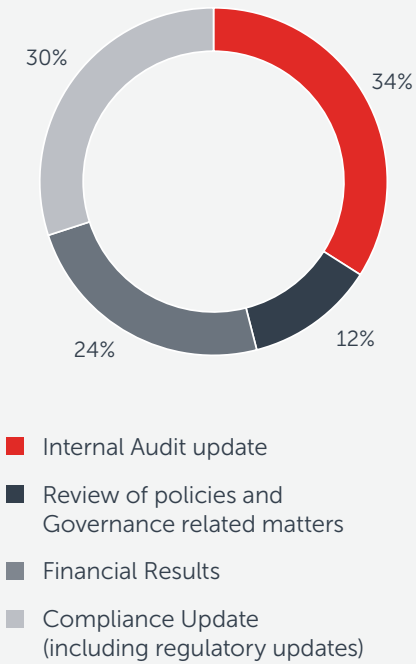
Statement from the BACC Chairlady

Dear Shareholders,

During 2021, the BACC held ten meetings, during which it:

- › Assessed the objectivity and effectiveness of ADCB’s financial reporting and disclosure process. This included monitoring of ADCB’s accounting policies, principles, judgments, ongoing concerns and business continuity;
- › Reviewed and discussed ADCB’s IFRS 9 governance process, models and implications for the Bank’s financial statements, and ensured compliance with the Central Bank of the UAE’s regulations relating to IFRS 9;
- › Considered the potential macro-economic impact of the ongoing Covid-19 pandemic on business and financial performance;
- › Received special internal audit reviews as matters of concern in light of the current market conditions and Covid-19 impact;
- › Evaluated Ernst & Young’s qualifications, performance, independence and objectivity; reviewed the scope of work proposed by Ernst & Young for 2021, and exercised oversight of all non-audit work carried out by the external audit firm;
- › Considered the performance, effectiveness and activities of the Group Internal Audit (and separately, the performance of the Group Chief Internal Auditor), and reviewed updates to its audit plan, staffing, training, charter, manual and strategy, taking note of the Central Bank of the UAE’s regulations on internal control, compliance and internal audit;
- › Oversaw the independent assessment of the risk governance framework by the Group Internal Audit Department and ensured that an independent review of ADCB’s systems and processes was carried out as part of the Group’s internal auditing process;
- › Oversaw the activities and assessed the performance of Group Compliance and considered updates to relevant policies, including compliance with AML (anti-money laundering)/CFT (combating the financing of terrorism and illegal organisation) and sanction policies to ensure the robustness of ADCB’s compliance framework, taking into account the Central Bank of the UAE and the other corporate governance regulation and standards;

Time Allocation For 2021 BACC Meetings



AYSHA AL HALLAMI
Chairlady of the Board Audit & Compliance Committee

Statement from the BACC Chairlady

(continued)

- › Received regulatory (including Covid-19 notices), compliance, fraud and operational risk management updates;

› Reviewed the effectiveness of ADCB’s internal controls framework and ensured the existence of an effective system of internal controls, taking note of the Central Bank of the UAE’s regulations on internal control, compliance and internal audit;

› Reviewed ADCB’s quarterly and annual audited financial statements;

› Reviewed and ensured appropriate action regarding audit and review observations raised by the Internal Audit Department and Ernst & Young, the Central Bank of the UAE, and other regulators;

› Reviewed the BACC’s terms of reference and the policies sponsored by the Committee, and ensured that regulations were reflected, as appropriate;

› Received and considered the Internal Audit’s annual report;
- › Received detailed reports on certain non-performing loans and business segments and recommended suitable provisioning for those loans;

› Assessed Group Compliance’s achievements against the set strategy;

› Reviewed quarterly reports on Directors’ shareholdings in ADCB shares;

› Reported regularly to ADCB’s Board; and

› Reviewed and approved the Central Bank of the UAE’s baseline examination report on ADCB and the Bank’s action plan, and reviewed the Central Bank of the UAE’s AML/CFT examination report and the Bank’s action plan.

In 2021, the Committee continued to work with Ernst & Young to ensure the effectiveness of ADCB’s IFRS 9 governance-related practices, and expected credit loss (ECL) models and controls. This included overseeing the staging of key accounts and ensuring that this process remained prudent. The BACC also ensured that financial disclosures complied with IFRS 9 requirements and that any subjective judgments had been made appropriately.

The BACC maintained frequent communication and coordination with ADCB’s management regarding the significant implications of the Covid-19 pandemic and its impact on the Bank’s businesses and financial performance. As a result, a range of new procedures, policies, and measures was introduced, under the Central Bank of the UAE’s regulations, to ensure business continuity and the health and safety of customers and employees.

The Committee met regularly with ADCB’s external and internal auditors, without the presence of ADCB’s management, to discuss issues that arose. In addition, the BACC members attended meetings of the Board Risk & Executive Committee to ensure adequate flow of information between the two Board committees and the effective coverage of all risks, including emerging risks. It also oversaw any adjustments to ADCB’s risk governance framework in light of evolving business plans and the external environment.

We received annual confirmation from ADCB’s external auditors that internal controls have been assessed for effectiveness. The BACC ensured that the Bank’s Internal Audit Plan for 2021 focused on assuring that ADCB’s internal governance and controls remained robust.

The BACC received regular updates from ADCB’s management on the Central Bank of the UAE’s baseline examination review and findings and reviewed and approved an appropriate action plan.

The BACC was pleased to note that it made positive progress during 2021 towards meeting its responsibilities and objectives.

LOOKING INTO 2022

In line with the Central Bank of the UAE’s Corporate Governance Regulation & Standards, the BACC will be renamed as the Board Audit Committee (BAC).

The BAC’s schedule in 2022 will include nine meetings focused on, amongst other things, the integrity of ADCB’s financial statements, IFRS 9 governance practices, ECL models, assessment and oversight of the activities and performance of Group Internal Audit and Compliance Departments, as well as the performance of ADCB’s external auditors.

The BAC will continue to work closely with ADCB’s management to address the long-term challenges of the Covid-19 pandemic, focusing on key areas to ensure resilience in the new environment (post-pandemic) to keep abreast of governmental and regulatory announcements. To that end, the BAC will continue to review and monitor changes and challenges in key sectors of the economy.

The BAC will continue to coordinate its activities with the Board Risk Committee to ensure a free flow of information between the two Board committees. The BAC will also ensure that ADCB’s Group Internal Audit Plan mirrors emerging risks and provides the necessary assurances in the current evolving economic and operational environment.



BACC Report

on selection of auditor

The BACC is composed of four Board members. The Board has determined that all Board committee members are independent under applicable regulations.

The Bank’s management is responsible for preparing the overall reporting process concerning ADCB’s consolidated financial statements and the external auditors’ reviews, and confirms the effectiveness of internal controls over financial reporting. Ernst & Young, ADCB’s independent external audit firm, is responsible for planning and conducting an independent audit of ADCB’s consolidated financial statements in accordance with the standards issued by the International Accounting Standard Board (IASB), and also for expressing an opinion as to the conformity of ADCB’s financial statements with these standards and as to the effectiveness of internal controls over financial reporting. The BACC’s responsibility is to monitor and oversee these processes.

The BACC annually evaluates the external auditor’s qualifications, performance, quality and independence. The BACC has reviewed and discussed with management and with the external auditors ADCB’s audited financial statements for the year ended 31 December 2021, management’s assessment of the effectiveness of ADCB’s internal controls over financial reporting, and the external auditors’ evaluation of ADCB’s internal control over financial reporting. In addition, the BACC has discussed with the external auditors matters that independent registered public accounting firms must communicate to audit committees under applicable standards.

The BACC has also discussed and confirmed with the external auditors its independence from ADCB and received all required written disclosures and correspondence required by the International Ethics Standards Board for Accountants’ Code of Ethics for Professional Accountants (IESBA Code) together with the other ethical requirements that are relevant to their audit of ADCB’s consolidated financial statements in the United Arab Emirates. They have fulfilled their other ethical responsibilities in accordance with these requirements and the IESBA Code.

Based on the reviews and discussions above, the BACC recommended to the Board that the audited financial statements for the year ended 31 December 2021 and the related footnotes be included in ADCB’s Annual Report for the year ended 31 December 2021.

Submitted by the Board Audit & Compliance Committee

General Responsibility

of the Board Audit & Compliance Committee

ROLE OF THE BOARD AUDIT & COMPLIANCE COMMITTEE IN THE SELECTION, EVALUATION AND MAINTAINING INDEPENDENCE OF EXTERNAL AUDITORS:

It is the policy of ADCB and the Board Audit & Compliance Committee to appoint external auditors who clearly demonstrate quality and independence. The selection of the external auditors is driven by ADCB’s External Auditor Selection Policy, the Board Audit & Compliance Committee Terms of Reference and the Abu Dhabi Accountability Authority (ADAA) Statutory Auditors Appointment Rules.

THE BOARD AUDIT & COMPLIANCE COMMITTEE IS RESPONSIBLE FOR THE FOLLOWING:

- › approve a policy for the tendering of the audit engagement, which must include requirements for knowledge and competence, objectivity, independence, professional scepticism and quality control;
- › recommend to the Board the appointment, reappointment and dismissal of the external auditors and the appropriate compensation for their services;
- › review the terms of engagement of the external auditors prior to signature of the written contract and ensure that it includes rights, duties and responsibilities of ADCB and the external auditors, as well as outcomes, timings, payment terms and conditions, communications and dispute handling, and ensure that the contract is in line with the applicable rules, standards and regulations;
- › review the scope of the external audit plan and any additional services and ensure that the scope includes areas such as the loan portfolio and loss provisions, non-performing assets, asset valuations, trading and other securities activities, derivatives, asset securitisations, consolidations of, and other involvement with, off-balance-sheet vehicles, the Pillar 3 reporting and the adequacy of internal controls over financial reporting;
- › ensure that the engagement audit plan is promptly updated to reflect changes in the size, business mix or complexity of ADCB or in the instructions of the Central Bank of the UAE;
- › ensure that audits are conducted in accordance with the International Standards on Auditing (ISA) and the Central Bank of the UAE’s instructions; and
- › monitor the effectiveness and independence of the external auditors.

External Auditors

SELECTION OF THE EXTERNAL AUDITORS

The Board Audit & Compliance Committee identifies the audit firms that meet the selection criteria (including on efficiency, reputation and experience) and circulates the offer request in order to determine their willingness to submit proposals for the provision of external audit services. The Board Audit & Compliance Committee and, as may be deemed necessary, the Group Chief Financial Officer and the Group Chief Internal Auditor, will meet with and interview the candidates along with members of the Board Audit & Compliance Committee and evaluate technical and financial offers taking into consideration ADCB’s budgeted fees.

The Board Audit & Compliance Committee will ensure that the recommended audit firms are qualified and independent in form and substance (including the type of non-audit services provided and independence of individuals) and meet the following conditions:

- A. be licensed and approved by the competent authorities to practice the profession in the UAE;
- B. have experience in auditing public joint-stock companies for at least five years;
- C. be compliant with the International Code of Ethics for Professional Accountants;
- D. must not be a shareholder in the company or occupy the office of member of the Board or any technical, administrative or executive office therein; and
- E. must not be a partner or agent of any of the founders of ADCB or any of its Directors or a relative of any of them up to the second grade.

The Board Audit & Compliance Committee will then recommend to the Board a firm for appointment as external auditor. The Board will meet to concur (or otherwise) with the Board Audit & Compliance Committee, on the recommended audit firm. The recommendation, along with the proposed fees, will be submitted to the shareholders at ADCB’s Annual General Meeting for approval. This is the only forum authorised to approve the Board’s recommended audit firm and its compensation.

Further, throughout this process, ADCB’s Board Secretariat or the Internal Audit Department will arrange the necessary notices, meetings, and resolutions for the resignation/removal of the existing external auditor and the appointment of the new auditor and monitor emerging best practices in audit tendering including making appropriate disclosures in ADCB’s Annual Report.

The Central Bank of the UAE may require ADCB to rescind the appointment of an external auditor if it determines that the auditor has not adhered to established professional standards or if the auditor has inadequate expertise or independence.

EVALUATION OF INDEPENDENCE

In carrying out these responsibilities, the Board Audit & Compliance Committee reviews the performance, independence and quality of the external auditors annually. The performance evaluation process is carried out through an evaluation form recommended by Abu Dhabi Accountability Authority. The evaluation is carried out by the Board Audit & Compliance Committee with the Group Chief Internal Auditor and the Group Chief Financial Officer in attendance.

Additionally, the external auditors also confirm that it has a quality control system for monitoring compliance with independence and continuing professional education requirements.

The review questionnaire encompasses questions on quality, independence, composition, peer review, etc. Furthermore, the external auditors submit an undertaking to the Board Audit & Compliance Committee on their independence in accordance with the International Ethics Standards Board for Accountants’ Code of Ethics for Professional Accountant (IESBA Code) together with the other ethical requirements that are relevant to their audit of ADCB’s consolidated financial statements in the UAE, and they have fulfilled their other ethical responsibilities in accordance with these requirements and the IESBA Code.

ROTATION OF AUDIT FIRM AND RATIFICATION OF THE EXTERNAL AUDITORS

The selected external audit firm will be appointed for not more than one financial year by a resolution of ADCB’s Annual General Meeting. The Group’s external audit firm appointment may be renewed twice, for a total of three consecutive years.

The Board Audit & Compliance Committee evaluates the performance and independence of the external auditors annually and recommends the reappointment or otherwise to the Board. The Board Audit & Compliance Committee considers, in particular, whether the retention of the external audit firm is in the best interests of ADCB and its shareholders, taking into account the firm’s quality of service, the firm’s institutional knowledge and experience, the firm’s sufficiency of resources, the quality of the communication and interaction with the firm, the firm’s independence, objectivity and professional scepticism.

AUDIT COMMITTEE PRE-APPROVAL POLICIES AND PROCEDURES

The Board Audit & Compliance Committee annually approves the fee for external audit services included in the scope of external auditors at the beginning of the year. The list of services includes audit services, audit-related services and any other service. Furthermore, the Board Audit & Compliance Committee can approve additional fees for the services of external auditors that have not been pre-approved at the beginning of the year or where the fee exceeds the approved amount.

External Auditors’ Fees

The aggregate fees paid to the Group’s external auditors (majority of which pertains to Ernst & Young) for professional services rendered in or provided for 2021 and 2020, as applicable, were:

FEES (AED)	2021	2020
AUDIT FEES	2,832,148	3,386,900
AUDIT-RELATED FEES	459,125	536,985
TOTAL AUDIT/AUDIT-RELATED FEES	3,291,273	3,923,885
TAX FEES	180,563	22,000
ALL OTHER FEES	117,842	309,600
TOTAL FEES	3,589,678	4,255,485

Ernst & Young, including the audit partner, have served as ADCB’s external auditors for a period of two years.

AUDIT FEES

Audit fees relate to the audit of the consolidated financial statements and internal control over financial reporting, including disclosures presented in the footnotes to ADCB’s financial statements (for example, regulatory capital, among other disclosures). Audit fees also relate to the audit of domestic and international statutory and subsidiary financial statements, the review of the interim consolidated financial statements, the issuance of comfort letters/reports to various regulatory authorities (Securities & Commodities Authority, the Central Bank of the UAE, and relevant international regulators), review of ECL model and their validation for carrying out substantive procedures and services provided in connection with certain agreed procedures and other attestation reports.

Audit fees are those billed or expected to be billed for audit services related to each fiscal year.

AUDIT-RELATED FEES

‘Audit-related fees’ cover other audit services and attestation services and services provided in connection with certain agreed procedures and other attestation reports (such as bond issuance or any other attestation that requires an auditor’s review), reporting and compliance matters. Fees for audit-related services are those billed or expected to be billed for services rendered during each fiscal year.

TAX FEES

‘Tax fees’ cover Tax and VAT (Value Added Tax) compliance, advisory and planning services that are billed or expected to be billed for services rendered during each fiscal year.

OTHER FEES

During 2021 and 2020, ‘all other fees’ consisted primarily of amounts billed or expected to be billed for ADCB’s engagement of Ernst & Young to provide guidance in connection with matters that are not covered in the above three categories.

All services are approved by the Board Audit & Compliance Committee and are subject to controls to ensure the external auditor’s independence is unaffected by the provision of other services.

Board Nomination, Compensation, HR & Governance Committee (NCHRG)

Committee Composition

At 31 December 2021



H.E. Hussain J. Al Nowais
Chairman



Carlos Obeid



Saeed Mohamed Hamad Almazrouei

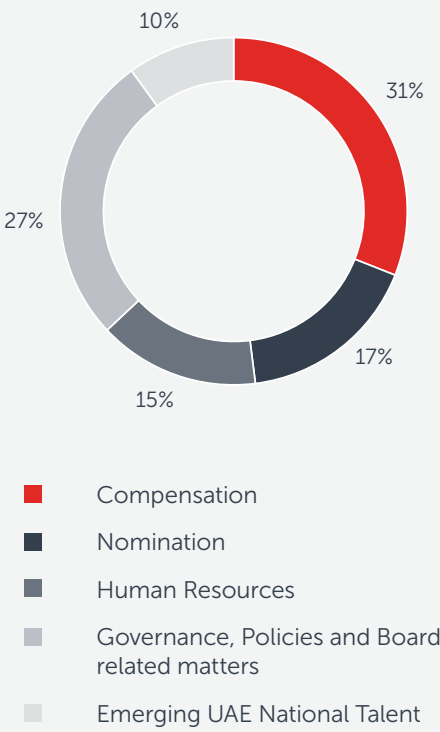


Ahmed Saeed Al Calily

2021 NCHRG Meetings

DATE OF NCHRG MEETING	NUMBER OF ATTENDEES	NAMES OF ABSENT MEMBERS
31 JANUARY 2021	4/4	-
17 FEBRUARY 2021	3/4	H.E. HUSSAIN AL NOWAIS
14 APRIL 2021	4/4	-
16 SEPTEMBER 2021	4/4	-
28 NOVEMBER 2021	4/4	-

Time Allocation For 2021 NCHRG Meetings



OUR REMIT

- The Board Nomination, Compensation, Human Resources & Governance Committee (NCHRG) is responsible for:
- › Ensuring the appropriate composition and skillset of the Board and the Board committees;
 - › Ensuring the appropriate diversity of the Board;
 - › Ensuring Independent Directors remain independent on a continuous basis;
 - › Selecting and appointing Directors;
 - › Orienting and training new and existing Directors;
 - › Planning the succession of Board members and senior management;
 - › Selecting and appointing senior management;
 - › Assessing the performance of the Board, Board committees, individual Directors and senior management and overseeing the implementation of recommendations arising from the performance review; and
 - › Developing, applying and reviewing human resources and training policies.

Statement from the NCHRG Chairman

Dear Shareholders,

In 2021, the NCHRG committee held five meetings, during which it:

- › Considered the internal and external assessment of ADCB's remuneration framework and oversaw the implementation of recommendations/action plans arising from this assessment;
- › Reviewed and approved ADCB's remuneration framework, including its fixed and variable pay schemes, retention awards and performance recognition;
- › Reviewed the Directors' remuneration and fees;
- › Received updates on the decisions made at the Board level (or any of its Board committees) that may create any potential conflict of interest for Board members;

- › Considered the performance evaluation, key performance indicators, and remuneration of the Group Chief Executive Officer;
- › Considered the action plan resulting from a gap analysis of ADCB's compliance with corporate governance guidelines issued by the Central Bank of the UAE and the Securities & Commodities Authority;
- › Reviewed the Board composition, including its diversity, mix of skills, knowledge and experience, in relation to the Central Bank of the UAE and the Securities & Commodities Authority governance regulations;
- › Reviewed the assessment of the Board's independence, under the guidelines set by the Central Bank of the UAE and the Securities & Commodities Authority;
- › Considered the internal assessment of ADCB's culture and values;
- › Received an update on ADCB's organisational health index;
- › Considered the results of the Board evaluation survey conducted by ADCB's management and Board;
- › Reviewed the annual Corporate Governance Report, including information in ADCB's Annual Report and on ADCB's website, and ensured compliance with the Central Bank of the UAE regulations, standards and best practices;
- › Reviewed the strategy and performance of Group Human Resources, training policies and procedures, as well as its approach to Emiratisation;
- › Managed ADCB's long-term succession strategy, assessed succession plans for key executives, and focused on talent management;
- › Oversaw the process for identifying, evaluating and selecting candidates for senior management; and
- › Reviewed and considered ADCB's corporate governance framework and made necessary amendments to reflect governance guidelines and regulations issued by the Central Bank of the UAE and the Securities & Commodities Authority.

In 2021, the NCHRG committee continued to focus on ADCB's Emiratisation strategy, ensuring that its Emiratisation framework effectively develops UAE's National talent and meets Emiratisation targets set by the Central Bank of the UAE.

The NCHRG committee continued to monitor the overall development of ADCB's culture to promote a healthy environment conducive to organisational success.

The NCHRG Committee continued to develop KPIs to assess the effectiveness of the Bank's variable remuneration schemes and to ensure they align with ADCB's strategy, objectives, culture, values and risk appetite. In particular, we assessed the independent review of ADCB's remuneration against market practices and the Central Bank of the UAE's Corporate Governance regulation and standards. The NCHRG noted that the Bank's remuneration schemes remain effective and continue to deliver the desired objectives for ADCB's current size and status.

Emiratisation at ADCB

In 2021, we continued to honour our long-standing commitment to Emiratisation and recruited 477 UAE nationals during the year, 75% of whom consider ADCB Group as their first employer. The Bank consistently meets the Emiratisation targets set out by the UAE Central Bank.

The number of Emirati employees at the ADCB Group reached 1,854 by the end of the year and now represent 38% of employees at ADCB, while Al Hilal Bank has one of the highest Emiratisation ratios among UAE banks at 51%.

The NCHRG committee continued to monitor and benchmark ADCB against international best practice in corporate governance. The NCHRG committee was pleased to note that the Bank closely reflects the corporate governance framework mandated by the Central Bank of the UAE and the Securities & Commodities Authority, as well as international best practices. The Bank is committed to full compliance with all applicable regulations.

Gap assessments to applicable regulations are undertaken by management to address full compliance requirements with action plans to remediate any issues in place.

The NCHRG committee considers that it made positive progress during 2021 towards meeting its objectives and responsibilities.

LOOKING INTO 2022

In 2022, the NCHRG will continue to prioritise the development of ADCB's UAE National talent, focusing on improvements in the recruitment, retention, and training of Emiratis.

The Committee will continue to monitor any gaps in ADCB's remuneration scheme, identified through an external review, and ensure the scheme, and all governance policies and processes are fully compliant with the corporate governance regulations guidelines of the Central Bank of the UAE and the Securities & Commodities Authority.

Furthermore, we will work closely with the Board Risk Committee to regularly monitor and review compensation plans, outcomes, and processes to assess whether the Bank's compensation system creates the desired incentives for effective management of risk, capital and liquidity.

The NCHRG committee will continue to monitor ADCB's compliance with the corporate governance regulations guidelines of both the Central Bank of the UAE and the Securities & Commodities Authority and will continue to ensure that ADCB remains on track in this regard.



H.E. HUSSAIN J. ALNOWAIS

Chairman of the Board Nomination, Compensation, Human Resources & Governance Committee

Executive Management



Ala’a Eraiqat

GROUP CHIEF EXECUTIVE OFFICER

Ala’a Eraiqat joined ADCB in January 2004 and held various senior posts before assuming the post as Chief Executive Officer in February 2009. He has been a banker since 1991 and previously held senior positions at Citibank and Standard Chartered Bank, among others.

His responsibilities extend to being the Chairman of Board of Directors of Al Hilal Bank and chairing the following subsidiaries and committees of ADCB, among others: Abu Dhabi Commercial Properties, Abu Dhabi Commercial Engineering Services, the ADCB Management Executive Committee, and the ADCB Management Risk & Credit Committee.

EXTERNAL APPOINTMENTS:

- › Board Member—Abu Dhabi Chamber of Commerce & Industry (ADCCI)
- › Chairman—ADCCI’s Audit & Compliance Committee
- › Board Member—Abu Dhabi National Hotels PJSC (ADNH)



Deepak Khullar

GROUP CHIEF FINANCIAL OFFICER

Deepak Khullar was appointed ADCB’s Group Chief Financial Officer in 2008. In this role, Deepak oversees the Group Finance function (Financial Planning, Business Performance, Governance & Reporting), Investor Relations, Taxation, Economics, Group Strategy, Strategic Sourcing and Procurement. In 2021, he also took over the responsibility for the Bank’s overall ESG strategy and delivery. He previously spent 15 years with Standard Chartered Bank in the Middle East and Korea in a variety of senior positions. Prior to that, he worked for 12 years with Ernst & Young and PricewaterhouseCoopers in their assurance, advisory and technical services and training practices in the Middle East and India. He is an alumnus of the University of Delhi, an Associate of the Institute of Chartered Accountants of India, and an Associate Member of the Association of Corporate Treasurers (UK).

Deepak Khullar was appointed as a Board Director of Al Hilal Bank in 2019.



Arup Mukhopadhyay

GROUP HEAD OF CONSUMER BANKING

Arup Mukhopadhyay joined ADCB in 2005 and is Head of the Consumer Banking Group. He previously spent seven years with Citibank, becoming Head of Wealth Management products and Marketing Director for its UAE Consumer Business. Before that, he worked with Unilever in India in several sales and marketing roles. Arup is a mechanical engineering graduate and holds an MBA from the Indian Institute of Management, Lucknow.

Arup was appointed as a Board Director at Al Hilal Bank in 2019.



Ludovic Nobili

GROUP HEAD OF WHOLESALE BANKING

Ludovic was appointed as Group Head of Wholesale Banking at ADCB in March 2020. Prior to that, he managed the Bank’s Investment Banking activity. He joined ADCB in November 2008 from Citigroup in London. He is a senior investment banker with 20 years’ experience. In 2000, Ludovic started his investment banking career in the securitisation team of Credit Agricole Indosuez, London after which he moved to Citigroup, where he focused on Corporate Securitisation. During his time in Europe, Ludovic was instrumental in originating and structuring complex and high-profile transactions. In his current role, Ludovic is responsible for Cash Management, Trade Finance, Corporate Finance and Investment Banking across the Group. He also leads ADCB’s principal finance initiatives.

Ludovic is a French citizen and an alumni of Université Paris-Sorbonne.

Executive Management

(continued)



Kevin Taylor

GROUP TREASURER

Kevin Taylor joined ADCB in 2009 as Head of the Treasury & Investments Group. He has held significant treasury and risk positions in global organisations such as ALICO, Citigroup, Westpac Bank and Merrill Lynch. At ADCB, he is responsible for FX trading and sales, derivative trading and sales, fixed income and investments personnel and the balance sheet analytics teams. He is a member of the Bank’s Management Executive Committee as well the Management Risk and Credit Committee. Kevin has more than 30 years of global experience in banking and finance, and is a member of the UAE Banks Federation Financial Markets Committee and Fintech Committee. He holds an MBA from Macquarie University in Australia and a Master of Science in Risk Management from the Stern School of Business, New York University.

Kevin was appointed as a Board Director at Al Hilal Bank in 2019.



Mohammed Al Jayyash

GROUP CHIEF OPERATIONS OFFICER

Mohammed Al Jayyash was appointed as ADCB’s Acting Group Chief Operations Officer in 2019 and was confirmed in 2020. He has held senior operational management positions at ADCB, including Group Chief Service Officer and Branch Operations Manager. He holds Board seats with several ADCB subsidiary companies, and is the Chairman of ITMAM Services and Vice-Chairman of Abu Dhabi Commercial Engineering Services and Abu Dhabi Commercial Properties. He is the Chairman of Emirates Digital Wallet and a Board Member of Al Hilal Bank. A leader with over 15 years’ experience in improving customer experience, ensuring regulatory compliance and delivering capabilities for growth, he has deep experience in banking operations, customer journey and experience, and digital channels. Mohammed holds a Bachelor’s Degree in Business Administration from Al Ghurair University in the UAE, a Post Graduate Certificate in Management at Ashridge Executive Education HULT in the UK, and a Diploma in Banking from the Emirates Institute for Banking and Financial Studies.



Paul Keating

GROUP CHIEF RISK OFFICER

Paul Keating was appointed as ADCB’s Group Chief Risk Officer in 2018. He previously worked for the Australia and New Zealand Banking (ANZ) Group for over 30 years, where he served in various capacities across the world. Paul’s previous role at ANZ was the Chief Risk Officer and Head of Credit for the Pacific division, which was responsible for 11 countries. Paul is responsible for Operational Risk, Market Risk, Fraud Risk, Data Management, Credit Policy, Islamic Internal Control and Information Security. He sits on various Management and board sub committees to provide an enterprise-wide risk management perspective. He is also a current member of the UAE Banking Federation Risk Committee. Paul holds a Bachelor of Commerce and Administration from Victoria University in New Zealand and a Post Graduate Diploma.



Tilak Silva

GROUP CHIEF CREDIT OFFICER

Tilak Silva was appointed as the Group Chief Credit Officer in 2018, having been the Acting Group Chief Risk Officer since 2017. He has been with ADCB for 41 years, focusing on credit underwriting, remedial risk and restructuring. He has an in-depth understanding of the functionalities of all areas of the Bank. Prior to joining ADCB, Tilak worked for Hatton National Bank in Sri Lanka, undertaking different roles within the Credit Group.

Executive Management

(continued)



Ali Darwish

GROUP HEAD OF HUMAN RESOURCES

Ali Darwish joined ADCB in 2010 and leads the Human Resources Group. He has a wealth of experience in the banking industry that extends for more than 20 years working for leading financial institutions in the UAE. At ADCB, he ensures the Bank is building a competitive advantage through people by focusing on strategic talent management, Emiratisation and employee engagement. Furthermore, he is responsible for driving the Bank’s high-performance and agile culture through its talent.



Rasha Mortada

GROUP CHIEF COMPLIANCE OFFICER

Rasha Mortada was appointed as the Group Chief Compliance Officer in 2021, having been the Acting Group Chief Compliance Officer since 2019 and with ADCB since 2006. She has 25 years of experience in the banking industry with leading global and local institutions with over 16 years of experience in the compliance field covering Regulatory Compliance, Financial Crime, and Conduct Compliance across all business lines. Prior to joining ADCB, Rasha worked for Citibank UAE, undertaking different roles within Compliance. Rasha holds a Bachelor in Banking and Finance from the Lebanese American University in Beirut. She is a Certified Anti-Money Laundering Specialist (CAMS), and holds an International Diploma in Compliance from the International Compliance Association, and a Fintech qualification from Harvard.



Jane Livingston

GROUP GENERAL COUNSEL

Jane Livingston joined ADCB in 2011 and was appointed as ADCB’s Group General Counsel in 2021. Jane is an English qualified solicitor who practiced law in the City of London prior to moving to Abu Dhabi in 2007. She has more than 20 years of legal experience covering a broad range of banking, finance, corporate and commercial matters.



Abdirizak Mohamed

GROUP CHIEF INTERNAL AUDITOR

Abdirizak Mohamed has been the Group Chief Internal Auditor at ADCB since 2006, responsible for covering the Bank and all of its subsidiaries, having previously worked at the NASDAQ Stock Market, NASD (FINRA) and OFHEO (FHFA). Abdirizak has more than 25 years of financial industry experience that spans capital markets management, accounting policy/applications, examinations and auditing, risk management, regulatory oversight, and corporate governance. He is the former Chairman and current member of the UAE Banking Federation Audit Committee, and over the years served/continues to serve as an independent Audit Committee member of various Abu Dhabi-based companies. Abdirizak is a Certified Public Accountant and holds a Master’s degree from the George Washington University in Washington, DC, and a Bachelor’s degree from the University of Washington in Seattle, WA.

Executive Management—Subsidiaries

(continued)



Abdul Shakeel Aidaroos

CHIEF EXECUTIVE OFFICER OF AL HILAL BANK

Abdul Shakeel is responsible for working closely with the Board of Directors of Al Hilal Bank, to set and implement the strategic direction of the organisation.

He has been the CEO of Al Hilal Bank since September 2019.

Abdul Shakeel has over 27 years of banking experience, with deep expertise in retail banking, digital innovation and risk management. He has held senior positions at ADCB for 15 years, including the last 5 years as Head of Retail Banking, where he managed a team of 2,000 professionals and launched many of ADCB’s award-winning consumer products and digital banking channels. Prior to joining ADCB, he spent over 10 years with Citibank in the UAE.

Abdul Shakeel holds a Master of Science degree in Risk Management from NYU Stern School of Business, New York, U.S.A.



Ihab ElSewerky

MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER OF ADCB EGYPT

Ihab ElSewerky is Managing Director and Chief Executive Officer of ADCB Egypt, responsible for implementing the Bank’s strategy for growth in the country. He has over 30 years of experience in corporate, retail and Islamic Banking, with expertise in the areas of risk management, internal controls, financial institutions and SMEs. His career includes extensive regulatory experience at the Central Bank of Egypt.

Management Committees

COMMITTEE ¹	NUMBER OF MEETINGS HELD IN 2021	RESPONSIBILITIES OF THE COMMITTEE
Management Executive Committee	41	Most senior management Committee; oversees all of ADCB's businesses and operations
Assets & Liabilities Committee	7	Formulates ADCB's overall assets and liabilities strategy. Makes investments and executes asset/liability transactions within delegated limits; guides the Management Executive Committee and the Board on investments and asset/liability transactions above those limits
Management Risk & Credit Committee	49	Approves credits within delegated limits; considers risk appetite and strategy issues; sets and recommends risk policies; guides the Board Risk & Executive Committee and the Board on credits above delegated limits and on general risk and risk policy issues
Capital Expenditure Committee	19	Reviews and approves project capital expenditures within delegated limits and makes recommendations to the Management Executive Committee and the Board on project capital expenditures above those limits
Financial Performance Management Committee	8	Monitors financial performance of the Bank's business lines
Management Recoveries Committee	9	Restructuring, settlements and recovery-related write-offs
Group Strategy Steering Committee	40	Reviews progress made against group strategy and project milestones and deliverables

1 Other management committees (The Senior Management Committee, Liabilities and Initiatives Committee and Management HR Committee) are under review to ensure that they maintain their relevance.

Remuneration and Reward

GUIDING PRINCIPLES

ADCB supports remuneration levels necessary to attract, retain and motivate employees capable of leading, managing and delivering high quality service in a competitive environment.

However, our remuneration structure is conservative, and we have practices and policies that promote effective risk management. Our remuneration packages are structured to reflect duties and responsibilities that are fair and equitable and incorporate clear and measurable rewards linked to corporate and individual performance. Rewards are based only on the results of a rigorous performance appraisal system with a robust management decision-making, review and approvals process.

Considering market trends and constraints, our remuneration programme incorporates both short and long-term incentives that align the interests of ADCB's employees with the interests of shareholders and other stakeholders.

Performance-related elements are designed to minimise employee turnover and to inspire employees to perform at the highest levels, consistent with effective risk management.

TOTAL REWARD KEY COMPONENTS

As shown in the following table, employees can receive three types of reward at ADCB: fixed pay and benefits, variable pay and retention scheme.

DEFINITION AND COMPONENTS OF PAY

Fixed Pay and Benefits

DEFINITION	COMPONENTS	2021 KEY MANAGEMENT FIXED PAY
Fixed pay is based on the market pay level for each job and is reviewed by the employee's contributions over time. Fixed pay reviews depend on whether the employee achieved specific and measurable objectives and delivered a prescribed performance level.	Basic Salary and Allowances	For further information on remuneration and rewards for key management, please refer to page 161.
	Social allowance (UAE Nationals)	
	Job-specific allowances	
	Benefits based on band, such as:	
	— Leave fare — Private medical insurance — Life insurance coverage — Education allowance — Annual leave	

Remuneration and Reward

(continued)

Variable Pay		
DEFINITION	PERFORMANCE CRITERIA	2020 VARIABLE PAY AWARDS
Employees may receive variable pay based on their performance over the year. Because it is performance-based, variable pay is at risk, and the amount received, if any, may change each year.	Individual award amounts are dependent on the following: › Individual performance; › Business function performance; and › Overall performance of the Bank. For more information, see ADCB's Variable Pay Framework & Governance.	Key Management received AED 20.76 million in cash and AED 17.59 million in deferred compensation from the amounts set forth above.

Retention Scheme		
DEFINITION	SELECTION CRITERIA	2021 RETENTION SCHEME AWARDS
In 2014, ADCB introduced a share-based Retention Scheme for those in key positions and high potential UAE Nationals. The Retention Scheme, which is independent of variable pay awards, is designed to ensure business continuity by mitigating turnover risk and the related operational risk. Invitations to join the Retention Scheme are at the sole discretion of the Board Nomination, Compensation, Human Resources & Governance Committee; members of the Management Executive Committee are not eligible to participate. Retention Scheme awards vest after four years from the award date.	› Incumbents in 'mission critical' positions › UAE Nationals with exceptional growth potential	ADCB is committed to rewarding high-performing employees and the Bank may wish to award such talent with a retention award.

BANK-WIDE VARIABLE PAY FRAMEWORK

The Variable Pay Framework has been designed to align employees' interests with the long-term interests of ADCB's shareholders and to incentivise higher performance while avoiding excessive risk-taking.

It also distinguishes amongst different functions of ADCB to ensure alignment to the relevant talent market.

The Board Nomination, Compensation, Human Resources & Governance Committee oversees the design, operation and effectiveness of the framework and allocation of awards, including overall amounts, distribution amongst business groups and actual awards to senior management (including material risk takers and senior members of ADCB's control functions).

ADCB uses a balanced scorecard approach to measure employee performance, including the following KPI categories:

- › Financial, internal and external, where relevant;
- › Non-Financial, including service excellence and people (Organisational Health Index and Emiratisation scores are included as key KPIs); and
- › Compliance, Audit and Risk.

EFFECTIVENESS OF THE VARIABLE PAY FRAMEWORK

- › Effectiveness of the Variable Pay Framework is monitored on an annual basis through a set of KPIs, including:
- › correlation between total variable pay pool and ADCB's net profit;
- › correlation between individual performance and variable pay award;
- › attrition rate for the employees awarded deferred variable pay as compared to the overall attrition rate; and
- › leadership stability—attrition rate at senior management level (top 100 executives) as compared to the industry average for the same level.

In accordance with best practice and the requirements of the Central Bank of the UAE's Corporate Governance regulation and standards, the Board Nomination, Compensation, Human Resources & Governance Committee regularly seeks the views of independent consultants on (a) the quantum, (b) design, and (c) effectiveness of ADCB's variable pay awards and framework. An independent review of the design and effectiveness of ADCB's variable pay framework took place in 2020.

Remuneration and Reward

(continued)

Variable pay framework & governance – Key facts

Reflects individual, business function and Bank-wide performance	YES
Distinguishes amongst different functions of ADCB to ensure alignment to the relevant market	YES
Defers variable pay award above a specified threshold	YES
Type of deferred compensation	Cash and shares
Duration of deferral of variable pay	3 years
Awards subject to thresholds, caps, claw-back rules, malus clause, and deferral and retention provisions	YES
Managed by remuneration professionals experienced in the governance of all types of compensation and benefits	YES
Designed in conjunction with, and reviewed by, independent external advisers reporting directly to the Board Nomination, Compensation, Human Resources & Governance Committee	YES
Relies on regular external benchmarking to ensure alignment with evolving local and global best practices	YES
Incorporates constant monitoring of developments in remuneration governance to ensure all variable pay plans evolve in line with ADCB’s needs and external developments	YES
Designed to avoid excessive risk-taking	YES
Includes a minimum shareholding rule for Key Management	YES
Aligns employee interests with the long-term interests of ADCB’s shareholders	YES

Remuneration awarded during the financial year

31 December 2021		Remuneration in AED ‘000
Senior management/Other material risk-takers		
Fixed Remuneration	Number of employees	12
	Total fixed remuneration (A)	32,121
	Of which: cash-based	29,305
	Of which: deferred	2,816
Variable Remuneration	Number of employees	12
	Total variable remuneration (B)	38,350
	Of which: cash-based	20,760
	Of which: deferred	17,590
	Of which: shares or other share-linked instruments	8,795
	Of which: cash	8,795
Total Remuneration (A + B)		70,471

Special payments

There were no special payments made to the senior management/other material risk takers as such REM 2 is not applicable.

Deferred Remuneration

31 December 2021		AED ‘000			
DEFERRED AND RETAINED REMUNERATION	TOTAL AMOUNT OF OUTSTANDING DEFERRED REMUNERATION	OF WHICH: TOTAL AMOUNT OF OUTSTANDING DEFERRED AND RETAINED REMUNERATION EXPOSED TO EX POST EXPLICIT AND/OR IMPLICIT ADJUSTMENT	TOTAL AMOUNT OF AMENDMENT DURING THE YEAR DUE TO EX POST EXPLICIT ADJUSTMENTS	TOTAL AMOUNT OF AMENDMENT DURING THE YEAR DUE TO EX POST IMPLICIT ADJUSTMENTS	TOTAL AMOUNT OF DEFERRED REMUNERATION PAID OUT IN THE FINANCIAL YEAR
Senior management/Other material risk takers					
Cash	12,833	12,833	–	–	17,617
Shares	5,863	5,863	–	–	2,932
Cash-linked instruments	–	–	–	–	–
Other	–	–	–	–	–
Total	18,696	18,696	–	–	20,549

Key Management comprises 12 employees

Islamic Banking Governance

ADCB Islamic Banking is the brand under which we offer retail and corporate Shari’ah-compliant financial solutions to our Consumer, Wholesale and Treasury clients.

ADCB is regulated by the Central Bank of the UAE, and its Islamic Banking activities are supervised by an independent Internal Shari’ah Supervision Committee (ISSC). The ISSC is the final authority within ADCB regarding all Shari’ah-related matters. It operates in accordance with the resolutions, standards and guidelines issued by the Higher Shari’ah Authority of the Central Bank of the UAE (HSA). HSA follows the Shari’ah Standards issued by the Accounting & Auditing Organisation for Islamic Financial Institutions (AAOIFI) and Islamic Financial Services Board (IFSB).

ISSC functions in line with the Shari’ah governance framework provided within the terms of reference of the ISSC that are approved by the members of the ISSC. The terms of reference provide for the processes and procedures of the functioning of the ISSC, such as holding meetings, issuing of Fatwas and Shari’ah review.

Fatwas (pronouncements and approvals) are issued by the ISSC to certify compliance with principles of Shari’ah for all products and services as well as for bespoke structured deals. The ISSC’s review covers the product structure, the underlying Shari’ah contract, legal documentation, operational process flow and all associated product literature. Fatwas issued by the ISSC are published on ADCB’s website and are available at all branches.

ADCB’s Shari’ah internal governance framework is based on a ‘three lines of defence’ approach as set out in the standards and regulations issued by the Central Bank of the UAE. While business acts as the first line of defence, an independent and separate Internal Shari’ah Control Department headed by the Head of Internal Shari’ah Control is the second line of defence, and it implements and oversees the Shari’ah governance at ADCB.

A separate and independent Internal Shari’ah Audit Department headed by the Head of Internal Shari’ah Audit, being the third line of defence, undertakes the Shari’ah review and audit of the Islamic products and services offered by ADCB. Internal Shari’ah Audit Department submits the Shari’ah audit reports to the ISSC and other relevant bodies in accordance with the HSA standards, regulations, circulars and resolutions. To ensure complete independence from business, Heads of Internal Shari’ah Control and Internal Shari’ah Audit report to the Board or its committees in relation to promotion, bonus, performance appraisal and removal.

ADCB Islamic Banking maintains a separate set of financial records to ensure that the accounts for the Islamic business are completely segregated from ADCB’s conventional funds. ADCB’s consolidated accounts include the results of ADCB Islamic Banking and are separately disclosed in the notes.

The respected Shari’ah scholars listed in this section make up the ISSC of ADCB Islamic Banking.

PROFESSOR DR. JASSIM AL SHAMSI, CHAIRMAN & EXECUTIVE MEMBER

Professor Dr. Jassim Al Shamsi is the first Emirati Shari’ah scholar to lead the ISSC of ADCB Islamic Banking. He previously served as Dean of the College of Shari’ah and Law, UAE University. In addition, he chairs or is a member of many other ISSCs for Islamic banks/windows and financial institutions. He is also a member of the Higher Shari’ah Authority of the Central Bank of the UAE.

DR. DAUD BIN BAKAR, MEMBER

Dr. Daud Bakar is a prominent Shari’ah scholar holding a Shari’ah degree from the University of Kuwait and a PhD from the University of St. Andrews, United Kingdom. He is the Chairman of the Shari’ah Advisory Council/ Supervision Committee of the Central Bank of Malaysia, Securities Commission of Malaysia and First Abu Dhabi Bank. He is a member of various Shari’ah committees supervisory boards around the globe. He is an author of many books on Islamic banking and finance, including ‘Shari’ah Minds in Islamic Finance’ and ‘An Insightful Journey into Emirates Airline Sukuk’.

PROFESSOR DR. IBRAHIM AL MANSOORI, MEMBER

Professor Dr. Ibrahim Ali Abdullah Al Mansoori holds a Master’s degree and PhD in Islamic Banking and Economics. Currently, he holds the position of Director of Sharjah Center for Islamic Economy at Al Qasimia University. He also remained a faculty member in the College of Shari’ah and Islamic Studies, the University of Sharjah. He is currently serving as a member of the Shari’ah Supervision Committee of Dubai Islamic Bank, Al Hilal Bank, Sharjah Islamic Bank and Standard Chartered Bank. He is the author of various studies and papers on contemporary matters relating to Islamic Banking and various Shari’ah issues.

DR. SALIM AL-ALI, MEMBER

Dr. Salim Al-Ali holds a PhD in Financial Law from the University of London, in the UK. He also holds a Master’s Degree in Islamic Banking and Finance from the International Islamic University of Malaysia. In 2016, he received the prestigious Rashid Award for Outstanding Scientific Achievement. Dr. Salim is the author of ‘Raising Capital on Sukuk Markets—Structural, Legal and Regulatory Issues’.

DR. OSAMA MOHAMMED BAHAR, MEMBER

Dr. Osama Bahar is a renowned Bahraini Shari’ah scholar who holds a Shari’ah Degree as well as a PhD from La Haye University, Netherlands. He is currently a member of the Shari’ah Board/Committee at Ithmaar Holding-Bahrain, Alizz Islamic Bank-Oman, Al Salam Bank-Bahrain, Allianz Takaful and Allianz Global Investors-Bahrain. He is also the former Head of Shari’ah at Al Salam Bank Bahrain.

MR. KAMRAN KHALID SHERWANI, ISSC SECRETARY

Mr. Kamran Sherwani is Head of Internal Shari’ah Control at ADCB Islamic Banking. He provides Shari’ah guidance on all day-to-day Shari’ah-related matters and obtains ISSC guidance and approvals in respect of Islamic products and services. He received a Degree in Shari’ah and Law from the International Islamic University and is an AAOIFI Certified Shari’ah Advisor and Auditor. He has served as Shari’ah advisor to several major Islamic banks.

Annual Report of the Internal Shari’ah

SUPERVISION COMMITTEE OF ADCB ISLAMIC BANKING DIVISION

Issued on: 24th January, 2022

To: **Shareholders of Abu Dhabi Commercial Bank PJSC (the ‘Institution’)**

After greetings,

Pursuant to the requirements stipulated in the relevant laws, regulations and standards (‘Regulatory Requirements’), the Internal Shari’ah Supervision Committee of the Institution (‘ISSC’) presents to you the ISSC’s Annual Report regarding Shari’ah compliant businesses and operations of the Institution for the financial year ending on 31 December 2021 (‘Financial Year’).

1. Responsibility of the ISSC

In accordance with the Regulatory Requirements and the ISSC’s charter, the ISSC’s responsibility is stipulated as to:

- A. undertake Shari’ah supervision of all businesses, activities, products, services, contracts, documents and business charters of the Institution; and the Institution’s policies, accounting standards, operations and activities in general, memorandum of association, charter, financial statements, allocation of expenditures and costs, and distribution of profits between holders of investment accounts and shareholders (‘Institution’s Activities’) and issue Shari’ah resolutions in this regard, and
- B. to determine Shari’ah parameters necessary for the Institution’s Activities, and the Institution’s compliance with Islamic Shari’ah within the framework of the rules, principles, and standards set by the Higher Shari’ah Authority (‘HSA’) to ascertain compliance of the Institution with Islamic Shari’ah.

The senior management is responsible for compliance of the Institution with Islamic Shari’ah in accordance with the HSA’s resolutions, fatwas, and opinions, and the ISSC’s resolutions within the framework of the rules, principles, and standards set by the HSA (‘Compliance with Islamic Shari’ah’) in all Institution’s Activities, and the Board bears the ultimate responsibility in this regard.

2. Shari’ah Standards

In accordance with the HSA’s resolution (No. 18/3/2018), and with effect from 01/09/2018, the ISSC has abided by the Shari’ah standards issued by the Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI) as minimum Shari’ah requirements, in all fatwas, approvals, endorsements and recommendations, relating to the Institution’s Activities without exception.

3. Duties Fulfilled by the ISSC During the Financial Year

The ISSC conducted Shari’ah supervision of the Institution’s Activities by reviewing those Activities and monitoring them through internal Shari’ah control division, internal Shari’ah audit, in accordance with the ISSC’s authorities and responsibilities, and pursuant to the Regulatory Requirements in this regard. ISSC’s activities included the following:

- A. Convening meetings during the year.
- B. Issuing fatwas, resolutions and opinions on matters presented to the ISSC in relation to the Institution’s Activities.
- C. Monitoring compliance of policies, procedures, accounting standards, product structures, contracts, documentation, business charters, and other documentation submitted by the Institution to the ISSC for approval.

- D. Ascertaining the level of compliance of allocation of expenditures and costs, and distribution of profits between investment accounts holders and shareholders with parameters set by the ISSC.
- E. Supervision through internal Shari’ah Control division, internal Shari’ah Audit, of the Institution’s Activities including supervision of executed transactions and adopted procedures on the basis of samples selected from executed transactions, and reviewing reports submitted in this regard.
- F. Providing guidance to relevant parties in the Institution to rectify (where possible) incidents cited in the reports submitted by the internal Shari’ah control division, internal Shari’ah audit, and issuance of resolutions to set aside revenue derived from transactions in which non-compliance were identified for such revenue to be disposed towards charitable purposes.
- G. Approving corrective and preventive measures related to identified incidents to preclude their reoccurrence in the future.
- H. Specifying the amount of Zakat due.
- I. Communicating with the Board and its subcommittees, and the senior management of the Institution (as needed) concerning the Institution’s compliance with Islamic Shari’ah.

The ISSC sought to obtain all information and interpretations deemed necessary in order to reach a reasonable degree of certainty that the Institution is compliant with Islamic Shari’ah.

4. Independence of the ISSC

The ISSC acknowledges that it has carried out all of its duties independently and with the support and cooperation of the senior management and the Board of the Institution. The ISSC received the required assistance to access all documents and data and discuss all amendments and Shari’ah requirements.

5. The ISSC’s Opinion on the Shari’ah Compliance Status of the Institution

Premised on information and explanations that were provided to us with the aim of ascertaining compliance with Islamic Shari’ah, the ISSC has concluded with a reasonable level of confidence that the Institution’s Activities are in compliance with Islamic Shari’ah, except for the incidents of non-compliance observed, as highlighted in the relevant reports. The ISSC also provided directions to take appropriate measures in this regard.

The ISSC formed its opinion, as outlined above, exclusively on the basis of information perused by the ISSC during the financial year.

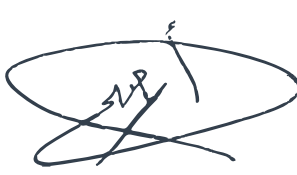
Signatures of members of the Internal Shari’ah Supervision Committee of the Institution.



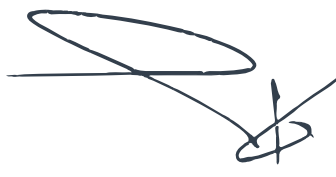
PROFESSOR DR. JASSIM AL SHAMSI
Chairman of the Committee



PROFESSOR DR. IBRAHIM ALMANSOORI
Member



DR. OSAMA BAHAR
Member



DR. DAUD BIN BAKAR
Member



DR. SALIM AL-ALI
Member

Approach to Disclosure

INVESTOR RELATIONS

ADCB is committed to high standards of transparency and to enhancing our disclosures regularly to reflect local and international best-practice.

We publicly communicate relevant financial and non-financial information in a timely manner to all our stakeholders through several channels. As well as the Annual Report, we provide quarterly market updates, issue regular press releases, and ensure ADCB’s website is up to date. ADCB’s Investor Relations Department ensures strong communication with our shareholders and potential investors.

In 2021, the Bank conducted meetings with over 400 investors and attended 10 high profile investor conferences. We further enhanced and consolidated our disclosures, with the introduction of medium-term guidance on key metrics to provide additional visibility to the market.

Further details on ADCB’s announcements to the Abu Dhabi Securities Exchange (ADX) during the year 2021 are available on the below link: adcb.com/ir

Alternatively, please click on the below link to visit the ADX website: www.adx.ae

Finally, recognising the importance of effective internal communication, we ensure all employees are kept aware of all relevant developments. These include ADCB’s strategic direction, objectives, ethics, risk policies, general policies and procedures, new regulations, and other relevant information.

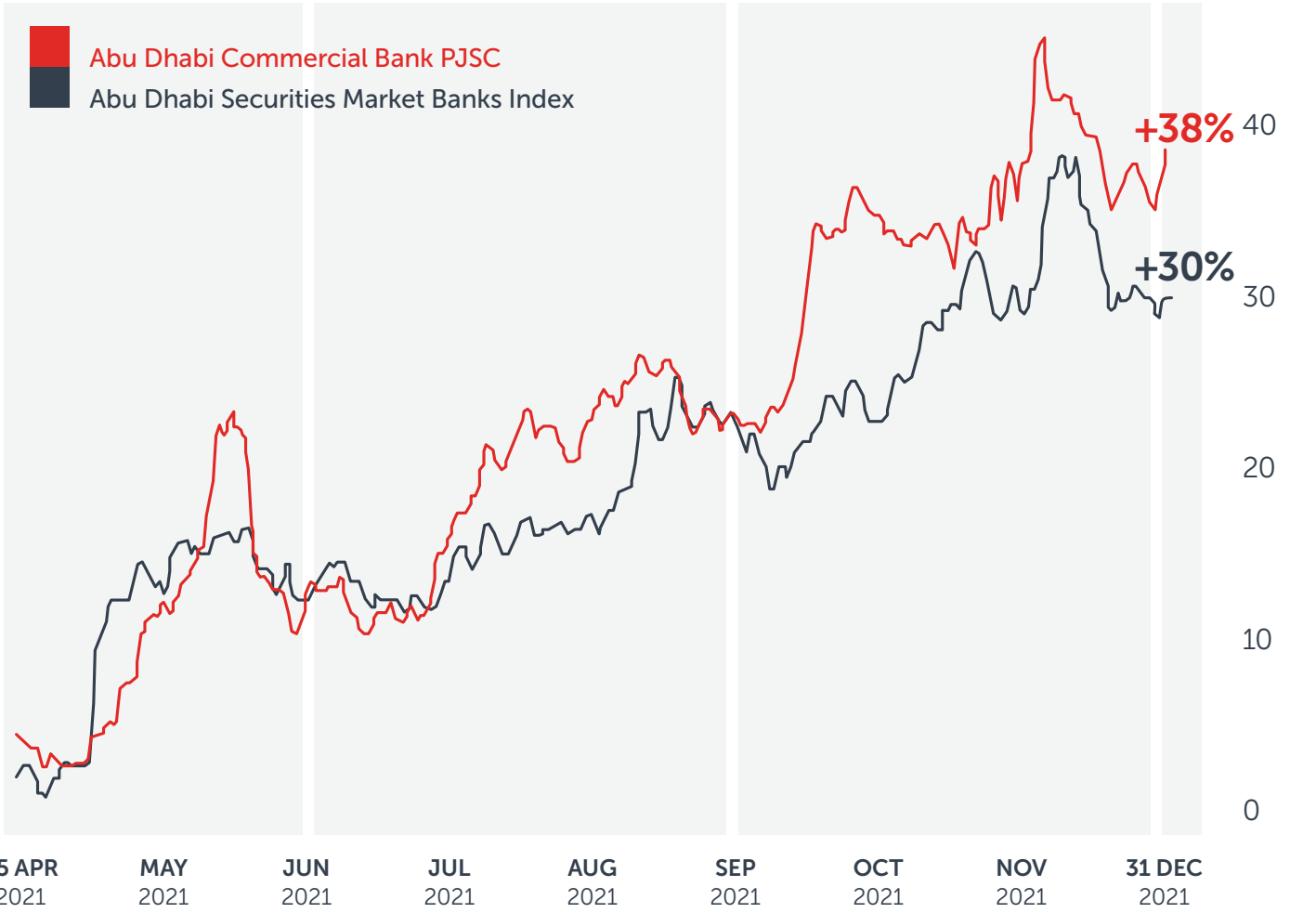
Share Price Performance

ADCB share price performance and monthly trading volume in 2021

	CLOSING PRICE (DEC 2021)	CLOSING PRICE (DEC 2020)	% CHANGE	ADCB’S RELATIVE PERFORMANCE
ADCB	AED 8.53	AED 6.20	38%	
ADX	8,488.36	5,045.32	68%	-30%
ADX BANKS	12,016.26	8,490.07	42%	-4%
MSCI EM BANKS	362.53	363.48	10%	+28%

Outperforming the ADX Banks Index with a leading share price performance since Q1’ 21

Source: Bloomberg



ADCB share price performance and monthly trading volume in 2021

	OPEN (AED)	CLOSE (AED)	HIGH (AED)	LOW (AED)	VALUE (AED)	VOLUME	TRADES	CHANGE	% CHANGE
January	6.14	6.44	6.75	6.05	862,246,343.81	136,144,103	6,756	0.24	3.87
February	6.45	6.35	6.73	6.20	477,572,940.52	73,458,375	4,867	(0.09)	(1.40)
March	6.39	6.19	6.40	6.03	715,950,017.66	115,439,313	7,681	(0.16)	(2.52)
April	6.03	6.27	6.35	5.97	538,710,067.91	87,045,583	4,962	0.08	1.29
May	6.29	6.79	6.90	6.20	781,780,121.59	119,339,617	6,350	0.52	8.29
June	6.80	6.87	7.57	6.65	1,218,566,318.06	172,952,595	9,483	0.08	1.18
July	6.88	7.02	7.02	6.70	355,971,642.70	52,126,931	3,661	0.15	2.18
August	7.02	7.51	7.60	7.01	666,759,560.95	90,441,738	8,257	0.49	6.98
September	7.52	7.49	7.77	7.40	811,783,155.83	106,616,315	9,001	(0.02)	(0.27)
October	7.52	8.30	8.45	7.49	847,146,055.94	106,407,642	8,990	0.81	10.81
November	8.28	8.50	8.63	7.70	1,044,531,791.97	125,727,930	13,334	0.20	2.41
December	8.59	8.53	9.00	8.19	602,791,155.31	69,660,734	8,521	0.03	0.35
					8,923,809,172.25	1,255,360,876	91,863		

Big Block Trades

	VALUE (AED)	VOLUME	TRADES
JUNE 2021	1,099,807,907.80	164,150,434	93

Shareholder Ownership Structure

SHAREHOLDER DETAILS

The following table shows distribution of ownership of ADCB shares as at 31 December 2021:

PERCENTAGE OF OWNED SHARES				
SHAREHOLDERS' CLASSIFICATION	INDIVIDUAL	COMPANIES	GOVERNMENT ¹	TOTAL
LOCAL	15.06%	7.32%	62.44%	84.81%
ARAB	0.52%	1.28%	0.02%	1.82%
FOREIGN	0.40%	12.97%	0.00%	13.37%
TOTAL	15.97%	21.57%	62.46%	100.00%

Figures may not add up due to rounding differences

1 This reflects the Government’s shareholding ownership percentage (Federal Government, Local Government, Pension Funds and UAE Government’s wholly-owned entities), including ownership by the Government of Abu Dhabi entity, Mubadala Investment Company PJSC, through its wholly-owned subsidiary One Hundred and Fourteenth Investment Company—Sole Proprietorship LLC

The following are the shareholders owning 5% or more of ADCB’s capital as at 31 December 2021:

NAME	NUMBER OF OWNED SHARES	PERCENTAGE OF OWNED SHARES OF ADCB'S CAPITAL
ONE HUNDRED AND FOURTEENTH INVESTMENT COMPANY—SOLE PROPRIETORSHIP LLC ²	4,188,599,943	60.20%

2 The Government of Abu Dhabi entity Mubadala Investment Company through its wholly-owned subsidiary, One Hundred and Fourteenth Investment Company—Sole Proprietorship LLC owns 60.2% of the Bank’s share capital

Further information on shareholder ownership as at 31 December 2021:

SHARE(S) OWNERSHIP	NUMBER OF SHAREHOLDERS	NUMBER OF OWNED SHARES	PERCENTAGE OF OWNED SHARES OF ADCB'S CAPITAL
LESS THAN 50,000	2,182	20,944,603	0.30%
FROM 50,000 TO LESS THAN 500,000	808	154,930,039	2.23%
FROM 500,000 TO LESS THAN 5,000,000	398	664,927,500	9.56%
MORE THAN 5,000,000	114	6,116,577,212	87.91%
TOTAL	3,502	6,957,379,354	100.00%

GROUP COMPANY SECRETARY CONTACT DETAILS:

RAMI RASLAN
Group Company Secretary

Tel: +971 2 697 3771
Email: rami.raslan@adcb.com

INVESTOR RELATIONS CONTACT DETAILS:

DENISE CAOUKI
Head of Investor Relations

Tel: +971 2 697 3744
Email: ir@adcb.com
Website: adcb.com/ir

RISK MANAGEMENT

STRATEGIC REVIEW

Risk Review

Risk is a fundamental part of our business and underpins every decision we make. Our proactive approach is driven by our values, which play an integral role in enforcing the discipline needed to protect the Bank, its customers, and our reputation.

We are a systemically important bank in the UAE, and a consistent and sustainable performance depends on our ability to successfully mitigate and manage risk at every level. A strong culture of risk awareness is embedded across the organisation, and every employee is expected to play an active part in managing and mitigating the risks we face.

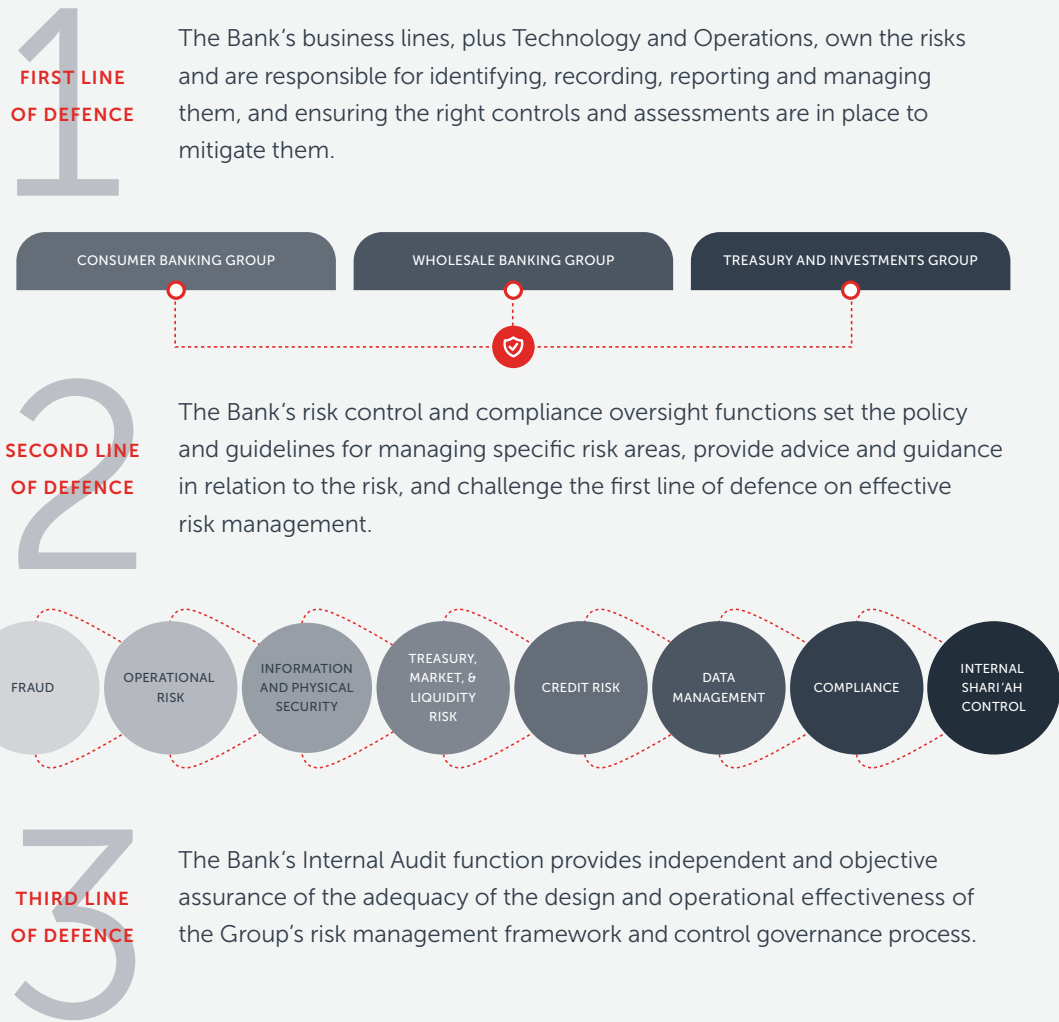
Each year we evaluate our risk appetite through a systematic review and challenge before presenting to the Board Risk Committee (BREC). This guides our approach at individual, department, function, and portfolio level and is consistent with the overall Group appetite.

The framework and our processes and procedures are designed to be aligned and consistent across the Group.



OUR RISK MANAGEMENT FRAMEWORK

ADCB uses an activity-based three lines of defence model. This determines management accountabilities and responsibilities for risk management across the Group. It forms the basis for our approach to risk management by clarifying responsibilities, encouraging collaboration, and enabling efficient coordination of risk and control activities.



Risk Governance Roles & Responsibilities

BOARD OF DIRECTORS	Establish & ensure strong control environment
MANAGEMENT EXECUTIVE COMMITTEE	Oversight & implementation
RISK MANAGEMENT FUNCTION	Governance & compliance
BUSINESS LINE MANAGEMENT	Ownership
INTERNAL AUDIT	Assurance

ACTIVITIES IN 2021

We initiated a wide range of projects to develop and improve risk management across the Bank in 2021. We benefitted from a comprehensive baseline review by the UAE Central Bank, which assessed our processes and procedures. We also benchmarked the Bank against best practices, identifying further areas of improvement to implement. ADCB submitted its stress test in 2021, as required by the Central Bank, after it had been put on hold for the UAE banking sector in 2020 due to the onset of the global pandemic. The exercise demonstrated the Bank’s ability to mitigate potential future risks and confirmed the adequacy of our capital base/ overall resiliency.

In 2021, we were also particularly active in our focus on data management, cybersecurity and the development of our approach to environmental, social, and governance (ESG) risks and opportunities.

ESG

As ESG is a growing area of focus across the Bank, we have been active in considering sectoral principles as well as updating our policies and frameworks to reflect its increasing importance. We have started to measure and evaluate the impact ESG risks have on the Bank, its lending policies, and each stakeholder group. We are also in the process of developing sectoral policies that would support the Bank’s ESG ambitions.

DATA MANAGEMENT

We continued to develop our approach to data management, with a specific drive to augment data privacy and security across the Group. We regard data as an asset in the Bank, enabling us to function with greater efficiency and provide a better service experience for our customers as well as to facilitate a better decision-making capability.

This year we introduced new data privacy modules on the Bank’s e-learning platform, which are mandatory for employees to complete, in addition to those already on the curriculum. These included a refresh of compliance, operational risk management and information security modules.

CYBERSECURITY

Cyber threats continue to increase both in sophistication and frequency. ADCB has implemented robust preventive and detective controls to mitigate the threats. We continuously validate and certify our security practices with global security standards, including ISO 27001, PCI DSS, SWIFT CSCF, and UAE Information Assurance Standards.

In addition to preventive and detective controls, ADCB practices ‘cyber incident response planning’ to prepare the Bank for any major cyber breach incidents and recover from those incidents in the shortest possible timeframe. The scope of the test includes:

- › Conducting regular table-top exercises based on various cyber-attack scenarios
- › Following tried and tested playbooks for different incident scenarios
- › Continuously training and preparing senior leadership and technical teams
- › Measuring readiness, identifying areas of improvement and rectifying them
- › Aligning simulation testing with the Bank’s crisis management plan

ADCB recognises that our staff are key assets in defending against cyber-attacks. Accordingly, we provide ongoing awareness through regular internal campaigns across the Bank.

A team of dedicated professionals calibrate our cyber security activities in respect to discovered threats and vulnerabilities. We are in the process of optimising security improvements across the Group with a particular focus on Al Hilal Bank and ADCB Egypt, where we saw marked progress in 2021.

Our cyber security resilience is tested using specialised third-party security companies, who conduct regular penetration tests and ‘red team’ tests. In addition, we have received third-party validations for our approach to cyber and information security. Finally, cyber insurance coverage arrangements have been made with leading insurers, which provide additional assurance.

OPERATIONAL RISK MANAGEMENT

We manage and control operational risk proactively and cost-effectively in accordance with defined risk appetite. Our goal is to quickly identify and assess operational risk to ensure timely mitigation. We also ensure robust management reporting and continuous improvement of the control environment.

Ongoing management of operational risk is coordinated by the Group Operational Risk Management (GORM) and reviewed and monitored by a dedicated Operational Risk Working Group (ORWG) and Management Executive Committee (MEC) as applicable for policy purposes.

The Group Operational Risk Management function continues to lead the effort to embed the enhanced Operational Risk Management Framework (ORMF). The focus is on consistency in application of core tools, such as risk and control self-assessments (RCSAs), key risk indicators (KRIs), control testing, and timeliness of material incident reporting. The first phase of implementing a new Operational Risk Management System (ORMS) began in 2021 and is expected to be completed in 2022.

To mitigate increased operational risk resulting from the Covid-19 pandemic, a cross-functional team, led by Group Operational Risk, continued to oversee the impact on business processes to ensure they remained within the Bank’s risk appetite.

The enhanced ORMF, which is currently being embedded, enables an end-to-end view of non-financial risks. This facilitates focus on the risks critical to achieving the Group’s strategic objectives and associated controls. It provides a platform to drive forward-looking risk awareness and assist management focus. It also helps the organisation understand the level of risk it is willing to accept.

FRAUD PREVENTION

Incidents of fraud in the banking sector continue to rise in tandem with the increase in cyber-attacks. In response, we continuously review and update our control environment to provide early alerts, and indications, of fraudulent activities.

In 2021, we raised awareness among our customers by providing increased messaging on screens across our ATM network. This was backed by a series of targeted emails and SMS communications, including further content delivered with all our one-time password (OTP) messaging.

BUSINESS CONTINUITY MANAGEMENT

The safety of customers and employees, as well as the capacity to recover from a crisis effectively, are of utmost importance to ADCB. We recognise the importance of business continuity and our obligations to ensure customers and other stakeholders can rely on the Bank to provide business as usual (BAU) operations in diverse scenarios.

ADCB's business continuity framework and programme for its UAE operations is certified ISO22301:2012 and has been designed to ensure that the Bank can continue to achieve its business objectives in the face of an unexpected disruptive event. The same approach is used across the ADCB Group.

The framework aligns with the three lines of defence model. It requires that the business continuity plan can only be set following a business impact analysis, which is formally reviewed by the Business Continuity Management Department for quality and compliance.

ADCB has a Group-wide crisis management framework to coordinate and manage the response to disruptive events. The crisis management framework builds on BAU procedures with defined escalation and management response plans.

In 2021, ADCB continued to execute its pandemic response plan, which was originally designed in January 2020 to respond to the coronavirus outbreak. The Bank has adopted an 'abundance of caution' approach to ensure the safety of its staff and customers. The organisation enabled a distributed work approach across the ADCB Group at the height of the pandemic and maintained a resilient service throughout. The Bank now complies with the 'Return to Normalcy' procedures instructed by the UAE Government. It retains the ability to revert to a distributed work approach according to circumstances.

ADCB received the Middle East award for 'Continuity and Resilience Innovation 2021' from the Business Continuity Institute (BCI).

TRANSPARENT BANKING

We believe that by promoting better financial education, we help to reduce financial risk. As such, ADCB welcomed the introduction in 2021 of new consumer protection regulations and standards by the UAE Central Bank.

The regulations are designed to enhance standards concerning conduct, governance and oversight, responsible lending practices, information and transparency, barriers to competition, access to services, complaints handling, and public awareness.

ADCB's long standing approach is to ensure our employees take responsibility and accountability for compliance with all regulations, to protect our customers and our reputation. As such, we have a zero-tolerance policy towards negligence and non-compliance.

We remain proactive in providing customers with clarity on the products and services offered by the Bank, including simple and transparent descriptions of terms and conditions, fees, and charges.

STRENGTHENING OUR RISK PROFILE

We continue to upgrade our risk infrastructure and capabilities. In 2021, we introduced a loss given default (LGD) rating scale for Wholesale Banking customers and Private Accounts that help the Bank better articulate and manage risk. Furthermore, ADCB effectively managed a loan deferral programme in conjunction with the UAE Central Bank's Targeted Economic Support Scheme (TESS), which ended on 31 December 2021, repaying the zero cost facility (ZCF) ahead of schedule. Several monitoring forums were established to ensure the risk profile of the loan portfolio is continually reviewed, and corrective actions are taken.

STRENGTHENING OUR RISK CULTURE

A strong risk culture and good communication between the three lines of defence are essential characteristics of good operational risk governance. ADCB's risk culture is driven by its core values, with a 'no surprise' and 'no blame' approach cascading from senior management throughout the organisation.

In 2021, this approach was reinforced by the introduction of quantifiable, measurable risk and compliance metrics in the KPIs of all employees, following close collaboration between the Risk and Human Resources Departments.

All employees are responsible for highlighting and managing potential hazards in their work, with individual accountability fostered by focusing on the three lines of defence model. ADCB also provides employees with online compulsory modules, such as on the Bank's Code of Conduct, to ensure awareness of, and focus on, critical risk matters.



BASEL III COMPLIANCE

The Basel Accords focus on risk management, linking the business profile of banks to their risk profiles and subsequently to regulatory capital. In line with best practice, ADCB emphasises capital structure, capital planning, and capital allocation as part of our strategic decision-making.

Please see our Basel III—Pillar III Report for more information.

EXTERNAL RISK SCENARIOS

We identify and actively monitor a range of external risks that have the potential to lead to significant, unexpected adverse outcomes for the Bank or its ability to meet its strategic objectives. These external risks and potential impact and mitigation strategies are summarised on the following page.

Risk KPIs & Performance

KPIS	2021	2020
Common equity Tier 1 ratio (CET1)	12.94% ¹	13.30% ²
Liquidity coverage ratio (LCR)	124.1%	156.8%
Loan to value ratio for real estate portfolio	81%	82%
Non-performing (NPL) ratio	5.41%	6.04%
Provision coverage ratio ³	93.4%	94.3%
Provision coverage ratio with collateral	149%	151%
Cost of risk	0.77%	1.45%

- 1 Post proposed dividend
- 2 Post dividend payment
- 3 Provisions on loans and advances, including fair value adjustments

EXTERNAL RISK

DEFINITION AND POTENTIAL IMPACT

MITIGATION STRATEGY

MACROECONOMIC CONDITIONS IN THE OPERATING MARKETS

Subdued growth due to Covid-19 and its broader impact on the world and UAE economy persisted in 2021. However, the UAE benefitted from higher oil prices and strengthening underlying demand for goods and services.

The Bank retained its refined risk appetite for the industries it dealt with and continued to adhere to the credit risk metrics already in place that address various portfolio dimensions.

The economic sector limits that were established in 2020 were retained and continue into 2022.

GEOPOLITICAL RISK

Geopolitical tension remains a risk in the region and stems from sources unrelated to the Bank and its business.

We regularly monitor geopolitical and economic situations around the world.

In 2021, we perceived that geopolitical risk within the Middle East remained stable, while global trade tensions continued to feature.

As part of our Asset and Liability Committee (ALCO) deliberations, we factor in geopolitical risks as part of overall liquidity considerations. ADCB’s Chief Economist assesses the economic impact of changing geopolitical risks and provides vital inputs to drive our strategy. Where necessary, we adjust our country limits and exposures to reflect our appetite and mitigate these risks.

REGULATORY AND LEGAL RISKS TO OUR BUSINESS MODEL

New regulatory requirements may have an impact on our business model and profitability. Should a regulatory change reduce our ability to meet our customers’ needs or achieve fair customer outcomes, we may experience increased costs and reputational damage.

We strive to ensure that the Bank’s views are considered when UAE regulatory policy is developed. ADCB chairs, or is a member of, several forums within the UAE Banks Federation.

Moreover, the inability to satisfy our customers would cause the Bank to fall short of its strategic objectives, hurting earnings, liquidity, capital, and shareholder confidence.

Internally, we analyse all new draft regulations or circulars to measure their impact and ensure they can be implemented selectively. To strengthen this focus in 2021, we established a new Regulatory Oversight Forum, which monitors the closure of issues and implementation of new regulations.

The risk of failure due to external unanticipated regulatory and legal changes affect all our businesses.

We also confirm that our capital and liquidity plans anticipate the potential effects of any changes.

In the past 12 months, we perceive this risk has continued to remain high due to the frequency of new regulations being issued by the UAE Central Bank.

HEALTH OF STAFF & COMMUNITY

The global pandemic highlighted the risks that public health issues present to our employees and customers and the potential impact on our operations. This risk did not dissipate in 2021. The Bank built upon the experiences and approaches in 2020 to adapt rapidly to fast-changing conditions and implement measures to ensure a safe work environment.

The Bank maintained a remote working capability to ensure our staff and those in more vulnerable categories could continue to work remotely. Sanitation requirements were retained in our premises in terms of specialised cleaning/thermal scanners/ maintaining social distance within the office environment via lower capacity on each floor/team, operating on a rotational basis. Regular communications were also sent to staff during the year, offering health tips and highlighting governmental requirements and supporting work-life balance and mental health, given isolation impacts.

CYBER THREATS

Threats from external parties related to cyber/phishing/ fraud remained high over the past 12 months.

We increased the level of communication to our customer base and staff to ensure awareness of these attempts. We provided examples of how these attempts are undertaken, to build awareness of the risks. The Bank continued to invest in tools, systems, penetration testing and vendor support to ensure our perimeter and systems remain strong against these attacks. Our control environment was also updated to factor in these new styles of threats and attempts.

STRATEGIC REVIEW

Our Principal Risks

Our principal risks are frequently reviewed and updated, particularly in a challenging and rapidly evolving environment. They ensure the Bank’s full enterprise risk profile is measured, monitored, and aligned with our overall Group strategy.



PRINCIPAL RISK	DEFINITION	APPROACH	OVERSIGHT
CAPITAL RISK	Potential for: (i) insufficient level or composition of capital to support normal activities or stressed conditions; and (ii) risk of loss arising from the Bank failing to maintain the level of capital required by prudential regulators and other key stakeholders to support operations and risk appetite.	We maintain a healthy and active approach to capital management, including the maintenance of buffers sufficient to support our strategic aims and maintenance of an investment-grade rating. ADCB is well-capitalised and regularly runs stress tests to ensure sufficient capital coverage. We manage capital utilisation, and business growth within the risk-weighted asset (RWA) target ranges reflected in our business plans. Such plans also target the stability of earnings. We grow our business by targeting recurring economic profit commensurate with risks being taken and returns expected.	ACCOUNTABLE EXECUTIVES: Group Chief Financial Officer, Group Chief Risk Officer ACCOUNTABLE COMMITTEES: PMC, BACC, BREC, Board
COMPLIANCE/REGULATORY RISK	Potential for impact and exposure to regulatory sanctions or loss from a failure to comply with regulatory requirements, laws, or industry standards.	We are committed to upholding compliance standards, laws, regulations, and industry standards, as well as internal policies and sound corporate governance principles. Identified breaches are remedied as soon as practicable. The Bank has zero tolerance/appetite for deliberate or negligent non-compliance.	ACCOUNTABLE EXECUTIVES: Group Chief Compliance Officer, Group Chief Risk Officer ACCOUNTABLE COMMITTEES: MEC, BACC, Board
CONDUCT RISK	Potential for detriment to retail customers, corporate clients, or market integrity from the inappropriate supply of financial services or from a failure on our part to abide by the Bank’s Code of Conduct Policy and/or applicable laws or regulations, including those related to insider trading and bribery risk.	We maintain the highest standards in our Code of Conduct and core values, ensuring we always “do the right thing” in how we conduct business. The Bank expects employees to conduct themselves with a high degree of integrity and to strive for excellence in the work they perform and the outcomes they achieve. The appetite for behaviours that do not meet these standards is very low. ADCB takes any breaches of its Code of Conduct very seriously. We have clearly defined policies on anti-bribery and corruption, anti-money laundering and insider trading. We are committed to creating a safe working environment for all our employees, where they are protected from physical and psychological harm. We have zero-tolerance for practices or behaviours that could be expected to lead to staff being harmed while at work. We are also committed to treating our customers fairly by operating with transparency and providing clear information on products and services, managing conflicts of interest related to these services, avoiding mis-selling and having a rigorous process to ensure the products and services we sell are suitable to customers.	ACCOUNTABLE EXECUTIVES: Management Executive Committee Members ACCOUNTABLE COMMITTEES: MEC, NCHRG, BACC, Board

Our Principal Risks
(continued)

PRINCIPAL RISK	DEFINITION	APPROACH	OVERSIGHT
CREDIT RISK	Potential for financial loss due to the failure of a customer to meet the agreed obligations to pay the Bank. It also includes concentration risk (increased exposure to large client groups, sectors, or geographies) and decreases in credit quality.	We manage our credit exposures by having a sound analytical framework, focusing on analysing cash flows and considering the legal framework of the Bank and borrower. We apply a set of criteria and policies to lending, which means we only deal with clients with good creditworthiness. This ensures facilities are appropriately secured, wherever feasible.	ACCOUNTABLE EXECUTIVES: Group Chief Credit Officer, Business Heads for Consumer & Wholesale Banking, Group Chief Risk Officer
		We have a greater appetite for risk in industries we better understand and have the insights, capability, and capacity to manage and monitor.	ACCOUNTABLE COMMITTEES: MRCC, BACC, BREC, Board
		We remain a relationship-driven business rather than pursuing opportunistic transactions.	
		Wherever possible, collateral is taken to reduce unsecured lending.	
FINANCIAL CRIME RISK	Potential for legal or regulatory penalties, material financial loss or reputational damage resulting from the failure to comply with applicable laws and regulations relating, but not limited to, international sanctions, anti-money laundering and anti-bribery and corruption.	We have no tolerance for breaches in law and regulations related to financial crime, recognising that while incidents are unwanted, they cannot be entirely avoided.	ACCOUNTABLE EXECUTIVES: Chief Compliance Officer, Group Chief Risk Officer, Head of Fraud & Investigations
		The Bank has no appetite for any fraud or corruption perpetrated by its staff. All allegations of suspected fraud or corruption are taken seriously, as set out in the Code of Conduct.	ACCOUNTABLE COMMITTEES: MEC, BACC, Board

PRINCIPAL RISK	DEFINITION	APPROACH	OVERSIGHT
INFORMATION SECURITY AND TECHNOLOGY RISK	Potential for loss from a breach of confidentiality, integrity, or availability of the Bank's information systems and assets through cyber-attack, insider activity, error, or control failure; this includes the risk of loss of confidential information plus the management and quality of data held within systems, which may lead to financial losses.	We have a minimal appetite for risk concerning the availability of critical business systems.	ACCOUNTABLE EXECUTIVES: Head of Information and Physical Security Governance, Head of Data & Governance, Head of Technology Services, Group Chief Risk Officer
		Service availability requirements have been identified and agreed upon within each business area.	
		We have no appetite for damage to our assets from threats arising from malicious attacks. We have strong internal processes, and robust technology controls to address this risk.	ACCOUNTABLE COMMITTEES: MEC, BREC, Board
		Our appetite remains low for IT system-related incidents generated by improper project management practices, excluding the unknowns before any 'go live'.	
		ADCB provides a secure environment for its people and assets by ensuring its physical measures meet high standards.	
		We have no appetite for the failure of physical security measures. We are committed to ensuring that information is authentic, appropriately classified, properly conserved, and managed per legislative and business requirements.	
		We have no appetite for the deliberate misuse of information. Nor do we have any appetite for compromise of processes or data integrity issues that may cause limited or erroneous data to adversely affect our ability to make correct business decisions or jeopardise the integrity of management and regulatory reporting, which may also lead to financial loss.	
		We always mitigate these risks, balancing the cost of maintaining a controlled environment against the impact and likelihood assessment of a risk occurring.	
LIQUIDITY AND FUNDING RISK	Potential that the Bank will be unable to meet its payment obligations associated with its financial liabilities when they fall due and replenish funds when withdrawn.	We actively manage our liquidity and funding base to ensure that the Bank always has sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to ADCB's reputation.	ACCOUNTABLE EXECUTIVES: Group Treasurer, Head of Market Risk, Group Chief Risk Officer
		We do not have any appetite for losing our investment-grade ratings and are mindful of managing liquidity and funding within the constraints of Basel III, regulatory obligations and the desire to be the last bank standing.	ACCOUNTABLE COMMITTEES: ALCO, BREC, Board
	Funding risk is the risk that ADCB will be unable to achieve its business plans due to its capital position, liquidity position or structural position.		

Our Principal Risks
(continued)

PRINCIPAL RISK	DEFINITION	APPROACH	OVERSIGHT
MARKET RISK	Potential that changes in market prices, such as interest rates, equity prices, foreign exchange rates, commodity prices and credit spreads (not related to credit standing) will affect the Bank’s income, assets/liabilities or the value of its holdings of financial instruments.	We control our trading portfolio and activities to ensure that losses related to market risk (financial or reputational) do not cause material damage to the Bank. Our appetite across six key categories is set out within the market risk appetite framework covering: interest rate risk; foreign exchange risk; equity exposure risk; commodity risk; volatility risk; and liquidity risk. Specific limits are established based on the trading book, investment book and banking book activities.	ACCOUNTABLE EXECUTIVES: Group Treasurer, Head of Market Risk, Group Chief Risk Officer ACCOUNTABLE COMMITTEES: ALCO, BREC, Board
OPERATIONAL RISK	Potential for loss resulting from inadequate or failed internal processes, people, and systems, or the impact of external events. This includes fraud, technology, outsourcing and legal risk.	Operational risk is a fundamental element of the Bank’s approach to risk and impacts its banking products, activities, processes, and systems. Our framework ensures a consistent approach and supports business objectives, reinforces a proactive risk management culture, and continuously improves ADCB’s control environment. We manage operational risk by ensuring accountability and ownership across the Bank. We employ tools to reduce the probability of the occurrence of operational risk events that could threaten the Bank’s reputation, the quality of our services and products, or the efficiency of our processes. We monitor the stability of our systems, the effectiveness of business continuity planning and disaster recovery to ensure the level of service we offer customers, and regulators’ expectations are never compromised. We have adopted five levels of operational risk severity ratings—Minor, Low, Moderate, Major and Extreme—whereby Minor and Low risks lie within the Bank’s risk appetite and Extreme constitutes a threat to the Bank’s ability to continue its operations. The Bank mitigates these risks at all times, balancing the cost of maintaining a controlled environment against the impact and likelihood of a risk occurring.	ACCOUNTABLE EXECUTIVES: Business Heads, Head of Operational Risk, Head of Fraud & Investigations, Group Chief Risk Officer ACCOUNTABLE COMMITTEES: Operational Risk Working Group, MEC, BACC, BREC, Board
REPUTATIONAL RISK	Potential adverse effects can arise if the Bank’s reputation is damaged due to factors such as unethical practices, breach of law, regulation, customer dissatisfaction, data privacy breaches and complaints or adverse publicity.	We protect the Bank from material damage to its reputation by ensuring that any business activity is satisfactorily assessed and managed by the appropriate management and governance oversight level. We have a very low appetite for material legal cases against the Bank and, where appropriate, will adequately make provisions for the same in a timely manner.	ACCOUNTABLE EXECUTIVES: Management Executive Committee Members ACCOUNTABLE COMMITTEES: BACC, Board

PRINCIPAL RISK	DEFINITION	APPROACH	OVERSIGHT
TRADED COUNTERPARTY RISK	Potential that changes in market prices, such as interest rates, equity prices, foreign exchange rates, commodity prices and credit spreads (not related to credit standing) will affect the Bank’s credit exposure.	We control our trading portfolio and activities to ensure that losses related to counterparty risk (financial or reputational) do not cause material damage to the Bank. Our appetite across six key categories is set out within the market risk appetite framework covering: interest rate risk; foreign exchange risk; equity exposure risk; commodity risk; volatility risk; and liquidity risk. Specific limits are established based on counterparty potential future exposure.	ACCOUNTABLE EXECUTIVES: Group Treasurer, Head of Market Risk, Group Chief Risk Officer ACCOUNTABLE COMMITTEES: ALCO, BREC, Board
INTEREST RATE RISK BANKING BOOK	Potential that changes in market prices, such as interest rates, equity prices, foreign exchange rates, commodity prices and credit spreads (not related to credit standing) will affect the Bank’s income, assets/liabilities or the value of its holdings of financial instruments.	We control our activities to ensure that losses related to market risk (financial or reputational) do not cause material damage to the Bank. Specific limits are established based on the impact on net interest rate income due to interest rate changes on banking book activities.	ACCOUNTABLE EXECUTIVES: Group Treasurer, Head of Market Risk, Group Chief Risk Officer ACCOUNTABLE COMMITTEES: ALCO, BREC, Board

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TO THE SHAREHOLDERS OF
ABU DHABI COMMERCIAL BANK PJSC

Report on the audit of the consolidated financial statements

Opinion

We have audited the consolidated financial statements of Abu Dhabi Commercial Bank PJSC (the "Bank") and its subsidiaries (collectively referred to as the "Group"), which comprise the consolidated statement of financial position as at 31 December 2021 and the consolidated income statement, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2021 and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the audit of the consolidated financial statements* section of our report. We are independent of the Group in accordance with the *International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code)* together with the ethical requirements that are relevant to our audit of the consolidated financial statements in the United Arab Emirates, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment,

were of most significance in our audit of the consolidated financial statements of the current year. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's responsibilities for the audit of the consolidated financial statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Estimation uncertainty with respect to measurement of allowance for expected credit losses for loans and advances to customers

Description of the Key Audit Matter

The Group has gross outstanding loans and advances to customers amounting to AED 255,112,677 thousand and holds an allowance for expected credit losses (ECL) amounting to AED 10,830,384 thousand as at 31 December 2021. Loans and advances, net, represents 55% of the total assets of the Group.

Determination of allowance for expected credit losses on loans and advances to customers is a process which requires significant judgements, estimates and inputs.

Management first assesses whether the credit risk of loans and advances to customers has increased significantly since their initial recognition, and then applies a three-stage impairment model to calculate the ECL.

For loans and advances to customers classified in stage 1 (no significant increase in credit risk) and stage 2 (with significant increase in credit risk), loss allowances are assessed using the risk parameter modelling approach that incorporates key parameters, including probability of default, loss given default, exposure at default, discount rates and macro-economic inputs.

For loans and advances to customers in stage 3 (default and credit-impaired), loss allowances are assessed by estimating the future discounted cash flows from the loans and advances to customers.

Management has also applied significant level of judgments in areas noted above including assessment of the impact of COVID-19 on the allowances for expected credit losses by considering the following:

- Forward looking information, including variables used in macroeconomic scenarios and their associated weightings;
- Stress in specific sectors and industries; and
- Impact of Government support measures.

Because of the relative subjectivity involved in the estimation process of determination of the allowances for expected credit losses, ongoing COVID-19 pandemic adding further to estimation uncertainty, quantitative materiality of the loans and advances to customers, use of specialised knowledge and the overall extent of effort spent on this area throughout the audit; we determined this to be a key audit matter for the current year audit.

Further information relating to this key audit matter is given in note 11 and 43 to the consolidated financial statements.

How the matter was addressed in the audit

Our procedures mainly included, but were not limited to the following:

- We obtained an understanding of management's assessment of impairment of loans and advances to customers, the Group's credit impairment provision policy and the ECL modelling methodology;
- We obtained understanding of the overall controls surrounding the assessment of ECL including controls related to governance, policies review, IT controls and models validation;
- We performed process walkthroughs to identify the controls over ECL assessment process. We tested

design and operational effectiveness of the following internal controls relating to the measurement of ECL:

- Review and approval of classification of loans and advances to customers.
- The management's regular monitoring of:
 - staging and ECL for loans and advances to customers;
 - identification of loans and advances to customers displaying indicators of impairment under stage 3;
 - macro-economic variables & forecast; and
 - performance of ECL models.
- The review and approval of management overlays.
- The model validation function.

- We also tested the completeness and accuracy of the data on a sample basis used for computation of allowances for expected credit losses;
- We involved our risk and modelling team to review the ECL models used by the Group which included testing of key assumptions and forward-looking factors used to determine the exposure at default, loss given default and probability of default;
- We involved our internal IT specialists for the purpose of testing IT application controls relating to application used for computation of ECL. We evaluated system-based and manual controls over the recognition and measurement of the ECL;
- We performed credit reviews over a selected sample of customers, derived on quantitative and qualitative criteria and assessed the classification and appropriateness of the loans and advances while assessing the credit worthiness of the customers. This included review of the credit documentation, approvals, collateral valuation reports, and other related documentation. For a sample of customers, we also obtained and recalculated the allowance for expected credit losses;
- We obtained management's specific assessment with respect to individually material exposures, assessed and challenged the assumptions used by the management;
- We reviewed the impact on expected credit losses on account of COVID-19 with specific focus on reassessment of macro-economic weights, impact of financial stress on various industries and the consideration of Government support measures; and
- We reconciled the overall ECL numbers to the consolidated financial statements and assessed the appropriateness of disclosures made in the consolidated financial statements.

Other information

The Board of Directors and management are responsible for the other information. The other information comprises the annual report of the Group but does not include the consolidated financial statements and our auditor's report thereon. The annual report is expected to be made available to us after the date of this auditor's report. Our opinion on the consolidated financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the annual report of the Group, if we conclude that there is a material misstatement therein, we are required to communicate the matter to the Board of Directors.

Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRSs and in compliance with the applicable provisions of the Articles of Association of the Bank and the UAE Federal Law No. (2) of 2015, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The Board of Directors and Board Audit & Compliance Committee are responsible for overseeing the Group's financial reporting process.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to

provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

INDEPENDENT AUDITOR’S REPORT



- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.
- i) we have obtained all the information and explanations we considered necessary for the purposes of our audit;
- ii) the consolidated financial statements have been prepared and comply, in all material respects, with the applicable provisions of the UAE Federal Law No. (2) of 2015;

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor’s report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

Further, as required by the UAE Federal Law No. (2) of 2015 [as amended], we report that for the year ended 31 December 2021:

- iii) the Bank has maintained proper books of account;
- iv) the consolidated financial information included in the Directors’ report is consistent with the books of account and records of the Bank;
- v) note 10 to the consolidated financial statements discloses purchases and investments made by the Group during the year ended 31 December 2021;
- vi) note 37 reflects the disclosures relating to material related party transactions and the terms under which they were conducted;
- vii) based on the information that has been made available to us nothing has come to our attention which causes us to believe that the Bank has contravened, during the financial year ended 31 December 2021, any of the applicable provisions of the UAE Federal Law No. (2) of 2015 or of its Articles of Association which would materially affect its activities or its consolidated financial position as at 31 December 2021; and

viii) note 51 to the consolidated financial statements discloses social contributions made during the year ended 31 December 2021.

Further, as required by the Decree of the Chairman of the Abu Dhabi Accountability Authority No. (1) of 2017 pertaining to Auditing the Financial Statements of Subject Entities, we report that, based on the

procedures performed and information provided to us, nothing has come to our attention that causes us to believe that the Bank has not complied, in all material respects, with any of the provisions of the following laws, regulations and circulars, which would materially affect its activities or its consolidated financial statements as at 31 December 2021:

- law of establishment; and
- relevant provisions of applicable laws, resolutions and circulars organising the Bank’s operations.

Further, as required by the Decretal Federal Law No. (14) of 2018, we report that we have obtained all the information and explanations we considered necessary for the purpose of our audit.

Signed by

Joseph Alexander Murphy
Partner
Ernst & Young
Registration No 492

31 January 2022
Abu Dhabi

ABU DHABI COMMERCIAL BANK PJSC
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT DECEMBER 31, 2021

	Notes	As at December 31 2021 AED'000	As at December 31 2020 AED'000	As at December 31 2021 USD'000	As at December 31 2020 USD'000
Assets					
Cash and balances with central banks, net	6	33,746,202	29,601,607	9,187,640	8,059,245
Deposits and balances due from banks, net	7	26,670,143	21,535,442	7,261,134	5,863,175
Financial assets at fair value through profit or loss	8	1,706,767	–	464,679	–
Derivative financial instruments	9	6,488,021	11,146,396	1,766,409	3,034,684
Investment securities	10	96,513,292	88,205,984	26,276,420	24,014,698
Loans and advances to customers, net	11	244,282,293	238,975,702	66,507,567	65,062,810
Investment in associates	12	262,609	255,868	71,497	69,662
Investment properties	13	1,674,954	1,643,956	456,018	447,579
Other assets, net	14	19,354,460	10,081,413	5,269,388	2,744,735
Property and equipment, net	15	2,064,270	2,058,575	562,012	560,461
Intangible assets, net	16	7,294,685	7,390,291	1,986,029	2,012,059
Assets held for sale	35	220,673	261,067	60,080	71,077
Total assets		440,278,369	411,156,301	119,868,873	111,940,185
Liabilities					
Due to banks	17	7,205,333	8,222,071	1,961,702	2,238,516
Derivative financial instruments	9	6,563,379	10,855,048	1,786,926	2,955,363
Deposits from customers	18	265,052,325	251,395,457	72,162,354	68,444,176
Euro commercial paper	19	6,199,157	4,753,593	1,687,764	1,294,199
Borrowings	20	72,499,337	65,396,044	19,738,453	17,804,531
Other liabilities	21	23,384,164	13,927,975	6,366,503	3,791,989
Liabilities related to assets held for sale	35	4,648	4,725	1,265	1,286
Total liabilities		380,908,343	354,554,913	103,704,967	96,530,060
Equity					
Share capital	22	6,957,379	6,957,379	1,894,195	1,894,195
Share premium		17,878,882	17,878,882	4,867,651	4,867,651
Other reserves	23	9,283,381	9,865,416	2,527,466	2,685,929
Retained earnings		19,240,158	15,895,692	5,238,268	4,327,714
Capital notes	26	6,000,000	6,000,000	1,633,542	1,633,542
Equity attributable to equity holders of the Bank		59,359,800	56,597,369	16,161,122	15,409,031
Non-controlling interests		10,226	4,019	2,784	1,094
Total equity		59,370,026	56,601,388	16,163,906	15,410,125
Total liabilities and equity		440,278,369	411,156,301	119,868,873	111,940,185

These consolidated financial statements were duly approved by the Board of Directors and authorised for issue on January 31, 2022 and signed on its behalf by:

Khaldoon Khalifa Al Mubarak
Chairman

Ala'a Eraiqat
Group Chief Executive Officer

Deepak Khullar
Group Chief Financial Officer

The accompanying notes 1 to 52 form an integral part of these consolidated financial statements.

ABU DHABI COMMERCIAL BANK PJSC
CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED DECEMBER 31, 2021

	Notes	2021 AED'000	2020 AED'000	2021 USD'000	2020 USD'000
Interest income	27	9,089,776	11,650,858	2,474,755	3,172,028
Interest expense	28	(2,011,812)	(3,745,602)	(547,730)	(1,019,766)
Net interest income		7,077,964	7,905,256	1,927,025	2,152,262
Income from Islamic financing and investing products	24	2,031,372	2,414,551	553,055	657,378
Distribution on Islamic deposits and profit paid to sukuk holders	24	(245,806)	(536,871)	(66,922)	(146,167)
Net income from Islamic financing and investing products		1,785,566	1,877,680	486,133	511,211
Total net interest income and income from Islamic financing and investing products		8,863,530	9,782,936	2,413,158	2,663,473
Net fees and commission income	29	1,899,288	1,550,889	517,094	422,240
Net trading income	30	675,765	555,288	183,982	151,181
Net gains/(losses) from investment properties	13	11,470	(44,972)	3,123	(12,244)
Other operating income	31	809,138	627,106	220,293	170,734
Operating income		12,259,191	12,471,247	3,337,650	3,395,384
Operating expenses	32	(4,257,240)	(4,526,341)	(1,159,063)	(1,232,328)
Operating profit before impairment charge		8,001,951	7,944,906	2,178,587	2,163,056
Impairment charge	33	(2,646,188)	(3,992,912)	(720,443)	(1,087,098)
Profit after impairment charge		5,355,763	3,951,994	1,458,144	1,075,958
Share in profit of associates	12	7,663	18,005	2,086	4,902
Profit before taxation		5,363,426	3,969,999	1,460,230	1,080,860
Overseas income tax charge		(99,605)	(120,357)	(27,118)	(32,768)
Profit for the year from continuing operations		5,263,821	3,849,642	1,433,112	1,048,092
Loss from discontinued operations	35	(16,422)	(40,765)	(4,471)	(11,099)
Profit for the year		5,247,399	3,808,877	1,428,641	1,036,993
Attributable to:					
Equity holders of the Bank		5,241,122	3,806,078	1,426,932	1,036,231
Non-controlling interests		6,277	2,799	1,709	762
Profit for the year		5,247,399	3,808,877	1,428,641	1,036,993
Basic and diluted earnings per share (AED/USD)	34	0.73	0.51	0.20	0.14

The accompanying notes 1 to 52 form an integral part of these consolidated financial statements.

ABU DHABI COMMERCIAL BANK PJSC
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED DECEMBER 31, 2021

	2021 AED'000	2020 AED'000	2021 USD'000	2020 USD'000
Profit for the year	5,247,399	3,808,877	1,428,641	1,036,993
Items that may be re-classified subsequently to the consolidated income statement				
Net movement in foreign currency translation reserve (Note 23)	(12,517)	(2,675)	(3,408)	(728)
Net movement in cash flow hedge reserve (Note 23)	(34,448)	(56,191)	(9,379)	(15,298)
Net movement in revaluation reserve of debt instruments designated at FVTOCI (Note 23)	(487,639)	280,707	(132,763)	76,424
	(534,604)	221,841	(145,550)	60,398
Items that may not be re-classified subsequently to the consolidated income statement				
Net movement in revaluation reserve of equity instruments designated at FVTOCI (Note 23)	2,342	(23,584)	638	(6,421)
Actuarial gains/(losses) on defined benefit obligation (Note 21)	42,079	(31,213)	11,456	(8,498)
	44,421	(54,797)	12,094	(14,919)
Other comprehensive (loss)/income for the year	(490,183)	167,044	(133,456)	45,479
Total comprehensive income for the year	4,757,216	3,975,921	1,295,185	1,082,472
Attributable to:				
Equity holders of the Bank	4,751,009	3,973,032	1,293,495	1,081,685
Non-controlling interests	6,207	2,889	1,690	787
Total comprehensive income for the year	4,757,216	3,975,921	1,295,185	1,082,472

The accompanying notes 1 to 52 form an integral part of these consolidated financial statements.

ABU DHABI COMMERCIAL BANK PJSC
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED DECEMBER 31, 2021

	Share capital AED'000	Share premium AED'000	Other reserves AED'000	Retained earnings AED'000	Capital notes AED'000	Equity attributable to equity holders of the Bank AED'000	Non- controlling interests AED'000	Total equity AED'000
As at January 1, 2021	6,957,379	17,878,882	9,865,416	15,895,692	6,000,000	56,597,369	4,019	56,601,388
Profit for the year	–	–	–	5,241,122	–	5,241,122	6,277	5,247,399
Other comprehensive (loss)/income for the year (Note 23)	–	–	(532,192)	42,079	–	(490,113)	(70)	(490,183)
Other movements (Note 23)	–	–	(49,843)	(715)	–	(50,558)	–	(50,558)
Amounts transferred within equity upon disposal of investments in equity instruments designated at FVTOCI (Note 23)	–	–	–	(45)	–	(45)	–	(45)
Dividends paid to equity holders of the Bank (Note 22)	–	–	–	(1,878,492)	–	(1,878,492)	–	(1,878,492)
Reversal of zakat provision	–	–	–	114,215	–	114,215	–	114,215
Capital notes coupon paid (Note 34)	–	–	–	(173,698)	–	(173,698)	–	(173,698)
As at December 31, 2021	6,957,379	17,878,882	9,283,381	19,240,158	6,000,000	59,359,800	10,226	59,370,026
As at January 1, 2020	6,957,379	17,878,882	9,257,919	15,544,207	6,000,000	55,638,387	19,405	55,657,792
Profit for the year	–	–	–	3,806,078	–	3,806,078	2,799	3,808,877
Other comprehensive income/(loss) for the year (Note 23)	–	–	198,167	(31,213)	–	166,954	90	167,044
Transfer to statutory and legal reserve (Note 23)	–	–	403,846	(403,846)	–	–	–	–
Other movements (Note 23)	–	–	3,236	(36)	–	3,200	–	3,200
Amounts transferred within equity upon disposal of investments in equity instruments designated at FVTOCI (Note 23)	–	–	–	19,953	–	19,953	–	19,953
Adjustment arising from changes in non-controlling interests	–	–	2,248	(4,138)	–	(1,890)	(18,275)	(20,165)
Dividends paid to equity holders of the Bank (Note 22)	–	–	–	(2,643,804)	–	(2,643,804)	–	(2,643,804)
Zakat for the year	–	–	–	(114,215)	–	(114,215)	–	(114,215)
Capital notes coupon paid (Note 34)	–	–	–	(277,294)	–	(277,294)	–	(277,294)
As at December 31, 2020	6,957,379	17,878,882	9,865,416	15,895,692	6,000,000	56,597,369	4,019	56,601,388

For the year ended December 31, 2021, the Board of Directors has proposed to pay a cash dividend representing 37% of the paid up capital (Note 22).

The accompanying notes 1 to 52 form an integral part of these consolidated financial statements.

ABU DHABI COMMERCIAL BANK PJSC
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2021

	2021 AED'000	2020 AED'000	2021 USD'000	2020 USD'000
OPERATING ACTIVITIES				
Profit before taxation including loss from discontinued operations (Note 35)	5,347,661	3,932,929	1,455,938	1,070,767
Adjustments for:				
Depreciation on property and equipment (Note 15)	401,147	403,911	109,215	109,968
Amortisation of intangible assets (Note 16)	95,690	95,309	26,052	25,948
Net (gains)/losses from investment properties (Note 13)	(11,470)	44,972	(3,123)	12,244
Impairment charge	3,024,545	4,277,480	823,454	1,164,574
Share in profit of associates (Note 12)	(7,663)	(18,005)	(2,086)	(4,902)
Discount unwind	(362,938)	(692,810)	(98,812)	(188,622)
Net gains from disposal of investment securities (Note 31)	(259,077)	(282,701)	(70,537)	(76,967)
Interest income on investment securities	(2,084,623)	(2,093,011)	(567,553)	(569,837)
Dividend income (Note 31)	(26,814)	(21,683)	(7,300)	(5,903)
Gain on bargain purchase (Note 31)	(166,148)	–	(45,235)	–
Gain on sale of property and equipment	(20,392)	–	(5,552)	–
Interest expense on borrowings and euro commercial paper	909,446	1,164,863	247,603	317,142
Net (gains)/losses from trading securities (Note 30)	(19,187)	4,285	(5,224)	1,167
Ineffective portion of hedges — losses/(gains) (Note 9)	4,569	(31,600)	1,244	(8,603)
Employees’ incentive plan expense (Note 25)	5,639	3,200	1,535	871
Cash flows from operating activities before changes in operating assets and liabilities	6,830,385	6,787,139	1,859,619	1,847,847
Net movement in balances with central banks	–	4,043,250	–	1,100,803
Net movement in due from banks	(9,855,434)	2,290,345	(2,683,211)	623,562
Net movement in derivative financial instruments	(106,257)	(185,184)	(28,929)	(50,418)
Net purchases of financial assets at fair value through profit or loss	(1,687,943)	(4,285)	(459,554)	(1,167)
Net movement in loans and advances to customers	(7,029,428)	4,413,604	(1,913,811)	1,201,635
Net movement in other assets	218,932	412,195	59,606	112,223
Net movement in due to banks	(644,760)	2,885,832	(175,540)	785,688
Net movement in deposits from customers	13,657,487	(10,818,731)	3,718,347	(2,945,475)
Net movement in other liabilities	135,282	(149,261)	36,831	(40,637)
Net cash from operations	1,518,264	9,674,904	413,358	2,634,061
Overseas income tax paid	(63,348)	(67,857)	(17,247)	(18,475)
Net cash from operating activities	1,454,916	9,607,047	396,111	2,615,586
INVESTING ACTIVITIES				
Cash paid on business combination (Note 11)	(918,923)	–	(250,183)	–
Net proceeds from redemption/disposal of investment securities	30,122,479	27,767,982	8,201,056	7,560,028
Net purchases of investment securities	(40,038,906)	(40,702,279)	(10,900,873)	(11,081,481)
Interest received on investment securities	2,098,889	2,998,427	571,437	816,343
Dividend received from investment securities (Note 31)	26,814	21,683	7,300	5,903
Dividend received from associates (Note 12)	922	9,647	251	2,626
Disposal of investment in associate (Note 12)	–	40,414	–	11,003
Gross proceeds from disposal of assets held for sale	101,308	–	27,582	–
Disposal of investment properties (Note 13)	22,879	4,990	6,229	1,359
Net purchases of property and equipment	(217,816)	(215,573)	(59,302)	(58,691)
Net cash used in investing activities	(8,802,354)	(10,074,709)	(2,396,503)	(2,742,910)
FINANCING ACTIVITIES				
Net movement in euro commercial paper (Note 19)	1,436,121	2,675,836	390,994	728,515
Net proceeds from borrowings (Note 20)	30,728,932	33,895,814	8,366,167	9,228,373
Repayment of borrowings (Note 20)	(22,951,954)	(22,859,293)	(6,248,830)	(6,223,603)
Interest received/(paid) on borrowings and euro commercial paper	40,181	(393,368)	10,940	(107,097)
Payment of lease liabilities	(89,803)	(94,486)	(24,449)	(25,724)
Dividends paid to equity holders of the Bank	(1,878,492)	(2,643,804)	(511,433)	(719,794)
Acquisition of non-controlling interests	–	(20,165)	–	(5,490)
Capital notes coupon paid (Note 34)	(173,698)	(277,294)	(47,291)	(75,495)
Net cash from financing activities	7,111,287	10,283,240	1,936,098	2,799,685
Net (decrease)/increase in cash and cash equivalents	(236,151)	9,815,578	(64,294)	2,672,361
Cash and cash equivalents at the beginning of the year (Note 36)	32,671,851	22,856,273	8,895,142	6,222,781
Cash and cash equivalents at end of the year (Note 36)	32,435,700	32,671,851	8,830,848	8,895,142

The accompanying notes 1 to 52 form an integral part of these consolidated financial statements.

1. General information

Abu Dhabi Commercial Bank PJSC (“ADCB” or the “Bank”) is a public joint stock company with limited liability incorporated in the emirate of Abu Dhabi, United Arab Emirates (UAE). The Bank and its subsidiaries (together referred to as the “Group”) is principally engaged in the business of retail, commercial and Islamic banking and provision of other financial services.

The Group’s Islamic banking activities are conducted in accordance with principles of Islamic Shari’ah as interpreted by Internal Shari’ah Supervision Committee (“ISSC”) as well as the standards and resolutions issued by the higher Shari’ah authority of UAE Central Bank.

The Bank is listed on the Abu Dhabi Securities Exchange (Ticker: ADCB).

The registered head office of ADCB is at Abu Dhabi Commercial Bank PJSC Head Office Building, Sheikh Zayed Bin Sultan Street, Plot C- 33, Sector E-11, P. O. Box 939, Abu Dhabi, UAE.

2. Application of new and revised International Financial Reporting Standards (IFRSs)

2.1 Standards and Interpretations in issue and effective

During the current year, the Group has applied the amendments to IFRS 9, IFRS 7, IFRS 4, and IFRS 16 along with amendments with respect to Interest Rate Benchmark Reforms — Phase 2 (IBOR reform Phase 2) issued by the International Accounting Standards Board (“IASB”) that are mandatorily effective for an accounting period that begins on or after January 1, 2021. The application of these amendments to IFRSs has not had any material impact on the amounts reported for the current and prior periods but may affect the accounting for the Group’s future transactions or arrangements. However, the application of IBOR reform Phase 2 has resulted in certain additional disclosures as described in note 2.3.

Other than the above, there are no other significant IFRSs, amendments or interpretations that were effective for the first time for the financial year beginning on or after January 1, 2021.

2.2 Standards and Interpretations in issue but not yet effective

New standards and significant amendments to standards applicable to the Group:	Effective for annual periods beginning on or after
Amendments to IFRS 3 “Business Combinations” that update an outdated reference in IFRS 3 without significantly changing its requirements.	January 1, 2022
Amendments to IAS 16 “Property, Plant and Equipment” regarding proceeds from selling items produced while bringing an asset into the location and condition necessary for it to be capable of operating in the manner intended by management.	January 1, 2022
Amendments to IAS 37 “Provisions, Contingent Liabilities and Contingent Assets” amending the standard regarding costs a company should include as the cost of fulfilling a contract when assessing whether a contract is onerous.	January 1, 2022
Annual improvements to IFRS Standards 2018–2020.	January 1, 2022
Amendments to IAS 1 “Presentation of Financial Statements” to address the classification of liabilities as current or non-current providing a more general approach based on the contractual arrangements in place at the reporting date.	January 1, 2023
IFRS 17 “Insurance Contracts” requires insurance liabilities to be measured at a current fulfillment value and provides a more uniform measurement and presentation approach for all insurance contracts. These requirements are designed to achieve the goal of a consistent, principle-based accounting for insurance contracts. IFRS 17 supersedes IFRS 4 “Insurance Contracts” as of January 1, 2021.	January 1, 2023
Amendments to IFRS 17 “Insurance Contracts” to address concerns and implementation challenges identified after IFRS 17 were published in 2017.	January 1, 2023

New standards and significant amendments to standards applicable to the Group:	Effective for annual periods beginning on or after
Extension of the Temporary Exemption from Applying IFRS 9 (Amendments to IFRS 4). The amendment changes the fixed expiry date for the temporary exemption in IFRS 4 “Insurance Contracts” from applying IFRS 9 “Financial Instruments” so that entities would be required to apply IFRS 9 for annual periods beginning on or after January 1, 2023.	January 1, 2023
Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2) which require that an entity disclose its material accounting policies, instead of its significant accounting policies. Further amendments explain how an entity can identify a material accounting policy.	January 1, 2023
The IASB issued “Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12)” that clarifies how companies account for deferred tax on transactions such as leases and decommissioning obligations.	January 1, 2023
The amendments replace the definition of Accounting Estimates (Amendments to IAS 8) — The amendments replace the definition of a change in accounting estimates with a definition of accounting estimates. Under the new definition, accounting estimates are “monetary amounts in financial statements that are subject to measurement uncertainty”. Entities develop accounting estimates if accounting policies require items in financial statements to be measured in a way that involves measurement uncertainty. The amendments clarify that a change in accounting estimate that results from new information or new developments is not the correction of an error.	January 1, 2023

The Group has not early adopted new and revised IFRSs that have been issued but are not yet effective.

Management anticipates that these amendments will be adopted in the consolidated financial statements in the initial period when they become mandatorily effective. The impact of these standards and amendments are currently being assessed by the management.

2.3 IBOR Reform Phase 2

IBOR reform Phase 2 includes a number of reliefs and additional disclosures. The reliefs apply upon the transition of a financial instrument from an IBOR to a risk-free-rate (RFR). IBOR reform Phase 2 provides temporary reliefs that allow the Group’s hedging relationships to continue upon the replacement of an existing interest rate benchmark with an RFR. The reliefs require the Group to amend hedge designations and hedge documentation. This includes redefining the hedged risk to reference an RFR, redefining the description of the hedging instrument and/or the hedged item to reference the RFR and amending the method for assessing hedge effectiveness. Updates to the hedging documentation must be made by the end of the reporting period in which a replacement takes place. The Group may designate an interest rate as a non-contractually specified, hedged risk component of changes in the fair value or cash flows of a hedged item, provided the interest rate risk component is separately identifiable, e.g. it is an established benchmark that is widely used in the market to price loans and derivatives. For new RFRs that are not yet an established benchmark, relief is provided from this requirement provided the Group reasonably expects the RFR to become separately

identifiable within 24 months. For hedges of groups of items, the Group is required to transfer to subgroups those instruments that reference RFRs. Any hedging relationships that prior to application of IBOR reform Phase 2, have been discontinued solely due to IBOR reform and meet the qualifying criteria for hedge accounting when IBOR reform Phase 2 is applied, must be reinstated upon initial application.

Impact on accounting policies and judgements

Recognition of interest income

IBOR reform Phase 2 allows as a practical expedient for changes to the basis for determining contractual cash flows to be treated as changes to a floating rate of interest, provided certain conditions are met. The conditions include that the change is necessary as a direct consequence of IBOR reform and that the transition takes place on an economically equivalent basis. For changes that are not required by IBOR reform, the Group applies judgement to determine whether they result in the financial instrument being derecognised or adjust its carrying value. In making this assessment, the Group considers the extent of any changes to the contractual cash flows as a result of the transition and the factors that have given rise

to the changes, with consideration of both quantitative and qualitative factors.

SPPI Test

In the context of IBOR reform, as financial assets transition from IBOR to RFRs, if a change is substantial, the old instrument will be derecognised and a new one recognised. The Group will need to apply judgement to determine whether following transition, the asset’s amended contractual cash flows continue to represent solely payments of principal and interest (SPPI). Also, the Group must assess when financial instruments transition, whether the new basis for determining the contractual cash flows is economically equivalent to the previous basis.

Derecognition of financial assets and liabilities

In the context of IBOR reform, the Group’s assessment of whether a change to an amortised cost financial instrument is substantial, is made after applying the practical expedient introduced by IBOR reform Phase 2. This requires the transition from an IBOR to an RFR to be treated as a change to a floating interest rate.

The Group derecognises financial assets and financial liabilities if there has been a substantial modification of their terms and conditions. In the context of IBOR reform, certain financial instruments have already been amended or will be amended during coming years as they transition from IBORs to RFRs. In addition to the interest rate of a financial instrument changing, there may be other changes made to the terms of the financial instrument at the time of transition. For financial instruments measured at amortised cost, the Group first applies the practical expedient to reflect the change in the referenced interest rate from an IBOR to an RFR. Second, for any changes not covered by the practical expedient, the Group applies judgement to assess whether the changes are substantial and if they are, the financial instrument is derecognised and a new financial instrument is recognised. If the changes are not substantial, the Group adjusts the gross carrying amount of the financial instrument by the present value of the changes not covered by the practical expedient, discounted using the revised effective interest rate (EIR).

Hedge accounting

IBOR reform Phase 2 provides temporary reliefs that allow the Group’s hedging relationships to continue upon the replacement of an existing interest rate benchmark with an RFR. The reliefs require the Group to amend the hedge designations and hedge documentation for the hedging derivatives disclosed in this note.

The Group applies temporary reliefs which enable its hedge accounting to continue during the period of uncertainty, before the replacement of an existing interest rate benchmark with an alternative nearly risk-free interest

rate. For the purpose of determining whether a forecast transaction is highly probable, the reliefs require to be assumed that the IBOR on which the hedged cash flows are based is not altered as a result of IBOR reform. Under one of the reliefs, the Group may elect for individual RFRs designated as hedging the fair value or cash flows of the hedged item for changes due to a non-contractually specified component of interest rate risk, to be deemed as meeting the requirement to be separately identifiable. For each RFR to which the relief has been applied, the Group judges that both the volume and market liquidity of financial instruments that reference the RFR and are priced using the RFR will increase during the 24-month period with the result that the hedged RFR risk component will become separately identifiable in the change in fair value or cash flows of the hedged item.

Impact on interest rate risk management

Following the decision by global regulators to phase out IBORs and replace them with alternative reference rates, the Group has established a project to manage the transition for any of its contracts that could be affected. The project is sponsored by the CRO and is being led by senior representatives from functions across the Group including the client facing teams, Legal, Finance, Operations and Technology.

The Group is confident that it has the operational capability to process the large volume of transitions to RFRs that will be necessary during coming years for those interest rate benchmarks that will cease to be available, mainly USD Libor which will be replaced by SOFR (Secured Overnight Financing Rate). IBOR reform exposes the Group to various risks. These risks include but are not limited to the following:

- Conduct risk arising from discussions with clients and market counterparties due to the amendments required to existing contracts necessary to effect IBOR reform.
- Financial risk to the Group and its clients that markets are disrupted due to IBOR reform giving rise to financial losses.
- Pricing risk from the potential lack of market information if liquidity in IBORs reduces and RFRs are illiquid and unobservable.
- Operational risk arising from changes to the Group’s IT systems and processes, also the risk of payments being disrupted if an IBOR ceases to be available.
- Accounting risk if the Group’s hedging relationships fail and from unrepresentative income statement volatility as financial instruments transition to RFRs.
- Basis risk as assets and liabilities transfer from Libor to SOFR will happen at varying rates. In addition, the development of term SOFR has the potential of exacerbating this basis risk.

The table below shows the Group’s exposure at the year end to significant IBOR subject to reform that have yet to transition to RFRs. These exposures will contractually remain outstanding until the IBOR ceases and will therefore transition in future. The table excludes exposures to IBOR that will expire before transition is required.

	Non-derivative financial assets Carrying value AED’000	Non-derivative financial liabilities Carrying value AED’000	Hedging derivatives Nominal amount AED’000	Other derivatives Nominal amount AED’000
USD Libor 1 month	11,518,691	1,466,398	294,912	4,174,525
USD Libor 3 months	26,818,851	7,141,879	55,175,118	188,219,165
USD Libor 6 months	6,762,031	202,333	1,082,435	7,292,237
USD Libor 12 months	153,595	–	–	–

3. Summary of significant accounting policies

3.1 Basis of preparation

The consolidated financial statements have been prepared on a going concern basis and in accordance with International Financial Reporting Standards (IFRSs) issued by the International Accounting Standards Board (IASB). IFRSs comprise accounting standards issued by the IASB as well as Interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC) and applicable requirements of the laws.

Certain disclosure notes/numbers have been reclassified and rearranged from the Group’s prior year consolidated financial statements to conform to the current year’s presentation.

3.2 Measurement

The consolidated financial statements have been prepared under the historical cost convention except as modified by the revaluation of financial assets and liabilities at fair value through profit or loss, financial assets and liabilities at fair value through other comprehensive income and investment properties.

3.3 Functional and presentation currency

The consolidated financial statements are prepared and presented in United Arab Emirates Dirhams (AED), which is the Group’s functional and presentation currency. Except as indicated, financial information presented in AED has been rounded to the nearest thousand.

The United States Dollar (USD) amounts in the primary financial statements are presented for the convenience of the reader only by converting the AED balances at the pegged exchange rate of 1 USD = 3.673 AED.

3.4 Use of estimates and judgements

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of the accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the consolidated financial statements are described in Note 4.

3.5 Basis of consolidation

These consolidated financial statements incorporate the financial statements of the Bank and its subsidiaries (collectively referred to as the “Group”).

Subsidiaries

Subsidiaries are entities that are controlled by the Bank. Control is achieved when the Bank:

- has power over the investee;
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affect its returns.

The Bank reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

When the Bank has less than a majority of voting rights of an investee, it still has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally.

The Bank considers all relevant facts and circumstances in assessing whether or not the Bank’s voting rights in an investee are sufficient to give it power, including:

- the size of the Bank’s holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by the Bank;
- rights arising from other contractual arrangements; and
- any additional facts and circumstances that indicate that the Bank has, or does not have, the current ability to direct the relevant activities at the time the decision needs to be made, including voting patterns at previous shareholders’ meetings.

Consolidation of a subsidiary begins when the Bank obtains control over the subsidiary and ceases when the Bank loses control of the subsidiary. Income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated income statement and other comprehensive income from the date the Bank gains control until the date when the Bank ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income are attributed to owners of the Bank and to the non-controlling interests. Total comprehensive income of the subsidiaries is attributed to the owners of the Bank and non-controlling interests even if this results in non-controlling interests having a deficit balance.

When necessary, adjustments are made to the consolidated financial statements of subsidiaries to align their accounting policies with the Bank’s accounting policies.

All intragroup balances and income, expenses and cash flows resulting from intragroup transactions are eliminated in full on consolidation.

Changes in the Bank’s ownership interests in existing subsidiaries

Changes in the Bank’s ownership interests in subsidiaries that do not result in the Bank losing control over the subsidiaries are accounted for as equity transactions. The carrying amount of the Bank’s interests is adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to the shareholders of the Bank. When the Bank loses control of a subsidiary, a gain or loss is recognised in the consolidated income statement and is calculated as the difference between (i) the aggregate of the fair value of the consideration received and the fair value of any retained interest and (ii) the previous carrying

amount of the assets (including goodwill), liabilities of the subsidiary and any non-controlling interests.

All amounts previously recognised in other comprehensive income in relation to that subsidiary are accounted for as if the Bank had directly disposed of the related assets or liabilities of the subsidiary (i.e. reclassified to income statement or transferred to another category of equity as specified/permitted by applicable IFRSs). The fair value of any investment retained in the former subsidiary, at the date when control is lost, is regarded as the fair value on initial recognition for subsequent accounting under IFRS 9 or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.

Special Purpose Entities

Special purpose entities (SPEs) are entities that are created to accomplish a narrow and well-defined objective such as the securitisation of particular assets, or the execution of a specific borrowing or lending transaction. An SPE is consolidated if, based on an evaluation of the substance of its relationship with the Bank, the Bank has power over the SPE, is exposed to or has rights to variable returns from its involvement with the SPE and its ability to use its power over the SPE at inception and subsequently to affect the amount of its return, the Bank concludes that it controls the SPE.

The assessment of whether the Bank has control over an SPE is carried out at inception and normally no further reassessment of control is carried out in the absence of changes in the structure or terms of the SPE, or additional transactions between the Bank and the SPE except when-ever there is a change in the substance of the relationship between the Bank and an SPE.

Funds under management

The Bank manages and administers assets held in unit trusts on behalf of investors. The financial statements of these entities are not included in the consolidated financial statements except when the Bank controls the entity, as referred to above.

Investment in associates

Associates are those entities in which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but not control or joint control over those policies. Investments in associates are accounted for using the equity method and are recognised initially at cost. The cost of the investments includes transaction costs.

The consolidated financial statements include the Group’s share of the profit or loss and other comprehensive income of investment in associates, after adjustments

to align the accounting policies with those of the Group, from the date that significant influence commences until the date that significant influence ceases. When the Group’s share of losses exceeds its interest in an equity-accounted investee, the carrying amount of the investment, including any long-term interests that form part thereof, is reduced to zero, and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee.

The carrying amount of the investment (including goodwill) is tested for impairment in accordance with IAS 36 — Impairment of Assets, as a single asset by comparing with the recoverable amount (higher of value in use and fair value less cost of disposal). Any impairment loss recognised forms part of the carrying amount of the investment. Any reversal of the impairment loss is recognised in accordance with IAS 36 to the extent that the recoverable amount of the investment subsequently increases such that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the investment in prior years.

The Group discontinues the use of equity method of accounting from the date when the investment ceases to be an associate or when the investment is classified as held for sale. When the Group retains an interest in the former associate and the retained interest is a financial asset, the Group measures the retained interest at fair value at that date and the fair value is regarded as its fair value on initial recognition in accordance with IFRS 9. The difference between the carrying amount of the associate at the date equity method was discontinued and the fair value of the retained interest and any proceeds from disposing of a part interest in the associate is included in the determination of the gain or loss on disposal of associate. In addition, the Group accounts for all amounts previously recognised in other comprehensive income in relation of that associate on the same basis as would be required if that associate had directly disposed of the related assets or liabilities. Therefore, if a gain or loss previously recognised in other comprehensive income by that associate would be reclassified to profit or loss on the disposal of the related assets or liabilities, the Group reclassifies the gain or loss from equity to profit or loss (as a reclassification adjustment) when the equity method is discontinued.

Joint arrangements

Joint arrangements are arrangements of which the Group has joint control, established by contracts requiring unanimous consent for decisions about the activities that significantly affect the arrangements’ returns. They are classified and accounted for as follows:

- Joint operation — when the Group has rights to the assets and obligations for the liabilities, relating to an arrangement, it accounts for each of its assets, liabilities and transactions, including its share of those held or incurred jointly, in relation to the joint operation.
- Joint venture — when the Group has rights only to the net assets of the arrangements, it accounts for its interest using the equity method, as for associates.

Non-current assets held for sale

Non-current assets (and disposal groups) classified as held for sale are measured at the lower of carrying amount and fair value less costs to sell.

Non-current assets and disposal groups are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset (or disposal group) is available for immediate sale in its present condition. Management must be committed to the sale which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

When the Group is committed to a sale plan involving loss of control of a subsidiary, all of the assets and liabilities of that subsidiary are classified as held for sale when the criteria described above are met, regardless of whether the Group will retain a non-controlling interest in its former subsidiary after the sale.

When the Group is committed to a sale plan involving disposal of an investment in an associate or, a portion of an investment in an associate, the investment, or the portion of the investment in the associate, that will be disposed of is classified as held for sale when the criteria described above are met. The Group then ceases to apply the equity method in relation to the portion that is classified as held for sale. Any retained portion of an investment in an associate that has not been classified as held for sale continues to be accounted for using the equity method.

3.6 Business combination under common control

A business combination involving entities under common control is a business combination in which all the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination, and that control is not transitory. Currently, there is no specific guidance on accounting for common control transactions under IFRSs, therefore the management needs to use judgement to develop an accounting policy that provides relevant and reliable information in accordance with IAS 8.

The Group accounts for business combinations under common control using the acquisition method when there is a commercial substance to the transaction. Under the acquisition method, the consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the assets transferred by the Group, liabilities incurred by the Group to the former owners of the acquiree and the equity interests issued by the Group in exchange for control of the acquiree. Acquisition-related costs are recognised in profit or loss as incurred.

At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their fair value, except that:

- deferred tax assets or liabilities, and assets or liabilities related to employee benefit arrangements are recognised and measured in accordance with IAS 12 Income Taxes and IAS 19 Employee Benefits respectively; and
- assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations are measured in accordance with that standard.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed. If, after reassessment, the net of the acquisition-date amounts of the identifiable assets acquired and liabilities assumed exceeds the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer's previously held interest in the acquiree (if any), the excess is recognised immediately in profit or loss as a bargain purchase gain.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis.

When a business combination is achieved in stages, the Group's previously held equity interest in the acquiree is remeasured to its acquisition-date fair value and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to profit or

loss where such treatment would be appropriate if that interest were disposed of.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Group reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period, or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognised at that date.

The measurement period is the period from the date of acquisition to the date the Group obtains complete information about facts and circumstances that existed as of the acquisition date but does not exceed twelve months.

Impairment testing of goodwill

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purpose of impairment testing, goodwill is allocated to each of the Group's cash-generating units (or groups of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit ("CGU") to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in profit or loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

3.7 Hedge Accounting

The Group designates certain derivatives as hedging instruments in respect of foreign currency risk and interest rate risk in fair value hedges, cash flow hedges, or hedges of net investments in foreign operations as appropriate. Hedges of foreign exchange risk on firm commitments are accounted for as cash flow hedges. At the inception of the hedge relationship, the Group documents the relationship between the hedging instrument and the hedged item, along with its risk management

objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Group documents whether the hedging instrument is effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk, which is when the hedging relationships meet all of the following hedge effectiveness requirements:

- there is an economic relationship between the hedged item and the hedging instrument;
- the effect of credit risk does not dominate the value changes that result from that economic relationship; and
- the hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Group actually hedges and the quantity of the hedging instrument that the entity actually uses to hedge that quantity of hedged item.

If a hedging relationship ceases to meet the hedge effectiveness requirement relating to the hedge ratio but the risk management objective for that designated hedging relationship remains the same, the Group adjusts the hedge ratio of the hedging relationship by way of rebalancing the hedge on a case-by-case basis, so that it meets the qualifying criteria again.

Fair value hedges

The fair value change on qualifying hedging instruments is recognised in consolidated income statement except when the hedging instrument hedges an equity instrument designated at FVTOCI in which case it is recognised in other comprehensive income. The carrying amount of a hedged item not already measured at fair value is adjusted for the fair value change attributable to the hedged risk with a corresponding entry in consolidated income statement. For debt instruments measured at FVTOCI, the carrying amount is not adjusted as it is already at fair value, but the hedging gain or loss is recognised in consolidated income statement instead of other comprehensive income. When the hedged item is an equity instrument designated at FVTOCI, the hedging gain or loss remains in other comprehensive income to match that of the hedging instrument.

Where hedging gains or losses are recognised in consolidated income statement, they are recognised in the same line as the hedged item. The Group discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised. The discontinuation is accounted for prospectively. The fair value adjustment to the carrying amount of

the hedged item arising from the hedged risk is amortised to consolidated income statement from that date. If the hedged item is sold or repaid, the unamortised fair value adjustment is recognised immediately in the consolidated income statement.

Cash flow hedges

The effective portion of changes in the fair value of derivatives and other qualifying hedging instruments that are designated and qualify as cash flow hedges is recognised in other comprehensive income and accumulated under cash flow hedge reserve. The cash flow hedge reserve is adjusted to the lower of the cumulative gain or loss on the hedging instrument and the cumulative change in fair value of the hedged item. The gain or loss relating to the ineffective portion is recognised immediately in the consolidated income statement.

Amounts previously recognised in other comprehensive income and accumulated in equity are reclassified to consolidated income statement in the periods when the hedged item affects profit or loss, in the same line as the recognised hedged item. However, when the hedged forecast transaction results in the recognition of a non-financial asset or a non-financial liability, the gains and losses previously recognised in other comprehensive income and accumulated in equity are removed from equity and included in the initial measurement of the cost of the non-financial asset or non-financial liability. This transfer does not affect other comprehensive income. Furthermore, if the Group expects that some or all of the loss accumulated in other comprehensive income will not be recovered in the future, that amount is immediately reclassified to consolidated income statement.

The Group discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised. The discontinuation is accounted for prospectively. Any gain or loss recognised in other comprehensive income and accumulated in equity at that time remains in equity and is recognised when the forecast transaction is ultimately recognised in consolidated income statement. When a forecast transaction is no longer expected to occur, the gain or loss accumulated in equity is recognised immediately in consolidated income statement.

Net investment hedge

Hedges of net investments in foreign operations are accounted for in a similar way to cash flow hedges. A gain or loss on the effective portion of the hedging instrument is recognised in other comprehensive income and presented in translation reserve within equity. The gain

or loss relating to the ineffective portion is recognised immediately in the consolidated income statement. Gains and losses accumulated in equity are reclassified from other comprehensive income and included in the consolidated income statement on the disposal or partial disposal of the foreign operation or other reduction in the Group’s investment in the operations.

Hedge effectiveness testing

Hedge effectiveness is determined at the inception of the hedge relationship, and through periodic effectiveness assessments to ensure that an economic relationship exists between the hedged item and hedging instrument. The documentation of each hedging relationship sets out how the effectiveness of the hedge is assessed. The method the Group adopts for assessing hedge effectiveness depends on its risk management strategy.

The Group assesses economic relationship and effectiveness on its designated hedges by matching critical terms of hedged item and hedging instrument as part of its qualitative assessment. The critical terms matching method replicates the hedge item and hence is not used for those hedge relationships where the hedging derivative includes features that are not present in the hedged item. In such cases, the hedge effectiveness assessment is performed using other quantitative methods and may result in ineffectiveness.

Some of the sources of ineffectiveness include the following:

- mismatches between the contractual terms of the hedged item and hedging instrument, including basis differences;
- significant changes in credit risk of the hedging instruments;
- the effects of the forthcoming reforms of Interest rate benchmark, because these might take effect at a different time and have a different impact on hedged items and hedging instruments.

The ineffectiveness arising from quantitative assessments is recognised in the consolidated income statement.

Derivatives that do not qualify for hedge accounting

All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting are recognised immediately in the consolidated income statement in “net gains from dealing in derivatives” under net trading income.

3.8 Financial instruments

Financial assets

All financial assets are recognised and derecognised on settlement date basis (other than derivative contracts which are recognised and derecognised on trade date basis) where the purchase or sale of a financial asset is under a contract whose terms require delivery of the financial asset within the timeframe established by the market concerned, and are initially measured at fair value, plus transaction costs, except for those financial assets classified as at FVTPL. Settlement date is the date that the Group physically receives or transfers the assets. Transaction costs directly attributable to the acquisition of financial assets classified as at FVTPL are recognised immediately in profit or loss.

All recognised financial assets that are within the scope of IFRS 9 are required to be subsequently measured at amortised cost or fair value on the basis of the entity’s business model for managing the financial assets and the contractual cash flow characteristics of the financial assets. Specifically:

- (i) debt instruments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI), are subsequently measured at amortised cost;
- (ii) debt instruments that are held within a business model whose objective is both to collect the contractual cash flows and to sell the debt instruments, and that have contractual cash flows that are SPPI, are subsequently measured at fair value through other comprehensive income (FVTOCI);
- (iii) all other debt instruments (e.g. debt instruments managed on a fair value basis, or held for sale) and equity investments are subsequently measured at FVTPL. However, the Group may make the following irrevocable election/designation at the date of initial application of IFRS 9 or at the date of initial recognition of a financial asset on an asset-by-asset basis:

- the Group may irrevocably elect to present subsequent changes in fair value of an equity investment that is neither held for trading nor contingent consideration recognised by an acquirer in a business combination to which IFRS 3 applies, in other comprehensive income (OCI) with dividend income recognised in profit or loss; and
- the Group may irrevocably designate a debt instrument that meets the amortised cost or FVTOCI criteria as measured at FVTPL if doing so eliminates or significantly reduces an accounting mismatch (referred to as the fair value option).

The Group holds equity investments and mutual funds as strategic investments and has elected to carry these investments at FVTOCI with changes in fair value through other comprehensive income.

(a) Debt instruments at amortised cost or at FVTOCI

The Group assesses the classification and measurement of a financial asset based on the contractual cash flow characteristics of the asset and the Group’s business model for managing the asset.

For an asset to be classified and measured at amortised cost or at FVTOCI, its contractual terms should give rise to cash flows that are solely SPPI.

For the purpose of SPPI test, principal is the fair value of the financial asset at initial recognition. That principal amount may change over the life of the financial asset (e.g. if there are repayments of principal). Interest consists of consideration for the time value of money, for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as a profit margin. The SPPI assessment is made in the currency in which the financial asset is denominated.

Contractual cash flows that are SPPI are consistent with a basic lending arrangement. Contractual terms that introduce exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, such as exposure to changes in equity prices or commodity prices, do not give rise to contractual cash flows that are SPPI. An originated or an acquired financial asset can be a basic lending arrangement irrespective of whether it is a loan in its legal form.

An assessment of business models for managing financial assets is fundamental to the classification of a financial asset. The Group determines the business models at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. The Group’s business model does not depend on management’s intentions for an individual instrument; therefore, the business model assessment is performed at a higher level of aggregation rather than on an instrument-by-instrument basis.

The Group has more than one business model for managing its financial instruments, which reflects how the Group manages its financial assets in order to generate cash flows. The Group’s business models determine whether cash flows will result from collecting contractual cash flows, selling financial assets or both.

At initial recognition of a financial asset, the Group determines whether newly recognised financial assets are part

of an existing business model or whether they reflect the commencement of a new business model. The Group reassess its business models during each reporting period to determine whether the business models have changed since the preceding period.

Debt instruments that are subsequently measured at amortised cost or at FVTOCI are subject to impairment.

(b) Financial assets at FVTPL

Financial assets at FVTPL are:

- (i) assets with contractual cash flows that are not SPPI; or/and
- (ii) assets that are held in a business model other than held to collect contractual cash flows or held to collect and sell; or
- (iii) assets designated at FVTPL using the fair value option.

These assets are measured at fair value, with any gains/losses arising on remeasurement recognised in profit or loss.

(c) Reclassifications

If the business model under which the Group holds financial assets changes, the financial assets affected are reclassified. The classification and measurement requirements related to the new category apply prospectively from the first day of the first reporting period following the change in business model that result in reclassifying the Group’s financial assets. Changes in contractual cash flows are discussed under the accounting policy on modification and derecognition of financial assets.

(d) Impairment

The Group recognises allowances for expected credit loss (ECLs) on the following financial instruments that are not measured at FVTPL:

- balances with central banks;
- deposits and balances due from banks;
- reverse-repo placements;
- debt investment securities;
- loans and advances to customers;
- loan commitments issued; and
- financial guarantee contracts issued.

No impairment loss is recognised on equity investments.

With the exception of purchased or originated credit impaired financial assets (which are considered separately below), ECLs are required to be measured through a loss allowance at an amount equal to:

- 12-month ECL that result from those default events on the financial instrument that are possible within 12 months after the reporting date, (referred to as Stage 1); or
- full lifetime ECL that result from all possible default events over the life of the financial instrument, (referred to as Stage 2 and Stage 3).

A loss allowance for full lifetime ECL is required for a financial instrument if the credit risk on that financial instrument has increased significantly since initial recognition. For all other financial instruments, ECLs are measured at an amount equal to the 12-month ECL. More details on the determination of a significant increase in credit risk are provided in note 3.8(h).

ECLs are a probability-weighted estimate of the present value of credit losses. These are measured as the present value of the difference between the cash flows due to the Group under the contract and the cash flows that the Group expects to receive arising from the weighting of multiple future economic scenarios, discounted at the asset's EIR. However, for unfunded exposures, ECL is measured as follows:

- for undrawn loan commitments, the ECL is the difference between the present value of the contractual cash flows that are due to the Group if the holder of the commitment draws down the loan and the cash flows that the Group expects to receive if the loan is drawn down; and
- for financial guarantee contracts, the ECL is the difference between the expected payments to reimburse the holder of the guaranteed debt instrument less any amounts that the Group expects to receive from the holder, the debtor or any other party.

Refer note 43 for more details on measurement of ECL.

(e) Credit-impaired financial assets

A financial asset is "credit-impaired" when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Credit-impaired financial assets are referred to as Stage 3 assets. Evidence of credit-impairment includes observable data about the following events:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- for economic or contractual reasons relating to the borrower's financial difficulty, concessions given to the borrower that would not otherwise be considered; or
- the disappearance of an active market for a security because of financial difficulties.

It may not be possible to identify a single discrete event – instead, the combined effect of several events may have caused financial assets to become credit-impaired. The Group assesses whether debt instruments that are financial assets measured at amortised cost or FVTOCI are credit-impaired at each reporting date. To assess if sovereign and corporate debt instruments are credit impaired, the Group considers factors such as bond yields, credit ratings and the ability of the borrower to raise funding.

A loan is considered credit-impaired when a concession is granted to the borrower due to a deterioration in the borrower's financial condition, unless there is evidence that, as a result of granting the concession, the risk of not receiving the contractual cash flows has reduced significantly and there are no other indicators of impairment. For financial assets where concessions are contemplated but not granted, the asset is deemed credit impaired when there is observable evidence of credit-impairment including meeting the definition of default. The definition of default (see below) includes unlikelihood to pay indicators and a backstop if amounts are overdue for 90 days or more.

(f) Purchased or originated credit-impaired financial assets

Financial assets that are credit-impaired on initial recognition are classified as purchased or originated credit impaired financial assets (POCI). The Group measures expected credit loss on a lifetime basis for POCI instruments throughout the life of the instrument. However, expected credit loss is not recognised in a separate loss provision on initial recognition for POCI instruments as the lifetime expected credit loss is inherent within the gross carrying amount of the instruments. The Group recognises the change in lifetime expected credit losses arising subsequent to initial recognition in the income statement and the cumulative changes as a loss provision. Where lifetime expected credit losses on POCI instruments are less than those at initial recognition, then the favourable differences are recognised as impairment gains in the income statement (and impairment loss where the expected credit losses are greater).

(g) Definition of default

Critical to the determination of ECL is the definition of default. The definition of default is used in measuring the amount of ECL and in the determination of whether the loss allowance is based on 12-month or lifetime ECL, as default is a component of the probability of default (PD) which affects both the measurement of ECLs and the identification of a significant increase in credit risk.

The Group considers the following as constituting an event of default:

- the borrower is past due for more than 90 days on any material credit obligation to the Group; or
- the borrower is unlikely to pay its credit obligations to the Group in full.

The definition of default is appropriately tailored to reflect different characteristics of different types of assets. The decision to use cross-default is based on case-by-case assessment of borrower and facility conditions such as collateral and materiality of exposure.

When assessing if the borrower is unlikely to pay its credit obligation, the Group takes into account both qualitative and quantitative indicators. The information assessed depends on the type of the asset; for example, in corporate lending a qualitative indicator used is the breach of covenants, which is not relevant for retail lending. Quantitative indicators, such as overdue status and non-payment on another obligation of the same counterparty, are key inputs in this analysis. The Group uses a variety of sources of information to assess default, which are either developed internally or obtained from external sources.

(h) Significant increase in credit risk (SICR)

The Group monitors all financial assets, issued loan commitments and financial guarantee contracts that are subject to the impairment requirements to assess whether there has been a significant increase in credit risk since initial recognition. If there has been a significant increase in credit risk, the Group will measure the loss allowance based on lifetime rather than 12-month ECL.

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Group compares the risk of a default occurring on the financial instrument at the reporting date based on the remaining maturity of the instrument with the risk of a default occurring that was anticipated for the remaining maturity at the current reporting date when the financial instrument was first recognised. In making this assessment, the Group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort, based on the Group's historical experience and expert credit assessment including forward-looking information. For corporate lending, forward-looking information includes the future prospects of the industries in which the Group's counterparties operate, obtained from economic expert reports, financial analysts, governmental bodies and other similar organisations, as well as consideration of various internal and external sources of actual and forecast economic information.

For retail lending, forward-looking information includes the same economic forecasts as corporate lending

with additional forecasts of local economic indicators, particularly for regions with a concentration to certain industries, as well as internally generated information of customer payment behaviour. Refer note 43 for more details about forward looking information and criteria used to determine significant increase in credit risk.

The Group uses different criteria to determine whether credit risk has increased significantly per portfolio of assets. The criteria used are both deterioration in internal/external ratings as well as qualitative assessment. For further details on SICR, refer note 43.

Regardless of the analysis above, a significant increase in credit risk is presumed if a customer is more than 30 days past due in making a contractual payment.

The qualitative factors that indicate significant increase in credit risk are reflected in PD models on a timely basis. However, the Group still considers separately some qualitative factors to assess if credit risk has increased significantly. For corporate lending there is particular focus on assets that are included on a "watch list" given an exposure is on a watch list once there is a concern that the creditworthiness of the specific counterparty has deteriorated. For retail lending the Group considers credit scores and events such as unemployment, bankruptcy or death. As a backstop when an asset becomes 30 days past due, the Group considers that a significant increase in credit risk has occurred and the asset is in stage 2 of the impairment model, i.e. the loss allowance is measured as the lifetime ECL.

(i) Modification and derecognition of financial assets

Modification of financial assets

A modification of a financial asset occurs when the contractual terms governing the cash flows of a financial asset are renegotiated or otherwise modified between initial recognition and maturity of the financial asset. A modification affects the amount and/or timing of the contractual cash flows either immediately or at a future date.

In addition, the introduction or adjustment of existing covenants of an existing loan would constitute a modification even if these new or adjusted covenants do not yet affect the cash flows immediately but may affect the cash flows depending on whether the covenant is or is not met (e.g. a change to the increase in the interest rate that arises when covenants are breached).

The Group renegotiates loans to customers in financial difficulty to maximise collection and minimise the risk of default. A loan forbearance is granted in cases where although the borrower made all reasonable efforts to pay under the original contractual terms, there is a high risk of

default or default has already happened and the borrower is expected to be able to meet the revised terms. The revised terms in most of the cases include an extension of the maturity of the loan, changes to the timing of the cash flows of the loan (principal and interest repayment), reduction in the amount of cash flows due (principal and interest forgiveness) and amendments to covenants.

When a financial asset is modified the Group assesses whether this modification results in derecognition. In accordance with the Group's policy a modification results in derecognition when it gives rise to substantially different terms. To determine the substantially different terms the Group considers the qualitative factors (i.e. contractual cash flows after modification, change in currency or counterparty, interest rates, maturity, covenants) and a quantitative assessment (i.e. compare the present value of the remaining contractual cash flows under the original terms with the contractual cash flows under the revised terms, discounted at the original effective interest).

In case where the financial asset is derecognised the loss allowance for ECL is remeasured at the date of derecognition to determine net carrying amount of the asset at that date. The difference between this revised carrying amount and the fair value of the new financial asset with the new terms will lead to a gain or loss on derecognition. The new financial asset will have a loss allowance measured based on 12-month ECL except in the rare occasions where the new loan is considered to be originated credit impaired. This applies only in the case where the fair value of the new loan is recognised at a significant discount to its revised par amount because there remains a high risk of default which has not been reduced by the modification. The Group monitors credit risk of modified financial assets by evaluating qualitative and quantitative information, such as if the borrower is in past due status under the new terms.

When the contractual terms of a financial asset are modified and the modification does not result in derecognition, the Group determines if the financial asset's credit risk has increased significantly since initial recognition by comparing the credit rating at initial recognition and the original contractual terms; with credit rating at the reporting date based on the modified terms.

Where a modification does not lead to derecognition the Group calculates the modification gain/loss comparing the gross carrying amount before and after the modification (excluding the ECL allowance). Then the Group measures ECL for the modified asset, where the expected cash flows arising from the modified financial asset are included in calculating the expected cash shortfalls from the original asset.

Derecognition of financial assets

The Group derecognises a financial asset only when the contractual rights to the asset's cash flows expire (including expiry arising from a modification with substantially different terms), or when the financial asset and substantially all the risks and rewards of ownership of the asset are transferred to another entity. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain/loss that had been recognised in OCI and accumulated in equity is recognised in profit or loss, with the exception of equity investment designated as measured at FVTOCI, where the cumulative gain/loss previously recognised in OCI is not subsequently reclassified to profit or loss but is transferred to retained earnings.

(j) Presentation of allowance for ECL

Loss allowances for ECL are presented in the consolidated financial statements as follows:

- for financial assets measured at amortised cost (loans and advances, balances due from central banks and other banks, reverse-repo placements, investment securities carried at amortised cost and other financial assets): as a deduction from the gross carrying amount of the assets;
- for debt instruments measured at FVTOCI: as part of revaluation reserve of investments designated at FVTOCI and recognised in other comprehensive income; and
- for loan commitments and financial guarantee contracts: as a provision.

Financial liabilities

Financial liabilities are classified as either financial liabilities at "FVTPL" or "other financial liabilities". The classification of financial liabilities at initial recognition depends on the purpose and management's intention for which the financial liabilities were incurred and their characteristics.

Financial liabilities are recognised in the Group's statement of financial position when the Group becomes a party to the contractual provisions of the instrument. Financial liabilities are initially measured at fair value. Transaction

costs that are directly attributable to the acquisition or issue of financial liabilities (other than financial liabilities at FVTPL) are deducted from the fair value of the financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial liabilities at FVTPL are recognised immediately in profit or loss. If the transaction price differs from fair value at initial recognition, the Group will account for such difference as follows:

- if fair value is evidenced by a quoted price in an active market for an identical liability or based on a valuation technique that uses only data from observable markets, then the difference is recognised in profit or loss on initial recognition (i.e. day 1 profit or loss);
- in all other cases, the fair value will be adjusted to bring it in line with the transaction price (i.e. day 1 profit or loss will be deferred by including it in the initial carrying amount of the liability).

Financial liabilities are subsequently measured at amortised cost except for financial liabilities at fair value through profit or loss. Gains and losses on financial liabilities, other than derivative instruments, designated at fair value through profit or loss are presented partially in other comprehensive income (the amount of change in fair value of the financial liability that is attributable to the changes in credit risk of that liability, which is determined as the amount that is not attributable to changes in market conditions that give rise to market risk) and partially in profit or loss (the remaining amount of change in the fair value of the liability). This is unless such a presentation would create, or enlarge, an accounting mismatch, in which case the gains or losses attributable to changes in the credit risk of the liability are also presented in the profit or loss.

Derecognition of financial liabilities

Financial liabilities are derecognised when they are extinguished (i.e. when the obligation specified in the contract is discharged, cancelled or expires).

The exchange between the Group and its original lenders of debt instruments with substantially different terms, as well as substantial modifications of the terms of existing liabilities, are accounted for as an extinguishment of the original financial liability and a recognition of a new financial liability. The terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability.

In addition, other qualitative factors such as, currency that the instrument is denominated in, changes in the

type of interest rate, new conversion features attached to the instrument and change in covenants are also taken into consideration. If an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any cost or fees incurred is recognised as part of the gain or loss on extinguishment. If an exchange or modification is not accounted for as an extinguishment, any cost or fees incurred adjust the carrying amount of the liability and are amortised using EIR method over the remaining term of the modified liability.

3.9 Foreign currencies

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The consolidated financial statements of the Group are presented in AED, which is the Group's functional and presentation currency.

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing on the dates of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the rate of exchange prevailing at the statement of financial position date. Any resulting exchange differences are included in the consolidated income statement. Non-monetary assets and liabilities are translated at historical exchange rates or year-end exchange rates if held at fair value, as appropriate. The resulting foreign exchange gains or losses are recognised in either consolidated income statement or consolidated other comprehensive income statement depending upon the nature of the asset or liability.

In the consolidated financial statements, the results and financial positions of branches and subsidiaries whose functional currency is not AED, are translated into the Group's presentation currency as follows:

- (a) assets and liabilities at the rate of exchange prevailing at the statement of financial position date;
- (b) income and expenses at the average rates of exchange for the reporting period; and
- (c) all resulting exchange differences arising from the retranslation of opening assets and liabilities and arising from retranslation of the result for the reporting period from the average rate to the exchange rate prevailing at the period end are recognised in other comprehensive income and accumulated in equity under "foreign currency translation reserve" (Note 23).

On disposal or partial disposal (i.e. of associates or jointly controlled entities not involving a change of accounting basis) of a foreign operation, exchange differences relating thereto and previously recognised in reserves

are recognised in the consolidated income statement on a proportionate basis, except in the case of partial disposal (i.e. no loss of control) of a subsidiary that includes a foreign operation, where the proportionate share of accumulated exchange differences are re-attributed to non-controlling interests and are not recognised in the consolidated income statement.

3.10 Offsetting

Financial assets and liabilities are offset and reported net in the consolidated statement of financial position only when there is a legally enforceable right to set off the recognised amounts and when the Group intends to settle either on a net basis, or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from a group of similar transactions such as in the Group’s trading activity.

The Group is party to a number of arrangements, including master netting agreements that give it the right to offset financial assets and financial liabilities but, where it does not intend to settle the amounts net or simultaneously, the assets and liabilities concerned are presented on a gross basis.

3.11 Sale and repurchase agreements

Securities sold subject to a commitment to repurchase them at a predetermined price at a specified future date (repos) are continued to be recognised in the consolidated statement of financial position, and a liability is recorded in respect of the consideration received under borrowings that are carried at amortised cost or under financial liabilities carried at fair value through profit or loss, that are held for trading. The difference between sale and repurchase price is treated as interest expense using the effective interest rate yield method over the life of the agreement for repos carried at amortised cost. Assets purchased with a corresponding commitment to resell at a specified future date (reverse repos) are not recognised in the consolidated statement of financial position. Amounts placed under these agreements are included in reverse-repo placements in the consolidated statement of financial position that are carried at amortised cost or under financial assets carried at fair value through profit or loss that are held for trading. The difference between purchase and resale price is treated as interest income using the effective yield method over the life of the agreement for reverse repos carried at amortised cost.

Reverse-repo placements carried at fair value through profit or loss are generally matched by repo agreements as these are held for trading purposes with the net change

in fair values of these instruments are recorded within net trading income in the consolidated income statement.

3.12 Securities borrowing and lending

Securities borrowing and lending transactions are usually secured by cash or securities advanced by the borrower. Borrowed securities are not recognised in the statement of financial position nor are lent securities derecognised. Cash collateral received or given is treated as a financial asset or liability. However, where securities borrowed are transferred to third parties, a liability for the obligation to return the securities to the stock lending counterparty is recorded. The securities borrowing and lending activity arrangements are generally entered into through repos and reverse repos.

3.13 Cash and cash equivalents

Cash and cash equivalents include cash on hand, balances held with central banks, deposits and balances due from banks, due to banks, items in the course of collection from or in transmission to other banks and highly liquid assets with original maturities of less than three months from the date of acquisition, which are subject to insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments. Cash and cash equivalents are carried at amortised cost in the statement of financial position.

3.14 Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

3.15 Fair value measurement

The Group measures its financial assets and liabilities at market price that it would receive to sell an asset or pay to transfer a liability in an orderly transaction between market participants at the measurement date in the principal market, or in its absence in the most advantageous market for the assets or liabilities. The Group considers principal market as the market with the greatest volume and level of activity for financial assets and liabilities.

The Group measures its non-financial assets at a price that take into account a market participant’s ability to generate economic benefits by using the assets for their highest and best use.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Group has access at that date under current market conditions regardless of whether that price is directly observable or estimated using another valuation technique. The fair value of a liability reflects its non-performance risk.

When applicable, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. When there is no quoted price in an active market, the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all the factors that market participants would take into account into pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e. the fair value of the consideration given or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or a liability nor based on valuation technique that uses only data from observable markets, the instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, the difference is recognised in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is supported wholly by observable market data or the transaction is closed out.

If an asset or a liability measured at fair value has a bid and an ask price, the Group measures assets and long positions at a bid price and liabilities and short positions at an ask price.

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the Group on the basis of the net exposure to either the market or credit risk, are measured on the basis of a price that would be received to sell a net long position (or paid to transfer a net short position) for a particular risk exposure. Those portfolio-level adjustments are allocated to the individual assets and liabilities on the basis of the relative risk adjustment of each of the individual instruments in the portfolio.

Different levels of fair value hierarchy based on the inputs to valuation techniques are discussed in note 41. The Group’s policy is to recognise transfers into and transfers out of fair value hierarchy levels as of the date of the event or change in circumstances that caused the transfer.

3.16 Derivatives

A derivative financial instrument is a financial contract between two parties where payments are dependent upon movements in the price of one or more underlying financial instrument, reference rate or index.

Derivative financial instruments are initially measured at fair value at trade date, and are subsequently re-measured at fair value at the end of each reporting period. All derivatives are carried at their fair values as assets where the fair values are positive and as liabilities where the fair values are negative. Derivative assets and liabilities arising from different transactions are only offset if the transactions are with the same counterparty, a legal right of offset exists and the parties intend to settle the cash flows on a net basis.

Derivative fair values are determined from quoted prices in active markets where available. Where there is no active market for an instrument, fair value is derived from prices for the derivative’s components using appropriate pricing or valuation models.

The method of recognising fair value gains and losses depends on whether derivatives are held for trading or are designated as hedging instruments, and if the latter, the nature of the risks being hedged. All gains and losses from changes in the fair value of derivatives held for trading are recognised in the consolidated income statement under “net gain on dealing in derivatives” (Note 30).

3.17 Leases

The Group as lessee

The Group assesses whether a contract is or contains a lease, at inception of the contract. The Group recognises a right-of-use asset and a corresponding lease liability with respect to all lease arrangement in which it is the lessee, except for short-term (defined as leases with a lease term of 12 months or less) and leases of low value asset. For these leases, the Group recognises the lease payments as an operating lease on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern in which economic benefits from the leased assets are consumed. This expense is presented within other expenses in the consolidated income statement.

The lease liability is initially measured at the present value of the lease payments that are not paid at the

commencement date, discounted by the rate implicit in the lease. If this rate cannot be readily determined, the Group uses its incremental borrowing rate. The lease liability is subsequently measured by increasing the carrying amount to reflect the interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement day and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses. Right-of-use assets are depreciated over the period of lease term or useful life of the underlying asset whichever is shorter. The Group applies IAS 36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as per the Group's impairment policy for non-financial assets.

As a practical expedient, IFRS 16 permits a lessee not to separate non-lease component, and instead account for any lease and associated non-lease component as a single arrangement.

The Group has presented right of use asset within "Property and equipment" and lease liabilities within "Other liabilities" in the consolidated statement of financial position.

The Group as lessor

Leases where the Group does not transfer substantially all the risk and benefits of ownership of the asset are classified as operating leases. Rental incomes are recognised in the consolidated income statement on a straight-line basis over the lease term. Contingent rents are recognised as revenue in the period in which they are earned.

3.18 Treasury shares and contracts on own shares

Own equity instruments of the Group which are acquired by the Group or any of its subsidiaries (treasury shares) are deducted from other reserves and accounted for at weighted average cost. Consideration paid or received on the purchase, sale, issue or cancellation of the Group's own equity instruments is recognised directly in equity.

No gain or loss is recognised in the consolidated income statement on the purchase, sale, issue or cancellation of own equity instruments.

Contracts on own shares that require physical settlement of a fixed number of own shares for a fixed consideration are classified as equity and added to or deducted from equity. Contracts on own shares that require net cash settlement or provide a choice of settlement are classified

as trading instruments and changes in the fair value are reported in the consolidated income statement.

3.19 Financial guarantees

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to meet its obligation when due in accordance with the contractual terms.

Financial guarantee contracts are initially recognised at their fair value, which is likely to equal the premium received on issuance. The received premium is amortised over the life of the financial guarantee. The guarantee liability (the notional amount) is subsequently recognised at the higher of this amortised amount and the present value of any expected payments (when a payment under guarantee has become probable). The premium received on these financial guarantees is included within other liabilities.

3.20 Acceptances

Acceptances arise when the Bank is under an obligation to make payments against documents drawn under letters of credit. Acceptances specify the amount of money, the date and the person to which the payment is due. After acceptance, the instrument becomes an unconditional liability (time draft) of the Bank and is therefore recognised as a financial liability in the consolidated statement of financial position with a corresponding contractual right of reimbursement from the customer recognised as a financial asset.

3.21 Collateral repossessed

The Bank acquires collaterals in settlement of certain loans and advances. These collaterals are recognised at net realisable value on the date of acquisition. Fair value adjustments on these collaterals are included in the consolidated income statement in the period in which these gains or losses arise.

3.22 Investment properties

Investment property is property held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Investment property is reflected at valuation based on fair value at the statement of financial position date. Refer note 3.15 for policy on fair valuation.

The fair value is determined on a periodic basis by independent professional valuers. Fair value adjustments on investment property are included in the consolidated income statement in the period in which these gains or losses arise.

Investment properties under development that are being constructed or developed for future use as investment property are measured initially at cost including all direct costs attributable to the design and construction of the property including related staff costs. Subsequent to initial recognition, investment properties under development are measured at fair value. Gains and losses arising from changes in the fair value of investment property under development is included in the consolidated income statement in the period in which they arise.

An investment property is derecognised upon disposal or when the investment property and investment property under development are permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property (calculated as the difference between net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period in which the property is derecognised.

3.23 Property and equipment

Property and equipment are stated at cost less accumulated depreciation and impairment loss, if any. Cost includes expenditure that is directly attributable to the acquisition of the asset.

Depreciation is charged to the consolidated income statement so as to write off the depreciable amount of property and equipment over their estimated useful lives using the straight-line method. The depreciable amount is the cost of an asset less its residual value. Land is not depreciated.

Estimated useful lives are as follows:

Freehold properties	15 to 40 years
Leasehold and freehold improvements	7 to 10 years
Furniture, equipment and vehicles	3 to 5 years
Computer equipment, software and accessories	4 to 10 years

Changes in the expected useful life are accounted for by changing the depreciation period or method, as appropriate, and treated as changes in accounting estimates.

Property and equipment are derecognised on disposal or when no future economic benefits are expected from its use. Gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset at that date and is recognised in the consolidated income statement.

3.24 Capital work in progress

Capital work in progress is stated at cost. When the asset is ready for use, capital work in progress is transferred to the appropriate property and equipment category and depreciated in accordance with the Group's policies.

3.25 Borrowing costs

Borrowing costs directly attributable to the acquisition or construction of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use.

All other borrowing costs are recognised in the consolidated income statement in the period in which they are incurred.

3.26 Intangible assets

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Group. Intangible assets acquired separately or in a business combination (other than goodwill) are measured on initial recognition at fair value and subsequently at cost less accumulated amortisation and impairment loss.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates and accounted for on a prospective basis. The amortisation expense on intangible assets with finite lives is recognised in the consolidated income statement.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

Estimated useful lives are as follows:

Trade mark and license	Indefinite life
Egypt banking license	Indefinite life
Customer relationships	3 to 6 years
Core deposit intangible	4.5 to 7 years

An intangible asset is derecognised on disposal or when no future economic benefits are expected from use. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in consolidated income statement when the asset is derecognised.

3.27 Impairment of non-financial assets

At each consolidated statement of financial position date, the Group reviews the carrying amounts of its non-financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the assets is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised in the consolidated income statement, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, such that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised in the consolidated income statement, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

3.28 Employee benefits

(i) Employees’ end of service benefits

(a) Defined benefit plan

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit gratuity plans is the present value of the defined benefit obligation at the end of the reporting period together with adjustments for unrecognised past-service costs. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation.

Past-service costs are recognised immediately in income statement, unless the changes to the gratuity plan are conditional on the employees remaining in service for a specified period of time (the vesting period). In this case, the past-service costs are amortised on a straight-line basis over the vesting period.

Remeasurements of the net defined benefit liability, which comprise actuarial gains and losses, are recognised immediately in other comprehensive income. Actuarial gains and losses comprise experience adjustments (the effects of differences between the previous actuarial assumptions and what has actually occurred), as well as the effects of changes in actuarial assumptions.

The Group provides end of service benefits for its expatriate employees. The entitlement to these benefits is based upon the employees’ length of service and completion of a minimum service period. The expected costs of these benefits are accrued over the period of employment.

(b) Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an employee benefit expense in consolidated income statement in the periods during which services are rendered by employees.

Pension contributions are made by the Group to the Abu Dhabi Retirement Pensions and Benefits Fund for UAE citizens in accordance with UAE Federal Law No. 7 of 1999 and to respective pension authorities for other employees including GCC Nationals as per applicable laws.

(ii) Termination benefits

Termination benefits are recognised as an expense when the Group is committed demonstrably, without realistic possibility of withdrawal, to a formal detailed plan either to terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised if the Group has made an offer of voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably. If benefits are payable more than 12 months after the reporting date, then they are discounted to their present value.

(iii) Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(iv) Employees’ incentive plan shares

The cost of the equity-settled share-based payments is expensed over the vesting period, based on the Group’s estimate of equity instruments that will eventually vest. At the end of each reporting period, the Group revises its estimate of the number of equity instruments expected to vest. The impact of the revision of the original estimates, if any, is recognised in the consolidated income statement over the remaining vesting period, with a corresponding adjustment to the employees’ incentive plan reserve.

Where the terms of an equity-settled award are modified, the minimum expense recognised is the expense as if the terms had not been modified. An additional expense is recognised for any modification which increases the total fair value of the share-based payment arrangement or is otherwise beneficial to the employee as measured at the date of modification.

Where an equity-settled award is cancelled, it is treated as if it had vested on the date of cancellation, and any expense not yet recognised for the award is recognised immediately. This includes any award where non-vesting conditions within the control of either the entity or the counterparty are not met. However, if a new award is substituted for the cancelled award, and designated as a replacement award on the date that it is granted, the cancelled and new awards are treated as if they were a modification of the original award, as described in the previous paragraph.

The dilutive effect of outstanding incentive plan shares is reflected in the computation of diluted earnings per share (Note 34).

3.29 Taxation

Provision is made for taxes at rates enacted or substantively enacted as at statement of financial position date on taxable profits of overseas branches and subsidiaries in accordance with the fiscal regulations of the respective countries in which the Group operates.

3.30 Segment reporting

A segment is a distinguishable component of the Group that is engaged either in providing products or services (business segment), or in products or services within a particular economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segments.

Refer note 39 on Business segment reporting.

3.31 Fiduciary assets

The Group provides trust and other fiduciary services that result in the holding or investing of assets on behalf of its clients. Assets held in fiduciary capacity, unless recognition criteria is met, are not reported in the financial statements, as they are not assets of the Group.

3.32 Provisions and contingent liabilities

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows.

Provisions for onerous contracts are recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligation under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset only if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

Contingent liabilities, which include certain guarantees and letters of credit, are possible obligations that arise from past events whose existence will be confirmed only by the occurrence, or non-occurrence, of one or more uncertain future events not wholly within the Group's control; or are present obligations that have arisen from past events but are not recognised because it is not probable that settlement will require outflow of economic benefits, or because the amount of the obligations cannot be reliably measured. Contingent liabilities are not recognised in the consolidated financial statements but are disclosed in the notes to the consolidated financial statements, unless they are remote.

3.33 Revenue and expense recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

(i) Interest income and expense

Interest income and expense for all financial instruments except for those classified as held for trading or those measured or designated at fair value through profit or loss (FVPTL) are recognised in "net interest income" as "interest income" and "interest expense" in the profit or loss account using the effective interest method. Interest on financial instruments classified as held for trading or those measured or designated at FVTPL is recognised in "Net gains from financial assets at fair value through profit or loss" under "Net trading income".

The effective interest rate (EIR) is the rate that exactly discounts estimated future cash flows of the financial instrument through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. The future cash flows are estimated taking into account all the contractual terms of the instrument. The calculation of the EIR includes all fees and points paid or received between parties to the contract that are incremental and directly attributable to the specific lending arrangement, transaction costs, and all other premiums or discounts. For financial assets at FVTPL transaction costs are recognised in profit or loss at initial recognition.

(ii) Dividend income

Dividend income is recognised on the ex-dividend date when the Group's right to receive the payment is established.

(iii) Fee and commission income

The Group earns fee and commission income from a diverse range of services it provides to its customers. Fee income can be divided into the following two categories:

(a) Fee income earned from services that are provided over a certain period of time

Fees earned for the provision of services over a period of time are accrued over that period. These fees include commission income and asset management, custody and other management and advisory fees.

Loan commitment fees for loans that are likely to be drawn down and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the effective interest rate on the loan. When it is unlikely that a loan will be drawn down, the loan commitment fees are recognised over the commitment period on a straight-line basis.

(b) Fee income from providing transaction services

Fees arising from negotiating or participating in the negotiation of a transaction for a third party, such as the arrangement of the acquisition of shares or other securities or the purchase or sale of businesses, are recognised on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognised after fulfilling the corresponding criteria.

3.34 Islamic financing

The Group engages in Shari'ah compliant Islamic banking activities through various Islamic instruments such as Murabaha, Ijara, Musharaka, Salam, Mudaraba, Sukuk and Wakala.

Murabaha financing

A sale contract whereby the Group sells to a customer commodities and other assets at an agreed upon profit mark up on cost. The Group purchases the assets based on a promise received from customer to buy the item purchased according to specific terms and conditions. Profit from Murabaha is quantifiable at the commencement of the transaction. Such income is recognised as it accrues over the period of the contract on effective profit rate method on the balance outstanding.

Ijara financing

Ijara financing is an agreement whereby the Group (lessor) leases or constructs an asset based on the customer's (lessee) request and promise to lease the assets for a specific period against certain rent instalments. Ijara could end in transferring the ownership of the asset to the lessee at the end of the lease period. Also, the Group transfers substantially all the risks and rewards related

to the ownership of the leased asset to the lessee. Ijara income is recognised on an effective profit rate basis over the lease term.

Musharaka

Musharaka is an Islamic contract in which two parties (Islamic financial institution and its customer) pool their respective funds to form a partnership. In Musharaka both parties are involved in management of the business/partnership. Profit is shared on the basis of pre-agreed ratio and loss is shared in the ratio of capital contribution. It's not mandatory in Musharaka for all parties to participate in the management of business. Practically, this form of investment is used by the Islamic financial institution to finance its customers.

Mudaraba

A contract between the Group and a customer, whereby one party provides the funds (Rab Al Mal) and the other party (the Mudarib) invests the funds in a project or a particular activity and any profits generated are distributed between the parties according to the profit shares that were pre-agreed in the contract. The Mudarib would bear the loss in case of default, negligence or violation of any of the terms and conditions of the Mudaraba, otherwise, losses are borne by the Rab Al Mal. Income is recognised based on expected results adjusted for actual results on distribution by the Mudarib, whereas if the Group is the Rab Al Mal the losses are charged to the Group's consolidated income statement when incurred.

Salam

Bai Al Salam is a sale contract where the customer (seller) undertakes to deliver/supply a specified tangible asset to the Group (buyer) at mutually agreed future date(s) in exchange for an advance price fully paid on the spot by the buyer.

Revenue on Salam financing is recognised on the effective profit rate basis over the period of the contract, based on the Salam capital outstanding.

Wakala

An agreement between the Group and customer whereby one party (Rab Al Mal) provides a certain sum of money to an agent (Wakil), who invests it according to specific conditions in return for a certain fee (a lump sum of money or a percentage of the amount invested). The agent is obliged to guarantee the invested amount in case of default, negligence or violation of any of the terms and conditions of the Wakala. The Group may be Wakil or Rab Al Mal depending on the nature of the transaction.

Estimated income from Wakala is recognised on the effective profit rate basis over the period, adjusted by

actual income when received. Losses are accounted for when incurred.

Sukuk

Certificates of equal value representing undivided shares in ownership of tangible assets, usufructs and services or (in the ownership of) the assets of particular projects or special investment activity. It is asset-backed trust certificates evidencing ownership of an asset or its usufruct (earnings or benefits) and complies with the principle of Shari'ah.

4. Critical accounting judgements and key sources of estimation uncertainty

The reported results of the Group are sensitive to the accounting policies, assumptions and estimates that underlie the preparation of these consolidated financial statements. IFRS requires the Management, in preparing the Group's consolidated financial statements, to select suitable accounting policies, apply them consistently and make judgements and estimates that are reasonable and prudent. In the absence of an applicable standard or interpretation, IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors, requires Management to develop and apply an accounting policy that results in relevant and reliable information in the light of the requirements and guidance in IFRS dealing with similar and related issues and the IASB's Framework for the Preparation and Presentation of Financial Statements. The judgements and assumptions involved in the Group's accounting policies that are considered by the Board of Directors (the "Board") to be the most important to the portrayal of its financial condition are discussed below. The use of estimates, assumptions or models that differ from those adopted by the Group would affect its reported results.

4.1 Critical judgements in applying the changes in Group's accounting policies

The following are the critical judgements, apart from those involving estimations, that the management has made in the process of applying the Group's accounting policies and that have the most significant effect on the amounts recognised in the consolidated financial statements:

Business model assessment

Classification and measurement of financial assets depends on the results of the SPPI and the business model test. The Group determines the business model at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgement reflecting all relevant evidence including how the performance of the

assets is evaluated and their performance measured, the risks that affect the performance of the assets and how these are managed and how the managers of the assets are compensated. The Group monitors financial assets measured at amortised cost or fair value through other comprehensive income that are derecognised prior to their maturity to understand the reason for their disposal and whether the reasons are consistent with the objective of the business for which the asset was held. Monitoring is part of the Group's continuous assessment of whether the business model for which the remaining financial assets are held continues to be appropriate and if it is not appropriate whether there has been a change in business model and so a prospective change to the classification of those assets.

Impairment losses

- Significant increase of credit risk: ECLs are measured as an allowance equal to 12-month ECL for stage 1 assets, or lifetime ECL for stage 2 or stage 3 assets. An asset moves to stage 2 when its credit risk has increased significantly since initial recognition. IFRS 9 does not define what constitutes a significant increase in credit risk. In assessing whether the credit risk of an asset has significantly increased the Group takes into account qualitative and quantitative reasonable and supportable forward-looking information.
- Establishing groups of assets with similar credit risk characteristics: When ECLs are measured on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics (e.g. instrument type, credit risk grade, collateral type, date of initial recognition, remaining term to maturity, industry, geographic location of the borrower, etc.). The Group monitors the appropriateness of the credit risk characteristics on an ongoing basis to assess whether they continue to be similar. This is required in order to ensure that should credit risk characteristics change there is appropriate re-segmentation of the assets. This may result in new portfolios being created or assets moving to an existing portfolio that better reflect the similar credit risk characteristics of that group of assets. Re-segmentation of portfolios and movement between portfolios is more common when there is a significant increase in credit risk (or when that significant increase reverses) and so assets move from 12-month to lifetime ECLs, or vice versa, but it can also occur within portfolios that continue to be measured on the same basis of 12-month or lifetime ECLs but the amount of ECL changes because the credit risk of the portfolios differ.
- Models and assumptions used: The Group uses various models and assumptions in measuring ECL of financial assets. Judgement is applied in identifying the most appropriate model for each type of asset, as well as for determining the assumptions used in these models,

including assumptions that relate to key drivers of credit risk. Refer note 43 for more details on ECL.

Valuation of financial instruments

The best evidence of fair value is a quoted price for the instrument being measured in an actively traded market. In the event that the market for a financial instrument is not active, a valuation technique is used. The majority of valuation techniques employ only observable market data and so the reliability of the fair value measurement is high. However, certain financial instruments are valued on the basis of valuation techniques that include one or more significant market inputs that are unobservable. Valuation techniques that rely to a greater extent on unobservable inputs require a higher level of management judgement to calculate a fair value than those based wholly on observable inputs.

Valuation techniques used to calculate fair values are discussed in note 41. The main assumptions and estimates which management consider when applying a model with valuation techniques are:

- the likelihood and expected timing of future cash flows on the instrument. These cash flows are estimated based on the terms of the instrument, and judgement may be required when the ability of the counterparty to service the instrument in accordance with the contractual terms is in doubt. Future cash flows may be sensitive to changes in market rates;
- selecting an appropriate discount rate for the instrument. The determination of this rate is based on an assessment of what a market participant would regard as the appropriate spread of the rate for the instrument over the appropriate risk-free rate; and
- when applying a model with unobservable inputs, estimates are made to reflect uncertainties in fair values resulting from a lack of market data inputs, for example, as a result of illiquidity in the market. For these instruments, the fair value measurement is less reliable. Inputs into valuations based on unobservable data are inherently uncertain because there is little or no current market data available from which to determine the level at which an arm's length transaction would occur under normal business conditions. However, in most cases there is some market data available on which to base a determination of fair value, for example historical data, and the fair values of most financial instruments are based on some market observable inputs even when unobservable inputs are significant.

Fair valuation of investment properties

The fair value of investment properties is based on the highest and best use of the properties, which is their current use. The fair valuation of the investment

properties is carried out by independent valuers based on models whose inputs are observable in an active market such as market conditions, market prices, future rental income, etc.

The fair value movements on investment properties are disclosed in more detail in note 13.

Consolidation of Funds

The changes introduced by IFRS 10 "Consolidated Financial Statements" require an investor to consolidate an investee when it controls the investee. The investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The new definition of control requires the Group to exercise significant judgement on an ongoing basis to determine which entities are controlled, and therefore are required to be consolidated.

Lease accounting under IFRS 16

The following are the critical judgements in the application of IFRS 16, apart from those involving estimations, that the management has made in the process of applying the Group's accounting policies and that have the most significant effect on the amounts recognised in the consolidated financial statements:

- identifying whether a contract (or part of a contract) includes a lease;
- determining whether it is reasonably certain that an extension or termination option will be exercised;
- classification of lease arrangements (when the entity is a lessor).

Tax positions

The income tax positions taken are considered by the Group to be supportable and are intended to withstand challenge from tax authorities. However, it is acknowledged that these positions are uncertain and include interpretations of complex tax laws which could be disputed by tax authorities. Evolving insights, for example following final tax assessments for prior years, can result in additional tax burdens or benefits, and new tax risks may arise.

The Group judges these positions on their technical merits on a regular basis using all the information available (legislation, case law, regulations, established practice, authoritative doctrine as well as the current state of discussions with tax authorities, where appropriate). A liability is recorded for each item that is not probable of being sustained on examination by the tax authorities, based on all relevant information. The liability is calculated taking into account the most likely outcome or the

expected value, depending on which is thought to give a better prediction of the resolution of each uncertain tax position in view of reflecting the likelihood of an adjustment being recognised upon examination. These estimates are based on facts and circumstances existing at the end of the reporting period. The tax liability and income tax expense include expected penalties and late payment interests arising from tax disputes.

Management has used its best estimate of the correct value of liability to recognise in each case, which includes a judgement on the length of the future time period to use in such assessments.

4.2 Key sources of estimation uncertainty

The following are key estimations that the management has used in the process of applying the Group's accounting policies and that have the most significant effect on the amounts recognised in the Group's consolidated financial statements:

- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and determining the forward-looking information relevant to each scenario: When measuring ECL the Group uses reasonable and supportable forward-looking information, which is based on assumptions for the future movement of different economic drivers and how these drivers will affect each other.
- Exposure at default (EAD) — The EAD over lifetime of a financial asset is modelled taking into account expected repayment profile. We apply specific credit conversion factors (CCFs) in order to calculate an EAD value. Conceptually, the EAD is defined as expected amount of credit exposure of counter party at the time of default. In the instance where a transaction involves an unfunded exposure, CCF models are applied in order to estimate amount of unfunded exposures that are drawn down in case of default. The calibration of such parameters (CCFs) are based on internal historical data and consider counterparty and product type specifics.

During the year, the Bank recalibrated its CCFs used in the computation of EAD in relation to the ECL against the Bank's unfunded letters of guarantees. The change in accounting estimate was based on management's analysis of the historical conversion ratio of guarantees issued by the Bank over one full economic cycle while considering a potential increase in the conversion ratio in short to medium term due to the impact of Covid-19 on the economy.

- Probability of default (PD) constitutes a key input in measuring ECL. PD is an estimate of the likelihood of default over a given time horizon, the calculation of which includes historical data, assumptions and expectations of future conditions.
- Loss given default (LGD) is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, taking into account cash flows from collateral and integral credit enhancements.

Impairment of goodwill and intangible assets

Goodwill is tested at least annually for impairment, along with the intangible assets and other assets of the Group’s cash-generating units.

Determining whether goodwill or intangible assets are impaired requires an estimation of the value in use of the business being tested for impairment and of the cash-generating units to which these assets have been allocated. The value in use calculation requires the entity to estimate the future cash flows expected to arise from the cash-generating unit, taking into account the achievability of long-term business plans and macroeconomic assumptions underlying the valuation process, and a suitable discount rate in order to calculate present value.

Lease accounting under IFRS 16

The following are key estimations that the management has used in the process of applying the Group’s accounting policies for IFRS 16 and that have the most significant effect on the amounts recognised in the Group’s consolidated financial statements:

- determination of the appropriate rate to discount the lease payments;
- assessment of whether a right-of-use asset is impaired.

Fair valuation of assets acquired and liabilities assumed in business combination

As stated in note 3.6 above, the identifiable assets acquired and the liabilities assumed in business combination are recognised at their fair value. In estimating the fair value of an asset or a liability, the Group uses market-observable data to the extent it is available. Where Level 1 inputs are not available, the Group engages third party qualified valuers to perform the valuation.

5. Coronavirus (Covid-19) outbreak and its impact on ADCB Group

The Covid-19 pandemic has caused an unprecedented human health crisis and economic impact. While the initial acute phase of the financial crisis has eased, firms and policy-makers remain concerned about a range of

risks that could present a threat to financial stability and, ultimately, the economic recovery.

In response to this crisis, the Central Bank of UAE (CBUAE) has instituted measures in the UAE to support businesses and households. Some of the measures announced by the CBUAE under Targeted Economic Support Scheme (TESS), which would mitigate the impact of Covid-19, are discussed below.

A. Temporary relief to customers

Under the TESS deferral program, temporary relief from payments of principal and/or interest/profit on outstanding loans was granted to all Covid-19 affected private sector corporates, small and medium enterprises, and individuals domiciled in UAE. To incentivise UAE banks to participate in the TESS deferral programme and to improve their lending capacity, CBUAE has granted AED 50 billion zero cost funding (ZCF) facility (capital buffer) for the entire banking industry till December 31, 2021.

In addition to TESS deferral program, CBUAE also provided TESS recovery program zero cost funding facility until June 30, 2022 for the entire banking industry. Under the TESS recovery program, Banks can offer working capital facilities and/or any other new financing to customers negatively impacted by Covid-19 repercussions.

B. Liquidity and capital stimulus package

The pandemic had a significant negative impact on the liquidity/funding and capital risks and profile of the banking system. Governments around the world had to intervene to provide various stimulus packages to mitigate the adverse effects of the crisis. CBUAE has also introduced the following stimulus package relating to liquidity and capital requirements, to support the banking industry in the UAE through this disruption, for banks that entirely pass on the TESS related benefits to end customers:

- CBUAE has a reduced requirement of maintaining a minimum liquidity coverage ratio (LCR) of 70% (from 100%), minimum net funding ratio (NSFR) of 90% (from 100%), and minimum eligible liquid assets ratio (ELAR) of 7% (from 10%). This liquidity can be used to compensate for the effect of posting collateral required by the TESS programme.
- To improve liquidity within UAE banking system, the CBUAE halved the reserve requirement for demand deposit of all banks from 14% to 7%.
- To counter volatility in financial markets and its impact on regulatory capital, CBUAE has issued a new requirement for all banks to apply a prudential filter to IFRS 9 expected credit loss (ECL) provisions. Any increase in the provisioning compared to December 31, 2019, will be partially added back to regulatory capital, while IFRS

- 9 provisions will be gradually phased-in during a five-year period, ending December 31, 2024.
- The CBUAE has allowed banks to tap into capital conservation buffer and domestic systemically important banks (D-SIB) to the extent of 60% and 100%, respectively till December 31, 2021.
- Planned implementation of certain Basel III capital requirements will be postponed till the end of 2021 (Basel III part 2) and the second quarter of 2022 (Basel III part 3).

In response to this crisis, the Bank continues to monitor and respond to all liquidity and funding requirements through its Liquidity Contingency Plan and stress tests reflecting the current economic scenarios. As at the reporting date, the liquidity, funding and capital position of the Bank remains strong and is well placed to absorb the impact of the current disruption.

IASB Guidance and Joint Guidance issued by Central Bank of the UAE, Dubai Financial Services Authority (the “DFSA”) and the Financial Services Regulatory Authority (the “FSRA”)

During the year 2020, the CBUAE, the DFSA and the FSRA issued a Joint Guidance on the treatment of IFRS 9 provisions in the context of the Covid-19 crisis (Joint Guidance), which was designed to be in effect for the duration of the TESS program. The Guidance allows banks to classify accounts subject to deferrals, according to a flexible grouping approach rather than the more stringent staging based on automatically applying significant increase in credit risk (SICR) criteria under IFRS 9. This staging classification applies to (i) all clients benefitting from deferrals granted under the TESS deferral program and (ii) those granted separately from that program.

Summary of loans extended under TESS recovery program:

	As at December 31, 2021		
	Wholesale banking AED’000	Retail banking AED’000	Total AED’000
Total loans extended	377,909	495,162	873,071
Less: Repayments by customers	(102,228)	(116,752)	(218,980)
Loans outstanding	275,681	378,410	654,091

The TESS deferral program has formally concluded as of December 31, 2021 and hence ADCB has reverted to its business as usual SICR classifications and staging rules.

Impact of Covid-19 on ADCB Group

The Group has provided TESS related deferral to its corporate, SME, and retail customers in line with the CBUAE regulations ensuring that the customers impacted by Covid-19 are supported by temporary payment deferrals. The TESS deferrals have halted as of December 31, 2021 and the Group has fully repaid the ZCF availed from CBUAE under the TESS deferral programme. The customers who have availed the deferral benefits have either repaid deferrals and/or worked out other long term solutions with the Group and have regular credit processes and policies applied to them.

In addition to the TESS deferral program, the Group has also provided new loans and facilities to customers who had a temporary loss of revenue due to Covid-19, but are otherwise in good economic health in accordance with the CBUAE’s TESS recovery program. The new loans follow the Group’s internal credit policies and the usual under-writing process.

Under the TESS recovery program, the Group has extended AED 873,071 thousand to the Covid-19 impacted customers by means of additional funding as per the latest guidelines by CBUAE, of which AED 218,980 thousand has been subsequently repaid/settled by customers as at December 31, 2021. The outstanding balance pertaining to zero cost funding facility availed by the Group under the TESS recovery program was AED 635,800 thousand as at December 31, 2021.

Summary of loans extended under TESS recovery program and impairment allowance by product:

	As at December 31, 2021	
	Loans outstanding AED'000	Impairment allowance AED'000
Corporate and SME loans	275,681	2,565
Personal loans	282,776	3,325
Mortgage loans	36,141	28
Auto loans	59,493	231
Total	654,091	6,149

6. Cash and balances with central banks, net

	As at December 31 2021 AED'000	As at December 31 2020 AED'000
Cash on hand	2,340,940	1,682,035
Balances with central banks (*)	17,964,095	17,608,390
Reserves maintained with central banks	12,211,940	10,083,446
Certificate of deposits with central banks	1,229,719	228,201
Gross cash and balances with central banks	33,746,694	29,602,072
Less: Allowance for impairment (Note 43.3)	(492)	(465)
Total cash and balances with central banks, net	33,746,202	29,601,607
The geographical concentration is as follows:		
Within the UAE	31,637,652	28,592,453
Outside the UAE	2,109,042	1,009,619
	33,746,694	29,602,072
Less: Allowance for impairment (Note 43.3)	(492)	(465)
	33,746,202	29,601,607

(*) includes overnight deposit amounting to AED 16,400,000 thousand placed with CBUAE at 0.15% p.a. (December 31, 2020 — AED 17,000,000 thousand placed with CBUAE at 0.10% p.a.)

Reserves maintained with central banks represent deposits with the central banks at stipulated percentages of its demand, savings, time and other deposits. These are available for day-to-day operations only under certain specified conditions.

7. Deposits and balances due from banks, net

	As at December 31 2021 AED'000	As at December 31 2020 AED'000
Nostro balances	431,749	1,194,880
Margin deposits	1,188,560	2,735,002
Time deposits	3,587,111	5,071,201
Wakala placements	–	1,744,675
Murabaha placements	555,501	–
Loans and advances to banks	20,948,828	10,836,253
Gross deposits and balances due from banks	26,711,749	21,582,011
Less: Allowance for impairment (Note 43.3)	(41,606)	(46,569)
Total deposits and balances due from banks, net	26,670,143	21,535,442
The geographical concentration is as follows:		
Within the UAE	4,465,396	6,535,296
Outside the UAE	22,246,353	15,046,715
	26,711,749	21,582,011
Less: Allowance for impairment (Note 43.3)	(41,606)	(46,569)
	26,670,143	21,535,442

8. Financial assets at fair value through profit or loss

	As at December 31 2021 AED'000	As at December 31 2020 AED'000
Debt securities	542,455	–
Equity securities	42,250	–
Structured funding arrangements	1,122,062	–
Total financial assets at fair value through profit or loss	1,706,767	–
The geographical concentration is as follows:		
Within the UAE	571,837	–
Outside the UAE	1,134,930	–
	1,706,767	–

The Group entered into structured funding arrangements where the funding was provided against certain reference assets received under the arrangement and held by the Bank. The risk and rewards relating to these reference assets remain with the counterparty. The fair value of these reference assets amount to AED 1,717,844 thousand as at December 31, 2021. The structuring arrangement and reference assets received are governed under International Swaps and Derivatives Association (ISDA) agreements.

9. Derivative financial instruments

In the ordinary course of business, the Group enters into various types of derivative transactions that are affected by variables in the underlying instruments.

A derivative is a financial instrument or other contract with all three of the following characteristics:

- (a) its value changes in response to the change in a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or

rates, credit rating or credit index, or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract (sometimes called the “underlying”);

- (b) it requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors; and
- (c) it is settled at a future date.

Derivative financial instruments which the Group enters into includes forward foreign exchange contracts, interest rate futures, forward rate agreements, commodity swaps, interest rate swaps and currency and interest rate options.

The Group uses the following derivative financial instruments for hedging and trading purposes.

Forward and Futures transactions

Currency forwards represent commitments to purchase foreign and domestic currencies, including non-deliverable forward transactions (i.e. the transaction is net settled). Foreign currency and interest rate futures are contractual obligations to receive or pay a net amount based on changes in currency rates or interest rates or to buy or sell foreign currency or a financial instrument on a future date at a specified price established in an organised financial market. The credit risk for futures contracts is negligible as they are collateralised by cash or marketable securities and changes in the futures’ contract value are settled daily with the broker. Forward rate agreements are individually negotiated interest rate futures that call for a cash settlement at a future date for the difference between a contracted rate of interest and the current market rate based on a notional principal amount.

Swap transactions

Currency and interest rate swaps are commitments to exchange one set of cash flows for another. Swaps result in an economic exchange of currencies or interest rates (for example: fixed rate for floating rate) or a combination of all these (for example: cross-currency interest rate swaps). No exchange of principal takes place except for certain cross currency interest rate swaps. The Group’s credit risk represents the potential loss if counterparties fail to fulfill their obligation. This risk is monitored on an ongoing basis through market risk limits on exposures and credit risk assessment of counterparties using the same techniques as those of lending activities.

Option transactions

Foreign currency and interest rate options are contractual agreements under which the seller (writer) grants the purchaser (holder) the right, but not the obligation, either to buy (a call option) or sell (a put option) at or by a set date or during a set period, a specific amount of a foreign currency or a specific rate of interest or any financial instrument at a predetermined price. The seller receives a premium from the purchaser in consideration for the assumption of foreign exchange or interest rate risk. Options may be either exchange-traded or negotiated between the Group and a customer over the counter (OTC).

Derivative contracts can be exchange traded or OTC. The Group values exchange traded derivatives using inputs at market-clearing levels. OTC derivatives are valued using market based inputs or broker/dealer quotations. Where models are required, the Group uses a variety of inputs, including contractual terms, market prices, market volatilities, yield curves and other reference market data.

Fair value measurement models

For OTC derivatives that trade in liquid markets such as generic forwards, swaps and options, model inputs can generally be verified and model selection conforms to market practice. Certain OTC derivatives trade in less liquid markets with limited pricing information and the determination of fair value for these derivatives is inherently more difficult. Subsequent to initial recognition, the Group only updates valuation inputs when corroborated by evidence such as similar market transactions, third-party pricing services and/or broker dealer quotations or other empirical market data. In the absence of such evidence, Management’s best estimates are used.

Derivatives held or issued for trading purposes

The Group’s trading activities are predominantly related to offering hedging solutions to customers at competitive prices in order to enable them to transfer, modify or reduce current and expected risks. The Group also manages risks taken as a result of client transactions or initiates positions with the expectation of profiting from favourable movement in prices, rates or indices.

Derivatives held or issued for hedging purposes

The Group uses derivative financial instruments for hedging purposes as part of its asset and liability management activities in order to reduce its own exposure to fluctuations in currency and interest rates. The Group uses forward foreign exchange contracts, cross currency interest rate swaps and interest rate swaps as hedging instruments to hedge currency rate and interest rate risks. The Group uses foreign currency derivatives to hedge its foreign currency risk on its net investment in foreign operations. In all such cases, the hedging relationship and objectives including details of the hedged item and hedging instrument are formally documented and the transactions are accounted for based on the type of hedge.

The table below shows the positive (assets) and negative (liabilities) fair values of derivative financial instruments.

	Fair values		Notional AED'000
	Assets AED'000	Liabilities AED'000	
As at December 31, 2021			
Derivatives held or issued for trading			
Foreign exchange derivatives	389,608	270,803	259,030,691
Interest rate and cross currency swaps	4,099,259	3,843,012	204,615,356
Interest rate and commodity options	480,517	396,789	62,995,505
Total return swap	5,976	–	724,610
Futures (exchange traded)	966	1,387	1,469,203
Commodity and energy swaps	39,307	38,208	355,897
Swaptions	284,929	201,139	72,731,314
Total derivatives held or issued for trading	5,300,562	4,751,338	601,922,576
Derivatives held as fair value hedges			
Interest rate and cross currency swaps	1,096,016	1,405,105	80,526,321
Derivatives held as cash flow hedges			
Interest rate and cross currency swaps	62,767	134,695	4,830,450
Forward foreign exchange contracts	28,676	268,216	11,676,637
Total derivatives held as cash flow hedges	91,443	402,911	16,507,087
Derivatives held as net investment hedges			
Foreign exchange derivatives	–	4,025	281,475
Total derivative financial instruments	6,488,021	6,563,379	699,237,459
As at December 31, 2020			
Derivatives held or issued for trading			
Foreign exchange derivatives	526,498	421,507	304,195,751
Interest rate and cross currency swaps	6,298,336	6,258,030	232,437,104
Interest rate and commodity options	895,776	656,480	64,008,310
Forward rate agreements	76	482	7,248,120
Commodity and energy swaps	136,202	126,151	1,563,427
Swaptions	577,111	493,621	72,938,327
Total derivatives held or issued for trading	8,433,999	7,956,271	682,391,039
Derivatives held as fair value hedges			
Interest rate and cross currency swaps	2,340,794	2,774,791	73,023,342
Derivatives held as cash flow hedges			
Interest rate and cross currency swaps	57,361	110,585	3,942,375
Forward foreign exchange contracts	314,242	13,401	9,297,535
Total derivatives held as cash flow hedges	371,603	123,986	13,239,910
Total derivative financial instruments	11,146,396	10,855,048	768,654,291

The notional amounts indicate the volume of transactions and are neither indicative of the market risk nor credit risk. Refer note 45 for maturity profile of notional value of derivatives held for hedging purpose.

The net hedge ineffectiveness (losses)/gains recognised in the consolidated income statement are as follows:

	2021 AED'000	2020 AED'000
Net change in the fair value of the hedged items attributable to risk hedged	(149,661)	125,633
Net change in the fair value of the hedging instruments	145,092	(94,033)
Net hedge ineffectiveness (losses)/gains	(4,569)	31,600

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The table below provides the Group’s forecast of net cash flows in respect of its cash flow hedges and the periods in which these cash flows are expected to impact consolidated income statement, excluding any hedging adjustment that may be applied.

Year	Less than 3 months AED’000	3 months to less than 1 year AED’000	1 year to less than 2 years AED’000	2 years to less than 5 years AED’000	More than 5 years AED’000	Total AED’000
2021	(65,299)	(178,233)	(39,145)	127,479	6,662	(148,536)
2020	197,444	93,852	2,025	(526)	(26,174)	266,621

As at December 31, 2021, the Group received cash collateral of AED 752,114 thousand (December 31, 2020 — AED 1,690,099 thousand) and bonds with fair value of AED 252,669 thousand (December 31, 2020 — AED 922,863 thousand) against positive fair value of derivative assets.

As at December 31, 2021, the Group placed cash collateral of AED 1,080,496 thousand (December 31, 2020 — AED 2,748,588 thousand) and bonds of AED 3,192,063 thousand (December 31, 2020 — AED 3,313,735 thousand) against the negative fair value of derivative liabilities. These collaterals are governed by collateral service agreements under International Swaps and Derivatives Association (ISDA) agreements.

10. Investment securities

	UAE AED’000	Other GCC (*) countries AED’000	Rest of the world AED’000	Total AED’000
As at December 31, 2021				
At fair value through other comprehensive income (FVTOCI)				
Quoted:				
Government securities	15,448,001	13,574,703	11,110,925	40,133,629
Bonds — Public sector	7,738,714	2,756,645	5,231,215	15,726,574
Bonds — Banks and financial institutions	4,349,722	480,626	2,973,316	7,803,664
Bonds — Corporate	1,191,443	691,201	187,531	2,070,175
Equities and funds (**)	209,807	35,233	406,528	651,568
Total quoted	28,937,687	17,538,408	19,909,515	66,385,610
Unquoted:				
Equities and funds	137,496	1,375	25,598	164,469
Total investment securities at fair value through other comprehensive income	29,075,183	17,539,783	19,935,113	66,550,079
At amortised cost				
Quoted:				
Government securities	7,556,567	6,865,396	6,269,409	20,691,372
Bonds — Public sector	2,486,167	1,510,897	2,238,701	6,235,765
Bonds — Banks and financial institutions	191,801	18,230	533,945	743,976
Bonds — Corporate	2,253,339	38,696	19,774	2,311,809
Total quoted	12,487,874	8,433,219	9,061,829	29,982,922
Less: Allowance for impairment (Note 43.3)	(2,306)	(2,274)	(15,129)	(19,709)
Total investment securities at amortised cost	12,485,568	8,430,945	9,046,700	29,963,213
Total investment securities	41,560,751	25,970,728	28,981,813	96,513,292

(*) Gulf Cooperation Council
(**) includes investments in perpetual bonds issued by other banks

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	UAE AED’000	Other GCC countries AED’000	Rest of the world AED’000	Total AED’000
As at December 31, 2020				
At fair value through other comprehensive income (FVTOCI)				
Quoted:				
Government securities	16,752,097	14,404,246	7,742,358	38,898,701
Bonds — Public sector	9,822,747	1,914,715	4,312,979	16,050,441
Bonds — Banks and financial institutions	3,993,676	590,994	4,340,036	8,924,706
Bonds — Corporate	1,113,847	394,689	194,624	1,703,160
Equities and funds (*)	261,336	110,077	397,754	769,167
Total quoted	31,943,703	17,414,721	16,987,751	66,346,175
Unquoted:				
Equities and funds	166,548	1,337	38,096	205,981
Total investment securities at fair value through other comprehensive income	32,110,251	17,416,058	17,025,847	66,552,156
At amortised cost				
Quoted:				
Government securities	5,009,526	4,368,820	4,150,655	13,529,001
Bonds — Public sector	2,536,387	1,253,712	2,206,558	5,996,657
Bonds — Banks and financial institutions	149,026	–	366,395	515,421
Bonds — Corporate	1,604,541	–	20,054	1,624,595
Total quoted	9,299,480	5,622,532	6,743,662	21,665,674
Less: Allowance for impairment (Note 43.3)	(2,253)	(1,512)	(8,081)	(11,846)
Total investment securities at amortised cost	9,297,227	5,621,020	6,735,581	21,653,828
Total investment securities	41,407,478	23,037,078	23,761,428	88,205,984

(*) includes investments in perpetual bonds issued by other banks

As at December 31, 2021, the allowance for impairment on debt instruments designated at FVTOCI amounting to AED 107,651 thousand (December 31, 2020 — AED 229,820 thousand) (Note 43.3) is included in revaluation reserve of investments carried at FVTOCI and recognised in other comprehensive income.

The Group hedges interest rate and foreign currency risks on certain fixed rate and floating rate investments through interest rate and currency swaps and designates these as fair value and cash flow hedges, respectively. The net negative fair value of these swaps at December 31, 2021 was AED 994,544 thousand (December 31, 2020 — net negative fair value AED 2,753,972 thousand). The hedge ineffectiveness gains and losses relating to these hedges were included in the consolidated income statement.

The Group entered into repurchase agreements whereby bonds were pledged and held by counterparties as collateral. The risks and rewards relating to the investments pledged remains with the Group. The bonds placed as collateral are governed under Global Master Repurchase Agreements (GMRA). The following table reflects the carrying value of these bonds and the associated financial liabilities:

	As at December 31, 2021		As at December 31, 2020	
	Carrying value of pledged securities AED’000	Carrying value of associated liabilities AED’000	Carrying value of pledged securities AED’000	Carrying value of associated liabilities AED’000
Repurchase financing	23,554,252	21,008,821	15,060,298	13,027,819

Further, the Group pledged investment securities with fair value amounting to AED 3,535,307 thousand (December 31, 2020 — AED 3,313,735 thousand) as collateral against margin calls. The risks and rewards on these pledged investments remains with the Group.

11. Loans and advances to customers, net

	As at December 31 2021 AED'000	As at December 31 2020 AED'000
Overdrafts (retail and corporate)	8,403,787	9,834,901
Retail loans — mortgages	11,214,834	10,409,790
Retail loans — others	31,669,107	32,767,086
Corporate loans	184,602,615	183,898,332
Credit cards	4,127,291	4,252,266
Other facilities	15,095,043	9,290,855
Gross loans and advances to customers	255,112,677	250,453,230
Less: Allowance for impairment (Note 43.3)	(10,830,384)	(11,477,528)
Total loans and advances to customers, net	244,282,293	238,975,702

For Islamic financing assets included in the above table, refer note 24.

On April 29, 2021, the Group acquired certain mortgage loan portfolio from Abu Dhabi Finance PJSC (ADF). The acquisition constituted business combination under common control. The acquisition has been accounted for using acquisition method of accounting, and accordingly, the loan portfolio acquired from ADF has been recorded at fair value on the acquisition date. The fair value of loans acquired, has been recorded at AED 1,085,071 thousand against the purchase consideration of AED 918,923 thousand, resulting in a gain of AED 166,148 thousand on bargain purchase.

The Group hedges certain fixed rate and floating rate loans and advances to customers for interest rate risk using interest rate swaps and designates these instruments as fair value and cash flow hedges, respectively. The net negative fair value of these swaps at December 31, 2021 was AED 7,091 thousand (December 31, 2020 — net positive fair value of AED 36,933 thousand).

The Group entered into structured financing agreements whereby certain loans and advances to customers were transferred and held by counterparties. The risks and rewards relating to the loans transferred remains with the Group. The structured financing and loans transferred are governed under International Swaps and Derivatives Association (ISDA) agreements. The following table reflects the carrying value of these loans and the associated financial liabilities:

	As at December 31, 2021		As at December 31, 2020	
	Nominal value of pledged loans AED'000	Carrying value of associated liabilities AED'000	Nominal value of pledged loans AED'000	Carrying value of associated liabilities AED'000
Repurchase financing	1,101,900	771,330	—	—

12. Investment in associates

Investment in associates has been accounted in the consolidated financial statements using the equity method at net fair value of the identifiable assets and liabilities of the associate on the date of acquisition.

	AED'000
As at January 1, 2020	407,768
Share in profit of associates	18,005
Dividend received from associates	(9,647)
Impairment charge (Note 33)	(18,673)
Transfer to held for sale (Note 35)	(101,347)
Disposal during the year	(40,414)
Impact of currency translation	176
As at December 31, 2020	255,868
Share in profit of associates	7,663
Dividend received from associates	(922)
As at December 31, 2021	262,609

Details of the investment in associates as at December 31, 2021 are as follows:

Name of associate	Effective ownership interest		Country of incorporation	Principal activities
	2021	2020		
Four N Property LLC	35.00%	35.00%	UAE	Residential facilities for lower income group.
Al Hilal Global Sukuk Fund	11.82%	10.14%	UAE	Investment activities.
Al Hilal GCC Equity Fund	81.80%	75.60%	UAE	Investment activities.

For balances and transactions with associates, refer note 37.

13. Investment properties

	AED'000
As at January 1, 2020	1,693,707
Disposals during the year	(4,574)
Revaluation of investment properties	(45,388)
Impact of currency translation	211
As at December 31, 2020	1,643,956
Additions during the year	42,400
Disposals during the year	(24,957)
Revaluation of investment properties	13,548
Impact of currency translation	7
As at December 31, 2021	1,674,954

For the year 2021, net gains from investment properties include net losses of AED 2,078 thousand (2020: net gains of AED 416 thousand) on disposal of investment properties.

Additions during the year represent real estate acquired on settlement of certain loans and advances. These being non-cash transactions have not been reflected in the consolidated statement of cash flows.

Fair valuations

Valuations are carried out by registered independent valuers having an appropriate recognised professional qualification and experience in the location and category of the property being valued.

In estimating the fair values of the properties, the highest and best use of the properties is their current use.

The valuation methodologies considered by external valuers include:

- Direct comparable method: This method seeks to determine the value of the property from transactions of comparable properties in the vicinity applying adjustments to reflect differences to the subject property.
- Investment method: This method is used to assess the value of the property by capitalising the net operating income of the property at an appropriate yield an investor would expect for an investment of the duration of the interest being valued.

All investment properties of the Group are primarily located within the UAE.

Lease receivables

Details of rental income and direct operating expenses relating to investment properties during the year are as follows:

	2021 AED'000	2020 AED'000
Rental income	79,118	82,259
Direct operating expenses	22,775	23,475

The Group leases its properties with varied lease terms, with an option to extend the lease term. The lessees do not have an option to purchase the property at the expiry of the lease period. All operating lease contracts contain market review clause in the event that the lessee exercises its option to renew. Non-cancellable operating lease receivables amount to AED 38,376 thousand as at December 31, 2021 (December 31, 2020 – AED 39,038 thousand).

15. Property and equipment, net

	Freehold properties and improvements AED'000	Leasehold improvements AED'000	Furniture, equipment and vehicles AED'000	Computer equipment, software and accessories AED'000	Capital work in progress AED'000	Right of use asset AED'000	Total AED'000
Cost or valuation							
As at January 1, 2020	1,547,787	354,047	284,797	1,513,643	155,027	315,567	4,170,868
Additions during the year	–	10,099	8,276	27,387	178,315	82,930	307,007
Transfers during the year	1,785	10,273	8,762	178,878	(199,698)	–	–
Disposals during the year	(2,653)	(5,395)	(14,302)	(20,481)	(728)	(66,652)	(110,211)
Exchange difference	936	542	725	1,068	50	31	3,352
As at December 31, 2020	1,547,855	369,566	288,258	1,700,495	132,966	331,876	4,371,016
Additions during the year	6,070	5,593	3,204	28,752	300,935	161,068	505,622
Transfers during the year	45,156	9,547	14,964	105,277	(174,944)	–	–
Disposals during the year	(39,727)	(33,183)	(13,035)	(14,001)	(845)	(85,819)	(186,610)
Exchange difference	(113)	(80)	(32)	(189)	(54)	(574)	(1,042)
As at December 31, 2021	1,559,241	351,443	293,359	1,820,334	258,058	406,551	4,688,986
Accumulated depreciation							
As at January 1, 2020	495,768	187,431	208,401	1,010,138	–	71,559	1,973,297
Charge for the year (Note 32)	62,023	39,299	24,019	189,388	–	89,182	403,911
Disposals during the year	(378)	(2,716)	(14,697)	(19,033)	–	(28,266)	(65,090)
Exchange difference	17	415	223	(186)	–	(146)	323
As at December 31, 2020	557,430	224,429	217,946	1,180,307	–	132,329	2,312,441
Charge for the year (Note 32)	66,752	40,780	20,081	195,648	–	77,886	401,147
Disposals during the year	(2,761)	(21,134)	(9,615)	(12,128)	–	(42,695)	(88,333)
Exchange difference	(25)	(148)	(28)	(102)	–	(236)	(539)
As at December 31, 2021	621,396	243,927	228,384	1,363,725	–	167,284	2,624,716
Carrying amount							
As at December 31, 2021	937,845	107,516	64,975	456,609	258,058	239,267	2,064,270
As at December 31, 2020	990,425	145,137	70,312	520,188	132,966	199,547	2,058,575

14. Other assets, net

	As at December 31 2021 AED'000	As at December 31 2020 AED'000
Interest receivable	2,434,494	2,612,413
Prepayments	98,438	90,767
Acceptances (Note 21)	16,238,756	6,809,348
Others	602,161	587,012
Gross other assets	19,373,849	10,099,540
Less: Allowance for impairment (Note 43.3)	(19,389)	(18,127)
Total other assets, net	19,354,460	10,081,413

16. Intangible assets, net

		Other intangible assets			
	Goodwill AED'000	Trade mark and license AED'000	Core deposits AED'000	Customer relationships AED'000	Total AED'000
Cost or valuation					
As at January 1, 2020	6,753,517	244,000	457,000	84,000	7,538,517
Exchange difference	–	11,258	–	–	11,258
As at December 31, 2020	6,753,517	255,258	457,000	84,000	7,549,775
Exchange difference	–	84	–	–	84
As at December 31, 2021	6,753,517	255,342	457,000	84,000	7,549,859
Accumulated amortisation					
As at January 1, 2020	–	–	54,004	10,171	64,175
Amortisation for the year (Note 32)	–	–	80,202	15,107	95,309
As at December 31, 2020	–	–	134,206	25,278	159,484
Amortisation for the year (Note 32)	–	–	80,523	15,167	95,690
As at December 31, 2021	–	–	214,729	40,445	255,174
Carrying amount					
As at December 31, 2021	6,753,517	255,342	242,271	43,555	7,294,685
As at December 31, 2020	6,753,517	255,258	322,794	58,722	7,390,291

Goodwill

On May 1, 2019, Union National Bank PJSC (or “UNB”) merged with Abu Dhabi Commercial Bank PJSC in an all-stock transaction. The merged entity subsequently completed 100% acquisition of Al Hilal Bank PJSC (or “AHB”). Based on the purchase price allocation exercise performed by an external consultant following the merger and acquisition, the Bank recognised AED 785,000 thousand as intangible assets and AED 6,734,717 thousand as goodwill.

On October 1, 2010, the Bank acquired the retail banking, wealth management and small and medium enterprise businesses (the “Business”) of The Royal Bank of Scotland (“RBS”) in the UAE for a consideration of AED 168,900 thousand. Based on the fair valuation and purchase price allocation exercise performed by an external consultant immediately following the acquisition in 2010, the Bank recognised AED 143,400 thousand as intangible assets which were fully amortised during the previous years and AED 18,800 thousand as goodwill.

No impairment loss on above goodwill was recognised during the year ended December 31, 2021 (2020 – AED nil).

Impairment assessment of goodwill

For the purposes of impairment testing, goodwill acquired in a business combination is required to be allocated to the CGUs. In a goodwill impairment test, the recoverable amounts of the goodwill-carrying CGUs are compared with the respective carrying amounts. The recoverable amount is the higher of a CGU’s fair value less costs of disposal and its value in use.

The carrying amount of CGU is derived using a capital allocation model where the Group’s core equity capital is allocated to the CGUs. The Group determines the recoverable amounts of its CGUs based on higher of fair value less cost to sell (FVLCS) or value in use (VIU).

Value in use is estimated using a DCF model, which reflects the specifics of the banking business and its regulatory environment. The model calculates the present value of the estimated future earnings that are distributable to shareholders after fulfilling the respective regulatory capital requirements and the risk appetite of the Group.

The DCF model uses earnings projections and respective capitalisation assumptions based on five-year financial plans, which are discounted to their present value. Estimating future earnings and capital requirements involves judgement and the consideration of past and current performances as well as expected developments in the respective markets, and in the overall macroeconomic and regulatory environments.

Earnings projections beyond the initial five-year period are, where applicable, adjusted to derive a sustainable level. In case of a going concern, the cash flow to equity is assumed to increase by or converge towards a constant long-term growth rate. This is based on projected revenue forecasts of the CGUs as well as expected gross domestic product growth and is captured in the terminal value.

The DCF value of a CGU is sensitive to the projections of distributable earnings, to the discount rate (cost of equity)

applied and, to the long-term growth rate. The discount rates applied have been determined based on the capital asset pricing model and comprise of a risk-free interest rate, a market risk premium and a factor covering the systematic market risk (beta factor).

FVLCS of CGUs are estimated based on data from comparable companies' price to book (P/B) ratio and adding control premium to the same.

Other intangible assets

Trade mark and license	AHB has built a strong franchise and has a reputation as a progressive Islamic bank offering a wide range of client-centric Shari’ah compliant retail banking products. The AHB brand plays a key part in generating revenues for the Bank.
Egypt license	This has been recognised as an intangible asset as Central Bank of Egypt has not issued a new banking license to any entity for the past 20 years, and has therefore restricted engagement in banking activities to banks already licensed and operating in Egypt. The license plays a key part in generating revenues for the Bank. Egypt license was valued considering the market approach using comparable transactions.
Customer relationships	Customer relationship intangible assets represent the value attributable to the business expected to be generated from customers that existed as at the acquisition date. In determining the fair value of customer relationships, trade finance customers were considered. These relationships are expected to generate material recurring income in the form of fees and commission.
Core deposits	The value of core deposit intangible asset arises from the fact that the deposit base of the Group represents a cheaper source of funding than wholesale or money market funding. The spread between the cost of deposit funding and the cost of wholesale/ money market funding represents the value of the core deposit intangible.

17. Due to banks

	As at December 31 2021 AED'000	As at December 31 2020 AED'000
Vostro balances	2,421,042	1,536,263
Margin deposits	583,704	1,335,846
Time deposits	4,200,587	5,349,962
Total due to banks	7,205,333	8,222,071

The Group hedges certain foreign currency time deposits for foreign currency and floating interest rate risks using foreign exchange and interest rate swaps and designates these swaps as either cash flow or fair value hedges. The net negative fair value of these swaps at December 31, 2021 was AED 890 thousand (December 31, 2020 — net positive fair value of AED 7,794 thousand).

18. Deposits from customers

	As at December 31 2021 AED'000	As at December 31 2020 AED'000
Time deposits	111,728,428	123,588,063
Current account deposits	117,905,965	94,158,197
Savings deposits	33,153,628	31,375,845
Long term government deposits	291,740	315,678
Margin deposits	1,972,564	1,957,674
Total deposits from customers	265,052,325	251,395,457

For Islamic deposits included in the above table, refer note 24.

The Group hedges certain foreign currency time deposits for foreign currency and floating interest rate risks using foreign exchange and interest rate swaps and designates these swaps as either cash flow or fair value hedges. The net negative fair value of these swaps at December 31, 2021 was AED 227,866 thousand (December 31, 2020 — net positive fair value of AED 174,740 thousand).

19. Euro commercial paper

The details of euro commercial paper (“ECP”) issuances under the Bank’s ECP programme are as follows:

Currency	As at December 31 2021 AED'000	As at December 31 2020 AED'000
US dollar (USD)	2,817,652	2,279,854
UAE dirham (AED)	–	199,934
Euro (EUR)	2,173,567	1,547,128
Swiss franc (CHF)	–	375,830
Great Britain pound (GBP)	1,207,938	350,847
Total euro commercial paper	6,199,157	4,753,593

The Group hedges certain ECP for foreign currency exchange rate risk through foreign exchange swap contracts and designates these instruments as cash flow hedges. The net negative fair value of these hedge contracts as at December 31, 2021 was AED 7,405 thousand (December 31, 2020 — net positive fair value of AED 118,510 thousand).

The effective interest rate on zero coupon ECPs issued ranges between negative 0.78% p.a. to positive 0.385% p.a. (December 31, 2020 — between negative 0.548% p.a. to positive 2.010% p.a.).

Reconciliation of ECP movement to cash flows arising from financing activities is as follows:

	AED'000
As at January 1, 2020	2,062,338
Net proceeds from issuances	12,346,577
Repayments	(9,670,741)
Other movements	15,419
As at December 31, 2020	4,753,593
Net proceeds from issuances	13,658,074
Repayments	(12,221,953)
Other movements	9,443
As at December 31, 2021	6,199,157

Net proceeds from issuances include effects of changes in foreign exchange rates. Other movements include discount amortised.

20. Borrowings

The details of borrowings as at December 31, 2021 are as follows:

Instrument	Currency	Within 1 year AED'000	1–3 years AED'000	3–5 years AED'000	Over 5 years AED'000	Total AED'000
Global medium term notes	Australian dollar (AUD)	750,714	–	–	602,302	1,353,016
	Chinese renminbi (CNH)	319,454	244,485	372,491	–	936,430
	Euro (EUR)	82,980	84,630	–	–	167,610
	Swiss franc (CHF)	–	2,150,195	–	–	2,150,195
	Japanese yen (JPY)	73,232	–	–	–	73,232
	Hong Kong dollar (HKD)	217,094	184,265	72,963	–	474,322
	US dollar (USD)	1,488,025	7,463,715	2,733,885	21,419,823	33,105,448
	Great Britain pound (GBP)	273,068	194,511	–	–	467,579
	Indonesian rupiah (IDR)	–	–	–	540,411	540,411
		3,204,567	10,321,801	3,179,339	22,562,536	39,268,243
Islamic sukuk notes	US dollar (USD)	–	1,856,612	–	–	1,856,612
Bilateral loans	US dollar (USD)	2,018,092	2,712,240	731,798	–	5,462,130
	Kazakhstan tenge (KZT)	–	–	–	86,429	86,429
Certificate of deposits issued	Great Britain pound (GBP)	69,217	–	–	–	69,217
	US dollar (USD)	1,174,288	–	–	–	1,174,288
Subordinated notes — fixed rate	US dollar (USD)	–	2,802,267	–	–	2,802,267
Borrowings through repurchase agreements	US dollar (USD)	13,880,359	7,052,268	202,333	–	21,134,960
	UAE dirham (AED)(*)	632,362	–	–	–	632,362
	Egyptian pound (EGP)	145	2,810	–	9,874	12,829
Total borrowings		20,979,030	24,747,998	4,113,470	22,658,839	72,499,337

(*) represents interest free borrowings from CBUAE under its Targeted Economic Support Scheme (TESS) recovery program

The Group hedges certain borrowings for foreign currency exchange rate risk and interest rate risk using either interest rate or cross currency swaps and designates these swaps as either fair value or cash flow hedges. The net positive fair value of these swaps as at December 31, 2021 was AED 617,239 thousand.

The details of borrowings as at December 31, 2020 are as follows:

Instrument	Currency	Within 1 year AED'000	1–3 years AED'000	3–5 years AED'000	Over 5 years AED'000	Total AED'000
Global medium term notes	Australian dollar (AUD)	86,254	810,625	–	717,488	1,614,367
	Chinese renminbi (CNH)	135,726	311,634	236,149	–	683,509
	Euro (EUR)	–	89,946	92,803	–	182,749
	Swiss franc (CHF)	335,032	732,097	1,509,728	–	2,576,857
	Japanese yen (JPY)	88,977	81,594	–	–	170,571
	Hong Kong dollar (HKD)	152,495	333,728	152,671	–	638,894
	US dollar (USD)	2,301,758	6,248,522	3,892,008	21,364,661	33,806,949
	Great Britain pound (GBP)	80,576	279,579	–	–	360,155
	Indonesian rupiah (IDR)	–	–	–	577,122	577,122
		3,180,818	8,887,725	5,883,359	22,659,271	40,611,173
Islamic sukuk notes	US dollar (USD)	–	1,868,272	–	–	1,868,272
Bilateral loans	US dollar (USD)	183,447	4,723,374	731,068	–	5,637,889
	Kazakhstan tenge (KZT)	–	–	–	89,091	89,091
Certificate of deposits issued	US dollar (USD)	1,163,680	–	–	–	1,163,680
	Euro (EUR)	135,460	–	–	–	135,460
Subordinated notes — fixed rate	US dollar (USD)	–	2,862,660	–	–	2,862,660
Borrowings through repurchase agreements	US dollar (USD)	1,981,860	4,521,945	–	202,333	6,706,138
	UAE dirham (AED)(*)	6,306,165	–	–	–	6,306,165
	Egyptian pound (EGP)	–	5,093	–	10,423	15,516
Total borrowings		12,951,430	22,869,069	6,614,427	22,961,118	65,396,044

(*) represents interest free borrowings from CBUAE under its Targeted Economic Support Scheme (TESS) deferral program

The Group hedges certain borrowings for foreign currency exchange rate risk and interest rate risk using either interest rate or cross currency swaps and designates these swaps as either fair value or cash flow hedges. The net positive fair value of these swaps as at December 31, 2020 was AED 2,229,616 thousand.

Interests are payable in arrears and the contractual coupon rates as at December 31, 2021 are as follows:

Instrument	CCY	Within 1 year	1–3 years	3–5 years	Over 5 years
Instrument	CCY	Within 1 year	1–3 years	3–5 years	Over 5 years
Global medium term notes	AUD	Fixed rate between 3.75% p.a. to 3.92% p.a. and quarterly coupons with 138 basis points over bank bill swap rate (BBSW)	–	–	Fixed rate between 2.69% p.a. to 4.50% p.a.
	CNH	Fixed rate between 3.00% p.a. to 4.82% p.a.	Fixed rate between 3.33% p.a. to 4.60% p.a.	Fixed rate between 3.35% p.a. to 3.38% p.a.	–
	EUR	Fixed rate of 0.038% p.a.	Fixed rate of 0.75% p.a.	–	–
	CHF	–	Fixed rate between 0.05% p.a. to 0.735% p.a.	–	–
	JPY	Fixed rate of 0.445% p.a.	–	–	–
	HKD	Fixed rate between 3.05% p.a. to 3.20% p.a.	Fixed rate between 2.84% p.a. to 2.87% p.a.	Fixed rate of 1.34% p.a.	–
	USD	Quarterly coupons between 88 to 140 basis points over Libor	Fixed rate of 4.00% p.a. and quarterly coupons between 110 to 155 basis points over Libor and quarterly coupons between 136 to 146 basis points over SOFR	Fixed rate between 1.63% p.a. to 1.72% p.a. and quarterly coupons of 129 basis points over SOFR.	Fixed rate between 4.65% p.a. to 5.10% p.a.; zero coupon with an internal rate of return between 3.271% p.a. to 5.785% p.a. and quarterly coupons with 140 basis points over Libor (*)
	GBP	Fixed rate between 1.95% p.a. to 2.03% p.a.	Fixed rate of 0.95% p.a.	–	–
	IDR	–	–	–	Fixed rate between 7.50% p.a. to 8.16% p.a.
Islamic Sukuk notes	USD	–	Fixed rate of 4.375% p.a.	–	–
Bilateral loans	USD	Monthly coupons between 50 to 85 basis points over Libor	Monthly coupons between 60 to 95 basis points over Libor	Monthly coupons of 100 basis points over Libor	–
	KZT	–	–	–	Fixed rate of 9.50% p.a.
Certificate of deposits issued	GBP	Zero coupon with an internal rate of return of 0.375% p.a.	–	–	–
	USD	Zero coupon with an internal rate of return between 0.216% p.a. to 0.396% p.a.	–	–	–
Subordinated notes	USD	–	Fixed rate of 4.50% p.a.	–	–
Borrowings through repurchase agreements	USD	Fixed rate between 0.33% p.a. to 0.60% p.a. and quarterly coupons with 45 basis points over Libor and semi-annual coupons of 30 basis points over SOFR	Quarterly coupons between 45 to 50 basis points over Libor.	Semi-annual coupons between negative 20 to negative 18 basis points over Libor	–
	EGP	Fixed rate of 3.00% p.a.	Fixed rate of 3.00% p.a.	–	Fixed rate between 0.50% p.a. to 3.50% p.a.

(*) includes AED 20,540,159 thousand accreting notes issued with original tenors ranging from 30 years to 40 years with internal rate of return ranging between 3.271% p.a. to 5.785% p.a. and are callable at the end of every 5th, 6th, 7th or 10th year from issue date

The subordinated fixed rate note qualifies as Tier 2 capital and is eligible for grandfathering at the rate of 10% per annum in accordance with capital guidance issued by CBUAE. Further, the subordinated fixed rate note has entered its five years to maturity and is being amortised at the rate of 20% per annum till its maturity in 2023 (Note 50).

Refer note 10 and note 11 for details of bonds and loans pledged as collateral against borrowings through repurchase agreements. Further, the Group placed cash collateral of AED 169,873 thousand (December 31, 2020 — AED nil) against margin calls.

Reconciliation of borrowings movement to cash flows arising from financing activities is as follows:

	AED'000
As at January 1, 2020	51,882,054
Net proceeds from issuances	33,895,814
Repayments	(22,859,293)
Other movements	2,477,469
As at December 31, 2020	65,396,044
Net proceeds from issuances	30,728,932
Repayments	(22,951,954)
Other movements	(673,685)
As at December 31, 2021	72,499,337

Net proceeds from issuances include effects of changes in foreign exchange rates on borrowings. Other movements include interest capitalised on callable accreting notes, discount on issuances amortised and changes in fair value hedges.

21. Other liabilities

	As at December 31 2021 AED'000	As at December 31 2020 AED'000
Interest payable	676,841	916,464
Recognised liability for defined benefit obligation	594,717	630,203
Deferred income	807,322	891,883
Acceptances (Note 14)	16,238,756	6,809,348
Impairment allowance on letters of credit, guarantees and other commitments (Note 43.3)	503,225	544,914
Others (*)	4,563,303	4,135,163
Total other liabilities	23,384,164	13,927,975

(*) includes AED 286,322 thousand pertaining to finance lease liability as at December 31, 2021 (December 31, 2020 — AED 192,363 thousand)

Defined benefit obligation

The Group provides gratuity benefits to its eligible employees in UAE. The most recent actuarial valuations of the present value of the defined benefit obligation were carried out in the last quarter of 2021 by a registered actuary in the UAE. The present value of the defined benefit obligation and the related current and past service cost, were measured using the Projected Unit Credit Method.

Key assumptions used in the actuarial valuation are as follows:

Discount rate:	2.39% p.a. (2020: 1.68% p.a.)
Salary increment rate:	2.75% p.a. (2020: 3.00% p.a.)

Demographic assumptions for mortality and retirement were used in valuing the liabilities and benefits under the plan.

The liability would be higher by AED 19,769 thousand had the discount rate used in the assumption been lower by 0.50% and the liability would be lower by AED 18,534 thousand had the discount rate used in the assumption been higher by 0.50%. Similarly, the liability would be higher by AED 16,063 thousand had the salary increment rate used in the assumption been higher by 0.50% and the liability would be lower by AED 15,445 thousand had the salary increment rate used in the assumption been lower by 0.50%.

The movement in defined benefit obligation is as follows:

	2021 AED'000	2020 AED'000
Opening balance	630,203	633,262
Net charge during the year (*)	68,005	59,660
Actuarial (gains)/losses on defined benefit obligation	(42,079)	31,213
Benefits paid	(61,412)	(93,932)
Closing balance	594,717	630,203

(*) recognised under "staff expense" in the consolidated income statement

Defined contribution

Under defined contribution plans, the Group pays contributions to Abu Dhabi Retirement Pensions and Benefits Fund for UAE National employees and to respective pension funds for other employees including GCC Nationals. The charge for the year in respect of these contributions is AED 68,735 thousand (2020 — AED 64,627 thousand). As at December 31, 2021, pension payable of AED 8,647 thousand has been classified under "Other liabilities — others" (December 31, 2020 — AED 7,241 thousand).

23. Other reserves

Reserves movement for the year ended December 31, 2021:

	Employees' incentive plan shares, net AED'000	Statutory reserve AED'000	Legal reserve AED'000	General reserve AED'000	Contin- gency reserve AED'000	Foreign currency translation reserve AED'000	Cash flow hedge reserve AED'000	Revaluation reserve of investments designated at FVTOCI AED'000	Attributable to equity holders of the Bank AED'000	Non- controlling interests AED'000	Total AED'000
As at January 1, 2021	(26,869)	3,478,690	3,478,690	2,000,000	150,000	(56,156)	(33,464)	874,525	9,865,416	264	9,865,680
Exchange difference arising on translation of foreign operations	-	-	-	-	-	(8,492)	-	-	(8,492)	-	(8,492)
Net losses on hedge of net investment in foreign operations	-	-	-	-	-	(4,025)	-	-	(4,025)	-	(4,025)
Net fair value changes on cash flow hedges	-	-	-	-	-	-	6,170	-	6,170	-	6,170
Net fair value changes on cash flow hedges reclassified to consolidated income statement	-	-	-	-	-	-	(40,618)	-	(40,618)	-	(40,618)
Net fair value changes of debt instruments designated at FVTOCI	-	-	-	-	-	-	-	(136,520)	(136,520)	(44)	(136,564)
Changes in allowance for expected credit losses on debt instrument designated at FVOCI	-	-	-	-	-	-	-	(122,169)	(122,169)	-	(122,169)
Amounts reclassified to consolidated income statement for debt instruments designated at FVTOCI	-	-	-	-	-	-	-	(228,906)	(228,906)	-	(228,906)
Net fair value changes of equity instruments designated at FVTOCI	-	-	-	-	-	-	-	2,323	2,323	(26)	2,297
Amounts transferred within equity upon disposal of equity instruments designated at FVTOCI	-	-	-	-	-	-	-	45	45	-	45
Total other comprehensive loss for the year	-	-	-	-	-	(12,517)	(34,448)	(485,227)	(532,192)	(70)	(532,262)
Acquisition of shares	(56,060)	-	-	-	-	-	-	-	(56,060)	-	(56,060)
Fair value adjustments	578	-	-	-	-	-	-	-	578	-	578
Shares — vested portion (Note 25)	5,639	-	-	-	-	-	-	-	5,639	-	5,639
As at December 31, 2021	(76,712)	3,478,690	3,478,690	2,000,000	150,000	(68,673)	(67,912)	389,298	9,283,381	194	9,283,575

For more information on reserves, refer note 50.

Tax matters

The Group’s current tax provision includes management’s assessment of portion of amount of tax payable on claims from relevant tax authorities. Uncertain tax items for which a provision of AED 85,000 thousand as at December 31, 2021 (December 31, 2020 — AED 75,000 thousand) is included under “Other liabilities — others” relate principally to the interpretation of tax legislation applicable to arrangements entered into by the Group. Due to the uncertainty associated with such tax items, it is possible that, on conclusion of open tax matters at a future date, the final outcome may differ.

22. Share capital

	Issued and fully paid		
	As at December 31, 2021 AED'000	As at December 31, 2020 AED'000	As at December 31, 2020 AED'000
Ordinary shares of AED 1 each	10,000,000	6,957,379	6,957,379

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24. Islamic financing

Islamic financing assets	As at	As at
	December 31 2021 AED'000	December 31 2020 AED'000
Murabaha	21,476,214	22,070,964
Ijara financing	16,236,052	18,427,085
Salam	1,368,544	3,624,170
Others	375,506	434,459
Gross Islamic financing assets	39,456,316	44,556,678
Less: Allowance for impairment	(1,794,576)	(1,804,555)
Net Islamic financing assets	37,661,740	42,752,123

Gross Ijara and related present value of the minimum Ijara payments		
	As at December 31 2021 AED'000	As at December 31 2020 AED'000
Not later than one year	4,793,514	4,798,006
Later than one year but not later than five years	7,724,675	9,522,318
Later than five years	6,728,863	7,855,554
Gross Ijara	19,247,052	22,175,878
Less: Deferred income	(3,011,000)	(3,748,793)
Net Ijara	16,236,052	18,427,085
Net present value		
Not later than one year	4,097,649	4,048,168
Later than one year but not later than five years	6,532,626	7,945,565
Later than five years	5,605,777	6,433,352
Total net present value	16,236,052	18,427,085

Income from Islamic financing and investing products		
	2021 AED'000	2020 AED'000
Murabaha	960,489	1,135,352
Ijara financing	565,027	806,195
Salam	145,232	318,857
Sukuk investments	345,827	123,329
Others	14,797	30,818
Total income from Islamic financing and investing products	2,031,372	2,414,551

Islamic deposits	As at December 31 2021 AED'000	As at December 31 2020 AED'000
Current account deposits	10,904,289	12,285,859
Margin deposits	308,690	222,789
Mudaraba savings deposits	17,031,181	15,052,588
Mudaraba term deposits	1,899,618	1,792,638
Murabaha term deposits	1,066,481	–
Wakala deposits	6,176,291	9,790,404
Total Islamic deposits	37,386,550	39,144,278

Distribution on Islamic deposits and profit paid to sukuk holders		
	2021 AED'000	2020 AED'000
Mudaraba and Murabaha deposits	91,799	99,559
Wakala deposits	65,740	331,089
Islamic sukuk notes and reverse murabaha	88,267	106,223
Total distribution on Islamic deposits and profit paid to sukuk holders	245,806	536,871

25. Employees' incentive plan shares, net

The Group operates Deferred Compensation Plan (the "Plan") to recognise and retain good performing employees. Under the Plan, the employees are granted shares of the Bank when they meet the vesting conditions at a price prevailing at the grant date. These shares are acquired and held by a subsidiary of the Bank until vesting conditions are met. The Board Nomination Compensation HR and Governance Committee determines and approves the shares to be granted to employees based on the Group's key performance indicators.

During the year ended December 31, 2021, the Group had the following incentive plan in force:

Grant date	January 1, 2021
Number of shares granted	2,756,383
Fair value of the granted shares at the grant date in AED thousand	17,090
Final vesting date	December 31, 2023

Vesting conditions — In service from the grant date till respective vesting date or meeting special conditions during the vesting period (death or disability).

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Reserves movement for the year ended December 31, 2020:

As at January 1, 2020	Employees' incentive plan shares, net AED'000	Statutory reserve AED'000	Legal reserve AED'000	General reserve AED'000	Contin- gency reserve AED'000	Foreign currency translation reserve AED'000	Cash flow hedge reserve AED'000	Revaluation reserve of investments designated at FVTOCI AED'000	Attributable to equity holders of the Bank AED'000	Non- controlling interests AED'000	Total AED'000
Exchange difference arising on translation of foreign operations	(30,105)	3,276,767	3,276,767	2,000,000	150,000	(54,521)	22,727	616,284	9,257,919	2,422	9,260,341
Net fair value changes on translation of foreign operations	–	–	–	–	–	(2,706)	–	–	(2,706)	31	(2,675)
Net fair value changes on cash flow hedges	–	–	–	–	–	–	(52,934)	–	(52,934)	–	(52,934)
Net fair value changes on cash flow hedges reclassified to consolidated income statement	–	–	–	–	–	–	(3,257)	–	(3,257)	–	(3,257)
Net fair value changes of debt instruments designated at FVTOCI	–	–	–	–	–	–	–	502,806	502,806	18	502,824
Changes in allowance for expected credit losses on debt instrument designated at FVOCI	–	–	–	–	–	–	–	(30,597)	(30,597)	41	(30,556)
Amounts reclassified to consolidated income statement for debt instruments designated at FVTOCI	–	–	–	–	–	–	–	(191,561)	(191,561)	–	(191,561)
Net fair value changes of equity instruments designated at FVTOCI	–	–	–	–	–	–	–	(3,631)	(3,631)	–	(3,631)
Amounts transferred within equity upon disposal of equity instruments designated at FVTOCI	–	–	–	–	–	–	–	(19,953)	(19,953)	–	(19,953)
Total other comprehensive (loss)/income for the year	–	–	–	–	–	(2,706)	(56,191)	257,064	198,167	90	198,257
Acquisition of non-controlling interests	–	–	–	–	–	1,071	–	1,177	2,248	(2,248)	–
Transfer from retained earnings (Note 50)	–	201,923	201,923	–	–	–	–	–	403,846	–	403,846
Fair value adjustments	36	–	–	–	–	–	–	–	36	–	36
Shares — vested portion (Note 25)	3,200	–	–	–	–	–	–	–	3,200	–	3,200
As at December 31, 2020	(26,869)	3,478,690	3,478,690	2,000,000	150,000	(56,156)	(33,464)	874,525	9,865,416	264	9,865,680

The movement of plan shares is as follows:

	2021	2020
Opening balance	–	2,245,000
Granted during the year	2,756,383	–
Exercised during the year	(909,447)	(2,160,000)
Forfeited during the year	(28,017)	(85,000)
Closing balance	1,818,919	–
Amount of “Plan” cost recognised under “staff expenses” in the consolidated income statement (AED’000)	5,639	3,200

Total number of un-allotted shares under the Plan as at December 31, 2021 were 9,423,680 shares (December 31, 2020 — 4,190,237 shares). These un-allotted shares include forfeited shares and shares purchased for future awards.

26. Capital notes

In February 2009, the Department of Finance, Government of Abu Dhabi subscribed to ADCB’s Tier I regulatory capital notes with a principal amount of AED 4,000,000 thousand (the “ADCB Notes”). Further, pursuant to the merger with UNB, the Bank assumed erstwhile UNB’s Tier I regulatory capital notes with a principal amount of AED 2,000,000 thousand (together with the ADCB Notes, the “Notes”). Further, vide written resolutions of the Department of Finance, Government of Abu Dhabi dated December 15, 2021, the Notes were amended to comply with the Standards and Guidance for Capital Adequacy of Banks in the UAE issued by the Central Bank of UAE under Notice No. 4980/2020 (November, 2020), which included the introduction of a “write-down at the point of non-viability (PONV)” clause.

The PONV clause introduced into the terms and conditions can be triggered by the CBUAE. If the CBUAE notifies the Bank that it is, or will become, non-viable without (i) a write-down; or (ii) a public sector injection of capital, the Note holders’ rights under the Notes shall automatically be deemed to be irrevocably, unconditionally and permanently written-down in a proportion corresponding to the write-down amount determined by the CBUAE. This could result in the Notes being written down to zero and the Notes being cancelled.

The Notes are non-voting, non-cumulative perpetual securities for which there is no fixed redemption date. With the consent of the CBUAE, the Notes may be called by the Bank in February 2027 or on any interest payment date thereafter. The holders of the Notes have no right to call for redemption. The Notes are direct, unsecured, subordinated obligations of the Bank and rank pari-passu without any preference among themselves and the rights and claims of the Note holders will be subordinated to the claims of Senior Creditors. The Notes bore interest at the rate of 6% per annum from their issue date to the first reset date (which was in February 2014), and currently bear a floating interest rate of 6 month-Eibor plus 2.3% per annum thereafter. However, the Bank may at its sole discretion elect not to make a coupon payment. The Note holders do not have a right to claim the coupon and an election by the Bank not to service the coupon is not considered an event of default. In addition, there are certain circumstances (“non-payment event”) under which the Bank is prohibited from making a coupon payment on a relevant coupon payment date.

If the Bank makes a non-payment election or a non-payment event occurs, then the Bank will not (a) declare or pay any distribution or dividend or (b) redeem, purchase, cancel, reduce or otherwise acquire any of the share capital or any securities of the Bank ranking pari-passu with or junior to the Notes except securities, the term of which stipulates a mandatory redemption or conversion into equity, in each case unless or until two consecutive coupon payments have been paid in full.

27. Interest income

	2021 AED’000	2020 AED’000
Loans and advances to banks	365,022	474,750
Loans and advances to customers	6,985,957	9,144,144
Investment securities	1,738,797	2,031,964
Total interest income	9,089,776	11,650,858

28. Interest expense

	2021 AED’000	2020 AED’000
Deposits from banks	21,950	57,725
Deposits from customers	1,164,114	2,594,760
Euro commercial paper	18,816	41,851
Borrowings (*)	806,932	1,051,266
Total interest expense	2,011,812	3,745,602

(*) includes AED 15,128 thousand (2020: AED 15,061 thousand) for interest expense on lease liabilities

29. Net fees and commission income

	2021 AED’000	2020 AED’000
Fees and commission income		
Card related fees	945,585	811,122
Loan processing fees	711,990	541,710
Accounts related fees	183,160	162,882
Trade finance commission	504,859	477,217
Insurance commission	17,134	54,519
Asset management and investment services	72,679	56,743
Brokerage fees	13,169	7,619
Other fees	482,309	340,726
Total fees and commission income	2,930,885	2,452,538
Fees and commission expense	(1,031,597)	(901,649)
Net fees and commission income	1,899,288	1,550,889

30. Net trading income

	2021 AED’000	2020 AED’000
Net gains from dealing in derivatives	141,016	95,950
Net gains from dealing in foreign currencies	515,562	463,623
Net gains/(losses) from financial assets at fair value through profit or loss	19,187	(4,285)
Net trading income	675,765	555,288

31. Other operating income

	2021 AED’000	2020 AED’000
Property management income	149,483	142,543
Rental income	79,118	82,259
Net gains from disposal of investment securities	259,077	282,701
Net gains arising from retirement of hedges	61,358	55,454
Dividend income	26,814	21,683
Others (*)	233,288	42,466
Total other operating income	809,138	627,106

(*) include gain on bargain purchase of AED 166,148 thousand (2020: AED nil) on acquisition of loan portfolio (refer note 11)

32. Operating expenses

	2021 AED’000	2020 AED’000
Staff expenses	2,437,165	2,552,018
General administrative expenses	1,323,238	1,475,103
Depreciation (Note 15)	401,147	403,911
Amortisation of intangible assets (Note 16)	95,690	95,309
Total operating expenses	4,257,240	4,526,341

33. Impairment charge

	2021 AED’000	2020 AED’000
Financial instruments carried at amortised cost — net charge (*)	3,306,356	4,962,558
Debt instruments designated at FVTOCI — net charge	56,489	93,305
Commitment and contingent liabilities — net release	(28,893)	(308,648)
Less: Recoveries/modifications during the year	(687,764)	(772,976)
Total expected credit losses (Note 43.3)	2,646,188	3,974,239
Impairment charge on investment in associates (Note 12)	–	18,673
Total impairment charge	2,646,188	3,992,912

(*) includes net charge of AED 13,315 thousand (2020: AED 11,846 thousand) on investment securities at amortised cost

34. Earnings per share

Basic and diluted earnings per share

The calculation of basic earnings per share is based on the profit attributable to equity holders of the Bank and the weighted average number of equity shares outstanding. Diluted earnings per share is calculated by adjusting the weighted average number of equity shares outstanding for the dilutive effects of potential equity shares held on account of employees’ incentive plan.

	2021 AED’000	2020 AED’000
Profit for the year attributable to the equity holders of the Bank	5,241,122	3,806,078
Less: Coupons paid on capital notes (Note 26)	(173,698)	(277,294)
Net adjusted profit for the year attributable to the equity holders of the Bank (a)	5,067,424	3,528,784

	Number of shares in thousand	
Weighted average number of shares in issue throughout the year	6,957,379	6,957,379
Less: Weighted average number of shares resulting from employees’ incentive plan shares	(5,599)	(6,344)
Weighted average number of equity shares in issue during the year for basic earnings per share (b)	6,951,780	6,951,035
Add: Weighted average number of shares resulting from employees’ incentive plan shares	5,599	6,344
Weighted average number of equity shares in issue during the year for diluted earnings per share (c)	6,957,379	6,957,379
Basic earnings per share (AED) (a)/(b)	0.73	0.51
Diluted earnings per share (AED) (a)/(c)	0.73	0.51

35. Discontinued operations

The Group has classified its subsidiaries — Abu Dhabi Commercial Bank (UK Representative Office) Limited, Al Hilal Auto LLC and Alexandria New Medical Centre SAE, and the overseas branch operations in India as discontinued operations. These have been presented separately in the statement of financial position.

The Group’s investments in associates — Orient UNB Takaful PJSC and Arab Orient Takaful Insurance Company, which were classified as assets held for sale as at December 31, 2020, were sold during the year.

Loss from discontinued operations comprises of the following:

	2021 AED’000	2020 AED’000
Net interest income and income from Islamic financing and investing products	2,941	4,795
Non-interest income	(2,224)	9,931
Operating expenses	(16,482)	(51,796)
Overseas income tax charge	(657)	(3,695)
Total loss from discontinued operations	(16,422)	(40,765)

Loss from discontinued operations is fully attributable to the equity holders of the Bank.

The major class of assets and liabilities forming part of discontinued operations and assets held for sale are as follows:

	As at December 31 2021 AED’000	As at December 31 2020 AED’000
Assets		
Cash and balances with central banks, net	32,351	32,932
Deposits and balances due from banks, net	106,030	108,723
Investment in associates (Note 12)	–	101,347
Other assets, net	80,942	16,202
Property and equipment, net	1,350	1,863
Total assets classified as held for sale	220,673	261,067
Liabilities		
Other liabilities	4,648	4,725
Total liabilities related to assets held for sale	4,648	4,725

The net cash flows attributable to discontinued operations are as follows:

	As at December 31 2021 AED’000	As at December 31 2020 AED’000
Net cash used in operating activities	(16,898)	(42,047)
Net cash from investing activities	101,860	–
Net cash from/(used) in discontinued operations	84,962	(42,047)

36. Cash and cash equivalents

Cash and cash equivalents included in the consolidated statement of cash flow comprise the following statement of financial position amounts:

	As at December 31 2021 AED’000	As at December 31 2020 AED’000
Cash and balances with central banks (Note 6)	33,746,694	29,602,072
Deposits and balances due from banks (excluding loans and advances to banks) (Note 7)	5,762,921	10,745,758
Due to banks (Note 17)	(7,205,333)	(8,222,071)
	32,304,282	32,125,759
Less: Cash and balances with central banks and deposits and balances due from banks — with original maturity of more than three months	(4,791,660)	(5,025,020)
Add: Due to banks — with original maturity of more than three months	4,784,697	5,429,457
Add: Cash and cash equivalents included in assets held for sale (Note 35)	138,381	141,655
Total cash and cash equivalents	32,435,700	32,671,851

37. Related party transactions

The Group enters into transactions with the parent and its related entities, associates, funds under management, directors, senior management and their related entities and the Government of Abu Dhabi (ultimate controlling party and its related entities) in the ordinary course of business at commercial interest and commission rates.

Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group, being the directors, chief executive officer and his direct reports. Details of all transactions in which a Director and/or related parties might have actual or potential conflicts are provided to the Board of Directors (the “Board”) for its review and approval. Where a Director is interested, that Director neither participates in the discussions nor votes on such matters. The Bank’s policy is, so far as possible, to engage in transactions with related parties only on arm’s length terms and in accordance with relevant laws and regulations. The Board Secretariat maintains a conflicts and related parties register which is regularly reviewed by the Board Corporate Governance Committee. In addition, the Board maintains awareness of other commitments of its Directors and senior management. The Bank has implemented a Directors’ Conflict of Interest policy and, for senior management, a Code of Conduct. As a result of written declarations submitted by each of the Board members, the Board satisfies itself that the other commitments of the Directors do not conflict with their duties or that, where conflicts arise, the Board is sufficiently aware and policies are in place to minimise the risks.

Parent and ultimate controlling party

Mubadala Investment Company holds 60.20% of the Bank’s issued and fully paid up share capital through its wholly owned subsidiary One Hundred and Fourteenth Investment Company — Sole Proprietorship LLC (December 31, 2020 — 60.20% held by Mubadala Investment Company through Abu Dhabi Investment Council Company PJSC) (Note 22). The Government of Abu Dhabi owns 100% of Mubadala Investment Company and so the ultimate controlling party is the Government of Abu Dhabi.

Related party balances and transactions

Related party balances and transactions of the Group included in the consolidated statement of financial position and consolidated income statement are shown in below table. Transactions between the Bank and its subsidiaries have been eliminated on consolidation and are not disclosed in this note.

	Ultimate controlling party and its related parties AED'000	Directors and their related parties AED'000	Key management personnel AED'000	Associates and funds under management AED'000	Total AED'000
Balances as at December 31, 2021					
Deposits and balances due from banks	14,026	–	–	–	14,026
Financial assets at fair value through profit or loss	571,837	–	–	–	571,837
Derivative financial instruments — assets	1,147,429	184,802	–	–	1,332,231
Investment securities	24,504,444	–	–	212,061	24,716,505
Loans and advances to customers	49,106,303	4,502,292	32,409	157,944	53,798,948
Other assets	259,414	21,594	39	2,419	283,466
Due to banks	92	–	–	–	92
Derivative financial instruments — liabilities	807,269	4,453	–	–	811,722
Deposits from customers	94,181,012	429,125	72,039	56,125	94,738,301
Other liabilities	126,860	26	17,783	–	144,669
Capital notes	6,000,000	–	–	–	6,000,000
Commitments and contingent liabilities	13,502,374	11,643	3,556	4,285	13,521,858
Transactions for the year ended December 31, 2021					
Interest income, Islamic financing income, fees and other income	1,434,810	98,474	938	23,748	1,557,970
Interest expense and Islamic profit distribution	280,186	494	49	–	280,729
Net losses from dealing in derivatives	298,940	310,901	–	–	609,841
Impairment charge	10,727	–	–	–	10,727
Share in profit of associates	–	–	–	7,663	7,663
Coupons paid on capital notes	173,698	–	–	–	173,698

	Ultimate controlling party and its related parties AED'000	Directors and their related parties AED'000	Key management personnel AED'000	Associates and funds under management AED'000	Total AED'000
Balances as at December 31, 2020					
Deposits and balances due from banks	22,634	–	–	–	22,634
Derivative financial instruments — assets	1,578,219	–	–	–	1,578,219
Investment securities	25,955,155	–	–	155,297	26,110,452
Loans and advances to customers	43,021,433	583,192	17,073	164,944	43,786,642
Other assets	275,020	2,659	22	1,878	279,579
Derivative financial instruments — liabilities	1,107,790	–	–	–	1,107,790
Deposits from customers	98,727,448	75,056	44,875	34,265	98,881,644
Borrowings	5,414	–	–	–	5,414
Other liabilities	256,304	69	16,314	–	272,687
Capital notes	6,000,000	–	–	–	6,000,000
Commitments and contingent liabilities	11,372,337	8,741	2,033	919	11,384,030
Transactions for the year ended December 31, 2020					
Interest income, Islamic financing income, fees and other income	1,404,706	22,532	628	23,165	1,451,031
Interest expense and Islamic profit distribution	1,051,014	786	222	–	1,052,022
Net gains from dealing in derivatives	251,018	–	–	–	251,018
Impairment charge	1,026,829	–	–	–	1,026,829
Share in profit of associates	–	–	–	18,005	18,005
Coupons paid on capital notes	277,294	–	–	–	277,294

As at December 31, 2021, Funds under management held 1,834,264 shares (December 31, 2020: 2,204,448 shares) of the Bank. During the year, the Bank paid dividend of AED 617 thousand (2020: AED 1,232 thousand) to these Funds.

Remuneration of key management employees and Board of Directors fees and expenses during the year are as follows:

	2021 AED'000	2020 AED'000
Short term benefits	29,305	27,680
Post-employment benefits	2,816	2,613
Variable pay benefits	20,760	24,788
Total remuneration	52,881	55,081
Board of Directors fees and expenses	17,570	28,028

In addition to the above, the key management personnel were granted long term deferred compensation of AED 17,590 thousand (2020 — AED 21,863 thousand).

38. Commitments and contingent liabilities

The Group has the following commitments and contingent liabilities:

	As at December 31 2021 AED'000	As at December 31 2020 AED'000
Letters of credit	10,928,787	4,926,407
Guarantees	50,851,169	53,481,072
Commitments to extend credit — revocable (*)	14,582,222	15,337,714
Commitments to extend credit — irrevocable	21,055,873	19,281,493
Total commitments on behalf of customers	97,418,051	93,026,686
Commitments for future capital expenditure	853,069	506,647
Commitments to invest in investment securities	15,854	3,012
Total commitments and contingent liabilities	98,286,974	93,536,345

(*) includes AED 7,323,450 thousand (December 31, 2020: AED 7,259,002 thousand) for undrawn credit card limits

Credit-related commitments

Credit-related commitments include commitments to extend credit, letters of credit and guarantees which are designed to meet the requirements of the Bank’s customers. Irrevocable commitments to extend credit represent contractual commitments to make loans and advances and revolving credits. Revocable commitments to extend credit represent commitments to make loan and advances and revolving credits which can be cancelled by the Bank unconditionally without any contractual obligations. Commitments generally have fixed expiry dates or other termination clauses. Since commitments may expire without being drawn upon, the total contract amounts do not necessarily represent future cash requirements.

Letters of credit and guarantees commit the Bank to make payments on behalf of customers contingent upon the failure of the customer to perform under the terms of the contract. Commitments and contingent liabilities which have been entered into on behalf of customers and for which there are corresponding obligations from customers, are not included in assets and liabilities. The Bank’s maximum exposure to credit loss, in the event of non-performance by the other party and where all counterclaims, collateral or security proves valueless, is represented by the contractual nominal amount of these instruments included in the table above. These commitments and contingent obligations are subject to the Bank’s normal credit approval processes.

39. Operating segments

The Group has four reportable segments as described below. These segments offer different products and services and are managed separately based on the Group’s management and internal reporting structure. The Group’s Management Executive Committee (the Chief Operating Decision Maker “CODM”), is responsible for allocation of resources to these segments, whereas, the Group’s Performance Management Committee, based on delegation from CODM reviews the performance of these segments on a regular basis.

The following summary describes the operations in each of the Group’s reportable segments:

Consumer banking	comprises of retail, wealth management, Islamic financing and investment in associates. It includes loans, deposits and other transactions and balances with retail customers and corporate and private accounts of high net worth individuals and fund management activities.
Wholesale banking	comprises of business banking, cash management, trade finance, corporate finance, small and medium enterprise financing, investment banking, Islamic financing, infrastructure and asset finance, government and public enterprises. It includes loans, deposits and other transactions and balances with corporate customers.
Investments and treasury	comprises of central treasury operations, management of the Group’s investment portfolio and interest rate, currency and commodity derivative portfolio and Islamic financing. Investments and treasury undertakes the Group’s funding and centralised risk management activities through borrowings, issue of debt securities and use of derivatives for risk management. It also undertakes trading and corporate finance activities and investing in liquid assets such as short-term placements, corporate and government debt securities.
Property management	comprises of real estate management and engineering service operations of subsidiaries and rental income earned from properties of the Group.

Information regarding the results of each reportable segment is shown below. Performance is measured based on segment profit before income tax, as included in the internal management reports that are reviewed by the Performance Management Committee. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries. Inter-segment pricing is determined on an arm’s length basis.

The following is an analysis of the Group’s revenue and results by operating segments for the year ended December 31, 2021:

	Consumer banking AED’000	Wholesale banking AED’000	Investments and treasury AED’000	Property management AED’000	Total AED’000
Net interest income	3,110,021	2,190,091	1,748,820	29,032	7,077,964
Net income from Islamic financing and investing products	983,694	383,211	418,064	597	1,785,566
Total net interest income and income from Islamic financing and investing products	4,093,715	2,573,302	2,166,884	29,629	8,863,530
Non-interest income	1,002,689	1,280,559	830,456	281,957	3,395,661
Operating income	5,096,404	3,853,861	2,997,340	311,586	12,259,191
Operating expenses	(2,717,924)	(1,099,450)	(284,834)	(155,032)	(4,257,240)
Operating profit before impairment charge	2,378,480	2,754,411	2,712,506	156,554	8,001,951
Impairment charge	(799,055)	(1,810,699)	(35,384)	(1,050)	(2,646,188)
Profit after impairment charge	1,579,425	943,712	2,677,122	155,504	5,355,763
Share in profit of associates	7,663	–	–	–	7,663
Profit before taxation	1,587,088	943,712	2,677,122	155,504	5,363,426
Overseas income tax charge	(19,863)	(15,637)	(64,105)	–	(99,605)
Loss from discontinued operations	(1,718)	(14,704)	–	–	(16,422)
Profit for the year	1,565,507	913,371	2,613,017	155,504	5,247,399
As at December 31, 2021					
Total assets	109,625,904	185,155,652	143,781,827	1,714,986	440,278,369
Total liabilities	96,783,683	131,382,759	152,063,395	678,506	380,908,343

The following is an analysis of the Group’s revenue and results by operating segments for the year ended December 31, 2020:

	Consumer banking AED’000	Wholesale banking AED’000	Investments and treasury AED’000	Property management AED’000	Total AED’000
Net interest income	3,491,214	2,298,403	2,088,538	27,101	7,905,256
Net income from Islamic financing and investing products	1,056,389	376,320	438,220	6,751	1,877,680
Total net interest income and income from Islamic financing and investing products	4,547,603	2,674,723	2,526,758	33,852	9,782,936
Non-interest income	743,307	971,685	772,710	200,609	2,688,311
Operating income	5,290,910	3,646,408	3,299,468	234,461	12,471,247
Operating expenses	(2,863,964)	(1,199,756)	(284,137)	(178,484)	(4,526,341)
Operating profit before impairment charge	2,426,946	2,446,652	3,015,331	55,977	7,944,906
Impairment charge	(1,383,946)	(2,529,234)	(79,732)	–	(3,992,912)
Profit/(loss) after impairment charge	1,043,000	(82,582)	2,935,599	55,977	3,951,994
Share in profit of associates	18,005	–	–	–	18,005
Profit/(loss) before taxation	1,061,005	(82,582)	2,935,599	55,977	3,969,999
Overseas income tax charge	(5,937)	(19,114)	(95,306)	–	(120,357)
Loss from discontinued operations	(25,413)	(15,352)	–	–	(40,765)
Profit/(loss) for the year	1,029,655	(117,048)	2,840,293	55,977	3,808,877
As at December 31, 2020					
Total assets	109,176,079	160,736,291	139,518,474	1,725,457	411,156,301
Total liabilities	94,638,057	102,498,044	156,735,846	682,966	354,554,913

Other disclosures

The following is the analysis of the total operating income of each segment between income from external parties and inter-segment.

	External		Inter-segment	
	2021 AED'000	2020 AED'000	2021 AED'000	2020 AED'000
Consumer banking	5,528,279	6,230,253	(431,875)	(939,343)
Wholesale banking	4,570,767	4,997,466	(716,906)	(1,351,058)
Investments and treasury	1,877,977	1,045,667	1,119,363	2,253,801
Property management	282,168	197,861	29,418	36,600
Total operating income	12,259,191	12,471,247	–	–

Geographical information

The Group operates in two principal geographic areas i.e. domestic and international. The United Arab Emirates is designated as domestic area which represents the operations of the Group that originates from the UAE branches and subsidiaries. International area represents the operations of the Group that originates from its branches and subsidiaries outside UAE. The information regarding the Group's revenue from continuing operations and non-current assets by geographical location are detailed as follows:

	Domestic		International	
	2021 AED'000	2020 AED'000	2021 AED'000	2020 AED'000
Income				
Net interest income and income from Islamic financing and investing products	8,412,660	9,466,546	450,870	316,390
Non-interest income	3,306,168	2,619,234	89,493	69,077
Non-current assets				
Investment in associates	262,609	255,868	–	–
Investment properties	1,663,003	1,631,673	11,951	12,283
Property and equipment, net	1,814,261	1,886,698	250,009	171,877
Intangible assets	7,162,342	7,258,033	132,343	132,258

40. Financial instruments

Categories of financial instruments

The following tables analyse the Group's financial assets and financial liabilities in accordance with categories of financial instruments under IFRS 9 as at December 31, 2021.

	Measured at FVTPL AED'000	Hedging derivatives AED'000	Debt instruments classified at FVTOCI AED'000	Equity instruments designated at FVTOCI AED'000	Amortised cost AED'000	Total AED'000
Assets						
Cash and balances with central banks, net	–	–	–	–	33,746,202	33,746,202
Deposits and balances due from banks, net	–	–	–	–	26,670,143	26,670,143
Financial assets at fair value through profit or loss	1,706,767	–	–	–	–	1,706,767
Derivative financial instruments	5,300,562	1,187,459	–	–	–	6,488,021
Investment securities	–	–	65,734,042	816,037	29,963,213	96,513,292
Loans and advances to customers, net	–	–	–	–	244,282,293	244,282,293
Other assets, net	–	–	–	–	19,256,022	19,256,022
Total financial assets	7,007,329	1,187,459	65,734,042	816,037	353,917,873	428,662,740
Liabilities						
Due to banks	–	–	–	–	7,205,333	7,205,333
Derivative financial instruments	4,751,338	1,812,041	–	–	–	6,563,379
Deposits from customers	–	–	–	–	265,052,325	265,052,325
Euro commercial paper	–	–	–	–	6,199,157	6,199,157
Borrowings	–	–	–	–	72,499,337	72,499,337
Other liabilities	–	–	–	–	21,973,478	21,973,478
Total financial liabilities	4,751,338	1,812,041	–	–	372,929,630	379,493,009

The following tables analyse the Group’s financial assets and financial liabilities in accordance with categories of financial instruments under IFRS 9 as at December 31, 2020.

	Measured at FVTPL AED'000	Hedging derivatives AED'000	Debt instruments classified at FVTOCI AED'000	Equity instruments designated at FVTOCI AED'000	Amortised cost AED'000	Total AED'000
Assets						
Cash and balances with central banks, net	–	–	–	–	29,601,607	29,601,607
Deposits and balances due from banks, net	–	–	–	–	21,535,442	21,535,442
Derivative financial instruments	8,433,999	2,712,397	–	–	–	11,146,396
Investment securities	–	–	65,577,008	975,148	21,653,828	88,205,984
Loans and advances to customers, net	–	–	–	–	238,975,702	238,975,702
Other assets, net	–	–	–	–	9,990,646	9,990,646
Total financial assets	8,433,999	2,712,397	65,577,008	975,148	321,757,225	399,455,777
Liabilities						
Due to banks	–	–	–	–	8,222,071	8,222,071
Derivative financial instruments	7,956,271	2,898,777	–	–	–	10,855,048
Deposits from customers	–	–	–	–	251,395,457	251,395,457
Euro commercial paper	–	–	–	–	4,753,593	4,753,593
Borrowings	–	–	–	–	65,396,044	65,396,044
Other liabilities	–	–	–	–	12,398,648	12,398,648
Total financial liabilities	7,956,271	2,898,777	–	–	342,165,813	353,020,861

41. Fair value hierarchy

Fair value measurements recognised in the consolidated financial statements

The fair value measurements are categorised into different levels in the fair value hierarchy based on the inputs to valuation techniques used. The different levels are defined as follows:

Quoted market prices — Level 1

Financial instruments are classified as Level 1 if their values are observable in an active market. Such instruments are valued by reference to unadjusted quoted prices for identical assets or liabilities in active markets where the quoted price is readily available and the price represents actual and regularly occurring market transactions.

Valuation techniques using observable inputs — Level 2

Financial instruments classified as Level 2 have been valued using models whose inputs are observable in an active market. Valuation based on observable inputs includes financial instruments such as swaps and forwards which are valued using market standard pricing techniques and options that are commonly traded in markets where all the inputs to the market standard pricing models are observable.

The category includes derivative financial instruments such as OTC derivatives, commodity derivatives, foreign exchange spot and forward contracts, certain investment securities and borrowings.

Valuation of the derivative financial instruments is made through discounted cash flow method using the applicable yield curve for the duration of the instruments for non-optional derivatives and standard option pricing models such as Black-Scholes and other valuation models for derivatives with options.

The Group periodically reviews its valuation techniques including the adopted methodologies and model calibrations. However, the base models may not fully capture all factors relevant to the valuation of the Group’s financial instruments such as credit risk (CVA) and funding costs. Therefore, the Group applies various techniques to estimate the credit risk associated with its financial instruments measured at fair value, which include a portfolio-based approach that estimates the expected net exposure per counterparty over the full lifetime of the individual assets, in order to reflect the credit risk of the individual counterparties for non-collateralised financial instruments. CVA is calculated by multiplying the probability of default (PD), the loss given default (LGD) and the expected exposure at the time of default.

Collateral and netting arrangements are taken into account where applicable. The Group applies CVA to all relevant (not collateralised) over-the-counter positions with the exception of positions settled through central clearing houses.

Funding value adjustment (FVA) reflects the impact of funding associated with collateralised and partly collateralised OTC positions. The Group calculates the FVA by applying estimated future funding costs to the expected future exposure that the Group will be required to fund as a result of the uncollateralised component of the over the counter portfolio (i.e. the uncollateralised component of a collateralised portfolio and the entire uncollateralised portfolio).

Valuation techniques using significant unobservable inputs — Level 3

Financial instruments are classified as Level 3 if their valuation incorporates significant inputs that are not based on observable market data (unobservable inputs). A valuation input is considered observable if it can be directly observed from transactions in an active market.

Unobservable input levels are generally determined based on observable inputs of a similar nature, historical observations or other analytical techniques.

Financial instruments under this category mainly include private equity instruments and funds. The carrying values of these investments are adjusted as follows:

- a) Private equity instruments — using the latest available net book value; and
- b) Funds — based on the net asset value provided by the fund manager.

This hierarchy requires the use of observable market data when available. The Group considers relevant and observable market prices in its valuations where possible.

Investment properties are classified as Level 3 as their valuation incorporates significant unobservable inputs. The significant unobservable inputs used in the fair value measurement of the Group’s investment properties are rental income and capitalisation rates. Significant decrease in rental income, or increase in capitalisation rates, in isolation would result in a significant lower fair value measurement. Generally, a change in the assumption used for rental income should be accompanied by a change in the assumption for capitalisation rates in the same direction as increase in rental income increases the expectations of the seller to earn from the investment property. Therefore, the effects of these changes partially offset each other. Refer note 13 in respect of valuation methodology used for investment properties.

Except as detailed in the following table, the Management considers that the carrying amounts of financial assets and liabilities recognised in the consolidated financial statements do not materially differ from their fair values.

		Level 1	Level 2	Level 3		
	Note	Quoted market prices AED'000	Observable inputs AED'000	Significant unobservable inputs AED'000	Total fair value AED'000	Carrying value AED'000
As at December 31, 2021						
Assets at fair value						
Financial assets at fair value through profit or loss	8	584,705	1,122,062	–	1,706,767	1,706,767
Derivative financial instruments	9	966	6,487,055	–	6,488,021	6,488,021
Investment securities	10					
– At fair value through other comprehensive income		61,322,931	5,062,679	164,469	66,550,079	66,550,079
– At amortised cost		29,674,807	–	–	29,674,807	29,963,213
Investment properties	13	–	–	1,674,954	1,674,954	1,674,954
Total		91,583,409	12,671,796	1,839,423	106,094,628	106,383,034
Liabilities at fair value						
Derivative financial instruments	9	1,387	6,561,992	–	6,563,379	6,563,379
Liabilities at amortised cost						
Euro commercial paper	19	–	6,200,006	–	6,200,006	6,199,157
Borrowings	20	16,399,128	54,482,036	–	70,881,164	72,499,337
Total		16,400,515	67,244,034	–	83,644,549	85,261,873
As at December 31, 2020						
Assets at fair value						
Derivative financial instruments	9	–	11,146,396	–	11,146,396	11,146,396
Investment securities	10					
– At fair value through other comprehensive income		63,930,488	2,415,687	205,981	66,552,156	66,552,156
– At amortised cost		22,027,493	–	–	22,027,493	21,653,828
Investment properties	13	–	–	1,643,956	1,643,956	1,643,956
Total		85,957,981	13,562,083	1,849,937	101,370,001	100,996,336
Liabilities at fair value						
Derivative financial instruments	9	–	10,855,048	–	10,855,048	10,855,048
Liabilities at amortised cost						
Euro commercial paper	19	–	4,757,186	–	4,757,186	4,753,593
Borrowings	20	18,825,773	47,330,978	–	66,156,751	65,396,044
Total		18,825,773	62,943,212	–	81,768,985	81,004,685

The Group's OTC derivatives in the trading book are classified as Level 2 as they are valued using inputs that can be observed in the market.

Reconciliation showing the movement in fair values of Level 3 investments designated at FVTOCI is as follows:

	As at December 31 2021 AED'000	As at December 31 2020 AED'000
Opening balance	205,981	222,927
Purchases, net during the year	19,165	–
Disposals including capital refunds during the year	(6,907)	(2,857)
Adjustment through other comprehensive income during the year	(53,770)	(14,089)
Closing balance	164,469	205,981

The purchases under Level 3 category represent mainly capital contributions made during the year into private equity funds under existing capital commitments.

The disposals during the year mainly represent sale of certain investments and capital refunds distributed by the private equity fund managers out of sale of underlying investments held in the funds.

Gain of AED 4,012 thousand (2020 — loss of AED 1 thousand) was realised on disposal of Level 3 equity investments designated at FVTOCI and were transferred to retained earnings.

There were no significant transfers between Level 1 and Level 2 investments and no change in valuation techniques used during the year.

Unconsolidated structured entity

Level 1 financial instruments include the Group's investments in certain Funds. The total carrying value of investments in these Funds as at December 31, 2021 was AED 212,061 thousand (December 31, 2020 — AED 155,297 thousand). The maximum exposure to loss in these Funds is equal to the carrying value of the investments, if any.

42. Risk management

Risk governance structure emphasises and balances strong central oversight and control of risk with clear accountability for ownership of risk within each business unit. Under the Group's approach to risk governance, the business primarily owns the risk that it generates and is equally responsible for assessing risk, designing and implementing controls and monitoring and reporting their ongoing effectiveness to safeguard the Group from exceeding its risk appetite.

Ultimate responsibility for setting out risk appetite and effective management of risk rests with the Board. This

is managed through various Board level committees, namely Board Risk Management Committee (BRC) and Board Audit & Compliance Committee (BACC), which ensure that risk taking authority and policies are cascaded down from the Board to the appropriate business units.

Acting within the authority delegated by the Board, the BRC has overall responsibility for oversight and review of credit, market, operational, liquidity, fraud, data management, reputational, information and physical security risks. It periodically reviews and monitors compliance with the Group's overall risk appetite and makes recommendations thereon to the Board. Its responsibilities also include reviewing the appropriateness and effectiveness of the Group's risk management systems and controls, overseeing the management risk committees and ensuring that the Group's risk governance is supportive of prudent risk taking at all levels in the Group. The BRC receives on a regular basis, portfolio level briefings from the Group Chief Risk Officer (CRO) along with regular reports on risk management, including portfolio trends, policy parameters, key risk indicators, results of stress testing and changes to the assumptions, liquidity measures, capital adequacy and planning, and also is authorised to investigate or seek any information relating to any activity within its terms of reference. The BRC also conducts "deep dive" reviews on a rolling basis of different sections of the consolidated group risk information report. The Board Executive Committee (BEC) will be responsible for approving high value credits beyond the management delegated lending limits.

The Management Executive Committee (MEC) has primary responsibility for implementing, overseeing and taking ownership for the enforcement of risk strategy and internal control directives laid down by the Board and Board committees.

The Management level committees also actively manage risk, particularly the Assets and Liabilities Management Committee (ALCO), Management Risk & Credit Committee (MRCC) and Management Recoveries Committee (MRC). The Risk Management function headed by the Group's CRO reports independently to BRC and administratively to the CEO. The risk function is independent of the origination, trading and sales function to ensure balance in risk reward decision is not compromised and to ensure transparency of decisions in accordance with laid down standards and policies. The risk function exercises control over credit policy, market, liquidity, operational, fraud, compliance, Shari'ah risk, reputational risk, data management and information security risk. The Risk function is also independent of the credit underwriting division which is headed by the Group Chief Credit Officer.

BACC provides assistance to the Board to fulfill its duties to ensure and oversee the Group’s financial statements, independence and performance of the Group’s external and internal auditors, adherence with legal and regulatory requirements and internal policies and internal control over financial reporting. BACC also has oversight of the Bank’s compliance activities (financial crime prevention, anti-money laundering, know your customer requirements, etc.) and CBUAE standards and regulations that affect the operations of the Bank.

The Internal Audit division (IAD) aims to apply a systematic and disciplined approach to evaluating and improving the effectiveness of the Group’s risk management, control and governance processes. The IAD reports directly to BACC. The IAD consists of a team of auditors, whose tasks are, among other things, to evaluate the quality of the Group’s lending portfolio, controls in operational processes and the integrity of the Group’s information systems and databases. The IAD auditors, alongside the compliance department, also ensure that transactions undertaken by the Group are conducted in compliance with applicable legal and regulatory requirements and in accordance with the Group’s internal procedures, thereby minimising the risk of fraudulent, improper or illegal practices.

43. Credit risk management

Credit risk is the risk that a customer or counterparty will default on its contractual obligations resulting in financial loss to the Group. The Group’s main income generating activity is lending to customers and therefore credit risk is a principal risk. Credit risk mainly arises from loans and advances to customers and other banks (including related commitments to lend such as loan or credit card facilities), investments in debt securities and derivatives that are an asset position. The Group considers all elements of credit risk exposure such as counterparty default risk, geographical risk and sector risk for risk management purposes.

The Group’s risk committee is responsible for managing the Group’s credit risk by:

- Ensuring that the Group has appropriate credit risk practices, including an effective system of internal control, to consistently determine adequate allowances in accordance with the Group’s stated policies and procedures, IFRS and relevant supervisory guidance.
- Identifying, assessing and measuring credit risk across the Group.

- Creating credit policies to protect the Group against the identified risks including the requirements to obtain collateral from borrowers, to perform robust ongoing credit assessment of borrowers and to continually monitor exposures against internal risk limits.
- Limiting concentrations of exposure by type of asset, counterparties, industry, credit rating, geographic location, etc.
- Establishing a robust control framework regarding the authorisation structure for the approval and renewal of credit facilities.
- Developing and maintaining the Group’s risk grading to categorise exposures according to the degree of risk of default. Risk grades are subject to regular reviews.
- Developing and maintaining the Group’s processes for measuring ECL including monitoring of credit risk, incorporation of forward looking information and the method used to measure ECL.
- Ensuring that the Group has policies and procedures in place to appropriately maintain and validate models used to assess and measure ECL.
- Establishing a sound credit risk assessment and measurement process that provides it with a strong basis for common systems, tools and data to assess credit risk and to account for ECL. Providing advice, guidance and specialist skills to business units to promote best practice throughout the Group in the management of credit risk.
- Managing the credit exposure relating to its trading activities by entering into master netting agreements and collateral arrangements with counterparties in appropriate circumstances and limiting the duration of exposure. In certain cases, the Group may also close out transactions or assign them to other counterparties to mitigate credit risk.

The Group wide credit policies and standards are approved by BRC. These govern all delegated lending authorities and include policies, standards, metrics, strategies and procedures specific to each of the different business segments and are decided based on the macro economic conditions, the risk appetite of the Group, market data and internal skill sets and capabilities. They are regularly reviewed and modified to ensure they stay current, relevant and protect the Group’s interest in changing operating conditions. In addition to Group wide policies, there are underwriting standards set for each portfolio segment. The internal audit function performs regular audits making sure that the established controls and procedures are adequately designed and implemented.

Risk ratings

Internal credit risk ratings

In order to measure credit risk, the Group Risk Management has developed credit risk grading to categorise exposures according to their degree of risk of default. The Group’s credit risk grading framework comprises of ten categories and 21 risk grades. The credit rating information is based on a range of data that is determined to be predictive of the risk of default and applying experienced credit judgement. The Group uses various qualitative and quantitative factors such as borrower financial strength, industry risk factors, management quality, operational efficiency, company standing, liquidity, capital structure, peer group analysis, etc. The nature of the exposure and type of borrower are taken into account in the analysis. Credit risk grades are defined using qualitative and quantitative factors that are indicative of risk of default. The Group uses several internal rating models to effectively rate customers based on the customer segment. These rating models have been developed internally and validated on a regular basis by both internal and external validation teams. The rating models have been calibrated based on ADCB’s default rate history. The Group introduced an LGD rating scale and assigns LGD rating to each of its customers.

The credit risk grades are designed and calibrated to reflect the risk of default as credit risk deteriorates. As the credit risk increases the difference in risk of default between grades changes. Each exposure is allocated to a credit risk grade at initial recognition, based on the available information about the counterparty. All exposures are monitored and the credit risk grade is updated to reflect current information. The monitoring procedures followed are both general and tailored to the type of exposure. The following data are typically used to monitor the Group’s exposures:

- Financial ratios — absolute values, peer analysis;
- Industry risk;
- Qualitative factors such as management strength, concentrations, etc.;
- Payment record, including payment ratios and ageing analysis;
- Changes in business, financial and economic conditions;
- Credit rating information supplied by external rating agencies;
- For retail exposures: internally generated data of customer behaviour, affordability metrics, etc.; and
- For corporate exposures: information obtained by periodic review of customer files including review of audited financial statements and market data.

The Group collects performance and default information about its credit risk exposures analysed by jurisdiction or region and by type of product and borrower as well as by credit risk grading. The information used is both internal and external depending on the portfolio assessed. The table below provides an indicative mapping of the Group’s internal credit risk grades to external ratings.

Rating category	Moody’s	S&P	Fitch	Description
1	Aaa	AAA	AAA	Investment grade
2	Aa1 – Aa3	AA+ – AA-	AA+ – AA-	Investment grade
3	A1 – A3	A+ – A-	A+ – A-	Investment grade
4	Baa1 – Baa3	BBB+ – BBB-	BBB+ – BBB-	Investment grade
5	Ba1 – Ba3	BB+ – BB-	BB+ – BB-	Non-investment grade
6	B1 – B3	B+ – B-	B+ – B-	Non-investment grade
7	Caa1 – Caa3	CCC – CCC-	CCC – C	Watch list
8–10	Default	Default	Default	Default

Some of these grades are further sub-classified with a plus or a minus sign. Lower grades are indicative of a lower likelihood of default. Credit grades 1–7 are assigned to performing customers or accounts while credit grades 8–10 are assigned to non-performing or defaulting customers.

Credit ratings are used by the Group to decide the maximum lending amount per customer group and also to set minimum pricing thresholds. The Bank also uses these internal ratings as a input to the IFRS 9 ECL model and these ratings are also used to determine the staging of the customer.

Retail customers or individual borrowers are not assigned a credit rating under this structure. However, retail banking division uses behaviour scoring for its customers.

The internal credit grade system is not intended to replicate external credit grades but factors used to grade a borrower may be similar, a borrower rated poorly by an external rating agency is typically assigned a higher internal credit grade. The basis for determining ECL is as follows:

IFRS 9 Staging	Basis for determining ECL
1	12 months ECL
2	Lifetime ECL
3 including POCI	Credit impairment based on discounted cash flow model

The quality of credit risk exposure is disclosed in note 43.2.

External credit risk ratings

The table below presents the external credit ratings of the Group's deposits and balances due from banks, gross and investment securities, gross based on S&P's rating scale. Bond issuer level ratings are used in case ratings are not available at issuance level. Wherever S&P's ratings are not available, comparable Fitch or Moody's equivalent ratings scale is used.

Ratings	As at December 31, 2021			As at December 31, 2020		
	Deposits and balances due from banks, gross AED'000	Bond securities at amortised cost, gross AED'000	Bond securities designated at FVTOCI AED'000	Deposits and balances due from banks, gross AED'000	Bond securities at amortised cost, gross AED'000	Bond securities designated at FVTOCI AED'000
AAA to AA-	505,724	14,350,410	24,669,402	2,111,884	10,343,613	26,466,292
A+ to A-	9,007,526	11,044,141	19,608,741	8,062,200	9,264,715	20,977,533
BBB+ to BBB-	5,127,203	1,670,562	10,126,672	3,288,547	1,050,940	7,883,971
BB+ to B-	10,798,556	1,195,740	9,341,678	7,592,772	781,905	7,651,056
CCC+ to C-	57,462	–	–	–	–	–
UAE Sovereigns	–	1,701,937	1,956,696	–	224,501	2,432,760
Unrated	1,215,278	20,132	30,853	526,608	–	165,396
	26,711,749	29,982,922	65,734,042	21,582,011	21,665,674	65,577,008

Internal ratings of UAE Sovereigns and unrated bond securities with comparable external ratings are as follows:

	Internal rating	External rating	2021 AED'000	2020 AED'000
UAE Sovereigns	Grade 2 to 3	AA to A	3,658,633	2,657,261
Unrated	Grade 5 to 6	BB+ to BB	–	42,834
	Grade 8	D	50,985	122,562
			3,709,618	2,822,657

Significant increase in credit risk

As explained in note 3.8(h), the Group monitors all financial assets that are subject to impairment requirements to assess whether there has been a significant increase in credit risk since initial recognition. If there has been a significant increase in credit risk, the Group will measure the loss allowance based on lifetime rather than 12-month ECL.

The Group uses different criteria to determine whether credit risk has increased significantly per portfolio of assets. The criteria used are both deterioration in internal/ external ratings as well as qualitative. The SICR indicators per type of asset and the rating deterioration that are determined to be significant are summarised below.

SICR — from stage 1 to stage 2 for non-retail loans and advances, debt instruments and money market instruments

Grade/facility status	SICR indicators
Investment grade	6 notches rating downgrade
Non-investment grade	3 notches rating downgrade
Across investment/ non-investment grade	3 notches rating downgrade across investment to non-investment grade
Credit restructured	Restructured for credit reasons in the last 12 months
Watch list	Flagged as watch list or accounts that are more than 30 days past due (DPD)
Others	All other criteria as per Central Bank including uncollateralised bullet loans

SICR — from stage 1 to stage 2 for retail loans and advances and credit cards

Criteria to determine whether credit risk has increased significantly are as follows:

- greater than 30 DPD;
- at least three times 30 DPD or more in the last 12 months;
- at least two times 60 DPD or more in the last 12 months.

In addition to above rating deterioration criteria, the Group also considers other qualitative SICR indicators as suggested in IFRS 9 and CBUAE guidelines.

Default — Stage 3

	SICR indicators
Non retail loans and advances	Sub-standard, doubtful or loss flagging — this includes all accounts that are over 90 days past due
Debt instruments and money market instruments	Sub-standard, doubtful or loss flagging
Retail loans and advances and credit cards	90 days past due

Exposure other than to a Sovereign with a rating of A (equivalent internal rating of 3) or better and Sovereign exposures with investment grade rating from an External Rating Agency (BBB- or better) will be classified as low credit risk (LCR).

Loan commitments are assessed along with the category of loan the Group is committed to provide, i.e. commitments to provide mortgages are assessed using similar criteria to mortgage loans while commitments to provide a corporate loan are assessed using similar criteria to corporate loans.

In addition, the Group also follows a probation period for backward transition of staging:

An account has to be in stage 2 for a minimum of 12 months (cure period) for it to move to stage 1 and an account in stage 3 has to move to stage 2 before moving to stage 1.

The Group also employs customer level staging for high risk customers i.e. if a customer is rated 6+ or worse, all the accounts of the customer are assigned the worse staging. The top 70% of the non retail exposures are individually assessed for any SICR not reflected in the ratings.

Irrespective of the outcome of the above assessment, the Group presumes that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due unless the Group has reasonable and supportable information that demonstrates otherwise.

The Group has monitoring procedures in place to make sure that the criteria used to identify significant increases in credit risk are effective, meaning that significant increase in credit risk is identified before the exposure is defaulted. The Group performs periodic back-testing of its ratings to consider whether the drivers of credit risk that led to default were accurately reflected in the rating in a timely manner.

Incorporation of forward-looking information

The Group uses forward-looking macro-economic variables in its measurement of ECL. The Group Chief Economist provides the macro-economic forecasts and scenarios.

The Group has identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and has macro-economic models that forecast relationships between macro-economic variables and credit losses.

During the year, the Group changed its macro-economic variables forecast in line with the prevailing market conditions. The Group also reviewed its LGD models and made appropriate changes.

The table below summarises the principal macro-economic indicators included in the economic scenarios used at December 31, 2021 for the years 2022 to 2024, for UAE which is the country where the Group operates and therefore is the country that has a material impact on ECLs.

List of macro-economic variables used	Definition	Scenario	2022	2023	2024
Oil price, Brent USD	Price per barrel	Base	70.0	67.0	65.0
		Upside	72.5	75.0	80.0
		Downside	65.0	60.0	57.0
Real GDP growth	% change	Base	4.9	2.3	2.0
		Upside	5.7	2.4	2.2
		Downside	1.92	1.5	1.2
Real non-oil GDP growth	% change	Base	3.4	2.5	2.3
		Upside	3.8	3.0	2.5
		Downside	2.4	2.0	1.5
Abu Dhabi real estate sale prices	% change	Base	2.0	1.5	1.0
		Upside	3.0	3.5	2.0
		Downside	1.0	1.0	0.7
Consumer inflation	% annual average	Base	1.4	2.0	1.5
		Upside	2.0	2.5	1.5
		Downside	0.7	0.0	0.4
Dubai real estate sale prices	% change	Base	4.0	1.5	1.0
		Upside	6.0	3.0	2.0
		Downside	2.0	0.0	-1.0

Predicted relationships between the key indicators and default rates on various portfolios of financial assets have been developed based on analysing historical data of more than five years.

Measurement of ECL

The key inputs used for measuring ECL are:

- probability of default (PD);
- loss given default (LGD); and
- exposure at default (EAD).

These figures are generally derived from internally developed statistical models and other historical data and they are adjusted to reflect probability-weighted forward-looking information.

PD is an estimate of the likelihood of default over a given time horizon. It is estimated as at a point in time. The calculation is based on statistical rating models, and assessed using rating tools tailored to the various categories of counterparties and exposures. These statistical models are based on market data (where available), as well as internal data comprising both quantitative and qualitative factors. PDs are estimated based on customer risk profile, adjusted to take into account the forecast of the future economic conditions that will impact PD.

LGD is an estimate of the loss arising on default. It is either based on Basel LGD for low default portfolio or on

internal ADCB experience in term of workout process and recovery data. The internal models take into consideration all the collected amounts, the time to recovery, the discount rate which is EIR at the default date, the exposure at default and all direct and indirect costs. The seniority of the facility and the type of collateral are important criteria and are considered in the LGD calculation. For ECL calculation, the LGD are converted to point-in time to reflect the economic forecast in each scenario.

EAD is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest and expected drawdowns on committed facilities. The Group’s modelling approach for EAD reflects expected changes in the balance outstanding over the lifetime of the loan exposure that are permitted by the current contractual terms, such as amortisation profiles, early repayment or overpayment, changes in utilisation of undrawn commitments and credit mitigation actions taken before default. The Group uses EAD models that reflect the characteristics of the portfolios.

The Group measures ECL considering the risk of default over the maximum contractual period (including

extension options) over which the entity is exposed to credit risk. However, for financial instruments such as credit cards, revolving credit facilities and overdraft facilities that include both a loan and an undrawn commitment component, the Group’s contractual ability to demand repayment and cancel the undrawn commitment does not limit the Group’s exposure to credit losses to the contractual notice period. For such financial instruments the Group measures ECL over the period that it is exposed to credit risk and ECL would not be mitigated by credit risk management actions, even if that period extends beyond the maximum contractual period. These financial instruments do not have a fixed term or

repayment structure and have a short contractual cancellation period. However, the Group does not enforce in the normal day-to-day management the contractual right to cancel these financial instruments. This is because these financial instruments are managed on a collective basis and are cancelled only when the Group becomes aware of an increase in credit risk at the facility level.

The ECL calculation for accounting purposes is different to the provision calculation for regulatory purposes, although many inputs used are similar. The Group has ensured that the appropriate methodology is used when calculating ECL for both accounting and regulatory purposes.

Credit risk disclosure

43.1 Maximum exposure to credit risk

The gross exposure to credit risk for on balance sheet items is their carrying value. For financial guarantees recorded off balance sheet, the gross exposure to credit risk is the maximum amount that the Group would have to pay if the guarantees were to be called upon. For loans and other credit related commitments that are irrevocable over the life of the respective facilities, the gross exposure to credit risk is the full amount of the committed facilities.

The following table presents the maximum exposure of credit risk for amortised cost financial instruments, derivative financial instruments, investment securities (bonds) designated at FVTOCI and off-balance sheet financial instruments as at December 31, 2021 and 2020, after allowance for impairment and netting where appropriate and after taking into account any collateral held or other credit risk mitigants (CRMs).

	On-balance sheet AED'000	Off-balance sheet AED'000	Gross credit risk exposure AED'000	Gross CRM AED'000	Maximum credit risk exposure AED'000
As at December 31, 2021					
Cash and balances with central banks, net	33,746,202	–	31,405,262	–	31,405,262
Deposits and balances due from banks, net	26,670,143	–	26,670,143	–	26,670,143
Derivative financial instruments	6,488,021	–	6,488,021	4,452,806	2,035,215
Investment securities	96,513,292	–	95,697,255	–	95,697,255
Loans and advances to customers, net	244,282,293	82,835,829	327,118,122	130,519,547	196,598,575
Other assets, net	19,354,460	–	19,256,018	12,650,288	6,605,730
Total	427,054,411	82,835,829	506,634,821	147,622,641	359,012,180
As at December 31, 2020					
Cash and balances with central banks, net	29,601,607	–	27,919,572	–	27,919,572
Deposits and balances due from banks, net	21,535,442	–	21,535,442	–	21,535,442
Derivative financial instruments	11,146,396	–	11,146,396	7,973,674	3,172,722
Investment securities	88,205,984	–	87,230,836	–	87,230,836
Loans and advances to customers, net	238,975,702	77,688,972	316,664,674	144,571,975	172,092,699
Other assets, net	10,081,413	–	9,988,498	4,951,520	5,036,978
Total	399,546,544	77,688,972	474,485,418	157,497,169	316,988,249

The maximum exposure to credit risk of the financial assets at fair value through profit or loss is their carrying value amounting to AED 1,664,517 thousand as at December 31, 2021 (December 31, 2020 — AED nil).

43.2 Gross exposure

An analysis of the Group’s credit risk exposure per class of financial asset, internal rating and “stage” without taking into account the effects of any collateral or other credit enhancements is provided in the following tables. Unless specifically indicated, for financial assets, the amounts in the table represent gross carrying amounts. For loan commitments and financial guarantee contracts, the amounts in the table represent the amounts committed or guaranteed, respectively.

Gross exposure as at December 31, 2021 is as follows:

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Balances with central banks (Note 6)	31,405,754	–	–	–	31,405,754
Deposits and balances due from banks (Note 7)	26,439,250	272,499	–	–	26,711,749
Investment securities at amortised cost (Note 10)	29,962,790	–	–	20,132	29,982,922
Investment securities designated at FVTOCI (Note 10)	64,678,283	1,024,906	30,853	–	65,734,042
Loans and advances to customers (Note 11)	215,923,239	20,215,770	14,923,704	4,049,964	255,112,677
Other assets (Note 14)	18,902,550	334,879	33,198	4,780	19,275,407
Letters of credit, guarantees and other commitments (Note 38)	75,796,968	6,613,976	–	424,885	82,835,829
Total gross exposure	463,108,834	28,462,030	14,987,755	4,499,761	511,058,380

Gross exposure as at December 31, 2020 is as follows:

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Balances with central banks (Note 6)	27,920,037	–	–	–	27,920,037
Deposits and balances due from banks (Note 7)	21,325,901	256,110	–	–	21,582,011
Investment securities at amortised cost (Note 10)	21,665,674	–	–	–	21,665,674
Investment securities designated at FVTOCI (Note 10)	64,128,009	1,326,437	122,562	–	65,577,008
Loans and advances to customers (Note 11)	208,716,317	21,625,097	15,793,116	4,318,700	250,453,230
Other assets (Note 14)	9,628,838	355,951	14,591	7,245	10,006,625
Letters of credit, guarantees and other commitments (Note 38)	72,106,276	4,992,500	–	590,196	77,688,972
Total gross exposure	425,491,052	28,556,095	15,930,269	4,916,141	474,893,557

As at December 31, 2021	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Grades 1–4	182,555,059	702,243	–	–	183,257,302
Grades 5–6	90,140,880	10,491,014	4,334	–	100,636,228
Grade 7	2,728,318	8,304,642	9,548	–	11,042,508
Grades 8–10	–	–	14,100,548	3,978,118	18,078,666
Unrated	47,209,326	1,325,249	842,472	96,758	49,473,805
Gross financial instruments carried at amortised cost	322,633,583	20,823,148	14,956,902	4,074,876	362,488,509
Debt instruments designated at FVTOCI					
Grades 1–4	56,361,510	–	–	–	56,361,510
Grades 5–6	8,316,773	1,024,906	–	–	9,341,679
Grade 8–10	–	–	30,853	–	30,853
Gross debt instruments designated at FVTOCI	64,678,283	1,024,906	30,853	–	65,734,042
Commitments and contingent liabilities					
Grades 1–4	46,486,553	39,381	–	–	46,525,934
Grades 5–6	27,187,596	1,940,650	–	–	29,128,246
Grade 7	1,661,456	4,633,945	–	–	6,295,401
Grades 8–10	–	–	–	424,885	424,885
Unrated	461,363	–	–	–	461,363
Total commitments and contingent liabilities	75,796,968	6,613,976	–	424,885	82,835,829

Unrated exposure in financial instruments carried at amortised cost comprising mainly of retail loans and credit card exposures can be further classified as below:

As at December 31, 2021	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Performing (Grades 1–6)	47,209,326	756,519	–	–	47,965,845
Watch list (Grade 7)	–	568,730	–	–	568,730
Non-performing (Grades 8–10)	–	–	842,472	96,758	939,230
Total	47,209,326	1,325,249	842,472	96,758	49,473,805

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As at December 31, 2020	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Grades 1–4	153,592,666	1,913,110	–	–	155,505,776
Grades 5–6	83,568,899	9,317,679	15,946	–	92,902,524
Grade 7	4,358,239	9,226,163	169,948	–	13,754,350
Grades 8–10	–	–	14,697,274	4,213,043	18,910,317
Unrated	47,736,963	1,780,206	924,539	112,902	50,554,610
Gross financial instruments carried at amortised cost	289,256,767	22,237,158	15,807,707	4,325,945	331,627,577
Debt instruments designated at FVTOCI					
Grades 1–4	57,732,216	–	–	–	57,732,216
Grades 5–6	6,395,793	1,326,437	–	–	7,722,230
Grade 8–10	–	–	122,562	–	122,562
Gross debt instruments designated at FVTOCI	64,128,009	1,326,437	122,562	–	65,577,008
Commitments and contingent liabilities					
Grades 1–4	39,247,234	127,341	–	–	39,374,575
Grades 5–6	26,583,446	2,597,546	–	–	29,180,992
Grade 7	5,788,941	2,267,613	–	–	8,056,554
Grades 8–10	–	–	–	590,196	590,196
Unrated	486,655	–	–	–	486,655
Total commitments and contingent liabilities	72,106,276	4,992,500	–	590,196	77,688,972

Unrated exposure in financial instruments carried at amortised cost comprising mainly of retail loans and credit card exposures can be further classified as below:

As at December 31, 2020	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Performing (Grades 1–6)	47,736,963	934,504	–	–	48,671,467
Watch list (Grade 7)	–	845,702	–	–	845,702
Non-performing (Grades 8–10)	–	–	924,539	112,902	1,037,441
Total	47,736,963	1,780,206	924,539	112,902	50,554,610

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The movement of gross exposure is as follows:

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Balance as at January 1, 2021	289,256,767	22,237,158	15,807,707	4,325,945	331,627,577
Addition on business combinations	1,049,092	–	–	35,979	1,085,071
– Transfer from stage 1 to stage 2	(4,974,888)	4,974,888	–	–	–
– Transfer from stage 1 to stage 3	(2,154,529)	–	2,154,529	–	–
– Transfer from stage 2 to stage 1	4,381,485	(4,381,485)	–	–	–
– Transfer from stage 2 to stage 3	–	(2,110,544)	2,110,544	–	–
– Transfer from stage 3 to stage 2	–	783,928	(783,928)	–	–
Other movements within the same stage	(4,840,451)	(415,594)	(1,084,014)	(236,719)	(6,576,778)
New financial assets originated/purchased	118,824,979	2,275,518	1,038,973	–	122,139,470
Financial assets derecognised	(78,908,872)	(2,540,721)	(490,536)	(170,367)	(82,110,496)
Adjustments to gross carrying value due to changes in estimated cash flows	–	–	–	491,375	491,375
Net amounts written-off	–	–	(3,796,373)	(371,337)	(4,167,710)
Balance as at December 31, 2021	322,633,583	20,823,148	14,956,902	4,074,876	362,488,509

Debt instruments designated at FVTOCI					
Balance as at January 1, 2021	64,128,009	1,326,437	122,562	–	65,577,008
Other movements within the same stage	(1,583,223)	(27,394)	63,293	–	(1,547,324)
New financial assets purchased	19,607,262	–	–	–	19,607,262
Financial assets derecognised	(17,473,765)	(274,137)	–	–	(17,747,902)
Net amounts written-off	–	–	(155,002)	–	(155,002)
Balance as at December 31, 2021	64,678,283	1,024,906	30,853	–	65,734,042

Commitments and contingent liabilities					
Balance as at January 1, 2021	72,106,276	4,992,500	–	590,196	77,688,972
– Transfer from stage 1 to stage 2	(2,870,972)	2,870,972	–	–	–
– Transfer from stage 2 to stage 1	980,358	(980,358)	–	–	–
Other movements within the same stage	(1,508,076)	(81,371)	–	(94,289)	(1,683,736)
New financial assets originated/purchased	29,726,376	1,621,044	–	–	31,347,420
Financial assets derecognised	(22,636,994)	(1,808,811)	–	(71,022)	(24,516,827)
Balance as at December 31, 2021	75,796,968	6,613,976	–	424,885	82,835,829

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Balance as at January 1, 2020	284,045,142	21,604,399	8,474,557	3,859,236	317,983,334
– Transfer from stage 1 to stage 2	(7,586,560)	7,586,560	–	–	–
– Transfer from stage 1 to stage 3	(6,060,825)	–	6,060,825	–	–
– Transfer from stage 2 to stage 1	2,661,144	(2,661,144)	–	–	–
– Transfer from stage 2 to stage 3	–	(2,585,642)	2,585,642	–	–
– Transfer from stage 3 to stage 2	–	197,706	(197,706)	–	–
Other movements within the same stage	3,472,711	(604,106)	103,585	(156,495)	2,815,695
New financial assets originated/purchased	75,783,818	1,572,149	1,156,967	–	78,512,934
Financial assets derecognised	(63,058,663)	(2,872,764)	(580,559)	(268,918)	(66,780,904)
Adjustments to gross carrying value due to changes in estimated cash flows	–	–	–	892,122	892,122
Net amounts written-off	–	–	(1,795,604)	–	(1,795,604)
Balance as at December 31, 2020	289,256,767	22,237,158	15,807,707	4,325,945	331,627,577

Debt instruments designated at FVTOCI

Balance as at January 1, 2020	69,877,074	2,529,575	210,226	–	72,616,875
– Transfer from stage 1 to stage 2	(202,226)	202,226	–	–	–
– Transfer from stage 1 to stage 3	(83,614)	–	83,614	–	–
– Transfer from stage 2 to stage 1	216,874	(216,874)	–	–	–
Other movements within the same stage	2,308,018	16,534	(49,541)	–	2,275,011
New financial assets purchased	18,062,502	–	–	–	18,062,502
Financial assets derecognised	(26,050,619)	(1,205,024)	–	–	(27,255,643)
Net amounts written-off	–	–	(121,737)	–	(121,737)
Balance as at December 31, 2020	64,128,009	1,326,437	122,562	–	65,577,008

Commitments and contingent liabilities

Balance as at January 1, 2020	81,521,547	5,252,247	–	941,891	87,715,685
– Transfer from stage 1 to stage 2	(1,985,683)	1,985,683	–	–	–
– Transfer from stage 2 to stage 1	812,148	(812,148)	–	–	–
Other movements within the same stage	(4,799,411)	(443,672)	–	(26,185)	(5,269,268)
New financial assets originated/purchased	19,910,589	654,281	–	–	20,564,870
Financial assets derecognised	(23,352,914)	(1,643,891)	–	(325,510)	(25,322,315)
Balance as at December 31, 2020	72,106,276	4,992,500	–	590,196	77,688,972

43.3 Expected credit losses

Impairment allowance as at December 31, 2021 is as follows:

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Balances with central banks (Note 6)	492	–	–	–	492
Deposits and balances due from banks (Note 7)	40,724	882	–	–	41,606
Investment securities at amortised cost (Note 10)	19,709	–	–	–	19,709
Investment securities designated at FVTOCI (Note 10) (*)	77,415	8,198	22,038	–	107,651
Loans and advances to customers (Note 11)	720,459	3,267,946	6,363,607	478,372	10,830,384
Other assets (Note 14)	6,051	4,439	8,899	–	19,389
Letters of credit, guarantees and other commitments (Note 21)	64,953	348,937	–	89,335	503,225
Total allowance for impairment	929,803	3,630,402	6,394,544	567,707	11,522,456

(*) recognised under "Revaluation reserve of investments designated at FVTOCI".

Impairment allowance as at December 31, 2020 is as follows:

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Balances with central banks (Note 6)	465	–	–	–	465
Deposits and balances due from banks (Note 7)	45,721	848	–	–	46,569
Investment securities at amortised cost (Note 10)	11,846	–	–	–	11,846
Investment securities designated at FVTOCI (Note 10) (*)	49,393	23,116	157,311	–	229,820
Loans and advances to customers (Note 11)	815,455	3,343,489	6,750,936	567,648	11,477,528
Other assets (Note 14)	4,322	1,755	10,645	1,405	18,127
Letters of credit, guarantees and other commitments (Note 21)	149,122	264,189	–	131,603	544,914
Total allowance for impairment	1,076,324	3,633,397	6,918,892	700,656	12,329,269

(*) recognised under "Revaluation reserve of investments designated at FVTOCI".

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The table below summarises impairment allowance as at year end per class of exposure/asset, internal rating and stage:

As at December 31, 2021	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Grades 1–4	32,895	17,531	–	–	50,426
Grades 5–6	385,047	1,046,468	1,853	–	1,433,368
Grade 7	37,705	2,019,558	2,370	–	2,059,633
Grades 8–10	–	–	5,825,935	459,856	6,285,791
Unrated (*)	331,788	189,710	542,348	18,516	1,082,362
Allowance for impairment	787,435	3,273,267	6,372,506	478,372	10,911,580
Debt instruments designated at FVTOCI					
Grades 1–4	12,133	–	–	–	12,133
Grades 5–6	65,282	8,198	–	–	73,480
Grade 8–10	–	–	22,038	–	22,038
Allowance for impairment	77,415	8,198	22,038	–	107,651
Commitments and contingent liabilities					
Grades 1–4	9,263	939	–	–	10,202
Grades 5–6	41,144	3,766	–	–	44,910
Grade 7	14,528	344,232	–	–	358,760
Grades 8–10	–	–	–	89,335	89,335
Unrated	18	–	–	–	18
Allowance for impairment	64,953	348,937	–	89,335	503,225

(*) Stage 2 expected credit losses include AED 69,891 thousand towards performing exposure

As at December 31, 2020	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Grades 1–4	27,709	4,381	–	–	32,090
Grades 5–6	328,040	634,754	8,819	–	971,613
Grade 7	204,354	2,292,375	14,573	–	2,511,302
Grades 8–10	–	–	6,254,976	544,740	6,799,716
Unrated (*)	317,706	414,582	483,213	24,313	1,239,814
Allowance for impairment	877,809	3,346,092	6,761,581	569,053	11,554,535
Debt instruments designated at FVTOCI					
Grades 1–4	13,911	–	–	–	13,911
Grades 5–6	35,482	23,116	–	–	58,598
Grade 8 -10	–	–	157,311	–	157,311
Allowance for impairment	49,393	23,116	157,311	–	229,820
Commitments and contingent liabilities					
Grades 1–4	9,308	557	–	–	9,865
Grades 5–6	79,488	115,292	–	–	194,780
Grade 7	60,128	148,340	–	–	208,468
Grades 8–10	–	–	–	131,603	131,603
Unrated	198	–	–	–	198
Allowance for impairment	149,122	264,189	–	131,603	544,914

(*) Stage 2 expected credit losses include AED 67,091 thousand towards performing exposure

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The movement in impairment allowances is as follows:

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Balance as at January 1, 2021	877,809	3,346,092	6,761,581	569,053	11,554,535
– Transfer from stage 1 to stage 2	(26,575)	26,575	–	–	–
– Transfer from stage 1 to stage 3	(173,073)	–	173,073	–	–
– Transfer from stage 2 to stage 1	103,717	(103,717)	–	–	–
– Transfer from stage 2 to stage 3	–	(811,731)	811,731	–	–
– Transfer from stage 3 to stage 2	–	69,477	(69,477)	–	–
Other movements within the same stage	55,993	401,783	1,896,757	(194,188)	2,160,345
New financial assets originated/purchased	263,175	577,195	780,032	–	1,620,402
Financial assets derecognised	(160,865)	(111,785)	(184,673)	(17,068)	(474,391)
Changes to methodologies, assumptions and risk parameters (*)	(152,746)	(120,622)	(145)	538	(272,975)
Gross (release)/charge for the year	(90,374)	(72,825)	3,407,298	(210,718)	3,033,381
Recoveries	–	–	(378,357)	–	(378,357)
Net (release)/charge for the year	(90,374)	(72,825)	3,028,941	(210,718)	2,655,024
Adjustments to gross carrying value	–	–	–	491,374	491,374
Net amounts written-off	–	–	(3,418,016)	(371,337)	(3,789,353)
Balance as at December 31, 2021	787,435	3,273,267	6,372,506	478,372	10,911,580

Debt instruments designated at FVTOCI					
Balance as at January 1, 2021	49,393	23,116	157,311	–	229,820
Other movements within the same stage	23,361	(5,475)	19,749	–	37,635
New financial assets originated/purchased	22,953	–	–	–	22,953
Financial assets derecognised	(3,644)	(455)	–	–	(4,099)
Changes to methodologies, assumptions and risk parameters (*)	(14,648)	(8,988)	–	–	(23,636)
Net charge/(release) for the year	28,022	(14,918)	19,749	–	32,853
Net amounts written-off	–	–	(155,022)	–	(155,022)
Balance as at December 31, 2021	77,415	8,198	22,038	–	107,651

Commitments and contingent liabilities					
Balance as at January 1, 2021	149,122	264,189	–	131,603	544,914
– Transfer from stage 1 to stage 2	(22,147)	22,147	–	–	–
– Transfer from stage 2 to stage 1	8,162	(8,162)	–	–	–
Other movements within the same stage	7,626	326,950	–	(21,294)	313,282
New financial assets originated/purchased	10,708	31,691	–	–	42,399
Financial assets derecognised	(80,400)	(283,600)	–	(20,574)	(384,574)
Changes to methodologies, assumptions and risk parameters (*)	(8,118)	(4,278)	–	(400)	(12,796)
Net (release)/charge for the year	(84,169)	84,748	–	(42,268)	(41,689)
Balance as at December 31, 2021	64,953	348,937	–	89,335	503,225

(*) included in "Recoveries/modifications during the year" in note 33

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Balance as at January 1, 2020	841,464	2,988,024	3,500,938	72,475	7,402,901
– Transfer from stage 1 to stage 2	(102,752)	102,752	–	–	–
– Transfer from stage 1 to stage 3	(35,947)	–	35,947	–	–
– Transfer from stage 2 to stage 1	71,222	(71,222)	–	–	–
– Transfer from stage 2 to stage 3	–	(754,553)	754,553	–	–
– Transfer from stage 3 to stage 2	–	42,934	(42,934)	–	–
Other movements within the same stage	111,768	922,468	3,579,433	(393,742)	4,219,927
New financial assets originated/purchased	161,223	144,632	909,284	–	1,215,139
Financial assets derecognised	(204,120)	(79,934)	(186,652)	(1,802)	(472,508)
Changes to methodologies, assumptions and risk parameters (*)	34,951	50,991	6,616	–	92,558
Gross charge/(release) for the year	36,345	358,068	5,056,247	(395,544)	5,055,116
Recoveries	–	–	(284,568)	–	(284,568)
Net charge/(release) for the year	36,345	358,068	4,771,679	(395,544)	4,770,548
Adjustments to gross carrying value	–	–	–	892,122	892,122
Net amounts written-off	–	–	(1,511,036)	–	(1,511,036)
Balance as at December 31, 2020	877,809	3,346,092	6,761,581	569,053	11,554,535
Debt instruments designated at FVTOCI					
Balance as at January 1, 2020	26,190	27,708	206,519	–	260,417
– Transfer from stage 1 to stage 2	(418)	418	–	–	–
– Transfer from stage 1 to stage 3	(172)	–	172	–	–
– Transfer from stage 2 to stage 1	487	(487)	–	–	–
Other movements within the same stage	3,712	8,431	72,357	–	84,500
New financial assets originated/purchased	27,067	–	–	–	27,067
Financial assets derecognised	(7,092)	(11,170)	–	–	(18,262)
Changes to methodologies, assumptions and risk parameters (*)	(381)	(1,784)	–	–	(2,165)
Net charge/(release) for the year	23,203	(4,592)	72,529	–	91,140
Net amounts written-off	–	–	(121,737)	–	(121,737)
Balance as at December 31, 2020	49,393	23,116	157,311	–	229,820
Commitments and contingent liabilities					
Balance as at January 1, 2020	433,237	614,226	–	384,900	1,432,363
– Transfer from stage 1 to stage 2	(54,157)	54,157	–	–	–
– Transfer from stage 2 to stage 1	51,940	(51,940)	–	–	–
Other movements within the same stage	91,163	192,289	–	(124,247)	159,205
New financial assets originated/purchased	25,995	76,183	–	–	102,178
Financial assets derecognised	(200,300)	(240,681)	–	(129,050)	(570,031)
Changes to methodologies, assumptions and risk parameters (*)	(198,756)	(380,045)	–	–	(578,801)
Net release for the year	(284,115)	(350,037)	–	(253,297)	(887,449)
Balance as at December 31, 2020	149,122	264,189	–	131,603	544,914

(*) included in "Recoveries/modifications during the year" in note 33

43.4 Concentration of credit risk

Concentration of credit risk arises when a number of counterparties or exposures have comparable economic characteristics or such counterparties are engaged in similar activities or operate in the same geographical areas or economic sectors that would impact their ability to meet contractual obligations to be similarly affected by changes in economic or other conditions. The analysis of credit risk concentrations presented below are based on the location of the counterparty or customer or the economic activity in which they are engaged.

(a) Credit risk concentration by geographical sector

	Domestic (UAE) AED'000	Other GCC countries AED'000	Other Arab countries AED'000	Asia AED'000	Europe AED'000	USA AED'000	Rest of the world AED'000	Total AED'000
As at December 31, 2021								
Assets								
Balances with central banks, net	29,358,121	–	1,957,293	89,848	–	–	–	31,405,262
Deposits and balances due from banks, net	4,459,996	6,850,401	1,604,312	6,816,127	4,280,654	94,778	2,563,875	26,670,143
Financial assets at fair value through profit or loss	542,455	–	1,122,062	–	–	–	–	1,664,517
Derivative financial instruments	2,091,524	71,899	–	2,880	4,145,517	–	176,201	6,488,021
Investment securities — bonds	41,213,448	25,934,120	6,213,329	12,210,010	3,593,524	3,305,991	3,226,833	95,697,255
Loans and advances to customers, net	219,746,321	6,041,441	8,941,096	4,610,457	3,098,788	6,045	1,838,145	244,282,293
Other assets, net	9,917,219	699,855	621,418	5,205,912	2,517,755	7,902	285,957	19,256,018
Total	307,329,084	39,597,716	20,459,510	28,935,234	17,636,238	3,414,716	8,091,011	425,463,509
Commitment and contingent liabilities								
61,845,362	3,862,168	2,420,615	7,591,886	5,389,660	507,456	1,218,682	82,835,829	
As at December 31, 2020								
Assets								
Balances with central banks, net	26,978,157	239,826	575,784	125,805	–	–	–	27,919,572
Deposits and balances due from banks, net	6,529,617	2,627,959	1,243,430	3,247,312	5,708,785	751,598	1,426,741	21,535,442
Derivative financial instruments	3,932,857	140,605	–	5,086	6,685,053	–	382,795	11,146,396
Investment securities — bonds	40,979,594	22,925,664	4,119,168	9,907,671	2,525,456	3,000,609	3,772,674	87,230,836
Loans and advances to customers, net	222,289,019	4,662,455	5,555,642	2,099,793	2,294,123	4,248	2,070,422	238,975,702
Other assets, net	5,809,890	342,928	387,661	847,056	2,108,426	6,870	485,667	9,988,498
Total	306,519,134	30,939,437	11,881,685	16,232,723	19,321,843	3,763,325	8,138,299	396,796,446
Commitment and contingent liabilities								
63,402,986	3,659,189	1,205,792	3,488,515	4,218,907	945,463	768,120	77,688,972	

(b) Credit risk concentration by economic/industry sector

The economic activity sector composition of the loans and advances to customers is as follows:

	As at December 31, 2021			As at December 31, 2020		
	Within the UAE AED'000	Outside the UAE AED'000	Total AED'000	Within the UAE AED'000	Outside the UAE AED'000	Total AED'000
Economic activity sector						
Agriculture	40,638	134,697	175,335	276,765	128,612	405,377
Energy	1,558,735	4,774,130	6,332,865	1,237,753	4,461,593	5,699,346
Trading	7,332,355	4,403,215	11,735,570	6,817,285	2,267,950	9,085,235
Real estate investment	59,600,419	862,715	60,463,134	71,399,603	1,236,474	72,636,077
Hospitality	10,467,533	499,428	10,966,961	10,409,772	510,032	10,919,804
Transport and communication	1,928,265	1,221,525	3,149,790	2,592,290	1,343,401	3,935,691
Personal	51,638,942	1,942,860	53,581,802	53,349,371	1,501,343	54,850,714
Government and public sector entities	65,063,724	2,059,992	67,123,716	53,062,107	589,341	53,651,448
Financial institutions (*)	13,221,475	4,970,315	18,191,790	14,687,727	3,065,521	17,753,248
Manufacturing	3,923,447	3,190,148	7,113,595	4,280,826	1,758,761	6,039,587
Services	5,829,119	448,755	6,277,874	5,604,901	303,227	5,908,128
Others	9,644,053	356,192	10,000,245	9,259,063	309,512	9,568,575
Gross loans and advances to customers	230,248,705	24,863,972	255,112,677	232,977,463	17,475,767	250,453,230
Less: Allowance for impairment			(10,830,384)			(11,477,528)
Total loans and advances to customers, net			244,282,293			238,975,702

(*) includes investment companies

As at reporting date, the 20 largest customer loan exposures constitute 28.05% of the gross loans and advances to customers (December 31, 2020 — 27.67%).

The industry sector composition of other exposures is as follows:

	Commercial and business AED'000	Personal AED'000	Public sector AED'000	Government AED'000	Banks and financial institutions AED'000	Total AED'000
As at December 31, 2021						
Balances with central banks, net	—	—	—	31,405,262	—	31,405,262
Deposits and balances due from banks, net	—	—	—	—	26,670,143	26,670,143
Financial assets at fair value through profit or loss	—	—	542,455	—	1,122,062	1,664,517
Derivative financial instruments	608,324	195,210	788,494	567,251	4,328,742	6,488,021
Investment securities — bonds	4,381,631	—	21,961,147	60,806,945	8,547,532	95,697,255
Other assets, net	14,770,389	371,553	283,664	517,290	3,313,122	19,256,018
Total	19,760,344	566,763	23,575,760	93,296,748	43,981,601	181,181,216
Commitments and contingent liabilities	46,438,822	1,249,219	17,588,676	1,415,889	16,143,223	82,835,829
As at December 31, 2020						
Balances with central banks, net	—	—	—	27,919,572	—	27,919,572
Deposits and balances due from banks, net	—	—	—	—	21,535,442	21,535,442
Derivative financial instruments	932,217	537,132	1,070,569	875,948	7,730,530	11,146,396
Investment securities — bonds	3,327,393	—	22,045,655	52,417,750	9,440,038	87,230,836
Other assets, net	6,768,855	486,574	249,464	393,826	2,089,779	9,988,498
Total	11,028,465	1,023,706	23,365,688	81,607,096	40,795,789	157,820,744
Commitments and contingent liabilities	44,137,409	1,886,025	19,118,877	1,403,190	11,143,471	77,688,972

43.5 Credit risk measurement and mitigation policies

Loans and advances to customers is the main source of credit risk although the Group can also be exposed to other forms of credit risk through, for example, loans to banks, loan commitments and debt securities. The Group's risk management policies and processes are designed to identify and analyse risk, to set appropriate risk appetite and to monitor the risks and adherence to limits by means of reliable and timely data. The Group assesses the probability of default of individual counterparties using internal rating tools tailored to the various categories of counterparties.

Exposure to credit risk is also managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing the lending limits where appropriate.

Collateral

The Group holds collateral against various credit risk exposures in the form of mortgage interests over property, other registered securities over assets, fixed deposits and guarantees. Estimates of fair value of the collateral (including shares) are updated on a regular basis. Collateral generally is not held over loans and advances to banks, except when securities are held as part of reverse repurchase and securities borrowing activity. The principal collateral types for loans and advances are:

- Cash and marketable securities;
- Mortgages over residential and commercial properties;
- Charges over business assets such as premises, inventory and accounts receivable;
- Charges over financial instruments such as debt securities and equities; and
- Guarantees.

The estimated fair value of collateral and other security enhancements held against various credit risk exposures for the year ended December 31, 2021 was AED 240,802,262 thousand (December 31, 2020 — AED 238,642,874 thousand).

Collateral held as security against impaired loans primarily relates to commercial and residential properties and securities. Where the estimated fair value of collateral held exceeds the outstanding loan, any excess on realisation is paid back to the customers and is not available for offset against other loans.

Write-off

Financial assets are written off when a debtor fails to engage in a repayment plan with the Group. The Group categorises a loan or receivable for write off when a debtor fails to make contractual payments greater than 180 days past due for retail and SME loans. Where loans or receivables have been written off, the Group continues to engage in enforcement activity to attempt to recover the receivable due. Where recoveries are made, these are recognised in profit or loss.

Reversal of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the consolidated income statement in the period in which it occurs.

Derivatives

The Group maintains strict control limits on net open derivative positions (i.e. the difference between purchase and sale contracts), by both amount and term. At any time, the amount subject to credit risk is limited to the current fair value of instruments that are favourable to the Group (i.e. positive fair value of assets), which in relation to derivatives is a small fraction of the contract or notional values used to express the volume of instruments outstanding. This credit risk exposure is managed as part of the overall lending limits with customers together with potential exposures from market movements.

Settlement risk arises in any situation where a payment in cash, securities or equities is made in the expectation of a corresponding receipt in cash, securities or equities. Daily settlement limits are established for each counterparty to cover the aggregate of all settlement risks arising from the Group’s market transactions on any single day.

The following table represents internal credit ratings of derivative financial instruments:

	As at December 31 2021 AED’000	As at December 31 2020 AED’000
Internal risk grades		
Grades 1 to 4	4,439,869	8,548,556
Grades 5 to 6	1,993,581	2,561,678
Unrated	54,571	36,162
	6,488,021	11,146,396

Master netting arrangements

The Group further restricts its exposure to credit losses by entering into master netting arrangements with counterparties with which it undertakes a significant volume of transactions. Master netting arrangements do not generally result in an offset of statement of financial position assets and liabilities, as transactions are usually settled on a gross basis, hence the impact of netting in practice is immaterial.

However, the credit risk associated with favourable contracts is reduced by a master netting arrangement to the extent that if a default occurs, all amounts with the counterparty are terminated and settled on a net basis. The Group’s overall exposure to credit risk on derivative instruments subject to master netting arrangements can change substantially within a year, as it is affected by each transaction subject to the arrangement.

Derivative related credit risk

Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive fair value of instruments that are favourable to the Group. The Group enters into derivative contracts with financial institutions and corporates which are of satisfactory credit standing as per the Group’s independent credit assessment. Credit risk in derivatives is mitigated through limit control and master netting arrangements.

Off-balance sheet

The Group applies the same risk management policies for off-balance sheet risks as it does for its on-balance sheet risks with the exception that the worse staging for off-balance sheet exposures is stage 2. In the case of commitments to lend, customers and counterparties will be subject to the same credit management policies as for loans and advances. Collateral may be sought depending on the strength of the counterparty and the nature of the transaction.

44. Interest rate risk framework, measurement and monitoring

Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group manages this risk principally through monitoring of interest rate gaps, economic value of equity and earnings at risk and by matching the re-pricing profile of assets and liabilities.

Overall interest rate risk positions are managed by the Group’s Treasury division, which uses derivative instruments such as interest rate swaps and cross currency interest rate swaps to manage the overall interest rate risk arising from the Group’s interest bearing financial instruments.

Financial assets and liabilities exposed to interest rate risk are assets and liabilities with either a fixed or a floating contractual rate of interest. A significant portion of the Group’s loans and advances, deposits and balances due from banks, investment securities, deposits from customers, due to banks, and borrowings fall under this category. Interest rate sensitivity position of floating rate financial instruments is based on either repricing date or maturity date while that of fixed rate financial instruments is based on maturity date.

Derivative financial instruments (other than those designated in a hedge relationship) and trading book assets and liabilities (excluding non-interest bearing) are included in the “less than 3 months” column at their fair value. Derivative financial instruments designated in a hedge relationship are included according to their contractual next re-pricing tenor.

Financial assets that are not subject to any interest rate risk mainly comprise of investments in equity and mutual funds, commodity and currency derivatives and cash and balances with central banks excluding overnight and certificate of deposits.

The off-balance sheet gap represents the net notional amounts of the off-balance sheet financial instruments, such as interest rate and cross currency interest rate swaps which are used to manage interest rate risk.

The Group uses financial simulation tools to periodically measure and monitor interest rate sensitivity. The results are analysed and monitored by the Asset and Liability Committee (ALCO).

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The Group’s interest rate sensitivity position based on contractual repricing arrangements as at December 31, 2021 is as follows:

	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000	Non- interest bearing items AED'000	Total AED'000
Assets							
Cash and balances with central banks, net	17,798,869	–	–	–	–	15,947,333	33,746,202
Deposits and balances due from banks, net	20,145,519	3,678,846	2,453,701	–	–	392,077	26,670,143
Financial assets at fair value through profit or loss	1,664,517	–	–	–	–	42,250	1,706,767
Derivative financial instruments	5,880,159	28,963	21,824	10,407	19,694	526,974	6,488,021
Investment securities	7,561,691	4,990,338	5,811,945	18,084,478	59,248,803	816,037	96,513,292
Loans and advances to customers, net	195,772,537	19,228,175	5,958,149	7,012,694	27,546,856	(11,236,118)	244,282,293
Investment in associates	–	–	–	–	–	262,609	262,609
Investment properties	–	–	–	–	–	1,674,954	1,674,954
Other assets, net	–	–	–	–	–	19,354,460	19,354,460
Property and equipment, net	–	–	–	–	–	2,064,270	2,064,270
Intangible assets, net	–	–	–	–	–	7,294,685	7,294,685
Assets held for sale	–	–	–	–	–	220,673	220,673
Total assets	248,823,292	27,926,322	14,245,619	25,107,579	86,815,353	37,360,204	440,278,369
Liabilities and equity							
Due to banks	1,897,590	983,446	2,795,152	–	–	1,529,145	7,205,333
Derivative financial instruments	5,719,481	18,552	106	107,693	66,912	650,635	6,563,379
Deposits from customers	137,968,985	22,221,567	20,772,867	3,447,961	1,063,663	79,577,282	265,052,325
Euro commercial paper	2,910,000	1,810,901	1,478,256	–	–	–	6,199,157
Borrowings	28,850,826	5,886,327	540,231	12,560,493	24,661,460	–	72,499,337
Other liabilities	–	–	–	–	–	23,384,164	23,384,164
Liabilities related to assets held for sale	–	–	–	–	–	4,648	4,648
Equity	–	–	–	–	–	59,370,026	59,370,026
Total liabilities and equity	177,346,882	30,920,793	25,586,612	16,116,147	25,792,035	164,515,900	440,278,369
On-balance sheet gap	71,476,410	(2,994,471)	(11,340,993)	8,991,432	61,023,318	(127,155,696)	–
Off-balance sheet gap	2,390,367	(66,065)	(1,285,077)	3,218,531	(4,257,756)	–	–
Total interest rate sensitivity gap	73,866,777	(3,060,536)	(12,626,070)	12,209,963	56,765,562	(127,155,696)	–
Cumulative interest rate sensitivity gap	73,866,777	70,806,241	58,180,171	70,390,134	127,155,696	–	–

Non-interest bearing items include mainly impairment allowances under loans and advances to customers.

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The Group’s interest rate sensitivity position based on contractual repricing arrangements as at December 31, 2020 was as follows:

	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000	Non- interest bearing items AED'000	Total AED'000
Assets							
Cash and balances with central banks, net	17,228,201	–	–	–	–	12,373,406	29,601,607
Deposits and balances due from banks, net	13,987,000	4,604,738	1,675,691	73,269	81	1,194,663	21,535,442
Derivative financial instruments	10,072,987	–	–	916	–	1,072,493	11,146,396
Investment securities	2,883,263	7,323,330	4,464,989	21,166,355	51,392,899	975,148	88,205,984
Loans and advances to customers, net	197,009,273	14,758,869	6,659,016	7,443,910	25,080,186	(11,975,552)	238,975,702
Investment in associates	–	–	–	–	–	255,868	255,868
Investment properties	–	–	–	–	–	1,643,956	1,643,956
Other assets, net	–	–	–	–	–	10,081,413	10,081,413
Property and equipment, net	–	–	–	–	–	2,058,575	2,058,575
Intangible assets, net	–	–	–	–	–	7,390,291	7,390,291
Assets held for sale	–	–	–	–	–	261,067	261,067
Total assets	241,180,724	26,686,937	12,799,696	28,684,450	76,473,166	25,331,328	411,156,301
Liabilities and equity							
Due to banks	4,981,850	565,426	1,265,434	–	–	1,409,361	8,222,071
Derivative financial instruments	10,080,042	50,553	4,676	24,723	38,444	656,610	10,855,048
Deposits from customers	149,432,588	19,692,234	9,849,597	3,094,453	88,503	69,238,082	251,395,457
Euro commercial paper	2,623,117	542,438	1,588,038	–	–	–	4,753,593
Borrowings	17,540,312	7,052,261	3,567,802	12,559,876	24,675,793	–	65,396,044
Other liabilities	–	–	–	–	–	13,927,975	13,927,975
Liabilities related to assets held for sale	–	–	–	–	–	4,725	4,725
Equity	–	–	–	–	–	56,601,388	56,601,388
Total liabilities and equity	184,657,909	27,902,912	16,275,547	15,679,052	24,802,740	141,838,141	411,156,301
On-balance sheet gap	56,522,815	(1,215,975)	(3,475,851)	13,005,398	51,670,426	(116,506,813)	–
Off-balance sheet gap	3,043,917	(3,443,517)	(1,373,035)	(2,692,164)	4,464,799	–	–
Total interest rate sensitivity gap	59,566,732	(4,659,492)	(4,848,886)	10,313,234	56,135,225	(116,506,813)	–
Cumulative interest rate sensitivity gap	59,566,732	54,907,240	50,058,354	60,371,588	116,506,813	–	–

Non-interest bearing items include mainly impairment allowances under loans and advances to customers.

45. Liquidity risk framework, measurement and monitoring

Liquidity risk is the risk that the Group will be unable to meet its payment obligations associated with its financial liabilities when they fall due and to replenish funds when they are withdrawn. The Group’s approach to managing liquidity is to ensure that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group’s reputation.

Liquidity risk management process

The Group’s Board of Directors (BOD) approved liquidity risk appetite framework establishes the minimum liquidity required in order to survive a stress environment for a stipulated time horizon. The BOD has delegated to Management Executive Committee (MEC) the responsibility of liquidity management which is overseen on their behalf by the Asset Liability Committee (ALCO) on a day to day basis. ALCO sets and monitors liquidity ratios and regularly revises and calibrates the liquidity management policies to ensure that the Group is in a position to meet its obligations as they fall due. ALCO also ensures that the bank remains compliant with all regulatory and internal policy guidelines pertaining to liquidity risk.

The Group’s liquidity management process, as carried out within the Group and monitored by the Group’s Treasury division, includes:

- Monitoring of liquidity position on a daily, weekly and monthly basis. This entails forecasting of future cash inflows/outflows and ensuring that the Group can meet the required outflows;
- Conducting regular liquidity stress testing of the Group’s liquidity position under a variety of scenarios covering both normal and more severe market conditions with triggers and suggested actions;
- Ensuring compliance with the liquidity ratios such as Net Stable Funding Ratio (NSFR) and Liquidity Coverage Ratio (LCR) as stipulated by CBUAE and internally approved management triggers for liquidity risk;

- Conducting regular enterprise wide liquidity stress test which estimates liquidity requirements under idiosyncratic and systemic stress conditions. The enterprise wide stress test incorporates diverse liquidity triggers like currency de-peg, failure of a major local bank, credit rating downgrades in addition to regular stress cash flow analysis; and
- Monitoring of depositor concentration to ensure that the Group’s deposit funding is well diversified.

Monitoring composition of funding sources at a granular level includes setting triggers for avoiding concentration of funding by product. The concentration of funding sources is monitored as percentage of the total liability and equity position. Some of the ratios monitored are as follows:

- Euro commercial paper to total liabilities and equity
- Wholesale funds to total liabilities and equity
- Money market deposits to total liabilities and equity
- Core deposits to customer deposits
- Offshore funds to total liabilities and equity

The Group has established several early warning indicators for liquidity risk in line with the CBUAE requirements and monitors them regularly. Some of the key early warning indicators are as follows:

- Credit rating downgrade
- Decline in stock price
- Widening credit-default-swap levels
- Rising retail/wholesale funding costs
- Increased collateral calls

The Group has also established a breach management and escalation process with clear definition of roles and responsibilities.

Tools for liquidity management

The Group through its Treasury division ensures that it has access to diverse sources of funding ranging from local customer deposits from its retail, corporate and institutional customers as well as international sovereign wealth funds and central banks to long term funding such as debt securities and subordinated liabilities issued under the global medium term note program.

Whilst the Group’s debt securities and sub-debt typically are issued with maturities of greater than one year, deposits from banks and customers generally have shorter maturities which increases the liquidity risk of the Group. The Group’s Treasury division manages this risk by:

- Diversification of funding sources and balancing between long term and short term funding sources through borrowing under its global medium term notes issue programs;
- Monitoring the stickiness of liability portfolio and rewarding business units for sticky deposits through the fund transfer pricing process; and
- Investing in various short-term or medium term but highly marketable assets in line with Basel-III guidelines for High Quality Liquid Assets (HQLA) such as certificate of deposit with Central Bank, investment grade bonds that can be repurchased at short notices, etc.

Further, the Bank also has the following facilities from CBUAE to manage its liquidity risk during critical times:

- Drawdown against its cash reserves at base rate plus a spread of 400 basis points; and
- Repo facility against CDs HQLA under CBUAE Marginal Lending Facility (MLF) at base rate plus a spread of 50 basis points;

Base rate is currently set at US Federal Reserve’s interest payable on excess reserves.

The Bank has in place a contingent funding plan which lists out the trigger points to be monitored for invoking the contingent funding plan. The trigger points are based on market observable data points such as credit spreads and internal and external events such as decline in customer deposits and drying up of wholesale markets. The contingent funding plan clearly defines the roles and responsibilities and is updated with changing market conditions by ALCO.

The table below summarises the maturity profile of the Group’s assets and liabilities. The contractual maturities of assets and liabilities have been determined on the basis of the remaining period at the end of the reporting period date to the contractual maturity date and do not take into account the effective maturities as indicated by the Group’s deposit retention history and the availability of liquid funds. The maturity profile is monitored by management to ensure adequate liquidity is maintained.

Derivative financial instruments (other than those designated in a hedge relationship) and trading portfolio assets and liabilities are included in “less than 3 months” at their fair value. Liquidity risk on these items is not managed on the basis of remaining maturity since they are not held for settlement according to such maturity and will frequently be settled before remaining maturity at fair value. Derivatives designated in a hedge relationship are included according to their remaining maturity at fair value. Investment securities in equities and mutual funds with no maturity are included in “over 3 years”.

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The maturity profile of the assets and liabilities as at December 31, 2021 was as follows:

	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000	Total AED'000
Assets						
Cash and balances with central banks, net	33,746,202	–	–	–	–	33,746,202
Deposits and balances due from banks, net	9,949,051	8,259,899	7,301,648	1,159,545	–	26,670,143
Financial assets at fair value through profit or loss	1,706,767	–	–	–	–	1,706,767
Derivative financial instruments	5,331,002	35,689	33,095	351,891	736,344	6,488,021
Investment securities	7,123,315	5,011,174	5,939,289	18,374,675	60,064,839	96,513,292
Loans and advances to customers, net	52,544,302	7,609,694	18,232,045	32,794,988	133,101,264	244,282,293
Investment in associates	–	–	–	–	262,609	262,609
Investment properties	–	–	–	1,674,954	–	1,674,954
Other assets, net	4,930,101	5,812,373	8,586,079	8,257	17,650	19,354,460
Property and equipment, net	–	–	–	–	2,064,270	2,064,270
Intangible assets, net	–	–	–	121,778	7,172,907	7,294,685
Assets held for sale	220,673	–	–	–	–	220,673
Total assets	115,551,413	26,728,829	40,092,156	54,486,088	203,419,883	440,278,369
Liabilities and equity						
Due to banks	3,426,736	983,446	2,795,151	–	–	7,205,333
Derivative financial instruments	4,859,072	114,652	180,442	299,738	1,109,475	6,563,379
Deposits from customers	216,097,113	22,637,971	21,362,755	3,577,709	1,376,777	265,052,325
Euro commercial paper	2,910,000	1,810,901	1,478,256	–	–	6,199,157
Borrowings	9,919,858	4,214,037	6,845,135	24,747,998	26,772,309	72,499,337
Other liabilities	8,261,360	5,400,613	8,489,061	316,549	916,581	23,384,164
Liabilities related to assets held for sale	4,648	–	–	–	–	4,648
Equity	–	–	–	–	59,370,026	59,370,026
Total liabilities and equity	245,478,787	35,161,620	41,150,800	28,941,994	89,545,168	440,278,369
Balance sheet liquidity gap	(129,927,374)	(8,432,791)	(1,058,644)	25,544,094	113,874,715	–
Off balance sheet						
Financial guarantees and irrevocable commitments	2,158,007	1,795,724	6,701,776	8,092,731	5,899,153	24,647,391
Derivatives held for hedging purpose (notional)	6,721,918	6,438,169	7,741,326	20,524,838	55,888,632	97,314,883

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The maturity profile of the assets and liabilities as at December 31, 2020 was as follows:

	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000	Total AED'000
Assets						
Cash and balances with central banks, net	29,601,607	–	–	–	–	29,601,607
Deposits and balances due from banks, net	11,849,873	5,986,785	2,174,216	1,524,487	81	21,535,442
Derivative financial instruments	8,684,340	78,826	65,725	477,578	1,839,927	11,146,396
Investment securities	2,565,223	7,470,294	4,464,989	21,330,084	52,375,394	88,205,984
Loans and advances to customers, net	45,536,144	11,093,093	8,440,699	40,106,869	133,798,897	238,975,702
Investment in associates	–	–	–	–	255,868	255,868
Investment properties	–	–	–	1,643,956	–	1,643,956
Other assets, net	4,765,182	1,223,033	4,064,116	2,781	26,301	10,081,413
Property and equipment, net	–	–	–	–	2,058,575	2,058,575
Intangible assets, net	–	–	–	124,000	7,266,291	7,390,291
Assets held for sale	261,067	–	–	–	–	261,067
Total assets	103,263,436	25,852,031	19,209,745	65,209,755	197,621,334	411,156,301
Liabilities and equity						
Due to banks	6,368,673	565,426	1,265,434	22,538	–	8,222,071
Derivative financial instruments	8,039,739	134,809	49,838	635,122	1,995,540	10,855,048
Deposits from customers	214,726,491	20,459,023	10,728,636	4,204,912	1,276,395	251,395,457
Euro commercial paper	2,623,117	542,438	1,588,038	–	–	4,753,593
Borrowings	2,076,173	7,106,820	3,768,437	22,869,069	29,575,545	65,396,044
Other liabilities	8,143,777	770,102	3,865,773	217,461	930,862	13,927,975
Liabilities related to assets held for sale	4,725	–	–	–	–	4,725
Equity	–	–	–	–	56,601,388	56,601,388
Total liabilities and equity	241,982,695	29,578,618	21,266,156	27,949,102	90,379,730	411,156,301
Balance sheet liquidity gap	(138,719,259)	(3,726,587)	(2,056,411)	37,260,653	107,241,604	–
Off balance sheet						
Financial guarantees and irrevocable commitments	2,443,780	3,043,605	4,551,577	8,040,363	4,778,707	22,858,032
Derivatives held for hedging purpose (notional)	9,032,488	6,323,578	4,018,536	24,453,297	42,435,353	86,263,252

The table below summarises the maturity profile of the Group’s financial liabilities as at December 31, 2021 and 2020 based on contractual undiscounted repayment obligations. As interest payments up to contractual maturity are included in the table, totals do not match with the consolidated statement of financial position. The contractual maturities of liabilities have been determined based on the remaining period at the consolidated statement of financial position date to the contractual maturity date and do not take into account the effective expected maturities. Derivative financial instruments held for trading are included in “less than 3 months” column at their fair value while the cash flows for derivative financial instruments held for hedging are classified based on their next call date. The Group expects that many customers will not request repayment on the earliest date the Group could be required to pay and the table does not reflect the expected cash flows indicated by the Group’s deposit retention history.

	Carrying amount AED’000	Gross outflow AED’000	Less than 3 months AED’000	3 months to less than 6 months AED’000	6 months to less than 1 year AED’000	1 year to less than 3 years AED’000	Over 3 years AED’000
As at December 31, 2021							
Due to banks	7,205,333	7,224,844	3,427,480	988,277	2,809,087	–	–
Derivative financial instruments	6,563,379	6,157,077	4,967,257	305,974	310,090	373,404	200,352
Deposits from customers	265,052,325	265,461,685	216,349,169	22,678,515	21,449,434	3,604,103	1,380,464
Euro commercial paper	6,199,157	6,198,451	2,910,542	1,809,251	1,478,658	–	–
Borrowings	72,499,337	133,698,573	10,407,893	6,798,760	4,651,242	25,639,493	86,201,185
Total financial liabilities	357,519,531	418,740,630	238,062,341	32,580,777	30,698,511	29,617,000	87,782,001
As at December 31, 2020							
Due to banks	8,222,071	8,274,312	6,382,706	567,061	1,302,007	22,538	–
Derivative financial instruments	10,855,048	10,880,850	8,185,336	352,784	319,806	1,146,617	876,307
Deposits from customers	251,395,457	252,369,431	215,481,837	20,511,295	10,814,168	4,275,033	1,287,098
Euro commercial paper	4,753,593	4,755,902	2,622,271	541,740	1,591,891	–	–
Borrowings	65,396,044	124,858,192	2,358,041	7,292,992	4,150,906	23,696,649	87,359,604
Total financial liabilities	340,622,213	401,138,687	235,030,191	29,265,872	18,178,778	29,140,837	89,523,009

46. Market risk framework,
measurement and management

The Group’s activities expose it primarily to market risk which is defined as the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates, commodity prices and credit spreads (not relating to changes in the obligor’s/issuer’s credit standing) which will affect the Group’s income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

- Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.
- Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

- Other price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer or by factors affecting all similar financial instruments traded in the market.

The Group separates its exposure to market risk between trading and banking book as defined below:

Market risk arising from trading book

Trading positions are held by the Treasury division, and include positions arising from market making and proprietary position taking, together with financial assets and liabilities that are managed on a fair value basis. Realised and unrealised gains and losses on these positions are reported in consolidated income statement.

Market risk arising from banking book

Market risk from banking book arises from execution of the Group’s core business strategies, products and services to its customers, that invariably create interest rate risk and open currency positions that the Group endeavours to manage through strategic positions to mitigate the inherent risk caused by these positions.

Banking book includes all positions that are not held for trading such as but not limited to the Group’s investments in instruments designated at FVTOCI, loans and advances carried at amortised cost, derivatives used for hedging and other financial assets held for long term.

These exposures can result from a variety of factors including but not limited to re-pricing of gaps in assets, liabilities and off-balance sheet instruments and changes in the level and shape of market interest rate curves.

Risk identification and classification

The MRCC approves market risk policies for the Group. All business segments are responsible for comprehensive identification and verification of market risks within their business units. Regular meetings are held between market risk management and the heads of risk taking businesses to discuss and decide on risk exposures in the context of the market environment.

Management of market risk

The Board of Directors have set risk limits based on the Value-at Risk (VaR), Stressed Value at Risk (SVaR), Greeks, sensitivity/stress analysis and foreign exchange open position limits which are closely monitored by the risk management division and reported regularly to the senior management and discussed by ALCO.

Market risk is identified, measured, managed and controlled by an independent risk control function. Market risk management aims to reduce volatility in operating performance and make the Group’s market risk profile transparent to senior management, the Board of Directors and Regulators.

Market risk management is overseen by MRCC and performs the following primary functions:

- establishment of a comprehensive mark-to-market valuation policy framework;
- establishment of a comprehensive market risk policy framework;
- independent measurement, monitoring and control of market risk;
- setting and monitoring of limits; and
- hedge effectiveness methodology.

Risk measurement

The following are the tools used to measure the market risk, because no single measure can reflect all aspects of market risk. The Group uses various matrices, both statistical and non-statistical, including sensitivity analysis.

Statistical risk measures

The Group measures the risk of loss arising from future potential adverse movements in market rates, prices and volatilities using VaR methodology. The VaR that the Group measures is an estimate, using a confidence level of 99% of the potential loss that is not expected to be exceeded if the current market positions were to be held unchanged for one day. This confidence level suggests that potential daily losses in excess of the VaR measure are likely to be experienced, once every hundred days. The Board has set limits for the acceptable level of risks in managing the trading book.

The Group uses simulation models to assess the possible changes in the market value of the trading book based on historical data. VaR models are usually designed to measure the market risk in a normal market environment and therefore the use of VaR has limitations because it is based on historical correlations and volatilities in market prices and assumes that the future movements will follow a statistical distribution.

The VaR represents the risk of portfolios at the close of a business day and intra-day risk levels may vary from those reported at the end of the day. The actual trading results, however, may differ from the VaR calculations and, in particular, the calculation does not provide a meaningful indication of profits and losses in stressed market conditions.

To overcome the VaR limitations mentioned above, the Group runs both SVaR and Expected Shortfall daily to monitor the tail risk outside the confidence limit. Stressed VaR is the VaR run through a stressed year rather than the previous year as used in VaR.

The Group’s VaR for the year ended December 31, 2021 is as below:

	2021 AED’000	2020 AED’000
Daily value at risk (VaR at 99% — 1 day)		
Overall risk	(25,934)	(21,378)
Average VaR	(41,672)	(14,842)

Non-statistical risk measures

Non-statistical risk measures, other than stress/sensitivity testing, include independent market valuations to ensure that the Group’s valuations are correct and Risk Greeks to ensure that trading is within the risk appetite thresholds. These measures provide granular information of the Group’s market risk exposures.

Independent market valuations/Greeks are validated by the market risk function in order to ensure that the market valuations/Greeks are measured correctly. The Group uses first order Risk Greeks to monitor and control market risk on a day to day basis. The interest rate delta and vega and the foreign exchange delta and vega are computed daily and monitored against a limit. The Board has set limits for the delta and the vega within acceptable level of risks in managing the trading book.

Sensitivity analysis

To overcome the VaR limitations mentioned under statistical measure above, the Group also carries out daily stress tests/sensitivity analysis of its portfolio to simulate conditions outside normal confidence intervals in order to analyse potential risk that may arise from extreme market events that are rare but plausible. The results of the stress tests are reported regularly to the Group’s ALCO committee for their review.

Interest rate risk — trading book

The following table depicts the sensitivity of fair valuations in the trading book to hypothetical and instantaneous changes in the level of interest rates — with other market risk factors held constant — which would have an impact on the Group’s consolidated income statement:

Relative instantaneous rate move shift for all tenors:

	2021		2020	
	+25bps AED’000	-25bps AED’000	+25bps AED’000	-25bps AED’000
AED	3,988	(3,006)	(1,390)	1,518
USD	1,117	(323)	6,345	(6,725)

Interest rate risk — non-trading book

The following table depicts the sensitivity of fair valuations in the non-trading book to hypothetical and instantaneous changes in the level of interest rates — with other market risk factors held constant — which would have an impact on the Group’s consolidated income statement:

	2021		2020	
	+25 bps AED’000	-25 bps AED’000	+25 bps AED’000	-25 bps AED’000
Sensitivity of net interest income	116,431	(100,819)	74,451	(56,398)

The sensitivity on the consolidated income statement is the effect of the assumed changes in interest rates on the net interest income for one year, based on the floating rate non-trading financial assets and financial liabilities, including the effect of hedging instruments.

Currency risk

Foreign exchange risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Group’s functional currency is the UAE Dirham. The Board of Directors has set limits on delta notional positions by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits. As at December 31, 2021, the Group’s net delta notional positions in major currencies are as below:

Currency	Net currency position (short)/long	
	2021 AED’000	2020 AED’000
USD	28,404,391	27,133,921
EUR	93,952	154,531
GBP	(20,601)	(5,071)
JPY	(25,063)	(11,331)
INR	101,123	197,136
SAR	178,203	(2,614,488)
EGP	1,366,017	630,937
AUD	344	338

The following table depicts the sensitivity of fair valuations in the trading and banking book to hypothetical, instantaneous changes in the level of foreign currency exchange rates — with other market risk factors held constant (including the USD-AED currency pair which is pegged) — which would have an impact on the Group’s consolidated income statement:

Price shock in percentage	2021		2020	
	+5% AED’000	-5% AED’000	+5% AED’000	-5% AED’000
USD-AUD	(33)	33	(107)	107
EUR-USD	(7,415)	10,937	(205)	6,760
GBP-USD	1,480	1,634	(248)	248
USD-JPY	1,637	4,880	1,491	(1,206)
USD-INR	5,422	(1,808)	(11,528)	14,126
USD-EGP	75,685	(68,476)	(29,993)	33,154
USD-SAR	6,464	(32,027)	76,408	(374,930)

47. Operational risk management

Overview

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events.

Operational risk is inherent in all dimensions of the Bank. It can arise from all business processes, banking products, systems, external events and any business activity carried out by the Group and can expose the Group to potentially large losses, legal suits, regulatory criticism and reputational damage. Therefore, the effective management of operational risk is a fundamental element of the Bank’s risk management program.

The Board assumes an overall responsibility for operational risk management. This includes defining risk appetite for operational risk, approval of the Operational Risk Management Framework (ORMF), oversight of senior management to ensure that strategies, policies and processes are implemented effectively at all levels.

The objective of the Group is to manage and control operational risk in a proactive and cost-effective manner within targeted levels of operational risk consistent with a defined risk appetite. ADCB primarily aims at early identification and assessment of operational risks allowing timely mitigation, as well as meaningful management reporting and continuous improvement of the control environment.

Ongoing management of operational risk is coordinated by the Group Operational Risk Management (GORM) and reviewed and monitored by a dedicated Operational Risk Working Group (ORWG) and Management Executive Committee (MEC) as applicable for policy purposes.

The Group Operational Risk Management function continues to lead the effort to embed the enhanced ORMF across the Group. The main focus is on the consistency in application of the core tools such as risk and control self-assessments (RCSAs), key risk indicators (KRIs) and control testing and timeliness of material incident reporting. Implementation of a new Operational Risk Management System (ORMS) started with the first phase expected to be completed in a year’s time.

To mitigate increased operational risk resulting from Covid-19 pandemic, a cross-functional team led by Group Operational Risk oversees the impact on business processes to ensure they remained within the Bank’s risk appetite.

The enhanced ORMF currently being embedded enables an end-to-end view of non-financial risks, facilitating focus on the risks that are critical to achieving the Group’s strategic objectives and associated controls. It provides a platform to drive forward-looking risk awareness and assist management focus. It also helps the organisation understand the level of risk it is willing to accept.

Three lines of defence

To create a robust control environment to manage risks, the Group uses an activity-based three lines of defence model. This model delineates management accountabilities and responsibilities for risk management and the control environment. The model underpins the Group’s approach to risk management by clarifying responsibility, encouraging collaboration, and enabling efficient coordination of risk and control activities.

The three lines of defence are summarised below:

- First line of defence (Business Unit) — owns the risks and is responsible for identifying, recording, reporting and managing them, and ensuring that the right controls and assessments are in place to mitigate them.
- The second line of defence (Group Operational Risk Management, Compliance, Fraud Risk Management, Information and Physical Security Governance, etc.) — defines the frameworks, policies and guidelines for managing specific risk areas, provides advice and guidance in relation to the risk, and challenges the first line of defence on effective risk management.
- The third line of defence (Group Internal Audit function) — provides independent and objective assurance of the adequacy of the design and operational effectiveness of the Group’s risk management framework and control governance process.

Risk culture and awareness

A strong risk culture and good communication among the three lines of defence are important characteristics of good operational risk governance. ADCB’s operational risk culture is driven by its core values.

A “No surprise” culture cascades from senior management creating awareness throughout ADCB of the need to manage operational risk.

Governance and structure

The ORMF defines the overall approach through which the Board and senior management establish and make decisions about the Bank’s operational risk appetite, strategy and the supporting governance structure. The ORMF has been codified in policies and supplemented with detailed standard operating procedures and guidelines. Policies describe the Group’s approach in identifying, assessing, monitoring and controlling operational risk and give guidance on mitigating action to be taken when weaknesses are identified.

The Group has a dedicated Group Operational Risk Management function. It is responsible for developing the framework and processes to consistently identify, assess, monitor and control operational risk and operational risk management tools. The framework codifies risk related policies and procedures, designing and implementing the Bank’s risk assessment methodology and risk reporting system, challenging the activities and behaviours giving rise to material operational risks. It supports the Head of Operational Risk and the Operational Risk Working Group which meets quarterly to discuss key risk issues and review implementation of the ORMF. The Group Operational Risk Management function is also responsible for preparation of operational risk reporting at Group level including reports for consideration by the Operational Risk Working Group and BREC. A formal governance structure provides oversight of the function’s management.

The first line of defence is facilitated through a group of full time and/or part time business risk and control champions who are the first line advisors and contacts for the owners and drivers of the mitigation of risk exposures in their respective business or functional areas.

Key risk management process

All managers throughout the Group are responsible for managing their areas of responsibility within the Board approved risk appetite. This includes maintaining an acceptable level of internal controls commensurate with the scale, complexity and nature of operations. They are involved in the processes for identifying and assessing risks, designing controls and monitoring the effectiveness of these controls. The ORMF helps managers to fulfill these responsibilities by defining a standard risk assessment methodology and providing tools for managing operational risk and associated reporting.

RCSAs provide a structured approach for businesses to develop consistent risk profiles by identifying and assessing risks and relevant controls.

Control testing is a periodic assessment of operating effectiveness of key controls, performed by the business and reviewed and challenged by the second line of defence. Control testing results inform the residual risk assessment of the risks included in the RCSA and resulting corrective action drive continuous improvement in the Bank’s control environment.

Ongoing tracking of KRIs by business/support functions allows the Bank to respond promptly to any changes in risk and control environment of the organization, especially where KRI values are approaching the appetite levels as defined by management.

Early reporting of operational risk events is fundamental to prompt management action in limiting the impact of an event that has occurred and preventing similar events in the future. All employees are responsible for reporting and recording operational risk events on detection. These also include events with no financial impact. Material risk events are reported and escalated to the appropriate governance structures on a monthly and ad-hoc basis in line with their materiality.

Operational risk actions are addressing issues identified through any operational risk process and reflect the Department Head’s or Group Head’s response to the level of underlying residual risk taking into account objectives, risk appetite and resources available. Business and functional management monitor the progress of documented action plans to address any shortcomings.

Business Continuity Management

The safety of employees and the ability to recover from a crisis in a timely fashion are of utmost importance to ADCB. ADCB recognises the importance business continuity plays in business and of its obligations to customers and stakeholders.

ADCB’s Business Continuity Framework and Programme for the UAE is certified ISO22301:2012 and has been designed to ensure that the Bank can continue to achieve its business objectives in the face of an unexpected disruptive event. The same approach is used across the ADCB Group.

The Business Continuity Framework aligns to the three lines of defence model and requires that the business continuity plan can only be set post business impact analysis which are formally reviewed by the Business Continuity Management Department for quality and business continuity framework compliance. The business impact analysis and business continuity plan are formally “signed-off” by the business head; the content is owned and maintained locally. Staff awareness is maintained by the Group at a centralised level. Local awareness is maintained by business continuity champions in the business unit.

ADCB undertakes a rolling two-year exercise programme ensuring the validity of its business continuity strategies. Issues arising from these exercises are reported to management and support continuous improvement of business continuity programme.

ADCB has a group wide crisis management framework to ensure that response to disruptive events is coordinated and managed. The crisis management framework builds on business as usual procedures with defined escalation and management response plans.

The Bank executed its pandemic response plan from January 2020 in response to the coronavirus outbreak. The Bank adopted an abundance of caution approach ensuring the safety of its staff and customers. The Bank enabled a distributed work approach across the ADCB Group at the height of the pandemic and maintained a resilient service throughout. The Bank is now complying to the “Return to Normalcy” procedures instructed by the UAE Government and retains the ability to revert to a distributed work approach in case of resurgence.

48. Trust activities

As at December 31, 2021, the net asset value of the funds under the management of the Group amounted to AED 3,816,672 thousand (December 31, 2020 — AED 3,066,896 thousand).

49. Subsidiaries

The following is the list of subsidiaries of the Bank:

Name of subsidiary	Ownership interest	Incorporation		Principal activities
		Year	Country	
ADCB Securities LLC	100%	2005	UAE	Agent in trading of financial instruments and stocks.
Abu Dhabi Commercial Properties LLC	100%	2005	UAE	Real estate property management and advisory services.
Kinetic Infrastructure Development LLC	100%	2006	UAE	Financial investments.
Abu Dhabi Commercial Property Development LLC ⁽¹⁾	100%	2006	UAE	Property development.
Abu Dhabi Commercial Engineering Services LLC	100%	2007	UAE	Engineering services.
ADCB Finance (Cayman) Limited	100%	2008	Cayman Islands	Treasury financing activities.
ADCB Markets (Cayman) Limited	100%	2008	Cayman Islands	Treasury related activities.
ACB LTIP (IOM) Limited	Controlling Interest	2008	Isle of Man	Trust activities.
Abu Dhabi Commercial Bank (UK Representative Office) Limited ⁽²⁾⁽³⁾	100%	2008	United Kingdom	UK representative office and process service agent.
ITMAM Services FZ LLC	100%	2010	UAE	Transaction processing and back office support for the Group.
AD NAC Ventures WLL	99.75%	2012	Bahrain	Trust activities.
ITMAM Services LLC	100%	2013	UAE	Transaction processing and back office support for the Group.
Common Services SARL	100%	2018	Luxembourg	Acquisition, holding, management and disposal of participations and interests.
ADCB Asset Management Limited	100%	2018	UAE	Wealth management and private banking.
Al Wifaq Finance Company PrJSC	90.08%	2006	UAE	Shari’ah compliant Islamic finance products and services.
Union Brokerage LLC ⁽²⁾	100%	2002	UAE	Agent in trading of financial instruments and stocks.
Abu Dhabi Commercial Bank — Egypt	99.78%	1981	Egypt	Commercial banking services.
Al Hilal Bank PJSC	100%	2007	UAE	Islamic banking activities.
Al Hilal Islamic Bank JSC	100%	2010	Kazakhstan	Islamic banking activities.
Al Hilal Leasing LLP	100%	2011	Kazakhstan	Shari’ah compliant leasing operations.
Al Hilal Auto LLC ⁽³⁾	100%	2009	UAE	Shari’ah compliant trading in new and used cars.
AHB Sukuk Company Limited	Controlling Interest	2011	Cayman Islands	Treasury financing activities.
Alexandria New Medical Centre SAE ⁽³⁾	51.54%	1983	Egypt	Healthcare services.

(1) dormant
(2) under liquidation
(3) discontinued operations/held for sale

The Group does not have any subsidiary with material non-controlling interests.

50. Capital adequacy ratio and capital management

Capital management process

The Group's objectives when managing capital, which is a broader concept than the “equity” on the face of statement of financial position, are:

- to comply with the capital requirements set by the CBUAE;
- to safeguard the Group’s ability to continue as a going concern and increase the returns for the shareholders; and
- to maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored on a regular basis by the Bank’s management employing techniques based on the guidelines developed by the Basel Committee and the CBUAE.

CBUAE issued an update on Capital Adequacy Standards on November 12, 2020 vide notice number CBUAE/ BSD/N/2020/4980 replacing the earlier issued standards. The updated standards include new requirements on internal and external review, additional guidelines on credit, market and operational risk and details for Pillar 2 requirements. The regulations ensure compliance with Basel III Capital Standards set out by the Basel Committee on Banking Supervision (BCBS).

For credit and market risk, CBUAE has issued guidelines for implementation of standardised approach and banks are required to comply and report under Pillar 2 — Internal Capital Adequacy Assessment Process (ICAAP) requirements since March 2010. For operational risk, the CBUAE has given banks the option to use the Basic Indicators approach or the standardised approach and the Group has chosen to use the standardised approach.

The Bank currently uses the approach defined below for Pillar 1 reporting:

Credit risk: Standardised approach is used by the Group in calculating its capital requirements for credit risk. This approach allows the use of external ratings from designated credit rating agencies, wherever available, in determining the appropriate risk weights. The risk weight is determined by the asset class and the external rating of the counterparty. The net exposure incorporates off balance sheet exposures after applying the credit conversion factors (CCF) and credit risk mitigants (CRM).

Market risk: For the regulatory market risk capital requirement, the Group uses the standardised approach.

Operational risk: Basel III includes a capital requirement for operational risk, again utilising three levels of sophistication. The capital required under the basic indicator approach is a simple percentage of gross revenues, whereas under the standardised approach it is one of three different percentages of total operating income under each of eight defined business lines. Both these approaches use an average of the last three financial years’ revenues. The Group has adopted the standardised approach in determining the operational risk capital requirements.

The Group also prepares an annual comprehensive ICAAP document. This document is a detailed assessment by the Group of its risk profile, approaches to assess and measure various material risks, capital planning under regular and stress scenarios.

The Group’s capital management is driven by long/short term strategies and organisational requirements with due consideration to the regulatory, economic and commercial environment in which the Bank operates.

Capital supply

As per Basel III requirements, total regulatory capital comprises of the following:

- a) Tier 1 capital, composed of:
 - (i) Common Equity Tier 1 (CET1) and
 - (ii) Additional Tier 1 (AT1).

- b) Tier 2 capital.

CET1 capital includes paid-up share capital, share premium, retained earnings, legal reserves, statutory reserves, accumulated other comprehensive income, other disclosed reserves and minority interest.

The following regulatory adjustments are applied in the calculation of CET 1:

- a) goodwill and other intangible assets;
- b) cash flow hedge reserves;
- c) defined benefit pension fund assets and liabilities;
- d) treasury shares

AT1 capital comprises of instruments eligible for inclusion in AT1 capital (paragraph 55 of Basel III Accord).

Tier 2 capital includes collective provisions per Basel guidelines and CBUAE rules, perpetual equity instruments issued by the Bank or its subsidiaries and not included in Tier 1 and their premium and instruments eligible for inclusion in Tier 2 capital such as hybrid (debt/equity) capital instruments and subordinated term loan.

Capital allocation

The allocation of capital between specific operations and activities is, to a large extent, driven by optimisation of the return achieved on the capital allocated. The amount of capital allocated to each operation or activity is based primarily upon the regulatory capital and the Group’s business strategy, but in some cases the regulatory requirements do not reflect fully the varying degree of risk associated with different activities. In such cases the capital requirements may be flexed to reflect differing risk profiles, subject to the overall level of capital to support a particular operation or activity not falling below the minimum required for regulatory purposes. The process of allocating capital to specific operations and activities is undertaken independently of those responsible for the operation by the Bank’s risk and credit and finance functions and is subject to review by the ALCO as appropriate.

Capital adequacy ratio

The Bank’s capital adequacy ratio calculated in accordance with guidelines issued by the CBUAE after deducting proposed dividends from retained earnings is as below:

	As at December 31 2021 AED’000	As at December 31 2020 AED’000
Common equity tier 1 (CET1) capital		
Share capital (Note 22)	6,957,379	6,957,379
Share premium	17,878,882	17,878,882
Other reserves (Note 23)	9,038,707	9,051,224
Retained earnings	19,062,924	15,783,861
Non-controlling interests	9,325	4,019
Regulatory deductions and adjustments		
Intangible assets, net (Note 16)	(7,294,685)	(7,390,291)
Cash flow hedge reserve (Note 23)	(67,912)	(33,464)
Employee’s incentive plan shares, net (Note 23)	(76,712)	(26,869)
Revaluation reserve of investments designated at FVTOCI (Note 23)	175,184	393,536
Less: Proposed dividend (Note 22)	(2,574,230)	(1,878,492)
Total CET1 capital	43,108,862	40,739,785
Additional tier 1 (AT1) capital		
Capital notes (Note 26)	6,000,000	6,000,000
Total AT1 capital	6,000,000	6,000,000
Total tier 1 capital	49,108,862	46,739,785
Tier 2 capital		
Eligible general provision	3,763,456	3,429,788
Subordinated notes (Note 20)	324,354	719,614
Total tier 2 capital	4,087,810	4,149,402
Total regulatory capital	53,196,672	50,889,187
Risk-weighted assets		
Credit risk	301,076,491	274,383,003
Market risk	9,406,226	8,822,001
Operational risk	22,542,856	23,219,072
Total risk-weighted assets	333,025,573	306,424,076
CET1 ratio	12.94%	13.30%
AT1 ratio	1.81%	1.95%
Tier 1 ratio	14.75%	15.25%
Tier 2 ratio	1.22%	1.36%
Capital adequacy ratio	15.97%	16.61%

As per Basel guidelines and in accordance with IAS 10 “Events after the Reporting Period”, which does not allow proposed dividends to be recognised as a liability, the Bank’s capital adequacy ratio before deducting proposed dividends from retained earnings is as below:

	2021	2020
CET1 ratio	13.72%	13.91%
Tier 1 ratio	15.52%	15.87%
Capital adequacy ratio	16.75%	17.22%

In December 2010 (revised in June 2011), the Basel Committee on Banking Supervision issued Basel III, a global regulatory framework, to enhance international capital standards. Basel III is designed to materially improve the quality of regulatory capital and introduces a new minimum common equity capital requirement. Basel III also raises the minimum capital requirements and introduces capital conservation and countercyclical buffers to induce banking organisations to hold capital in excess of regulatory minimums. In November 2020, CBUAE issued an update to the Capital Adequacy Standards vide notice number CBUAE/BSN/2020/4980 superseding the previous notices. Under the revised notice, banks are expected to implement requirements of the capital standards in a phased manner which will allow the banks to absorb the new regulations without over burdening them during the Covid-19 pandemic.

To achieve broader macro-prudential goal of protecting the banking sector from the periods of excess aggregate credit growth and in addition to the capital conservation buffer (CCB) requirement, banks may be required to implement the countercyclical buffer (CCyB). Banks must meet CCB and CCyB requirement by using CET1 capital. The level of CCyB requirement will vary between 0% – 2.5% of risk weighted assets and will be communicated by CBUAE with adequate notice period. Further, to reduce risks related to the failure of domestic systemically relevant institutions, CBUAE has introduced domestic systematically important banks (D-SIB) buffer of 0.5% for ADCB.

The Bank is required to meet the following minimum capital ratios:

Capital ratios	
CET1 including buffers	
– CET1	7.00%
– CCB	2.50%
– D-SIB buffer	0.50%
CET1 including buffers	10.00%
Tier 1	11.50%
Minimum capital requirement	13.50%

CBUAE has issued a notice CBUAE\BSD\N\2020\1763 dated April 6, 2020, providing guidelines for Targeted Economic Support Scheme (TESS). The notice aims to contain the repercussions of Covid-19 pandemic in the UAE. TESS guidelines are immediately effective and will last till December 31, 2021. Banks are allowed the following relief under the TESS:

- (a) Banks can tap into their CCB up to a maximum of 60% and D-SIB buffer up to 100% without supervisory consequences.
- (b) CBUAE allows banks to apply prudential filter to IFRS 9 expected loss provisions. The prudential filter aims to minimise the effect of IFRS 9 provisions on regulatory capital, in view of expected volatility due to the Covid-19 crisis.

Common equity tier 1 (CET1) capital resources

- (a) Ordinary shareholders’ funds, which include the cumulative proceeds from the issuance of ordinary shares at their nominal value net of treasury shares. These instruments confer a share of ownership in the Bank, and carry no obligations.
- (b) Statutory and Legal reserves:
 - (i) Statutory reserve: As required by Article 239 of the UAE Federal Law No. (2) of 2015 (as amended), 10% of the net profit for the year is transferred to the statutory reserve. The Bank may resolve to discontinue such annual transfers when the reserve equals 50% of the nominal value of the paid up share capital. Accordingly, no transfers were made to statutory reserve during the year (December 31, 2020 – AED 201,923 thousand). The statutory reserve is not available for distribution.
 - (ii) Legal reserve: In accordance with the Articles of Association of the Bank and Decretal Federal Law No. (14) of 2018, 10% of the net profit for the year is transferred to the legal reserve. The Bank may resolve to discontinue such annual transfers when the reserve equals 50% of the nominal value of the paid up share capital. Accordingly, no transfers were made to legal reserve during the year (December 31, 2020 – AED 201,923 thousand). The legal reserve is not available for distribution.
- (c) General and Contingency reserves:
 - (i) General reserve: In accordance with the Articles of Association of the Bank, a further percentage of net profit for the year can be transferred to the general reserve based on the recommendation of the Board of Directors. This reserve may only be used for the purposes recommended by the Board of Directors and approved by the shareholders.

- (ii) Contingency reserve: The contingency reserve is established to cover unforeseen future risks or contingencies which may arise from general banking risks.
- (iii) Retained earnings which represent the cumulative profits not distributed to shareholders, and other eligible reserves.
- (d) Regulatory deductions and adjustments:
 - (i) Goodwill and other intangible assets.
 - (ii) Cash flow hedge reserve: The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges are recognised in other comprehensive income and accumulated in equity. However, it is limited to 45% if the balance is positive.
 - (iii) Employees' incentive plan shares: The Bank grants equity-settled share-based payments to employees. These shares are acquired by the Bank for its employees and are deducted from capital.
 - (iv) Revaluation reserve of investments designated at FVTOCI: This includes the cumulative net change in the fair value of investments measured at fair value through other comprehensive income. However, it is limited to 45% if the balance is positive.

Additional tier 1 (AT1) capital resources
This includes the Group's Tier 1 regulatory capital notes subscribed by the Department of Finance, Government of Abu Dhabi (Note 26).

Tier 2 capital resources
(a) Collective impairment on loans and advances limited to 1.25% of credit risk-weighted assets.
(b) Eligible subordinated notes (Note 20).

51. Social contributions

The Group made the following social contributions during the year:

	2021 AED'000	2020 AED'000
Donations	12,721	15,288
Sponsorships	3,620	4,045
Total social contributions	16,341	19,333

52. Legal proceedings

The Group is involved in various legal proceedings and claims arising in the ordinary course of business. While the outcome of these matters cannot be predicted with certainty, management does not believe that these matters will have a material adverse effect on the Group's consolidated financial information, if disposed unfavourably.